# Anand Rathi Wea. (ANANDRATHI)

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## Call: Jul 2023

ANANDRATHI
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Dated: July 19, 2023
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We are enclosing herewith copy of the transcript of the Company's Ql FY 24 earnings conference call dated 13th July, 2023. The transcript is also available on the Company's website at https://anandrathiwe alth.in/lnvestorrelations.php
This is for your information and record.
Thanking You
Yours faithfully
For Anand Rathi Wealth Limited
MUM
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■t,, *Nitesh Tanwar --... _
Company Secretary and Compliance Officer
M.No. FCS-10181
Enclosed: as above
ANAND RATH! WEALTH LIMITED
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"Anand Rathi Wealth Limited
Q1 FY'24 Earnings Conference Call"
July 13, 2023

Disclaimer: E&OE - This transcript is edited for f actual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 13, 2023 will prevail

Management
1. Mr. Feroze Azeez – Deputy Chief Executive Officer – Anand Rathi Wealth Limited
2. Mr. Jugal Mantri – Group Chief Financial Officer – Anand Rathi Wealth Limited
3. Mr. Rajesh Bhutara –Chief Financial Officer – Anand Rathi Wealth Limited
4. Mr. Chethan Shenoy – Director And Head, Product & Research – Anand Rathi Wealth Limited
5. Mr. Vishal Sanghavi – Head, Investor Relations – Anand Rathi Wealth Limited

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Private Wealth. uncomplicated


Moderator: Ladies and gentlemen, good day and welcome to the Anand Rathi Wealth Limited Q1 FY24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Feroze Azeez, Deputy CEO. Thank you and over to you, sir.

Feroze Azeez: Thank you, sir. Good afternoon, everyone, and thank you for joining the earnings call for the quarter ended 30th June 2023. Along with me, I have Mr. Jugal Mantri, the Group CFO, Mr. Rajesh Bhutara, the CFO of the company, Mr. Chethan Shenoy, the Director and Head of Product & Research, Vishal Sanghavi, the Head of Investor Relations, and SGA, which is our Investor Relations Advisors. During the Q1 FY24, our total revenue grew by about 34% year-on-year to an amount of INR178 crores, and the PAT also grew by about 34% to about INR 53 crores.

Our strong performance was further fueled by the robust growth in the assets under management, which witnessed 32% year-on-year increase and r eached a number of INR 43,413 crores. This growth was, of course, driven by the cumulative part of every constituent of our team. Our flagship private wealth business, AUM, grew by about 31% year-on-year, which stood at INR 42,246 crores. Additionally, we continue to expand our client base, adding 395 client families during the quarter. We have now reached 8,700+ satisfied client families, out of which 62% are with us for more than three years and account for 80% of our AUM.

In Anand Rathi Wealth, our co-belief has always been centered around offering uncomplicated, standardized and well-researched wealth solutions to our clients. This philosophy has not only enabled us to consistently achieve the desired risk-adjusted return, but also enhance our client retention capabilities. Our client attrition is le ss than 1% in terms of AUM lost for Q1 FY24, which speaks of value which we add to our clients. In terms of relationship managers, we have successfully added about 37 new relationship managers on a net basis in the last 12 months. Our total RMs, as on 30th June 2023 , stood at 308. With this brief overview, I will now request Chethan to take us through digital wealth and the OFA vertical to give you a brief update.

Chethan Shenoy: Thanks. Our digital wealth vertical is a fintech extension of the company's proposition for the mass affluent segment. It registered a growth in AUM of 43% year-on-year to INR 1,167 crores, while the number of clients grew by 7% year-on-year to 4,305 clients. OFA business is a strategic extension of capturing wealth management landscape to, service retail clients through mutual fund distributors by using our technology platform. As on 30th June 2023, OFA has 5,688 mutual fund distributors associated and has asse ts under management on the platform of INR 1 lakh crore plus.



We firmly believe that the we alth management sector holds immense potential, and this motivates us to remain committed to our vision of providing high-quality solutions that fulfil our clients' objectives. Thank you very much, and now I hand it over to our group CFO, Jugal ji, to take you all through the financial performance of the company.

Jugal Mantri: Thanks Chethan and Feroze bhai. Good afternoon, everyone. It is my pleasure to present you all with the key financial numbers. Our consolidated revenue for the quarter ended 30th June 2023 stood at INR178 crores, as against INR134 crores during the same period last year, registering a growth of 34% Y-o-Y. Our profit before tax for the quarter stood at INR 71 crores, as against INR 53 crores during the same period last year, registering a growth of 34% Y-o-Y. Profit before tax margin stood at 39.7% in

Q1 FY24. PAT for the quarter stood at a healthy INR 53 crores, as against INR 40 crores during the same period last year, registering a growth of 34% Y-o-Y.
Annualized return on equity for Q1 FY24, which is ROE, stood healthy at 43.2%, and earnings per share for Q1 FY24 stood at INR12.8 per share. Coming to the private wealth vertical, for Q1 FY24, our flagship private wealth vertical reve nue grew by 32% Y-o-Y, which stood at INR171 crores, while trail revenue grew by 17% year-on-year, which stood at INR50 crores. Profit before tax for Q1 FY24 stood at INR70 crores, registering a growth of 33% year-on-year, while PBT margin stood at 40.9%. PAT for Q1 FY24 stood at INR52 crores, registering a growth of 33% year-on-year, while PAT margin stood at 30.7%.
I would like to emphasize that as the Indian economy continues to expand and progress, coupled with a growing number of millionaires and billiona ires in the country, we believe there will be an immense opportunity for professional wealth solution providers in the country and we at Anand Rathi are poised to grab this opportuni ty. With this, we will

now open the floor for questions and answers. Thank you.
Moderator: Our first question is from the line of Lali t Deo from Equirus Secu rities. Please go ahead.
Lalit Deo: Yes, hi sir. Good afternoon, congratulations on a good set of numbers. So the first question would be, so from the revenue side, we have seen a sharp increase in the MLD revenues. So could you just give us the primary issuance and the secondary issuance that we have done during the quarter, as well as how much is from the third party as well?
Feroze Azeez: Jugalji, can you give us the split?
Jugal Mantri: Thanks, Lalit. See, the gross i ssuance of the MLD for the Q1 was INR 1,396 crores. Out of that, about INR 143 crores was from third party. But what is important to note here is that the net issuance, see that as of now, we are at a situation every year because of the past issuances in MLD, our MLD portfolio that is standard health y INR 12,000 crores. And as you know that the average tenure of the MLD, which is about four years, what we will see is that say INR 3,000 crores to INR 4,000 crores will be getting redeemed along with the accrual on those MLDs.
And as we know that about 70% to 80% of the same gets redeployed. So now this will become a regular phenomena that there will be gross issuances, which will be around INR1,000 crores to INR 1,500 crores every quarter. But if you lo ok at the net issuance, that was still INR 358 ANANDRATHI



crores only, which is compared with INR 239 crores in Q1 FY23. And as far as concerned with the MLD breakup, as I said that 10% of the gross issuance is going to the external agencies. But if I compare with the net issuances, that will be like INR 143 crores goes to the external and the remaining of INR 358 crores minus INR 143 crores. So that is about INR 215 crores will be to our sister concern.
Lalit Deo: So like this INR1,400 crores is primary issuance or it includes both primary as well as secondary?
Jugal Mantri: It's a primary issuance.
Lalit Deo: So like what will be the secondary issuance during the quarter?
Jugal Mantri: See, secondary issuance is not issuance. Secondary is basically there is a trading volume. Okay.
That was like about INR 254 crores, which was the secondary transaction, which compared with the INR 359 crores in Q1 FY23.
Lalit Deo: So just wanted to ask some more questions, like last quarter, we did about INR1,000 crores of primary issuance and then there was this budget announcement. So like now we have seen a sharp jump during this quarter, like about 40% increase. So is it like a one time impact or like do you see a structural change in the investors where like people are coming, investors are coming from the listed MLD space to the unlisted MLD space?
Jugal Mantri: Lalit, if you recall, I have like while answering the question, I said that we have got an AUM of about INR12,000 crores in structured products. Okay. And say about INR3,000 crores of the face value, along with the accrual component, which varies from 40% to 60%, that gets redeemed, that is going to be redeemed every year. And whatever redemption which is taking place, even without putting any extra efforts, a bout 80% of that money that flows back into the structured products. Okay.
So this sort of issuance which has happened in the Q1, that is more or less guaranteed. In fact, it marginally it will go up, reason being that the AUM, which is growing because of the market impact and the accrual, in fact, the redemption as well as the renovation of these maturities, in terms of amount, it will marginally go up. But in terms of proportion to the overall AUM, it will slightly fall.
Lalit Deo: Sure, sir. One more question was like, so during the quarter, we have seen like the revenue increase was great. Similar to that, employee expenses, which are mostly related to revenues, have also i

ncreased. But like, any reason why we have seen a sharp increase in our other operating expenses also?
Jugal Mantri: See, other operating expenses are like, directly, there are two things. One thing is that in Q1 FY23, there was definitely the COVID impact, all the traveling, conveyances, and those were restricted. And but now, gradually, in FY 2022-23, you might have seen that there is an increase in traveling, business promotion, networking, as well as on the conveyance expenses. So these are directly incommensurate with the increased activity and physical movement on the ground.
And that is why, you have seen that the non-operating expenses have moved up. 

Lalit Deo: Sure, sir. Thank you, sir. I will come back in the queue for any questions.
Jugal Mantri: Okay. Thanks, Lalit.
Moderator: Thank you. Our next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Yes, sir. On the regulatory side, the changes that are, on the total expense side, that we are expected to see, what would be the steps you would be taking here? And, what would be the kind of impact you expect on the commission side?
Feroze Azeez: Pallavi, in the last earnings call, we discussed this. So firstly, as you would be aware, Anand Rathi Wealth Limited has not used any of the ge nerosities on the commission front, be it the B30, be it the NFO, or liberalness because of the AUM not getting established. Since, and the smaller schemes giving you more commission, like the 11 Scheme model portfolio, we had at an average assets of INR 13,000 crores – INR 15,000 crores was the average assets. I very well knew as a company that, if I take 11 Schemes with INR7,000 crores of average AUM, then I will get INR 0.30 more.
So point one, I am making is the impact of any client-centric circular would have minimal effects on somebody, who has already been client-centric. And you would be very happy to know that Anand Rathi Wealth, has not sell any product, which is an NFO for the last 11 years, we have not even approved one of them. That's point one.
So as far as our understanding goes, the regulatory circular will go through huge amendments in the next form and fashion if you heard the regulator say that. So the impact of 3%-4% of revenue, which I was speaking about the last time around, doesn't seem to exist anymore.
Pallavi Deshpande: Right, sir. And so what would be the average? You mentioned about the average AUM size being 13K to 15K, but we have introduced some more new schemes, I understand. So what would be the average AUM size now?
Feroze Azeez: Yes, it should be about INR 11,000 - 12,000 crores. We are always going to be running the business as per client objective. If INR 500 crores scheme, if at all, to magnify the example, helps me to meet my client objective, it will be a part. If INR 50,000 crores scheme helps me meet my client objective, it will be. So revenues are never going to take precedence over our actions, irrespective of whatever pressures we may ever have.
Pallavi Deshpande: Right. And sir, my second question would be on the net inflows, if we could have the break-up between what would have come from the existing clients and what would have been from the new clients?
Feroze Azeez: We look at net flows, Jugal ji may have this numbe r. So net flows, we focus on – if you look at it from a perspective of new clients, I would say about 30% comes from the new clients, 70% comes from existing clients. We, as a wealth outfit, have this clear display of confidence in action by not forcing a client to start big with us. 

In spite of our segment, which is very dear to us, which is a million USD plus, we don't force the client to start with half a million USD.

We sa y, if you have INR 50 lakhs, start with us and merits will help us penetrate into your wallet. So the share of new money from clients, when they begin is not going to be big because I don't put pressure on them saying that start with INR 5 crores. Why? You start with INR 50 lakhs. If I am not doing lip service, then it is obvious that you would give me the money, which I deserve. So that's why a 70%- 30% ratio.
But the clients, who come in every single month are my potential clients, which is one million USD plus kind of balance sheets other than the homes they live in. So that's where comes the snowballing effect of this business, after it reaches an inflection point. So these 8,700 families are filtered on the basis of their segment and if there is some short-term investor or investor, who doesn't fit the segment in terms of size, we don't even on-board them.
Pallavi Deshpande: Right, sir. Thank you so much, sir. I'll come back in queue.
Feroze Azeez: Thank you, Pallavi, for your question.
Moderator: Thank you. Our next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Hey, congratulations on a wonderful set of numbers. Sir, I just wanted to understand, how are we trying to push this business from sales perspective? And how many Relationship managers would we be looking to add every year over the period of the next five years?
Feroze Azeez: Very valid and a good question, sir. Firstly, what we look at is client - RM addition is one of the verticals, which people can extrapolate on an ex cel sheet reasonably easily by hiring and putting in some capital behind that strategy. So, we expa nd on our RM fraternity on the confidence of the preparedness of the leadership bandwidth. All my INR 100 crores plus RMs are qualified potential leader.
So, to answer your pointed question, today we have 135- 140 RMs, who have the capacity to mentor three to four people. So, that's the leadership capacity given. So, that means, 140 people mentoring three to four people, which is a span of control, implies close to about 500 relationship managers in the constraint of leadership. So, l eadership is no more a constraint any further.
Second is how many people have a cultural fit into the organization of client centricity. So, that's why we internally currently train 296 apprentices, who are called account managers who get promoted. So, these are the two important fuels to my RM force. So, having said which, where could we head? We are going to always expand in a calibrated fashion because we have to make sure that, the brand promise of uncomplicated and client centricity is actually delivered. So, 308 RM, I wouldn't be surprised it gets to those 500 RM kind of numbers over the next couple of years or three years to be more realistic.
Bhavin Pande: Okay. And like the given phenomenal number of families we have, so our emphasis would be more on increasing wallet share of existing customers? As you mentioned that you plan to start with a figure of INR 5 million and wants to go up to let's say INR50 million, would be a balanced approach between adding more families and increasing the wallet share? ANANDRATHI


Feroze Azeez: See, all the four growth engines have immense mutually exclusive potential to contribute to our long term, very, very dear to heart objective of 20%-25% flat growth for years and decades to come. So, having said which, I don't think, we are at some phenomenal numbers in terms of client families. We may be happy at 8,700, but we are still, any report will tell you, there are 8 lakh to 10 lakh HNI families. So, we are just 1% . So, we are scratching the surface. So, we don't pat ourselves too much on the back in terms of covered the HNI fraternity currently, but I am sure, there is an expone ntial potential possible.
So, if I have 308 private rela

tionship managers, who are at least 80% of them are not at full capacity. I am not very pleased if I don't - in the next one year - one and a half years, acquire 200 families on a net basis. Because 0.6 per relationship manager is our internal target. So, to answer your pointed question, we are nowhere close to having quenched our thirst in terms of new client acquisition. Because the universe is so large and every 8,500 fa milies have at least 5 HNI, 10 HNI friends, who deserve to be our clients and we deserve to be their distributors.
And as we build credibility with these 8,700 and credibility doesn't come without time. Time is one very - very important credibility builder, be it as a listed company, and be it as an advisor or a distributor. The good part is, we have, 67% - 70% of our clients having finished three years. That means, they would have seen us for three years. So, that's a very important mutually exclusive variable and our aspiration is to get to 200 net client families added per month, month on month in the near future.
Coming to the net mobilization from the wallet share penetration, I think that anytime a client finishes three years and we have delivered him a risk adjusted return of 12% - 13% on Beta of 0.5 on Nifty, we go and have this conversation w ith him. Sir, I didn't force you to start with INR 5 crores, but you have INR 5 crores. You are at two. I have done my bit. Can you please be generous to do your bit? And those conversations are very positive conversations because you have already shown him three years of risk adjusted return, which is best in class. Does that answer, sir?
Bhavin Pande: Yes, definitely. Perfect. Thank you so much and all the best for quarters and years ahead. I will just get it back in the queue.

Moderator: Thank you. Our next question is from the line of Naysar Parikh from Native Capital. Please go ahead.
Naysar Parikh: Hi, thank you for taking the question. A couple of questions. The first one is on the structured products / MLDs that is like 29% of AUM. Out of that, what percentage is to our sister entity? And, you know, so to that extent, does that pose any risk for any of that sort, just in terms of it being the sister entity?
Feroze Azeez: Mr. Parikh, right, sir?
Naysar Parikh: Yes. ANANDRATHI

Feroze Azeez: Mr. Parikh, the optical, of course, a reasonable por tion of that is by a sister entity. Whatever be the ratios, I'm sure Jugal ji will be very equipped to answer a second decimal in terms of proportions. The risk which you see optically itself is the risk mitigant. Okay, so when I don't have another entity, which I am very comfortable with, even if there's a gun on my head, I am not going to distribute that product for the revenue. So we were the first few to eliminate two structure product issuers, which were a part of our recommendation in 2016, 2017, 2018, much before they ran into trouble and because of our credit risk evaluation team, where they see very mathematically which ones are at risk, we were able to pull the plug much - much before several portfolios were able to se ll their bonds as well.

So, to answer your pointed question, a large portion of that is in the sister concern. Of course, we have Nuvama because we were comfortable after the ownership change, and that's another offering which we have, but the la rger portion is in the sister concern, and the pricings which we get from Nuvama are better than the sister concern. Okay, the same product gives me more revenues if issued by Nuvama, and that's the great part to put evidence to the transfer pricing or arm's length pricing, which I am sure some of you may be wondering if that's true.

Naysar Parikh: I understand, if I could follow-up, right, when customers 30% of the AUM in MLD is that significant. So, like, are customers asking you to maybe diversify more

? Is this more of a pull thing or is this a push thing when you allocate 30% to MLD?

Feroze Azeez: I can tell you, I have met a few thousand clients because all of us are relationship managers first, so I manage about eight - nine clients myself. My biggest trouble is, he says, why not 40%? Okay, because there is understanding of what we do, so we do only things which we really understand second decimal.

So, to answer your question, is it a push or a pull? It is a push from the client for, why it is not 40%? That's the current status, and that's how it has been for the first few years, of course, when we started issuance in December 2012. Now, we have credibility in terms of having matured. 1,300 ISINs have matured, and 15.3% is the IRR of those 1,300 ISINs with a standard deviation of 4.3% on the outcome. That means a Three-sigma event also keeps them in the positive on a three to five-year basis.

Okay, so after having built that kind of credibility with 1,500 ISINs still to mature and 1,300 ISINs having matured, because every Tuesday we have a trade of the same product thousandth time. So, we have two - three products. We don't innovate till the client needs it. We don't innovate just to make sure that we have intere sting conversations with clients. So, it is very surprising to other friends in the industry saying that, how are you able to sell the same product thousandth time and keep the interest alive? That's because if our jobs are not to make wealth management interesting, our job is to make the wealth.

Naysar Parikh: Got it. And sir, last question on this, the sister entity that you have is basically an NBFC, right? It's driven to lending, right, if I am understanding it correctly? ANANDRATHI



Feroze Azeez: Correct. It is a mix of, and I am sure if you download the balance sheet, it will give you a second decimal allocation. It is lending, not such aggressive lending and a lot of money is in debt instruments to make sure that the money is safe.

Naysar Parikh: And the second part of the question was on digital, how are we using digital and is digital, at all do you think in the wealth management space, a direct digital or a digital app can be a significant channel? And how are we using digital to kind of tap into some of the young professional salary people who might reach or are reaching the million dollar milestone?

Feroze Azeez: See, if you look at India, of course, wealth is household savings. We have just done a study, its INR 670 lakh crores. Of course, please read th is with some degree of 10% - 15% tolerance, because we have taken RBI data and all that data to see that we have INR 670 lakh crore household saving 10 years back, it was only INR 270 lakhs crore. So Indians are saving phenomenally, but they are investing wrongly. We also computed India's return for the last 10 years, of course, back of the envelope, it is sub 7%.

So having said which, of course, if the savings rates are so good, the young professionals will have more money than they can actually spend. So digitally delivering th at is the only way to give ethical advice to those guys, because you can't afford to make an RM reach there and still not sell him an insurance policy. Because if I have a human interaction, then my revenues can't

be 1%. If my revenue is 1% on 10 lakhs, it's INR10,000. I'm sure that's a 15 day salary of my client's driver.
So I can't do ethical advice without a digital reach. So we are at the stage of experimenting. And today, there is proof of concept, there is no cas h burn, a value unlocking will take its time. So and but do we see this as a huge potential and a peripheral, important business? Yes. And it also helps us keep our ears and eyes on the ground on the paradigm shift, which technology brings about every couple of years. Having said which, it's a chicken and egg story, the ma

ss affluent or the affluent does not get great distribution, till he is HNI. And if you get great distribution, it becomes an HNI. So it's a chicken and egg story we are trying to solve. So at this stage, we don't count the eggs before they are hatched. So we think that it has a huge potential of value unlocking for our business. And proof of concept and no cash burn is evidence to that.
Naysar Parikh: Got it. Thank you so much. Thank you. And all the best.
Moderator: Thank you. Our next question is from the line of Harsh Kothari from Kothari Investments. Please go ahead.
Harsh Kothari: Hi, actually, my question is on the MF equity and debt revenue and the employee cost, slide number 29. So when we see those numbers, as a company, it's a third largest distributor of mutual funds. But if I look at the cost of distributing mutual funds and the employee cost, the employee cost exceeds the revenue from MF distribution. So do you intend to make ultimately MF at a standalone level as a business profitable, includi ng if there was some regulatory risk pertaining to the structured products? 

Feroze Azeez: Hello, Mr. Harsh, right? If I got your name, right?
Harsh Kothari: Yes.
Feroze Azeez: See, its apples and oranges if you compare the cost and the revenue. Why I tell you so, because the costs have a provision of the bonus or the remuneration of the structured product sale as well. So if you say that the RM does not do structured product sale, what would his bonuses be? My provision will come down. So if I was just in the business of mutual fund distribution, would I still be making profit? The answer is a big yes.
Because you're seeing the cost as a proportion of mutual fund revenues, which is on single day, I make INR 58 lakhs - INR60 lakhs, which is my trail revenue. Even when there is Independence Day, I am going to get my INR 60 lakhs (INR58 lakhs - INR60 lakhs), which is my trail. I am just giving you rough numbers. But my cost has the cost as a proportion of a bonus or the share of the RM for the structured product business. Did I articulate it well enough?
Harsh Kothari: Yes. And do you see yourself moving to the RIA model going forward?
Feroze Azeez: We are very clear from day one 2013 is when RIA came into existence. RIA is to our mind, not practically possible in India. That's our take. Because all products, wealth management portfolios do not just have mutual funds, they have private equity, they have alternate funds, they have insurance policies, none of them have a direct, and several of them don't have the direct option.
So if I have to go RIA, I have to say to the client that only mutual funds I will give advice or distribution on. So how do we do RIA? If there is no direct option in private equity, so I am going to earn from that supplier, meaning the manufacturer, right? So we are not in the business of RIA, we have stuck to distribution. There ha ve been five changes in my competitors business models over the last 10 years, we have not had any change.
Why don't we have this change? Because we look at what is the regulator need? We don't look at the print, we look at the essence of the regulations. As the essence of the regulation in 2017, when they removed or 2018, they removed upfront commission, we did that in February 2016. We wrote to all our AMC partners saying that we don't want upfront because it was writing on the wall that it is one year, two year, three year, three year later, the regulator will tell you this. Because if you look at the essence of what they want from a regulatory standpoint, regulatory changes will help you. Like the MLD taxation change helped us. Why? Because we already knew, in June, 2022 we released a paper saying th at this MLD taxation of listed is no motivation for somebody to buy. Don't buy it, it will change in the next few budgets

. We gave that in writing because it was very clear. So point I am trying to make is, our regulatory strategy is not to look at what comes as a circular. Read between the lines of what does the regulator want? Regulator does not want miss-selling. So no NFOs. It does not want people to change their addresses and take a B30 commission, which some of them would have done. So that is our strategy.
Regulatory strategy, regulations will always give us a push on the positive side because hand on 

heart, I also want to be as client-centric or a little more client-centric than the regulator wants me to be.

Harsh Kothari: And the product, these MLDs remain tax-free or th ey are not tax-free? but they are still taxed at 10% the new issuances or they are now taxed at income slab?

Feroze Azeez: See, firstly, MLD didn't have a clear definition. Now, whatever products we are issuing are not qualified to be called MLDs, because MLDs are debt securities. Debt securities need to be capital protected. Okay. It was reiterated in the latest media interaction of the regulator. Debt securities have to be capital protected. Fortunately, for our foresight, not even one out of 2,700 products was a capital protected listed, rated instrument.

So if you are not capital protected, we can't use the word MLD. So we are not in the distribution of MLD whatsoever. Now that there is a definition to MLD, which is two conditions. It needs to be a debt security. It needs to have market linkage. Debt securities definition in four different circulars, SEBI has very categorically said it, the latest being 13 August 2021, circular, which says very clearly that if you don't have principal promised in full at maturity, you are not a debt security.

So I am not into MLD distribution. With this new definition, I have never been. Nuvama, which is another entity we procure structured products from, has a rated paper which is MLD, but we have not procured one from other company supplier as well.

Moderator: Our next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Thank you for taking my question. So just going back to the earlie r what we were discussing on is the regulator rethinking this expense ratio. So I think you already mentioned that the change one would see -- you don't see any impact at all when the changes come through with the new regulations. Just wanted your thoughts on do you see coming down by 50% or how do you see it playing out?

Feroze Azeez: So if you look at it, our trail commission of a most active mutual fund is about 1.1 or 1.15% post GST, okay? The circular had seven points. In fact, I had done a call way back in February with a few analysts, and I am sure some of you would have got an invite, to take you through all these six - seven points.

The regulator now understands that India's saving account and current account balances, don't hold me to this statement, but yes, are greater than the equity mutual fund AUM of INR 21 lakh crores. So if INR 670 lakh crores is the household saving and equity mutual fund is INR 21 lakh crores, which is close to 4% or little over that or little somewhere thereabouts of 3% to 4%, we have a long - long way to go in terms of mutual funds getting its space in one's portfolio to the extent of 20%, 30%, 40%.

So I don't think the regulator wants to squeeze it below 1% because there is also an alternative of direct to a client where he can save that 50 – 70 paisa by bypassing the distributor. So I don't think 1% is at a challenge.





If I used all the generosities available and brought my trail commissions to 1.4 - 1.5%, if I have not got something, what can be taken away. That's why a B30 has not had any impact on me.

NFO also paying on a certain way is also not impacting me because I didn't do anything.

I didn't do small schemes for the reason of commission. So if you look at those seven points and read that first discussion paper which came in October - November to the industry and the latest circular, which was given as a draft paper, now, of course, that has been deferred from the draft paper. I personally believe from what I have read between the lines, the impact is negligible.

Even if you look at how this business will run, as a professional, we can only assure you that we will apply full might to handle adversities. As a pr ofessional, we can never tell you there will be no adversities, but you have to judge for yourselves that the last ten adversities, the last five adversities, how has the company dealt with them.

In a positive fashion with an open mind and using all the inte llect and energy so I will tell you that I can only assure you as a professional representing the rest of the group, of course, not I as in Feroze, that we will do our prof essional best to handle adversities.

Adversities will come. The quantums of adversities we have seen in the pa st have proved that we know how to handle adversities to a certain exte nt, and we will still do our professional best.

Does that answer, madam.
Pallavi Deshpande: Yes, sir. That was very helpful. Just a nice refresher. Thank you so much.
Feroze Azeez: Thank you ma'am.
Moderator: Our next question is from the line of Sudip Dugar, who is an investor. Please go ahead.
Sudip Dugar: Thanks for giving me the opportunity. Actually I am relatively new to the business, so I have a couple of questions. The first is that could you please explain the reason as in why our average yields are going up? And the connected question to it is that, if I understand correctly, MLDs have higher yields as compared to mutual funds. But in the past we ha ve had this strategy that going forward, the proportion of mutual funds will be increasing. So some idea as to what are the yields on these two products and how are the yields going up?
Feroze Azeez: Thank you, Sudip. First, I will answer these. And if I miss out any of your points, please highlight again, because you have had very interesting questions. There is something called perception and there is something called reality. So let me put some numbers on the table.
Yield, as a word, has to always be per annum, right? So post facto, when we looked at our 1,300 maturities, on a like-to-like basis of computation of mutual fund, the structured product, my yield was INR0.03 more per annum for the structured product issuances. ANANDRATHI


So in the order of magnitude, both these products give me the same yield. Do I account it sooner or later is an accounting issue for the energy of my RM. My RM needs enthusiasm to work every day.
So if I go a full trail model, my RM's energy drops, which drops my revenue. So to answer your pointed question, Sudip sir, the yield -- in the order of magnitude, yields are computed on market value per annum in a mutual fund.
If I do the same method of computation if as an RM, Feroze allocated INR100 of his client in mutual funds, INR100 in a structured product, and at maturity computed how much did I earn more as a Feroze for his revenue under his belt, you would see hardly any difference. So 1,300 products matured have had, in the order of magnitude, equal yield to mutual fund. That's point one.
Point two is that going forward these proporti ons will not change my revenue mix because the proportion changes are bottom up. If the client has a 14% strategy need, we have a model portfolio which is 14%, 13%, 12% and 11%. We try and fit all our clients into these four.
Even if they like the uniqueness, we tell them, four are there sir, we can't have 8,700 best portfolios. That's an oxym

oron. You can't have 8,700 best portfolios. You tell me the risk-return objective, I will make one portfolio statistically tested enough, back-tested, front-tested, using a simulator like Monte Carlo and give him one portfolio.
So to answer your pointed question, the yields in the order of magnitude are identical 1,300 products is a reasonable sample set out of the 2,700. Statistically 30 products itself is called a significant sample and 1,300 is significantly mo re than that. Does it answer, Sudip sir? Or I missed out answering something?
Sudip Dugar: Yes, sir. That was very helpful.
Moderator: Thank you. That was the last question of our questi on-and-answer session. I would now like to hand the conference over to the management for closing comments.
Feroze Azeez: Thank you all for joining the call. We hope we have addressed all your queries. If any further information is required, please feel free to reach out to our CFO, Mr. Rajesh Bhutara; Investor Relations Head, Vishal Sanghavi, or our Investor Relations Advisors which is SGA. And we will try answering all your questions to our best ability and thank you to support as shareholders, whoever are. Thank you. Have a wonderful week. Thank you, Jugalji.
Jugal Mantri: Thank you. Thanks, Feroze bhai, thanks Chethan
Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. ANANDRATHI

## Call: Oct 2023

ANANDRATHI
Ref No: 67 /2023-24
Dated: October 19, 2023
To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051. Tel No.: 2659 8235
Fax No.: 26598237 / 26598238
Trading Symbol: ANANDRATHI
Dear Sir/Madam, The Manager,
Listing Department ,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai • 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415
Subject: Q2 & Hl FY2024 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q2 & H l FY2024 earnings conference call dated 13th October, 2023. The transcript is also available on the Company's website at https://anandrathiwealth.in/ lnvestorrelations .php
This is for your information and record.
Thanking You,
Yours faithfully,
For Anand Rathi Wealth Limited
Nitesh Tanwar
Company Secretary and Compliance Officer
M. No. FCS-10181
Enclosed: as above
ANAND RATHI WEALTH LIMITED
(Formerly known as 'Anand Rathi Wealth Services Limited)
AMFI-Registered Mutual Fund Distributor
CIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway, Goregaon (E). Mumbai• 400 063
Board Line No.: 022 6281 7000 I Website: anandrathiwealth .in
Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai. 400013 I Board Line No.: 022 69815400 /69815401 I Website: anandrathiweatth.in


"Anand Rathi Wealth Limited
Q2 & H1 FY2024 Earnings Conference Call"
October 13, 2023
Disclaimer: E&OE - This transcript is edited for f actual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 13, 2023 will prevail

MANAGEMENT :

1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER – ANAND RATHI WEALTH LIMITED
2. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER – ANAND RATHI GROUP
3. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER – ANAND RATHI WEALTH LIMITED
4. MR. CHETHAN SHENOY – EXECUTIVE DIRECTOR AND HEAD ■ PRODUCT AND RESEARCH – ANAND RATHI WEALTH LIMITED
5. MR. VISHAL SANGHAVI – HEAD INVESTOR RELATIONS – ANAND RATHI WEALTH LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q2 and H1 FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation co ncludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over to Mr. Feroze Azeez, Deputy CEO for Anand Rathi Wealth. Thank you, and over to you, Mr. Azeez.

Feroze Azeez: Thank you so much. Good afternoon, and thank you, everyone, for joining the earnings conference call for the quarter and half year ended 30th September 2023. With me, I have Mr. Jugal Mantri, the Group CFO; Mr. Rajesh Bhutara, CFO of the company; Mr. Chethan Shenoy, Executive Director and Head, Product and Research; Mr. Vishal Sanghavi, Head, Investor Relationss; and our Investor Relations Advisor, SGA Group.

India's position as one of the world's fastest-growing economy continues to attract investment

s

in equity markets. At Anand Rathi, we have placed a strong emphasis on providing comprehensive, well-researched, data-backed wealth solutions to our clients. This approach has been a key factor in our achievement of several milestones over the years, and we look forward to building on this success in the future as well.

In H1 FY '24, our revenue grew by about 35% year-on-year to INR 368 crores, while our profit after tax increased by 34% year-on-year to INR 111 crores. We have also revised our guidance upwards for the full financial year 2024. Revenue guidance is revised to INR 720 crores from the earlier guidance of INR 661 crores. The profit after tax guidance is revised as well to INR 220 crores from the earlier guidance of INR 205 crores.

Our success can be attributed to our uncomplicated holistic approach, which has resulted in an impressive 34% year-on-year growth in the AUM as well, and hence, the AUM stands at INR 47,957 crores at September end 2023.

Furthermore, we have expanded our client base to 9,212 families as of September 2023 end, cementing our reputation as a high-quality wealth management solution provider. We have added 40 new relationship managers on a net basis over the past 12 months. A reflection of our entrepreneurial work culture is we have had zer o regret attrition in this quarter as well. Our client-centric approach has been a driving force behind our success so far, and we are confident that it will continue to fuel our growth trajectory in the future, too.

Now moving on, I would like to share our flagship Private Wealth vertical's performance for the second quarter and the half year ending FY '24. Our flagship Private Wealth vertical AUM grew by about 33% year-on-year and stood at INR 46,571 crores. Our equity mutual fund net flows ANANDRATHI



grew by 14% year-on-year. This highlights and solidifies the value we add to our client families by offering holistic and un complicated wealth solutions.

In the first half of the year, excluding SIP flows, the industry approximately witnessed an outflow of INR 30,000 crores, while Anand Rath i Wealth saw inflows of more than INR 1,600 crores during the same period. The Private Wealth vertical has consistently delivered year-on-year growth, and we at Anand Rathi continue to see larger growth opportunities going forward.

I will now request Chethan take us through the Digital Wealth and the OFA vertical to give you a brief highlight. Mr. Shenoy, over to you.

Chethan Shenoy: Thank you, Feroze. The company's Digital Wealth segment, an extension of its offering for mass-affluent segment, also experienced steady growth. The AUM in this business increased by 46% year-on-year, reaching INR 1,387 crores. Revenues from this business grew by 94% year-

on-year, reaching INR 12 crores.
The OFA business is a strategic extension for capturing the wealth management landscape to several retail clients through mutual fund dist ributors using our technology platform. As of September 30, 2023, OFA has 5,880 mutual fund distributors and has assets under administration on this platform over INR 1,18,000 crores.
Thank you very much. And now I hand over the call to Jugal ji to take you all through the financial performance of the company. Jugal ji, over to you.
Jugal Mantri: Thanks, Chethan. Thanks, Feroze bhai. Good afternoon, everyone. India's economy is on an upward trajectory, displaying strong performance in recent quarters. With robust growth in key sectors, increased investment and a promising business environment, the nation's economic outlook is bright, reflecting a positive and resilient trend.
Let me start with consolidated financial performance of the company. Our consolidated revenue for the quarter ended September 30, 2023 stood at INR 189 crores, compared to INR138 crores in Q2 FY '23, registering a growth of 37% year-on-year.

Profit before tax for the quarter stood at INR 78 crores, registering a 35% year-on-year growth. The PBT margin stood at 41.1% in Q2 FY '24. Our profit after tax for the quarter stood at a healthy INR 58 crores, registering a 34% year-on-year growth, compared to INR 43 crores in Q2 FY '23. The PAT margin stood at 30.5% in Q2 FY '24, and earnings per share for Q2 FY '24 was at INR 13.8 compared to INR 10.31 last year.
The revenue for H1 FY '24 stood at INR 368 crores, compared to INR 272 crores in H1 FY '23, registering a 35% year-on-year growth. Profit befo re tax for H1 FY '24 stood at INR 149 crores, registering 35% Y-o-Y growth. The PBT margin was 40.4% in H1 FY '24. Profit after tax for H1 FY '24 registered a 34% year-on-year growth, standing at INR 111 crores versus INR 83 crores in H1 FY '23. The PAT margin stood at 30.2% in H1 FY '24. And earnings per share for H1 FY '24 was INR 26.6 per share compared to INR19.85 in the first half of previous year. Return on equity on an annualized basis stood at 42.4% for H1 FY '24. 

Coming to the Private Wealth business financial performance. For Q2 FY '24, our revenue grew by 36% year-on-year to INR 181 crores. For the quarter end, trail revenue grew by 32% to INR 60 crores. Profit before tax for Q2 FY '24 was INR 76 crores, a growth of 34% year-on-year. The PBT margin for the quarter ended stood at 42.1%. Profit after tax for Q2 FY '24 was INR 57 crores, registering a growth of 33% year-on-year. The PAT margin for Q2 FY '24 was 31.2%.
For H1 FY '24, our flagship Private Wealth ver tical's revenue grew by 34% year-on-year to INR 352 crores. Trail revenue for the first half grew by 25% year-on-year to INR 109 crores. Profit before tax for H1 FY '24 stood at INR 146 crores, a growth of 33% year-on-year. The PBT margin for the first half stood at 41.5%. PAT for H1 FY '24 stood at INR 109 crores, a growth of 33% Y-o-Y. The PAT margin for H1 FY '24 stood healthy at 31%.
Now we open the floor for question-and-answers. Thank you. Over to Mr. Enjo (moderator).
Moderator: So the first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead, sir.
Rohan Mandora: Congrats on a good set of numbers. Sir, if you can share what were the issuances on the structured products for MLDs for the primary and secondary issuances for the quarter? And second one, on the net flows of INR1,226 crores, how is it split between equity, debt, mutual funds, and market-linked debentures?
Feroze Azeez: Jugal ji, can you take this one?
Jugal Mantri: Yes, sure. See, for the MLD in Q2, the gross issuances were INR 1,367 crores, compared to INR 1,396 crores in Q1 FY '24 and INR 1,121 crores in Q2 of the last FY '22-FY '23. And when you do the breakup, the secondary issuances were INR 278 crores in Q2 FY '24 compared to INR 254 crores in Q1 FY '24. Did that answer your question?
Rohan Mandora: Yes, sir. And sir, on net flows of INR1,226 crores, what was the break-up for the quarter, how much was equity MF, debt MF, and structured -- MLDs?
Jugal Mantri: You're talking about the net inflow?
Rohan Mandora: Yes.
Jugal Mantri: See, the net inflow...
Feroze Azeez: Jugal ji, I have the numbers.
Jugal Mantri: Yes, yes. Okay.
Feroze Azeez: INR 1,507 crores of equity mutual fund net flow, minus INR 406 crores of debt and liquid. Total mutual fund of INR 1,101 crores. Non-principal protected SPs, minus INR 57 crores. Other products, INR 182 crores. So INR 1,226 crores is the total. So equity mutual funds, to answer your pointed question, is INR 1,507 crores. 

Rohan Mandora: Sure. Second was, in terms of the MLD originations that we are doing right now, is there any change in mix in terms of the tenor, three-year, five-year kind of products? Or is it b

roadly the same that we have been issuing in the recent months / recent quarters?

Feroze Azeez: So Rohan, our principle has been to optimally innovate. And five-years was something which we statistically found was a better risk reward for our client and so we continue with the five-years. There's no change whatsoever.

Rohan Mandora: Sure. And in terms of the originations, what was the mix from the non-group entities on the MLDs for this quarter?

Feroze Azeez: 90:10. 90 favoring internal.

Rohan Mandora: Okay. And lastly, in terms of the primary issuance run rate, which is around INR 1,300-odd, INR 1,400-odd crores quarterly, what is the peak rate that we can issue? Are there any constraints may be from a regulatory perspective which can cap that run rate? Just trying to understand from a growth perspective from FY '25 / '26 perspective, what kind of an origination run rate can we see at the peak level?

Feroze Azeez: So there is largely no limiting factor, at least for the next 5 - 7 years whatsoever.

Jugal Mantri: And on top of it, Rohan, as of now, like we are limiting it to one external vendor and one group entity. The market is very wide. We can always explore an d keep on adding th e issuers. So there is no limitation whatsoever even in an y near as well as the far future.

Moderator: The next question is from the line of Ms. Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. Just wanted to understand in terms of the sequential revenue growth is a little slower. Would this prim arily be explained by this decline in the MLD book?

Feroze Azeez: Sequential growth is lower? I just don't think that's the case at all. So year-on-year growth is 36% in revenue. And sequential, from the first quar ter, there is still a growth of about 20% -- no, the revenue growth...

Jugal Mantri: Revenue growth is 6% on Q-on-Q.

Feroze Azeez: Correct.

Jugal Mantri: So that is quite a healthy number when you look at the Q-o-Q growth. In case if you are comparing it with the quantum l eap, which has been achieved in the AUM growth, and that is what makes you feel that the revenue growth is smaller compared to the AUM growth, so there the main thing is that, see, the sizable growth which has come in the mutual fund AUM, there it is largely the trail income.

And trail income accrual will happen over a peri od of time. So it never happens for the full quarter, as and when we keep on adding AUM. So even for some AUM, the revenue might be ANANDRATHI



for a few days only in the whole quarter. So that is why it looks smaller when you compare it to the AUM percentage, but going forward, it will get normalized and you will see the similar kind of growth. Is that right, Feroze bhai?

Feroze Azeez: Yes, absolutely, Jugal sir. If you normalize the 6% revenue growth in a quarter, that implies 25% for the year -- 24% to be precise. And like you said, the trail revenues come in gradually, and they don't come upfront. And if you look at the structured product issuance, which is also exactly or almost equal to what it was, because the structured product issuance is an outcome of a portfolio design. And if the portfolio design ha s a certain percentage, there will be allocation opportunities in structured products or in mutual funds when there is a rebalancing.

Let's say, there is a 30% allocation a client actually has desired to have in structured products. If mutual funds run up, there will be movement from mutual fund to structured product and vice versa. So the revenues are an outcome of client action derived out of a portfolio construct predetermined. So that the process is driving and revenue is an outcome. Clients' return is the primary requisite and the desired portfolios which are agreed with the client makes the repeated sale practically a few minutes' jo

b.

Pallavi Deshpande: Right. Sir, second, I just wanted to understand, I think you did mention before that there is no capacity constraint for the non-principal protected structured product. Would there be any -- I understand, long-term there's no capacity constraint, but in the near term, do you see an

overheating in the credit markets and due to which you may be wanting to go slow there?
Feroze Azeez: Not at all, Pallavi. The reason being, when we look at -- when we give our long-term guidance of 20% to 25%, we have methods where we simulate at least the next 8 quarters, if not more, okay? So there is no constraint. From a credit market heating up, will we have difficulty in further issuances? The answer is no.
And this is something which we have been doing for the last 11 years. And when you plan -- and it is the same two products -- or three products, which have been repeated may be 1,000 times each. So we believe in doing the same thing over and over again and perfecting it rather than waiting to get our revenues in the bank.
Pallavi Deshpande: All right, sir. I will come back in the queue.
Moderator: Thank you. Our next question is from the line of Sunil Shah from SRE PMS. Mr. Shah. Please ask your question.
Sunil Shah: Thank you, Feroze, thank you everyone in the team, my question is more towards the next three years to five years. Now if I run with an assumption of, let's say, 25% compounded growth, maybe 12% for us can come because of the mark et appreciation, because we are selling such products, wherein our AUM will be either 11%, 12%, 13%, 14%.
So if I take a 12% growth over that period, and the residual 13% growth can come in from, let's say, incremental AUM from existing clients plus introduction of new clients because of your increase in the RM. So this 25% kind of a growth number for the next three years to five years is the broader assumption with which I am moving forward. Is there any risk to my assumption, ANANDRATHI



which is internal to the organization? External in terms of market is something which I can understand. But is there anything that I am missing out on this assumption that I am going ahead with?
Feroze Azeez: Sunil sir, thanks for your question. Firstly, like we have given the guidance of 20% to 25%. Of course, the 25% compounded growth, not just for five years, for 10 years, 15 years, and we firmly believe it's par for the course. Like you rightly said, if the client portfolios grow by about 12%, then the other 13% needs to come from the three other cylinders of growth: new client addition, penetration into existing clients and new RM addition. Let me throw some color for you to be able to comprehend the potential of all these four verticals or four cylinders.
We did an analysis -- we continually do this analysis. But the latest numbers of all our 10-year plus clients, the top 200, the return compounded for their portfolios is 13.97%, give or take, because this is still not audited, it is in the au dit stage. So 13.97% is the compounded return of our 10-year-plus clients with a beta of about 0.57%.
In the same period transaction-by-transaction, Nifty has delivered about 12%. So having said which, like you rightly provisioned for the future, like 12%, I would say, to be on the safer side, 10% - 11% is what we provision from the automatic growth as time progresses, if we do justice to people's hard earned money.
Then coming to the second part, penetration of our existing families, which is 9,212, you will also be very happy to know, our top clients who contribute to 20% of the AUM, approximately, INR 50 crores plus, all of them, barring none, were acquired at an average value of INR 12 crores. So this can give you a sense of the potential of the large number of acquisitions which are happening.
With time, we are able to build credibility of reasona

ble distributors who don't overstate and underdeliver. And once a client realizes that this is some place where he can trust, there is risk management, numerical risk management. And everything which is given to them is what the relationship manager buys for himself, then penetration becomes simpler.
So point I am trying to make is, all our top clients, we have penetrated their wallet reasonably over long periods of time. And we have thousands of clients waiting, and in the process of the credibility build, the potential is humongous on the second cylinder, which is penetration.
When it comes to new client addition, the engine of new clients, as we become more and more visible is becoming relatively simp ler. And in the next one years, two years, the pull strategy of marketing seems to be currently showing green shoots. Most of our clients today take pride in referring their friends. There are several clients who want to bring 30 - 40 of their friends to make us do events for them. So that whole inflecti on point, is around the co rner in terms of client acquisition, so that we can get to 0.75 - 1 clie nt per RM per month, which is our aspiration.
Fourth engine, which is new RM addition. We have 330-odd account managers, which are our apprentice, being trained by the 300-odd RMs on a one-on-one relationship. And most of our RM promotions come from -- or RM additions, reasonable number, come from this set of those sharp people who emerge themselves as capable of carrying the brand and its ethos in the ANANDRATHI

marketplace. So to answer your pointed question, sorry, a long answer, Sunil sir, I think your assumption is very, very fair. To provision for external risk is, why there is a range of 20% to 25%.
Sunil Shah: Right. Thank you, Feroze, for making me understand this much better. Yes, clearly, Anand Rathi for us is one of the only companies in this fi nancial world in India, which has carved out a process for the RM side, the client side, the product side, which is not visible in any other company. Appreciate that a lot. Again, I will just dwell back on the question, which is the risk part. This is beautiful, what you are doing. But anything that you think can be that minus three Sigma kind of an event, which we cannot think about internally is what I am trying to understand. Is there anything or if it isn't, just maybe I had be happy to hear that. But at this point in time, we do not foresee. But just, not on the MLD parts, the relationship that we have with our sister concern. Anything on those is what I am talking about.
Feroze Azeez: Sunil sir, like you rightly said, there could be three Sigma event, four Sigma or six Sigma events, and that's which are not seen. But if you look at how the group has behaved, like Rakesh sir is one of the longest-standing CEOs, I am saying one of the because I don't know all of them, but 17 years. And we have travelled several challenges reasonably well.
There is risks which we mitigate. Now if you look at the regulatory side, the tax side, the supply side, like there was an MLD tax change and we had predicted that a year before that. And that's why we were not doing listed MLDs . And this was in public domain given as this is writing on the wall it will happen. So regulatory.
Now if there is any change in trail commissions, for example, I am again taking you out of MLD for a moment. I' wil come back to that topic. We know that it is going to be an advantage. Even if there is a yield compression, it's going to be an advantage for us. Why will a yield compression be an advantage? Well, it looks like -- sounds like an oxymoron. So the third largest distributor, nonbanking distributor, and yield compression could be an advantage, because it helps me have the same level of inte rest where my competitors are losing interest.
The evidence of that is, the

lumpsum flow in equity mutual funds is minus INR 30,000 crores in the same half year, where we are speaking of INR 1,600 cores - INR1,800 crores of addition. If you remove the SIP number of INR 90,000 crores, the total inflow is only INR 60,000 net, which implies lump sum money has gone out.
So from a regulatory standpoint, from a taxation standpoint, from a supply standpoint, now I am sure you are very interested in the MLD piece, or now MLD has a definition, so we call it non-principal protected structure products, which is what it is. We have looked at all the four constraints, and we have examined these constraints very, very extensively.
Constraints could be supply in terms of borro wing needs of the NBFCs, supply of the hedging needs of the derivative market, for example, so on and so forth. There are four constraints. All those four constraints have been examined to an AUM of INR 1 lakh crores in structured products alone. ANANDRATHI



So we like to simulate that, we have a written down strategy for each of that. So probably we can give you a reply -- Vishalji, we can also do some other one-on-one meetings to explain a simulator. In fact, we have also made a simulator, a very interesting one. Because Sunil sir, you spoke about process. The process has been laid down, because in our company, everybody is a relationship manager; me, Rakesh sir, Chethan Shenoy, even our erstwhile HR Head used to manage clients. So there is a lot of experience when you go to the marketplace, and Chethan Shenoy could be my tenth largest RM, or even -- so it is not just for a tick box, we are serious relationship managers who understand what's happening in the marketplace.
So putting a process -- keeping in mind the RM difficulty, the client need, and the delivery of performance for the client, those processes are being defined and always being strengthened as we learn, as we go along.
Sunil Shah: Sure. Thanks for the detailed information. Thank you so much.
Moderator: Thank you. So the next question is from Rusmik Oza from 9 Rays EquiResearch. Thank you. Mr. Oza, you can go ahead.
Rusmik Oza: Sorry for the disturbance. My question to both Feroze and Chethan was just to understand the

strategy of the Digital Wealth space. Because in the last one year, number of customers have gone up only by 10%, because it's a platform business much more fast scalable. And in terms of AUM, it is around 3% of our assets as of today. What's your strategy for th is in the next three to five years? And in terms of profitability, how does it compare now and ma ybe five years down the line, once it is fully scalable, how could it build up?
Feroze Azeez: Mr. Oza, the thought process here is to see if we can give HNI kind of advice to mass-affluent digitally and still continue our huge cultura l principle of giving ethical advice. Because currently, the mass-affluent buys investment-bas ed insurance plans largely by several other banks and distributors. So that's the thought process. Now coming to your pointed question, what do we see as the future? We have always had this principle of first evolve and then scale. So we are in the evolution stage to understand wh ere we are right, what's wrong, what's right. So these are profit-making entities. And we are still in the process of getting the trial and error to make sure that, it becomes a scalable business. So I would not want to comment on its scalability at this stage.
Like you would see in the Private Wealth business, now we are, for the last two years, three years, putting the pressure on the accelerator, because a company which deals in people's money needs to evolve and not scale so soon. That's why I would not have projections or any guidance to give on those businesses. It will be like counting the chickens before they hatch. And we would not want to do that. But yes,

the core principle is, can we give mass-affluent a similar advice where still there is a relationship manager who can manage 100 to 200 clients using the technology platform? Because we have r ealized that technology standalone does not handhold the client during bad times. Investing is both heart and the mind from an investor standpoint, if you think.


We were the only or one of the few wealth managers who had a positive equity mutual fund inflow during the COVID year, whereas the industry lost a few lakh crores between PMS and mutual fund. That's because handholding is the most important thing when adversities happen. That's when a person is able to realize the long-term benefit which he sees on paper. So technology standalone is not our thought process. It should help augment an RM to manage 200 clients as against 50, which is what we have as private wealth number of clients. So that's the key fundamental thought process, I thought I will throw some color on it around the expected numbers. It would be a little premature for me to even create a guidance on that and raise hopes.
Rusmik Oza: Thanks for the elaborate answer. That was very helpful. My second question is, since our business is actually more driven with manpower, and that cost doesn't go up so much. But as earlier Sunil was asking, if you have got 10% - 11% AUM growth and another additional growth coming from various other aspects. And if you grow at 20% - 25% per annum for the next couple of years, then is there any scope for the net margins, we make around 30% right now, to inch up further going forward? Or we feel that this 30% is something which could stay for the couple of years?
Feroze Azeez: Mr. Oza, can it go up? The answer is yes. Like you rightly pointed out, several costs are variable and the fixed cost gets amortized over a larger re venue, that could definitely give us operating leverage. Having said which, we believe that investing in the business for future growth being ensured, or at least the probability of future growth becoming higher and higher. We are currently investing in several other verticals lik e strengthening our marketing, strengthening our compliance, strengthening our product division, strengthening several other divisions, which require to be made as professional as any company on the street, so that we can ensure the growth.
Having said which, we have an LCM kind of a number in our mind when we discuss internally, 40% for PBT and 30% for PAT. In the order of magnitude, we always would like to protect this under most controlled circumstances. But it's also very important to strengthen. Let me give you an illustration of how we have strengthened the front-end product team. We have several research people, who currently, because of the digital transformation after COVID, do joint meetings with RMs for effective communication and conviction transmission to the client.
And you would be very happy to know, if you are already a shareholder, that we do 25,000 to 30,000 joint meetings by these 50 product research people who are front-end, and their calendars have four- five six - meetings every single day on a working day and even on holidays. So that's why, you would see revenue jumps not resulting in operating leverage currently, because we would want to invest in the business for the enhancement of the probability of the guidance which we have given, so that we can continue the ethos of under-commit and over-deliver.
Rusmik Oza: Thanks and my last question is on the regulatory side. We've seen the regulator such as SEBI

has been very aggressive in the last couple of quarters on trying to introduce a best practices and
other things. Do you see any threat on the regulatory side? And if so, are there any solutions which we have? 

Feroze Azeez: Mr. Oza, for us, we have seen regulator as – regulation as an opportunity. Why? Because we have tried to always read between the lines of each regulation, not read the lines, but get the essence of it. I can give you several examples. But for the lack of time, I' will just tell you that we look at regulatory changes as opportunities. Why does this become? Because we have interacted with regulators in different informal forums largely, where the regulator wants you to be client-centric. If the expectation of the regulator is mean client centricity, we want to be the three sigma more than mean in terms of client centricity. That's our aspiration. We don't want to be told to be client-centric. We want to be three sigma more than the average expectation of a regulator. That's why any change has resulted in some degree of fillip for us. And I can list down the seven changes which I have in mind when I am making the statement.

Having said that again, let me tell you that regulatory changes could be on commissions, which I think the regulator had spoken about. And we had already done a certain conference call also in terms of -- I think Vishalji, we would have ma de one, where we were trying to decipher that none of the regulatory comments were applicable to us. We were not using B30, we were not using smaller schemes to get more commission. We were not doing NFOs, not even one NFO approved. Forget selling, not even one approved for the last 11 years. We very well knew our neighbour could make 3% as a competitor upfront commission. We were still very happy making the 1.09% trail commission because we think that an NFO doesn't have data enough for me to analyze.

So we stuck our ground. So, we di dn't take the advantages of the generosities on the regulatory front. So when the generosities get curtailed, we are not hampered. Lastly, if you look at the study which we did, India has INR 670 lakh crores of household savings, which was only INR 270 lakh crores in 2013. Large part of this da ta comes from RBI's website. Out of this INR 670 lakh crores, for all industry participants, it may be surprising to know that there is only 4% of Indian household savings in equity mutual funds. And we have, as a country, more money in the form of currency than equity mutual funds.

This tells us what kind of role as part of the industry, we have as a duty to make sure that if there are 18 crores people in crypto and 4 crores in equity mutual fund, we have a long way to go as an industry to spread awareness of this platform, which is the most transparent. So I think regulator also understands what is ahead and what kind of distribution infrastructure will be needed. And I think there will be a balance because there is rationality in all our regulators.

Rusmik Oza: Thanks, thanks for the detailed answer. I appreciate the kind of work you all are doing, because I have spent 11 years in the wealth management division historically, so I can relate and understand the kind of quality work you are doing. Best of luck to the entire team. Thanks a ton.

Feroze Azeez: Thank you for your generous words, sir.

Moderator: Thank you. So the next question is from the line of Pallavi Deshpande from Sameeksha Capital. Over to you ma'am.

Pallavi Deshpande: Yes. Thank you for taking my question again. Just wanted to understand, this is something from an industry perspective, that the small cap funds are now facing a challenge given their size in 

terms of their choice for investments getting limited. How do you see this play out for the industry?

Feroze Azeez: Yes. Pallavi madam, now that you've spoken of small cap, with full humility, let me take some credit for the company. On 2nd January 2023, which was much before all this outperformance, in public domain we had s

aid small cap has to go up, because of some data and analytics which we back tested and front tested. Point one. So we increased in our model portfolio, small caps, which was just 5% in the fund level to almost about 24% much before this rally. So Pallavi madam, can you hear me now?

Pallavi Deshpande: Yes sir.

Feroze Azeez: So, like you rightly said, small cap as an industry has become larger. The assets which have come into small

cap in the month of August was about INR 4,340 crores, came into small cap
as a category. Last month, INR 2,638 crores in the month of September. Small cap as a name
has remained the same over the last five years, an d the next five years, we will keep still call the
subsequent 250, other than the first 250 as small cap. The English description would remain as small cap.
But you will also be happy to know that the top stock of the small cap index, which is the NSE small cap 250, which is what is the concern for a mutual fund investor, as per SEBI, the largest
stock is a INR 36,000 crores market cap, which is Suzlon. So if you look at the average of the
top 10 stocks in the NSE small cap 250 Index, the smallest one is INR 20,000 crores in the top 10 weights. So, I think five years back, the largest small cap stock was INR 8,000 crores. Today,
again, it is called a small cap, but the largest small cap is INR 36,000 crores. Unfortunately,
English hides more than speaks. So we like to look at the mathematics of it. That's point one.
Point two, nothing to say that these two funds, which are really large, like Nippon Small Cap
and the SBI Small Cap, which have reached more than INR 25,000 crores. Like Nippon Small
Cap had some 160 stocks in the portfolio. But again, SBI Small Cap, which is equally large, had only about 60 stocks in the portfolio. So, ever y fund manager is able to apply his judgment to
what he can manage because the universe has become larger.
The number of stocks which we call non Micro- Cap, which is greater than INR 3,000 crores
market cap, has expanded significantly by about 80% in the last five years. For a country this
large, which India has the largest number of listed stocks in the world, do we think that supply will come? To my mind, yes.
But from a mutual fund distributor standpoint, if the person is
ahead of the curve in terms of not looking at th e rearview mirror to decipher the returns and his
actions, we are able to generate the alpha.
So, the model portfolio which we ran from 1st January 2013 after Direct was introduced, we
knew that this is one risk so we will have to put in a lot of effort to add value to be a relevant
distributor. So, we started a model portfolio on 1s t June 2013. 1st Jan 2013 is when Direct was
introduced. Just past performance advice or distribution would not work, we knew then. So, after
10 years, I am very happy to disclose that all the buying and selling, which our model portfolio ANANDRATHI


recommended, if done, would have generated an alpha of 3.97% over Nifty over a 10 year period
compounded.
So if one were to invest INR 10 crores as per Anand Rathi model portfolio and agreed on all
decisions taken, he would have had INR 41 crores instead of INR 30 crores in Nifty. So INR 11
crores of alpha has been added because 25 people spend day and night only to understand out of the 384 active funds, which one will be the 14 which will form a part of my portfolio and the
intense and rigorous mathematics in terms of solving differential equation using regression,
using holiday NAV, using target NAV, all these are concepts which we are working on, even have copyright on, and a patent if possible, as a process, should give us the 3% alpha on Nifty.
So point is, for a distributor, everything is open. For industry as such, I think small cap has been redefined, not in English, though, but in mathematics.
Pallavi Deshpande: G

reat to know about the alpha. In second part of this would be that what's the view on the small
caps now?
Feroze Azeez: I don't think it is the right forum. For whatever it' s worth, we think that small caps have potential.
But there's a lot of liquidity which has chased the stocks. So we try and see the intersection
between so we – I will tell you what we did. Because the exuberance in small caps, which is apparent from the dispersion and Nifty returns to the small cap returns, especially for this
financial year, when we moved into small cap, it is so large that we wanted to see whether it is
time to book profits out of them. We realized that we first made a list of the negative stocks of
25, and then we tried to see the intersection in our model portfolio on an implied exposure basis that was very less.
So what is our thought is that out of the 250 small cap stocks, being very, very selective is the
name of the game, in our humble opinion, which might be completely wrong. But yes, I am just
telling you what we feel, especially in a year where there is an election. And this is one thing
from an industry participant out of our digressing from our results. We did an analysis of the last
five general elections. Elections generally are perceived by an investor to be an adversity. But
all five years, if somebody were to invest just six months before election - general election and
exited six months after general election, all five times you would have made a positive return. That was a surprise to me.
Even a one year investor plus or minus six months with a general
election in the middle has always made positive return, and 10% is the minimum return and 16%
is the average. So we tell the client that elections might seem like an adversity, so don't change
your risk and calibrate it too much, unlike what the perception with the decibel of the news going
up on this is going to happen. That's what we want to counsel our 9,212, so they don't behave
equal to the rest of the four crores.

Pallavi Deshpande: Right sir. Thank you so much sir. This is very useful.
Feroze Azeez: Thank you Pallavi madam.
Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to Mr. Feroze Azeez, Deputy CEO of Anand Rathi Wealth Limited, for closing comments.
Over to you, sir. 

Feroze Azeez: I had like to thank everyone for being a part of this call. We hope we have tried to answer your questions. If you need more information, please feel free to contact Mr. Vishal Sanghavi, our Investor Relations Head; Rajesh Bhutara, our CFO; Strategic Growth Adviser, our Investor Relations Advisers. Appreciate your time, and I woul d like to extend my heartfelt wishes for the upcoming festive season and may you have a great weekend. Thank you for your time and patience.
Moderator: On behalf of Anand Rathi Wealth Limited, th at concludes this conference. Thank you for joining, and you may now disconnect your lines. 

# Call: Jan 2024

ANAND-RATH I
Private Wealth. uncomplicated
Ref No: 85/2023-24
Dated: January 19, 2024
To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051. Tel No.: 2659 8235
Fax No.: 26598237 / 26598238
Trading Symbol: ANANDRATHI
Dear Sir/Madam , The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai -400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415
Subject: Q3 FY2024 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q3 FY2024 earnings conference call dated 15th January, 2024. The transcript is also available on the Company's website at https://anandrathiwealth.in/lnvestorrelat ions.php
This is for your information and record.
Thanking You,
Yours faithfully,
For Anand Rathi Wealth Limited
I
:-y
Nitesh Tanwar ~
Company Secretary and Compliance Olficer
M. No. FCS-10181
Enclosed: as above
ANAND RATHI WEALTH LIMITED
(Formerty known as ·Anand Rathi Wealth Services Limited)
Privo,le Wealth. uncomplicated
AMFI-Registered Mutual Fund Distributor
GIN No.: L67120MH1995PLC086696 Registered Office: Flaor No. 10, A Wing, Express Zone, Western Express Highway. Goregaon (E), Mumbai -400 063
Board Line No.: 022 6281 7000 I Website: anandrathiwealth.in
Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai -400013 I Board Line No.: 022 69815400/69815401 I Website: anandrathiwealth.in


“Anand Rathi Wealth Limited
Q3 FY '24 Earnings Conference Call”
January 15, 2024
Disclaimer: E&OE - This transcript is edited for fact ual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on January 15, 2024 will prevail

Management:
1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER – ANAND RATHI WEALTH LIMITED
2. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER – ANAND RATHI GROUP
3. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER – ANAND RATHI WEALTH LIMITED
4. MR. CHETHAN SHENOY – EXECUTIVE DIRECTOR AND HEAD ■ PRODUCT AND RESEARCH – ANAND RATHI WEALTH LIMITED
5. MR. VISHAL SANGHAVI – HEAD INVESTOR RELATIONS – ANAND RATHI WEALTH LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q3 FY '24 Earnings Conference Call.
This conference call may contain fo rward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in



the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Feroze Azeez, Deputy CEO.
Thank you, and over to you, sir.
Feroze Azeez: Thank you so much. Good afternoon, friends, and thank you for joining the Earnings Conference Call for the third quarter and the 9 months ended 31st December 2023. With me, we have Mr. Jugal Mantri, the Group CFO; Mr. Rajesh Bhutara, the CFO; Mr. Chethan Shenoy, Executive Director and Head of Product and Research; Mr. Vishal Sanghavi, Head, Investor Relations; and SGA, our Investor Relations advisors.
Indian economy has shown robust growth, and our markets remain resilient despite global uncertainty. With the expanding investment opportunity and a thriving market, wealth management firms are likely to attract more clients seeking professional guidance. During the last quarter, we have added the highest number of HNI families, and our client base is now at 9,641 famili es, and our assets under management have grown to INR 55,057 crores, a 43% growth on a year-on-year basis.
In the first 9 months of FY '24, our consolidated revenues increased from -- by 35% year-on-year to INR 555 cr ores, and consolidated profit after tax grew by 34% year-on-year to INR 169 crores. The consolidated net flows grew by 41% year-on-year to INR 5,411 crores. Equity mutual fund net flow saw a remarkable 85% year-on-year increase to INR 3,854
crores despite the industry experi encing net flows of minus INR 29,000 crores in equity and growth-oriented scheme net of the SIP inflow of INR 1,41,000 crores approximately.



This growth highlights our client fa milies' trust in us and our deep understanding of our client requirement, backed by meticulous research to gain insight into the risk associated with achieving their financial growth. Our trail revenue for 9 months of FY '24 stood at INR 186 crores, which grew by 32% on a year-on- year basis. The role of our team of relationship managers has been a key to our consistent growth.
Relationship managers, which increased by 45 in number on a net basis over the past 12 months, bring the total number of relationship managers to 322.
Importantly, this quarter also we sa w zero-regret attrition, showcasing the strength of our workplace cultur e. Our superior client retention capabilities have helped us to manage our client attrition rate below 1% in terms of AUM lost for the first nine months of this financial year. We remain confident that the private wealth management space in India has massive growth potential and the HNI space still being a highly underserved market.
I will now request Chethan Shenoy to take us through the digital wealth and the OFA businesses, which are our subsidiary. Chethan, over to you, sir.
Chethan Shenoy: Thank you, Feroze. The company's Digital Wealth is an extension of our

Private Wealth offerings to mass affluent segment. This segment aims to deliver a comprehensive and scalable wealth management solution through technology, featuring real-time portfolio restructuring, access to high-quality private wealth product research, simple customer education and a 360-degree digital delivery model. The AUM in this segment increased by 47% year-on-year reaching INR 1,491 crores. Revenues from this segment grew by 79% year-on-year, reaching INR 18 crores.
Now moving to the Omni Financial Advisors (OFA) business. The OFA business is a strategic extension for capturing the wealth management landscape to service-re lated clients through mutual fund distributors using our technology platform. This is a s

ubscription-led business model


where our proprietary technology is used to solve the common pain points of a mutual fund distributor. As of December 31, 2023, OFA has 5,932 mutual fund distributors and has assets under administration on its platform of INR1,24,410 crores. Total revenue from this segment grew by 15% and stood at INR5 crores.
Now I hand over the call to Mr. Jugal Mantri, Group CFO, to take you all through the financial performance of the company. Thank you, over to you, Jugal, sir.
Jugal Mantri: Thank you very much, Chethan and Feroze bhai. Wish you all a very Happy Makar Sankranti. Now coming to our financial synopsis, our consolidated revenue for the quarter ended December 31, 2023, stood at INR 187 crores compared to INR 140 crores in Q3 FY '23, registering a growth of 34% Y-o-Y. The revenue for 9 months of FY '24 stood at INR 555 crores compared to INR 412 crores in 9 months of FY '23, registering a 35% year-on-year growth.
Trail revenue for Q3 FY '24 stood at INR 72 crores, which grew by 43% year-on-year. And for the nine months ended, trail revenue stood at INR186 crores, witnessing a growth of 32% Y-o-Y. Profit before tax for the quarter stood at INR 78 crores , registering a 34% year-on-year growth, whereas profit before tax for 9 months of FY '24 stood at INR 226 crores, registering similar growth of 34% Y-o-Y.
Our profit after tax for the quarter st ood at INR 58 crores, registering a 34% Y-o-Y growth compared to INR 43 crores in quarter three of FY '23. Profit after tax for nine months of FY '24 registered a growth of 34% year-on-year at INR 169 crores as compared to INR 126 crores for nine months of FY '23. The PAT margin stood at 31% in Q3 FY '24 and
30.5% in nine months of FY '24.
Earnings per share for Q3 FY '24 stood at INR 13.9 per share, and for nine months of financial year FY2023-24, it stood at INR 40.5 per share.


The return on equity on an annualized basis stood at 42% for nine months of FY '24.
Coming to the Private Wealth verticals. For nine months of FY '24, our flagship Private Wealth vertical revenue grew by 34% year-on-year to INR 531 crores, and profit after tax grew by 33% year-on-year to INR 166 crores.
With this, we can now open the floor for question and answer. Thank you, Mr. Dorwin.
Moderator: Thank you. The first question is from the line of Samyak Shah from Sameeksha Capital. Please go ahead.
Samyak Shah: So, congratulations on a good set of numbers. Thank you for giving me opportunity. So, I just wanted to know that what will be the alpha generated by us on 9-month basis?
Feroze Azeez: Sorry, I couldn't hear you. If you could just repeat the question, Mr. Shah.
Samyak Shah: Yes. Am I audible now?

Feroze Azeez: Yes, a little. So -- but yes, we will try -- I will do an attempt to hear you
better this time.
Samyak Shah: Yes. So, what would be the alpha generated by us on mutual funds this
time?
Feroze Azeez: Okay. Alpha generated by us. On the model portfolio, we run a 14-
scheme model portfolio currently. The alpha generated as of yesterday, I can tell you. I don't know the 31
st December number, but those 14
schemes are in the public domain. It is 14.23% from 1st April absolute.
Samyak Shah: Okay. And other products have increased from 12% to 15% this year.
So, which are the products offered in this segment? And what will be
the average yield on those products?


Feroze Azeez: Sorry, I couldn't get you again.
Samyak Shah: Yes. Other product -- like other pr oduct share has increased from 12%
to 15%.
Feroze Azeez: Correct.
Jugal Mantri: So, I think he is talking about the AUM, which we classify under other
products.
Feroze Azeez: Yes. I understood. I understood, Jugalji now.
Jugal Mantri: Work in progress which ha

s gone up.
Feroze Azeez: See, when we get assets, that's our raw material for the subsequent
quarters. So, when you look at other products, when a client we analyze,
we generally don't onboard him generally just with a cheque. We
sometimes take his stocks in our Demat account, which will, over a
period of time, get realigned. So first, we show him our strategy or show
her the strategy, whoever the client is. The person we say that there's a lot of tax implication, exit load implications to what you currently are
doing. So, we take that in our custody and that's work in progress.
And we are very, very happy to see that number, 12-13% becoming
15%. It implies that you have more money to align for the subsequent
quarters. And that's where that's 13% to 15%. Other product could be a
tax-free bond, could be a stock, could be a PMS, which may get on a
annual for a change. So, realignment happens post the custody moves to
us.
Samyak Shah: Okay. And had we launched any new offering in non-principal protected
structured products?
Feroze Azeez: No. We personally believe in just doing the same thing over and over if
it works. So, the structured products we currently design require two
macroeconomic variables, which is high interest rates and reasonable
Vols. And that continues. So, this design has not changed –from


February 1, 2013 which was the first issuance. So, the design has
remained similar because the external environment has been similar,
too.
So, we might be doing the same product 1,300 times. So, no innovation.
Innovation is in the optimal extent only when the clients stop making
money or are projected to stop making money is when the design
changes.
Samyak Shah: Okay. And when seeing product-wise AUM mix, share of those products
have reduced from 29% to 24%. So, what is our target AUM mix?
Feroze Azeez: See, that's again alignment opportunity next quarter or the subsequent
quarters. When the mark-to-market gains in structured products are
going to be lower than a year where markets - NIFTY, I think, started
this year on the 1st April of about 17,400 and, I think, has moved up about 18%, 16%, 17% as of December end.
So the change in proportion is because of the mark-to-market gain in
one of the primary products being higher than the other, which implies
that when I take a portfolio to the marketplace and realign because the

strategic allocation for a client. Let's say, one of my clients who I am an
RM has 65-35, 65 equity mutual fund, 35 non principal protected
structured products. If that was the desired allocation on 1
st April and
that was allocation on 1st of April, there is a realignment need of 5% -
6% because of the differential mark-to-market. So that proportion will
be restored back to 30%. That's the hope and that's our opportunity.
Samyak Shah: Yes. And what will be gross and net issuance of MLDs, these non-
principal structured products?
Feroze Azeez: Yes. So gross and net, I will request Jugalji to give you precise numbers.
Yes, but the net has gone up significantl y. Jugalji, can I request you to
give those numbers, 9 months gross and net?


Jugal Mantri: Yes, please. See, the gross mobilizati on in case of 9 months is INR 3,994
crores. And the net mobilization in non-PPSP is about INR3,000 crores.
(please don't consider this data, actual net mobilization is given
subsequently)
Feroze Azeez: No, 9 -- Jugalji...
Jugal Mantri: In the 9 -- first 9 months.
Feroze Azeez: That's equity mutual funds, right? Non-principal protected structured
product...
Jugal Mantri: Gross mobilizations is INR 3,994 crores in the first in the 9 months.
Feroze Azeez: Gross mobilization is INR 3,994 crores. And net number is INR 915
crores.
Samyak Shah: Okay. Yes, that's really helpful. All the very best.
Feroze Azeez: Thank you so much sir, for y

our questions.
Moderator: Thank you. We have the next question from the line of Dhaval Parekh
from IIFL. Please go ahead.
Dhaval Parekh: Thank you so much for the opportunity, sir. Am I audible?
Feroze Azeez: Yes, absolutely.
Dhaval Parekh: So, sir, I had a few questions on the MLD part. So just wanted to know
within the gross or the primary issuances that we do, what proportion of
it could be a self-product and, I think, from the Nuvama Wealth product?
And secondly, on the duration of the product, what is the current
duration of the MLD products that we sell to the clients? And has it
significantly changed post the change in the regulations last year? Thank
you. That will be my question.
Feroze Azeez: Second question was what, sorry, Mr. Parekh?


Dhaval Parekh: Second question was the duration of the MLD products that we sell. Is
it a 3-year product - 5-year product? And has it significantly changed
post the tax regulation change last year?
Feroze Azeez: No. So, on the first one, what are the proportions, the proportions I can
give you precise numbers. But Jugalji, have a proportion number and he
will give you…
Jugal Mantri: Yes, yes. For the gross mobilization in the first 9 months, as I said, it is
INR 3,994 crores. Out of this, INR 3, 590 crores is issued by the group
company and remaining INR 404 crores has been issued by the third
party, which is Nuvama.
Dhaval Parekh: Okay. Thank you.
Feroze Azeez: Yes. And the second part of the question, is there any change? In August
2020, I think we went from 3 years to 5 years. That was one of our
learnings from COVID. It has been largely 5 years post that.
And there has been some regulatory change on some MLD or structured
product – non-principal protected structured product issuances because of that Nuvama's sourcing could be lower in this
quarter. There is some
regulatory change on certain issuers. Anybody who has issued a

principal-protected structure product had some changes in regulation. I
am just trying to bring it to your notice now that we are on the topic.
Since Anand Rathi Global Finance has never issued a listed product ever
like we had also during the MLD tax change highlighted that we don't
believe in taking market share and things which we don't believe in. So,
we never did. Not even one listed structured product now called MLD
has ever been done. So, there is no change in regulation for ARGFL, but
there has been a change in regulation for anyone who have issued both
of them in the past.
Dhaval Parekh: Okay, sir. Thank you, sir. And, sir, last one point on this. What is the
yield that we make on this product, sir, currently?


Feroze Azeez: The yields we make are 1.17% on all matured products approximately
per annum. Yields are always per annum on average market value. If a
product began at INR 100, matured at INR 180, the average capital is
considered as INR 140. And the yield is 1.17% for about 1,200 products
when we last computed after maturity.
Dhaval Parekh: Okay. Thank you so much, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Bhavin Pandey from
Athina Investment Fund. Please go ahead.
Bhavin Pandey: Hi, team. Congratulations on great se t of numbers. First question would
be on the increase in AUM we have seen. Some could be attributed to
MTM gains. And whatever inflows we had, could we get a breakup of
how much is from the increased wallet share and how much is from new
customer additions?
Feroze Azeez: Sure, sir. I will have to ask Jugalji for that number, which is there in
front of me. And Mr. Vishal is going to give it to my notice. Jugalji, do
you want to take that, if you have that handy?
Jugal Mantri: Yes, yes, it is available. The new money which has come to us is about
INR 5,620 crores, and M-to-M gain is about INR10,26

0 crores. And
there is an AUM attritional adjustment that is about INR 260 crores.
Feroze Azeez: And the proportion between existing and new clients is about 70% from
existing clients, to be precise, 73% and the residual from new clients.
Bhavin Pandey: Okay, okay. And Feroze, when we look at equity markets, especially in
the Indian market. We have seen sort of a dream rally. And we can see
that SIP numbers and everything has gone up in general. But when we
look at the scenario where we could see a down cycle, so how do we
make ourselves immune to a situation like that?
Feroze Azeez: So, we are already immune. Let me tell you there's one which is a
perception and the other is the reality. Perception is that a lot of money


has come into mutual funds, which is correct. But if you look at the nine-
months number, if you look at this number, this was mind-boggling to
me. So I thought I will try to bring to attention, INR 1,41,000 crores has
come in the form of SIPs in the first 9 months. Still, the net addition in
terms of flows is about INR 1,12,000 crores, which implies if you remove -- if SIPs were zero, the amount which is there would have been
INR 29,000 crores negative.
In the same period of 9 months, the corresponding net of SIP numbers
for Anand Rathi stands at INR 3,557 crores. In a period of 9 months,
when if SIPs were to be zero hypothetically, you would have had a minus INR 29,000 crores outflow. In that period, Anand Rathi Wealth
Limited has a INR 3,557 crores of inflow.
So, like in the past couple of calls, I would have said that our dream is
to be a 3% - 4% market share in equity mutual funds. This is a green
shoot of the same. Last year, full year, if SIPs were not there, the total net flow of equity mutual funds would have been minus INR 9,000

crores.
In the same period, if I remember the number, for Anand Rathi Wealth, net of SIP, the number was close to INR 2,500 crores positive. You have gained market share on three counts. One is better funds chosen. You get better mark-to-market. Second is you get better market share in net flows. Then your market share on AUM goes up. So, when we have a dream of 3% to 4%, we are backing th at with effort and energy to make sure that, that dream has a larger chance of getting fulfilled.
So, to come back to your question, are we agnostic to the direction of how the market is behaving in terms of their affinity to buy mutual funds. I would like to believe, yes, because our SIP total inflow has just been INR 250 crores (correct number is INR 295 crores). We are also now focusing on SIP. In the next year or 2, you will be very pleased with us as a shareholder of what kind of SIP numbers we will mobilize from the HNI fraternity.


Bhavin Pandey: Wonderful, wonderful, Feroze. Seems pretty much clear. And just one last thing before signing off, do you see a sort of a reversal in the trend in the debt MF space and we are anticipating a string of rate cuts in the year ahead?
Feroze Azeez: I don't see that because if you look at the cumulative rate cuts expected in the country, in the world, our estimate is about 155 rate cuts by central banks are going to happen in the world. But India is not going to see huge mark-to-market gains on the debt side because we didn't see mark-to-market losses.
If you look at our 10-year G-SEC is at 7% in June 2022 when the rate cut cycle happened. We were somewhere thereabout, about 50 - 60 bps more is what we have seen. So, we've not seen the long end of the yield curve in India move up dramatically.
So, if that's the case, the repo rate changes have not transpired into the long end of the yield curve, so expecting to make mark-to-market gains when the short end of the yield gets lower may not be real because in India, we have always operated an upward sloping yiel

d curve. But the short end of the yield curve has now gone up.
So we have a flattish kind of a yield curve. Hence, I don't expect huge mark-to-market gains on the debt side even if interest rates on the lower end, repos and reverse repos are reve rsed. We didn't lose money, so you are not entitled to make as much is the key.
Bhavin Pandey: Superb. Thanks Feroze, and congratulations again.
Feroze Azeez: Thank you so much for your wishes.
Moderator: Thank you. The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.
Gaurav Nigam: Thank you, sir, for taking my question. Sir, I have one question on the OFA business. I have not followed up, I think you may have mentioned


this earlier, but can you help explain what is the business model of this OFA business and how it is different from the other national MF distributors?
Feroze Azeez: Sure. Sure, Gaurav bhai. Let me try and attempt doing that. OFA business, which is an abbreviation to Omni Financial Advisors, is a SaaS platform. It is a reporting platform which are on a subscription model basis. We provide to IFAs, close to about 5,600 IFAs, okay, give or take. And the assets which use the platform for reporting is close to about INR 1,20,000 crores of assets gets reported. They are not in our broker code or based in another sub-broker m odel. Unlike other B2B businesses where there is sub-broker models also being utilized. This is just a pure SaaS platform for a fee.

The reason why this business exists in a wealth management firm is
because there are multiple avenues of monetizing this. Huge
consolidation of IFAs on the reporting platform given the fact that the
advisory capability (under the auspices of Chethan Shenoy have 122
research people) which an IFA may not be able to procure himself
because of the cost constraints.
So, to answer your pointed question, it's a SaaS-platform, where a
subscription fee is paid on an annual basis and 5,600 of them use it for
their clients to report upwards of IN R 1,00,000 crores of assets which
are not in our distribution whatsoever.
Gaurav Nigam: Understood, sir. Thank you.
Feroze Azeez: You understand, Mr. Nigam?
Gaurav Nigam: Yes, yes, yes. Sir, just a follow-up on this, if, let's say, those IFAs end
up scaling up, let's say, INR 120,000 crores become like INR 240,000 crores, is there a possibility of our fees going up? Is it like in any way
related to the AUM growth?


Feroze Azeez: Not currently, because you are wanting to build scale and then try and
monetize.
Gaurav Nigam: Understood. But going forward, what are the avenues for monetization,
sir, if you can help explain it? If it is possible?
Feroze Azeez: Mr. Gaurav, our principle always has been to under-commit, over-
deliver. So, I don't even want to tell you stuff which is on paper. We
generally test. Now if you remember, we are one of the few IPO period
participants who would have vocally told that, please, value our profit-making digital businesses at zero. We said that because we like to under-
commit and over-deliver.
So, there are several methods of monetizing it. Are we very confident
that we have cracked the code? The answer is no. So, I would not create
hope unless I am very sure that it is doable because, of course, I can rattle out those 4 - 5 methods of monetizing, which are there in my mind.
But I think it would be unfair for me to create expectations on trial and
error because we try to like -- I would have also, on the Private Wealth
business, said, we spent 10 - 15 years -- Rakesh Sir, who is our
professional group, joined on 1
st April 2007. After 15 years, we said
that we know exactly how to scale this business now. We have done our
mistakes on smaller basis. Now you will see us grow at a larger pace.
So, in the primary business, if there w

as 8 - 10 years of trial and error
and trying to be very confident. We love the statement which SEBI made
to AMCs, become better before you become bigger. So, we always want to be better. And then, I think, on the Private Wealth stage, we have got
to that stage where we can say now we are trying to become bigger. We
have not got anywhere close to on those digital businesses to make that
statement.
Gaurav Nigam: Understood, sir. So we will track it and wait to hear from you more on
this. Thank you for answering.


Feroze Azeez: Sorry, Gaurav bhai. I almost didn't give you an answer because I don't
want to give an answer on this in the public domain as of now.
Gaurav Nigam: Sure sir. Thank you.
Moderator: Thank you. The next question is from the line of Rohan Mandora from
Equirus. Please go ahead.
Rohan Mandora: Good Afternoon sir. Thanks for the opportunity and congrats for good
set of numbers. Sir, I missed the number on net MLD issuance. Was it
INR 915 crores for nine months? I just want to reconfirm.
Feroze Azeez: Yes, it was INR 915 crores.

Rohan Mandora: And sir, what was the secondary issuances for the quarter, for 3Q?
Feroze Azeez: Jugalji, can you look at that number?
Jugal Mantri: Yes, INR 427 crores.
Rohan Mandora: INR 427 crores, okay. And sir, in one of the earlier participants' question, you indicated there is some regulatory change because of which the other sourcing partner may have a slower contribution incrementally. So, what is that regulatory change? Is it something other than the budget announcement? Just wanted to understand that.
Feroze Azeez: Yes, you can read up on the circular. It says that basically, there is a regulatory change which came as lately as a few months back, 2-3 months back. Any company which has is sued a listed structured product, that's whom that regulation is applic able. So, I think I can send you that regulation. Rohan, of course, you understand our business, one of the best. So, I am sure you have tracked us much before. And I have, I think, Vishalji and our SGA team will send you that circular. Chethan, if you could get this sent, please?
Rohan Mandora: And sir, just one more thing was that for FY '25, what would be the total MLDs that will mature?


Feroze Azeez: FY '25, we will have about, if I am not wrong, don't go precise numbers, I think we will have INR 800 crores-900 crores of full maturity. We will have a reasonable portion which has got into the long-term category.
About INR 4,000 crores - INR 5,000 crores would have got into the long-term category from a taxation standpoint and about INR 800 crores - 900 crores of maturity.
If your question is stemming from your worry whether we will have enough net sale in structured product, if you want to understand that bit in conjunction of our asset proporti ons when there is going to be realignment opportunity. We will be able to project the kind of revenue I will be able to do in FY '25.
So basically, we have a very simple business model. Rohan, of course, you understand this. Whatever assets we get, like if there is INR 2,900 crores which came new to Anand Rathi Wealth in the quarter, we are going to earn 1.25% yield at least per annum. That's our business model. If there is a client who gives me short-term money, I don't even take it.
If there's a client who wants 20% IRR, we don't -- we filter our clients and assets at the gate of entry.
So if you want, if we got to almost INR 950 crores of net mobilization in the last quarter average INR 933 crores. You should try and see on a monthly basis. If I collect this amount, which is my run rate now for this quarter and see what will be my AUM, what will be the AUM on account of client portfolios growth, okay? Our clients' portfolios' growth over the last 8 - 10 years on an overall basis has bee

n 12% to 14% return.
Clients have made 12% to 14% retu rn. That's one assumption. Next 10 years, will they make 12% return with our strategy? In our belief, with the kind of environment India is in, they will make 12%. So that's the automatic growth.
The second variable is, how much money new will I bring on a monthly basis? Third variable is, what is the yield I will make? The fourth variable is on the revenue, how much PAT do I make? If you project this


for the next five years, that's the business model I look for as a professional. And that will give yo u a sense of where this business is headed.
Structured product sourcing is an outcome of alignment. Now if our structured product proportions have come down, given 1st April, if I go to a client and say, now it's time for me to realign, I will have to sell some mutual funds and bring it back to 30% if that is the agreed allocation. If it is 35%, I will bring to 35%. So, the kind of money alignment, which is needed in client portfolios, is enormous.

So, to answer your pointed question, not too much maturity next year.
Point one, INR 800 crores to INR 900 crores of market value. The long-term category 4-year plus, 4.5-year plus, which are almost close to maturity which can be sold in secondary to people, is about INR 4,000 crores - INR5,000 crores plus the alignment opportunity you can compute from mutual funds to structured because you have to realign like asset allocation gets realigned. If equity does very well, people reallocate between equity and debt, right, realignment. Similarly, we realign between equity mutual funds and structured products.
So that change -- the reduction in the structured product AUM as a mark-to-market AUM value will help you ascertain what kind of alignment opportunities our business has in FY '25. And that's mind-boggling.
Rohan Mandora: Sure, sir, sure. And sir, in terms of the payouts to RMs, is there a difference in the proportion that is paid out for revenues from MLDs and from mutual funds? I am asking this because the employee expenses have declined Q-on-Q, whereas the revenues were broadly flattish. So, I just want to understand that, please.
Feroze Azeez: No. We have the -- now that you have brought me to this topic, Rohan bhai, which people don't get enough -- because you have to read between the lines. Why is our attrition is zero? That's a shocking number for a financial services firm because everybody would want to hire your



people, but people don't leave. Our formula has been constant. Our remuneration formula, which is on the basis of total comp fixed plus variable of two people generating the same revenue, will always be equal.
In-spite of somebody negotiating a better fixed, he will get a lesser variable. If somebody is not a negotiator of a best fixed, when he enters, he will get a larger variable. So, the total comp concept was introduced in June 2007. And even their Excel sheet password has not changed.
There is very few in this country or the world as wealth management outfits who can say this, that we have not changed the bonus of the remuneration formula for the RM fraternity for 16 big years.
–I have worked for some -- a couple of them in the past. I have spoken to at least hundreds of them. Everybody is mesmerized that how can you have a bonus formula, which is constant. Now coming to your pointed question, sir, saying that there is there a differential payout? The answer is no. Why is there a difference in employee cost? There could be bonus provisions, which are...
Jugal Mantri: Feroze bhai, if you recall, see, in Q2 FY '24, we had an unfortunate incident where we lost Mr. Rohit Rajgopal, and there were one-time payment -- ex-gratia payment because of his sudden death. And that is why that additional cost of about INR 2 crores is th

ere in Q2 FY '24.
And that is why the personnel cost is slightly higher in Q2 compared to Q3. That is the reason, Rohan. There is an addition over there in Q2 FY '24. And otherwise, there is no reason for this manpower cost to be lower in Q3 in FY '24.
Rohan Mandora: Sure, sir. Thanks. And just lastly, so in the new sourcing that we are doing between RMs and AMs, where are we typically recruiting them from currently in the last one, two quarters? Just trying to understand the landscape.



Feroze Azeez: Sure. I will tell you, our strategy. Our strategy has been hiring best people from smaller brands, okay? We have tested this hypothesis. I have, of course, done about 400 - 500 interviews between '15 and '17, 2015 and '17. And I tested several hypotheses of what has got the best odds of success. We realized that best people from a smaller brand will – hit the ground running.
So, you will see a large portion of our team was hired from a smaller wealth management outfit in those periods because when a client moves

from a sticky bank platform, if the technology is the hook in the previous adviser, then we don't hire. So where do you hire from? Stand-alone wealth management outfits, anybody who has spent more than 5 years, 6 years, 10 years who has proved credibility that he doesn't move on a drop of a hat are the only people we hire. So, we don't hire anybody who has not spent more than four years in the previous organization. That's an embargo in our company.
And the longer the period, longer the propensity for him to bring in clients and if he is from not a very big brand, it becomes easier for him to get assets. Otherwise, we have these internal people whom we are training. 340 people being trained internally is a lot. So, every time you see the sharpest ones who have shown capability of intellect, intent, value system and communication, i rrespective of language, gets promoted on a periodic basis.
So just like a college has fewer seats, right, and IIM today does not hire 10,000 people to educate. So we try and make sure that we promote as many as we can teach to be able to take the legacy forward without diluting our brand in the marketplace. That's the principle.
Sorry, your question was very pointed, where you hire from, but I think it's more important for a prospective shareholder or a shareholder to understand principles because that's where the business ascends life, not in the numbers.


Jugal Mantri: Thank you, Rohan bhai.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, hi. Good afternoon, everyone. So just one-bit longer-term question as to how do you see your mix between MLDs and mutual funds evolving, say, in the next three years' timeframe, what is the kind of diversification that you would like to bring apart from these two products as well? If you could throw some light on this.
Feroze Azeez: So, diversification can't be the cause of any product being approved. That's why, there are 21 product lines in wealth management: unlisted stocks, PMSs, AIFs, perpetual bonds, the insurance, so on and so forth. The reason why we do two is not that the service providers or product providers in the category don't want to tie up with ARWL, right? Anybody would want to tie up with us, right, PMS an AIF. Because my client doesn't need it currently, we like to operate as an uncomplicated fashion of LCM. If I can get to my return objective of 12% to 14% without having the 10
th product. I have just noticed another portfolio, which I analyzed of triple -digit crores of a person for 10 years has bought 84 unique products across 14 different product lines, and the IRR for the last 10 years is 10.68%, and the beta is 1.1. So, if I can achieve a better beta and a b

etter return with fewer products, so to answer your pointed question, the business needs diversification will never be the cause of the third product.
My client needs the third product, then the outcome is going to be diversification from your perspective. We do products in a very controlled environment, a laboratory environment, right? That's why there are two products, not that tomorrow I can't. So, if there is evidence that this is going to help me better my risk-adjusted return, that product will come. The third will come. The fourth will come. Even the 10th will


come. But we have done enough research to figure out that I don't need any more at the moment.
So, some day after two years, I might go hammer and tongs on the fourth product more than equity mutual funds maybe as long as

mathematically, it's right. And how do we test mathematics? We use
Monte Carlo simulation. We use Markowitz. We do all the statistics
which is there in those big fat finance books and apply them to manage
these thousands of crores.
Prayesh Jain: Sir, but in the sense that you know your customers, how many of your
customers would be kind of subscribing to the other 20 other 19 products
that you spoke of 21 products earlier, the 19 line of items? They will be
subscribing elsewhere with other kind of wealth managers. And are we
kind of missing out on that AUM?
Feroze Azeez: I would love to miss out on the AUM. That's been the strategy, okay?
When you do what is right to the client, you just have to show him the
logic of why you're not doing something.
Prayesh Jain: Okay.
Feroze Azeez: For everything I don't do, I have a strong logic, non-refutable logic, in
my opinion, mathematically. On perception, of course, it's a refutable
logic. So, clients appreciate the fact that you're telling him why you don't
do something, okay? That way, he is buying real estate. I can become a
builder, right?
So then I show him that I have analyzed close to 2,400 properties. The
IRR of these properties is 8.82% after 11.42 years of holding period. If
you bought nifty, these families, which was 700 families, would be
richer by INR 2,000 crores. Now tell me, sir, why should I tie up with a
builder to provide you an under-construction apartment with this data,
right? So, what I am saying is two people come on the same page if there


is evidence, mathematical evidence of doing something or not doing
something, okay?
So, like the Anand Rathi Global Finance structured product model
portfolio, which started on 1st of February, if somebody would have
invested in that, his money would have been INR 5.5 crores in 10.66
years. But if he invested in NIFTY, it would have been INR 3.3 crores,
which is hard-fact. So, mathematics helps decision-making. And that's
why you see so much consolidation, right? Why is there 15% in other
products? Because there's logic presented to them, and somebody has to
be my client to understand the exact nature because of the lack of time, I am not able to articulate what depth of mathematics
we use.
Prayesh Jain: No, I appreciate that. And just on these MLDs, probably you would have
answered this, but just from a clarity perspective, how much of the AUM
that you have today is -- does Anand Rathi manufactured MLDs or it's
completely outsourced?
Feroze Azeez: Anand Rathi Global Finance is the largest issuer for Anand Rathi Wealth
Limited.
Prayesh Jain: Okay.
Feroze Azeez: Because that's one NBFC which, in our opinion, is the safest NBFC in
the country from an asset standpoint. They have the largest investment
portfolio.
Prayesh Jain: Okay. And what would be the share of this entity in your total AUM
today?
Jugal Mantri: So out of INR 55,057 crores total AUM, about the non-principal
protected structured product has got total allocation of around INR
13,300

crores. And out of that, around 80% - 85% is with Anand Rathi Global Finance, and the rest is with the third parties.


Prayesh Jain: And that's what you mentioned, that incrementally, it will be more
Anand Rathi rather the third party.
Jugal Mantri: We already see around 80% 85% is with Anand Rathi. It will continue
in the same ratio.
Prayesh Jain: Okay. Got it, got it.

Feroze Azeez: People will also around with the regula tion, right? All the other issuers are not going to stop issuance. That's why I said for this quarter. And what you may see as risk is what I see as good night's sleep. I am telling you this.
Prayesh Jain: Got it, got it. Thank you so much and a wish you all the best.
Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.
Abhijeet Sakhare: Good afternoon, everyone. First question is on mutual fund sales. So any broad industry-level observations that you can share in terms of how do you see commission payouts been trending for the past. Let's say, six to 12 months in terms of it's a large, mid-, smaller AMCs, NFOs versus older funds? Any broad sense that you can share will be very helpful.
Feroze Azeez: Yes, sir. Sure. For whatever it's worth, 'I will give you my opinion. I think commissions on the regular side don't have too much scope for compression. That's why the –discussion paper which was issued by
SEBI, was held back more or less. So, from a commission standpoint, of course, NFOs have taken a hit. Anand Rathi Private Wealth Limited never did one NFO. B30 commissions might get restricted again. we don't have any stake there. Smaller schemes get larger commissions. I think economies of scale, the regulator rightly wants that to be passed on to the consumer economies of scale. I think our average model portfolio scheme size is upwards of five-digit crores. So, we have not



used that lever. So, these are the three - four which you rightly pointed out, could have some compression.
As a business, we have had a sense of that because I have not done any of those so far. So, commissions might have a headroom of 10 paisa 12 paisa compression at best. Currently, if I am not wrong, the model portfolio schemes give us post GST about 1.09. I think for Anand Rathi Wealth, the compression is going to be lower because we have not used any of those levers. So, if you have not earned from it, you don't lose it. But from an industry standpoint, a 10 paisa, 12 paisa -13 paisa compression over the next three, four years is possible.
Abhijeet Sakhare: This compression is more of a pass -through, right? Like not really AMC is trying to increase their share of the overall TER. How are you seeing it?
Feroze Azeez: It is basically pass-through, sir, like the GST component. For example, AMCs were passing on their share of fees, GST was being charged to the client. But the distributor's GST, the distributor was paying. So to answer your pointed question, I would see it as a pass-through, and the illustration to exhibit that is like the GST bit.
Abhijeet Sakhare: Understood. Very clear. Second is on structuring of MLDs, just for better understanding's sake, like how does the transaction get executed? Do the investments have to sit on your balance sheet for a few days or weeks before it gets sold to the clients? Or it's like a pure agency transaction? If you could just explain.
Feroze Azeez: The period would be a few days at best, three - four. But yes, you buy and down sell them.
Abhijeet Sakhare: You buy them down sell then. Okay.
Feroze Azeez: And the weighted average TAT of the entire volume would not exceed three to five days.



Abhijeet Sakhare: Understood. Got it. Thanks a lot.
Feroze Azeez: Weighted av

erage TAT, rupee value TAT.
Abhijeet Sakhare: Yes. Got it. And sorry, can I just squeeze in one more? In terms of the transactions on the MLD side, there's no explicit regulation that governs it, right? Like I mean, I understand the accounting sense and how you

make revenues in the overall transaction. But there's no explicit
regulations like what you have on the mutual fund side that guides these
sorts of transactions just from a risk point of view?
Feroze Azeez: No, because this is just a bond, okay? Like a bond trader, this is a bond
buy and sell. So the answer is no. But this is no different than I buying
a bond on my prop book and giving it away. Just that the return is
variable, and a normal bond return is a constant.
Abhijeet Sakhare: Note that. Thank you.
Moderator: Thank you. We have no further questi ons, ladies and gentlemen. I would
now like to hand the conference over to the management for closing
comments. Over to you, sir.
Feroze Azeez: I would like to thank everyone for being a part of this call. We hope we
have tried to answer your questions to our best ability. If you need more
information, please feel free to contact Mr. Vishal Sanghavi, our
Investor Relations Head, or Rajeshji, our CFO, or Strategic Growth
Advisors, our Investor Relations advisers. Have a wonderful week and thank you so much for spending your time with us.
Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes
this conference. Thank you all for joining us. You may now disconnect
your lines.

## Call: Apr 2024

Ref No : 18/2024-25

Dated : January 20 , 2024

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q4 FY2024 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q4 FY2024 earnings conference call dated 15th April , 2024. The transcript is also available on the Company's website at https://anandrathiwealth.in/Investorrelations.php
This is for your information and record.
Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Jaee Sarwankar
Company Secretary and Compliance Officer
M. No. ACS -38080
Enclosed: as above



"Anand Rathi Wealth Limited
Q4 FY '2 4 Earnings Conference Call "
April 15, 2024
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on April 15, 2024 will prevail

MANAGEMENT :

1. MR. RAKESH RAWAL – CHIEF EXECUTIVE OFFICER
2. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
3. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
4. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
5. MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Q4 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen- only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Deputy Chief Executive Officer from Anand Rathi Wealth Limited. Thank you, and over to you, sir.

Feroze Azeez : Thanks, Zico. Good afternoon, everyone, and thank you for joining us on the Earnings Conference Call for the fourth quarter and the full year ending 31st March 2024. I am joined by



our CEO, Mr. Rakesh Rawal; Mr. Jugal Mantri, who is our Group CFO; Mr. Rajesh Bhutara, the CFO, and Mr. Vishal Sanghavi, the Head of Investor Relations.

Amidst a fluctuating global economic environment, the Indian economy has emerged as a pillar of stability and hope. India's GDP growth for FY '24 revised from 7.3% to 7.6%. This growth is expected to attract more HNI client than ultra-HNI client seeking professional wealth management

services. This is also noticeable in the shift towards investments in financial assets and specifically equity -related asset classes like equity mutual funds. With India's high savings rate and this changing asset allocation trend, the wealth management industry is poised for a strong growth ahead.

Our strategy to provide uncomplicated and standardized solution to clients backed by meticulous, data- driven research sets up apart in the wealth management landscape. This is evident in our consolidated assets under management growth of 52% year -on-y ear and which now stands at Rs. 59 ,351 crores as of 31st March 2024.

For the financial year 2024, we are pleased to report a remarkable 35% year -on-year increase in revenue to Rs. 752 crores and 34% surge in profit after tax to Rs. 226 crores surpassing our guidance.

In terms of our net flows during the FY '24, it was a significant 41% year -on-year growth on the net flows, and that stood at Rs. 7,182 crores. Equity mutual fund net flows grew by 47% to Rs. 4,628 crores. Despite one of the small- cap equity mutual fund schemes, which was taken out on the model portfolio from mid- March and the funds were in transit . In spite of that Rs. 4,627 crores which is 47% growth in the equity mutual funds net m obilization year -on-year. In line with our commitment to rewarding shareholders, the Board has recommended a final dividend of Rs. 9 per equity share, total dividends for the FY '24 stood at Rs. 14 per equity share, including interim dividend of Rs. 5 per equity share.

In addition to the dividend, the Board has also approved the proposal to buy back 3.7 lakh equity shares of the company at Rs. 4,450 per share for an aggregate amount not exceeding Rs. 164.65 crores that represents 0.88% of the total paid up equity share capital.

Now turning to the flagship Private Wealth business performance highlights. AUM grew 52% year-on-year to Rs. 57,807 crores. On a net basis, we have added 39 new relationship managers in the last 12 months, bringing our total RM count to 332. Again, for the third consecutive quarter, we have had zero regret RM attrition. Number of active client families increased by 19% y ear-on-year and stood at 9,911.

Our client attrition rate in terms of AUM lost was 1.02% for FY '24 as compared to 1.1% last year, reflecting our client- centric approach and a strong research- backed solution.

Now let me take you all to Digital Wealth and OFA business. Our Digital Wealth business is an extension of our private wealth offering to the mass affluent segment. This segment aims to deliver a comprehensive and scalable wealth management solution through technology, featuring real- time portfolio restructuring, access to high -quality private wealth products, research, simpler customer education, and so on. 

The AUM in the segment increased by 47% year -on-year and stood at Rs. 1,545 crores. Revenues from this segment grew by 64%, reaching Rs. 25 crores.

Now moving to the OFA model. The OFA business is a strategic extension for capturing the wealth management landscape to service retail clients through mutual fund distributor using our technology platform. This is a subscription- led business model where our proprietary technology is used to solve the common pain points for a mutual fund distributor.

As of 31st March 2024, OFA had 5,994 mutual fund distributors associated and had assets under management administration on this platform of Rs. 132,900 plus crores. The total revenue from this segment grew by about 17% and stood at Rs. 7 crores. Before I hand over the call to Mr.

Jugal Mantri, I would like to emphasize that these two promising segments present considerable growth prospect and Anand Rathi Wealth is actually positioned to leverage them in the times

ahead.

Thank you. Over to you, Jugal Sir .

Jugal Mantri: Thank you very much, Feroze bhai. Good afternoon, everyone. Despite the challenges posed by geopolitical tensions, the resilience of our Indian equity capital market has been noteworthy, contributing significantly to wealth generation and the robust growth of the wealth management sector.

Coming to our financial performance for Q4 and FY 2024. First, I will talk about Q4 FY '24 consolidated financial performance. \ Our consolidated revenue for the quarter ended March 31, 2024 stood at Rs. 197 crores compared to Rs. 147 crores in Q4 FY '23, registering a growth of 34% year -on-year. Trail revenue for Q4 FY '24 stood at Rs. 80 crores, which grew by a hefty 65% year -on-year. Our profit after tax for the quarter ended March 2024 stood at Rs. 57 crores, registering a 33% year -on-year growth compared to Rs. 43 crores in Q4 FY '23. Profit after tax margin for Q4 FY '24 stood at 28.8%.

Now speaking about full year 2024 consolidated financial performance. The revenue for full financial year '24 stood at Rs. 752 crores compared to Rs. 559 crores in FY '23, registering a 35% year-on- year growth. For full year ended FY '24 trail revenue stood at Rs. 267 crores, witnessing a strong growth of 40%. PAT for FY '24 registered a 34% year -on-year growth and stood at Rs. 226 crores versus Rs. 169 crores in FY '23. Profit after tax margin for FY '24 stood at 30% plus. Return on equity for FY '24 stood at 40%.

Coming to the Private Wealth vertical for FY '24, our flagship Private Wealth vertical's revenue grew by 34% year -on-year to Rs. 720 crores and profit after tax grew by 32% to Rs. 231 crores.

With this, we will now open the floor for question-and- answer. Thank you very much.

Moderator: Thank you. We will now begin the question -and- answer session. The first question is from the line of Lalit Deo from Equirus Securities. Please go ahead. 

Lalit Deo: Sir, I just have three questions. So firstly, one data related question. So, could you give us the gross primary and secondary issuance in this quarter? And second, like we have seen significant like a material increase in the expenses during the quarter, so what is led to that? And what would be the outlook on the expenses side for the next couple of years? So like while we have guided for a revenue growth of 21% and 24% of earnings growth. So, like what would be the outlook on the expenses? And thirdly, so like we have added like about 39 RMs during the year. Now with the total base of about 330 RMs, like how many RMs would be add and like what are mature in the system? And what are our target plans for the next 2 years on the RM additions?

Feroze Azeez: Lalit sir, too many questions from your side. It's quite intertwined. I will try and not dodge them unintentionally. But yes, see, basically, primary and secondary split, which you wanted. Rs. 5,182 crores of gross sourcing of primary and Rs. 1,474 crores of secondary issuance. That's your first question's answer.

Expense. See I can tell you what we look at internally and what I would request any shareholder to look at. We are an evolving business. We are not a matured business, okay? Expenses in the employee head will change as the maturity changes. What we are very possessive about internally is a 40% PBT margin, which we are very possessive about and we are very possessive about a 30% PAT margin. Last year, same time, there were approximately 135 RMs (actual number was 137) who had finished 5 years in the system. Now if we have 165 - 168 (actual number is 164) of them, that means 30 (actual number is 27) of them in a single year move to a mature category of 5- year plus, right. So whatever be the expense differentials, 40% PBT of the revenue and 30% PAT is

an internal possessive number is one thing, which I wanted to tell you about. And in the minute things, the bigger picture will get lost. This is why I am telling you what goes in our mind. And your last question, I would like to take again because I didn't write it down, Mr. Lalit.

Lalit Deo: Yes, I was saying on the plans of addition of RMs over the next 2 years?

Feroze Azeez: Plans for addition of RMs is going to be driven by external and internal hires. I think a growth of the current nature, we have added about 40 RMs. I think, 40-50 RMs additions per year or more is very, very likely. I don't want to give you a guidance on that because the filter is not how many numbers I want. How many people can carry my proposition effectively to the marketplace without diluting it. That's the limiting factor, right? Otherwise, you have 360 account managers approximately who are being trained. So we may be one of the few wealth management outfits who knows their next 100 RMs, at least 80

out of the next 100 RMs today,
and we are training them today because we don't believe in waking up and saying I need 20.
We have to work on them for 2- 3 years to get the same cultural fit, which is driven by what binds us together is client centricity, not money. That's why there is 9 months of zero attrition, right? Otherwise, anybody would pay twice the salary to pick a RM from ARWL, right? Why don't people leave? Because what binds us together is what we have to do for our clients because that's the person who puts food on our table.


So the limiting factor for us is not how many people can we hire or how much capital I have to hire them. Do I not dilute myself in the aspiration of number. So, to answer your pointed question, it could be anywhere between 40 - 60- 70 for the next couple of years. And the limiting factor will not be capital. It will not be number of people wanting to join us, it will be without diluting that becomes necessary, if not a sufficient condition.
Lalit Deo: And last question on like this, like on the Structure products issuance, so like for the next couple of years, like what kind of an outlook are we looking at it? Like as we remember, like last quarter,
we highlighted of the overall AUM mix, about 60% is now currently coming in the mutual fund.
There is share of structured products are right now at 24%. So, what would be the overall mix of the AUM, which can be looked upon in the next 2 years?
Feroze Azeez: 30%- 35% is structures Products; 50%- 55% in equity mutual funds; 8% - 10% in debt and some portion in others. Others is raw material for our alignment process. So, if today, it is 24%-25% structure products because of the extensive mark-to-market last year on the equity mutual fund side, it should get restored back to 30%. That's our aspiration, okay, and you will see that over a period of next 1- 2 years, depending on what mark-to-market both these assets throw up in the next 1 year - 2 years. Does that answer, sir?
Lalit Deo: Yes, sir.
Feroze Azeez: So, you can do a follow -up if I didn't.
Lalit Deo: Yes, sure.
Moderator: Thank you sir. Next question is from the line of Bhavin Pande from Athena Investments. P lease go ahead.
Bhavin Pande: Congratulations on surpassing the guidance. The first question was on the strategy that was taken out of the model portfolio, so was it sort of valuation, if you could shed some light and also realignment towards the new strategy that would be included for whatever Rs. 800 crores that
could not be included in the inflow?
Feroze Azeez: Sorry, I didn't clearly follow your question. I got a gist. Bhavin sir, if you can probably again articulate it for me so that I don't give you incorrect answer.
Bhavin Pande: Yes. So, Feroze, this small- cap strategy that w

as taken out of the model portfolio in mid of
March and the funds are in transit right now, so what was the reason for taking out the strategy? And where are those funds getting allocated now?
Feroze Azeez: Okay, super. Now I got it so clearly. Thank you so much to repeat yourself. So yes, so what was the reason for removing a small cap fund. Because we went hammer and tongs last financial
year into small -caps because historical performances were bad. So we try and remove the
emotional aspect. Past performance doesn't drive our decision-making, unlike investors do. So as a wealth management outfit, we have gone from one scheme of small cap to three schemes on 1st April 2024, and th at call went reasonably right. That's why our model portfolio's alphas


over Nifty went up to 16- odd percent for the last financial year, so we wanted to take some money off the table.
This was not from fear saying that small cap is overvalued because small cap is a very -very large segment, 250 stocks in the small cap. I n Morgan Stanley's index there are 460 stocks in the small cap. Making a general statement that small cap is overvalued and acting on it may be very -very macro for an index, which has got a stock with 10 P/E ratio and has a stock with 300 P/E ratio .
So, we don't paint all of it in the same brush.
So, it was not emanating from valuations. It was emanating from the fact that you had gone long.
Several wealth management outfits became negative on small cap in the September - October last year, but the liquidity has always been there. And it's been in a country where there is Rs. 800 lakh crores of household savings. Rs. 2.5 lakh crores, which is 0.3%- 0.4% in a small- cap
category is not a very large amount.
And I think we will not be limited by demand for small cap stocks, but the supply of small cap stock s and its free float. So, to come back to your pointed question, why did we remove? Because
we had made money and we wanted to book some profits. Automatically, if you look at where

this money will go, this will depend on each client's specific gap sheet as we call it. If the client has a desire to have 55% in equity mutual funds, 35% in structures products , it will automatically go to those portions where there's a gap on the desired allocation.

So, we generally fix the desired allocation with most of our clients. And then whenever there is liquidity emanating from an exit or from the client it will be plugged into the gap as per the gap sheet so that the top-of-mind products are not sold, but the strategic way of managing money.

So now to answer your pointed question, most clients have a gap in structured products because the proportions of structured products have become lower owing to the mark-to-market increase in the mutual fund side, both Nifty and the alphas we have been able to generate with our 14 schemes model. Does that answer, Bhavin sir?

Bhavin Pande: Perfect. Perfect. So, Feroze, following up on that, would you think it would be safe for us to assume that our blended yield would be much higher in the next 2 years because of the mix of structured products improving?

Feroze Azeez: Blended, see, I would say it is a function of several things. In our opinion, blended yield could go up, but if there is a mark-to-market downwards and then automatically the proportion of structured product get restored to 30%. If there's a market fall which is unlikely. I am speaking about 1% probabilities, 0.5% probabilities also.

So, it will not be right for me to guide a higher yield. Are you with me, sir? Like that 30 became 24 on account of mark-to-market. So, since it has a function so I would not guide a higher yield. We are looking at a long- term yield of 1.3% - 1.4%. That's something which we don't compromise on.

The yield is computed backwards on a structured product from a 5- year product on market value that's how the mutual funds compute. The yield is about 1.17% to 1.2%. Because of the



accounting function you might get 10 bps - 20 bps higher, mutual funds give us 1.1% post GST and we don't expect any shrinkage.

But there could be incidental higher yields and since there is another variable which is not in your control the restoration of 30 can happen if there's a mark-to-market differential is why I would not guide a higher yield, but expecting the yields which I just stated would be a fair thing to do.

Bhavin Pande: Thank so much and good luck ahead for 2025.

Feroze Azeez: Thank you, sir, for your kind questions and your comments.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha capital. Please go ahead.

Pallavi Deshpande: Sir, I just wanted to understand the others portion which was higher in December. So, you guided that it takes time to deploy the money. So just wondering if it continues to be high, so just wanted some clarity on the same.

Feroze Azeez: Great. So, it continues to be high because the influx is also reasonable. And when you are transferring a PMS to yourself and that you are supposed to be aligning to a mutual fund the mark -to-market of a PMS could be similar to a mutual fund. Are you with me, Pallavi madam?

Pallavi Deshpande: Yes, yes.

Feroze Azeez: Right. So that's your raw material, okay? If the raw material is more, I am happy. If the proportion would have increased with a decrease in AUM, I would be worried. You have to see it in conjunction, right? If my AUM guidance was Rs. 55,000 crores revised from Rs. 47,000 crores to Rs. 55,0 00 crores and then ended at Rs. 59,000 crores.

If it was the other way around, if I faltered on my AUM guidance and other proportions went up that as a combo is a more speaking variable. It speaks more. So, since the AUMs have been exceeded AUM guidance and we have ended at about Rs. 59,000 crores as against Rs. 55,000 crores as lately as December. So, I would say that it's something which internally we feel happy that we have more in others currently which means that there's huge potential for the future. Of course, internally we will be happy . If shareholders might want to take it with a pinch of salt, but yes, that's their choice.

Pallavi Deshpande: Since you mentioned about the RM not being the limiting factor to dilute performance. I mean, I understood that correctly, right?

Feroze Azeez: Pallavi ma'am, you're muffled so I could barely hear you. If you can please repeat yourself.

Pallavi Deshpande: Right. Yes, I will just repeat these are two questions in one. So, what could be our target for new family additions this year? And like I think you mentioned on the RM side, that is not the target you said that it's not how many people can carry forward your position and not diluting itself, on that side...



Moderator: Ma'am, sorry to interrupt you. May I request you to use your handset, ma'am. Your audio is not very clear.

Pallavi Deshpande: Yes, I will just make it short. What would be the family addition target for this year?
Feroze Azeez: On these, I will rather call these not as targets, as aspiration, internal aspirations on both of those questions which you had. W e have this longstanding aspiration we have not met of having 1 RM per client -- per RM per month (1 client per RM per Month). That makes it 332 (per month) till we get to full capacity.
And RMs capacity is 50 clients per RM. Of course, some of them are above that. So, exc

luding them, if I look at it, our internal aspiration, aspiration is also a stronger word, dream. Okay, let me put it a milder word. Our dream is 1 client per RM per month till he gets to his 50 or she gets to her 50. Now looking at the next year the kind of client love we have seen and affection we are seeing and the reference avalanche which may happen and there are some green shoots of it for the next year our internal target, not a guidance again will be 200 per month.
Pallavi Deshpande: Thank you. That's all from my side.
Feroze Azeez: And on the number of RM additions, of course, w e are into the new financial year. So there again not a guidance, only an aspiration, I think, we should get closer to 380-390.
Pallavi Deshpande: And just continuing that on the RM side the more than 12 less than 5 years, that shift that happens, does that impact the compensation?
Feroze Azeez: See, it is a function of time. If you write the equation, it's a function of time that most of our people, i f there is no leaking bucket, i f your clients are not leaking, why are the clients not leaking because RMs are not leaking. Why are RMs not leaking - because what binds them together is not selfish motive. So, coming to your pointed question how many RMs will we have above 5 years? It's just a function of time because you've had 9 months of zero regret attrition.
And I think that should continue. So, over a period of time, the number of people between 3 years and 5 years is how many ? I think you will see, like last year we saw 138 (actual 137) going to 168 (actual 164) above 5 years. After 5 years the RM has built a book which is intergenerational from his perspective not even in his lifetime, right? So, since itis a function of time. So, you have 36 people who are above 3 years, below 5 years. In the next 1.5 years, we should become 5- year plus. So automatically that should take it to -- because the average time these 36 would have spent if they don't leave Anand Rathi Wealth Limited then they automatically as a function of time will take this number to 200 in 1 year, 1.5 years depending on the average time they spent. Does that answer Pallavi ma'am?
Pallavi Deshpande: Yes.
Moderator: Thank you. The next question is from the line of Ritika Dua from Bandhan MF. Please go ahead.
Ritika Dua: Thank you sir and congratulations on a good set of results. So, two questions which have been asked already . I just wanted some follow -ups on the same. Sir, first is on the structure product bit. So, you said that it could go back to 30. I am not holding that as a guidance. I am just saying ANANDRATHI



maybe directionally it will go up from the current mix. So are we building new capacity for this or we think that maybe in a time where the markets are doing very well, maybe mutual funds take over a little bit more versus structure product and maybe in the next two years, obviously,
I mean, markets do stabilize and that's how the structure product come back into flavor. So just wanted to understand the reason for the 30%- 35% improvement. What are the vectors for the same? And the second question is that, obviously, you have given a very good guidance for FY '25, but do you think that it is a little conservative because in the previous question you said that the number of RMs could actually reach 380. So that's about a 14% growth. And then obviously, you would have your -- some of your older RMs continuing to actually move higher up. Last year -- this year also you had some 20% actually growth in your RMs, which are more than 5 years which actually yield to a very high productivity.
So, if you could just kindly delve a little more into your guidance of 24% PAT growth and a 21% AUM growth. So, these are the two questions. Thank you.
Feroze Azeez: Is

that Ritika, you said, your name madam, so that I can address you with this name?
Moderator: Yes, sir. Ritika Dua.
Feroze Azeez: Ritika Dua. Okay. So, your first question, which was on flavor, whether it's structure products or mutual funds. S ee, we don't go by flavor trends because if you are dealing with 9,911 families, you are expected to meet them 12 times a year. You wil l dictate the trend in this subset. If I was a retail business of 10 lakh people, I will go by trends. Here, you will influence their thought process. That is what the relationship business is all about. So, I am not going to go by flavor.
In fact, we find the most important cognitive bias, which is called recency bias. A client will be tempted to buy what performed very well last one year. And that's exactly my job role to counter that and not let him get carried away with rear-view mirror analysis, right? Of course, the propensity of a client to buy a mutual fund today will be higher. Last year, the same client was telling me, why structured product is not 40%? Same client is saying, okay, structure product we will do 30%. That's called the recency bias. That's the cognitive bias we fight by showing numbers. That's where the gap

sheet, which I just alluded to in the previous question, comes into picture. So you don't go by what is your top of mind flavor. You go by where is the gap as per
your strategic decision, which is not swayed by what happened in the last 3- 4- 5 months or even 1 year or 2 years. So recency bias is what we fight. So we will not go by flavor, we will go by gaps. If a client disagrees, then we counsel it. That's where that 3- 4 years is needed.
New clients are not seen as revenue machines. There is something you have to work on. You have to build that relationship for 3- 4 years with data, data and data to eliminate the heart aspect as much as possible and bring more mathematics, which is the mind aspect of wealth management business. So coming to the second part, again, when RMs again get added, we are not in a hurry of how much revenue they will bring. Again, they are not my revenue machine. They are people. Again, you build a relationship with an RM, build his capability, her capability, bring the same social fabric. It takes years to build that. But the third part will be, we always believe and give you a conservative guidance, that's going to be our DNA for sure. Does it mean that I will beat the guidance is what I am saying? No, because God also has a lot to do in the ANANDRATHI



next 12 months. But 280 in our belief currently is something which we can put on the table and deep down, we know we are not exaggerating.
Ritika Dua: And sir, just on the first question that I had, if you could just elaborate a little bit more. So I understand that obviously having mature and understood that our process on suggesting a particular product is obviously very scientific. So just wanted to understand a little bit more on
the structure product. So when you say rather if not guide that the share of Structure products would improve, what I was trying to check is that do you look that the capacities in this particular segment will move up. That's how it is a 30%-35% kind of a mix from the current. I f I am not on 25%? Or is it that some of the investors do not have structure products, which if they look to add to their portfolio, that's how the mix would move up? Or thirdly, does it naturally happen that, if at all, we assume that markets are not going to be the way they have been buoyant in the last 1 year, naturally, the share of structure products move up. So I just wanted to understand that when you say 30%- 35%, what are the points that you look to highlight, if assume for us that it should move 30%- 35% because this will obviously

take your yields also higher. So that's the
last thing. Thank you.
Feroze Azeez: So yes, madam, so it's not market driven like it may not be buoyant. So the 30% number, which I just said as not a guidance. A s a number which was in my heart, it stems from the fact that we do a lot of realignment yearly. Or every 15 months, our model portfolio also goes through some rejig depending on if we had cash in our bank account, will I buy the same 13 schemes. The answer may come no. So I look at doing a full zero -based exercise of what I want in mutual
fund. When you actually do that exercise, if your proportions are not as per the decided allocation. L et's assume I am a client, which I am, of course, a happy one. If my proportion
decided an equity mutual fund was 55% and 35% in structure products and 10% hypothetically, or 65% in mutual funds and 35% in structured products with zero debt. I f this was my proportion on the beginning of the year, at the end of the year, because the 65% grew at 40%- 45% last year, the mark-to-market brings me to 72% in equity mutual funds and 28% in structured. From May - June, if my equity mutual funds are being re- evaluated, if there is one fund which I exit, I would not buy back equity mutual funds, the Rs. 7 may get reallocated to structure product funds. Are you with me? So we do a one full -fledged exercise every 15 months of equity mutual. In that, if I redeem 3 funds, I may not buy 3 funds back. I will bring it back to 65%- 35%. And all clients will do it at different points in time. So that's the reason whereby I said, 30%. And this will be the large reason of realignment, which is a yearly exercise, which we do.
Ritika Dua: Very useful, sir. Thank you so much. I am done.
Moderator: Thank you. The next question is from the line of Yash Gandhi from Stallion. Please go ahead.
Yash Gandhi: My questions are answered. Thank you.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Sir, just a question on your guidance. So if I look at your net margin that you are disclosing that is also similar to what you have reported in FY'24. And even if I look at your realizations of the ANANDRATHI



yield, both that also looks flattish. Now given that you have given a guidance that structure products could go up or not a guidance or indicative trend. I would have assumed that these would have gone up. And secondly, given the scale advantage that the business has, why aren't your net margins kind of improving next year?
Feroze Azeez: Sir, net margins are not improving next year because this is a guidance, point one. Point two, the

business has to be understood a little more macro than the real small numbers. That's how I look at it, Rakesh sir looks at it, Jugal sir looks at it, so I am just telling. The business is all about making 1.2 %-1.3% yield on a long -term basis, could be a 5 bps- 10 bps here or there . Don't hold me to that. And what is the net flow I am adding? You have to project what is the revenue, what will be my AUM in 2029 March? That's my internal target. March '29, what will be my AUM? On account of mark-to-market in the clients' portfolios, on account of how much new money I bring per month, on account of how much growth in net mobilization will I have, you have to first project what will be my expected AUM in 2029 March? That's what I do. It is your choice whether you do it or not. Then you multiply that with 1.2- 1.3 1.4 or 1.1 depending on your assumptions on what is the revenue I will have. 40% of that, which should be PBT and 30% should be my PAT. This is how we look at our business. Okay. And in that interim formative years, our business is not even a teen . It is in its formative year. If I have to compare with hu

man life, it is a 10- year-old child, not an 80-year -old child. So, there will be numbers which will take us away from the macro picture. I am just trying to bring you to the model, which I look at as a professional being a part of this company for the last 12 years. Now coming to how we look at it is, we are very possessive about consistency. We don't like to have very great numbers some days for our clients, we like to bring in consistency because it's not about possibilities in life, it's about probabilities. So, you would see that we are so possessive about our consistency that we would be one of the few companies in the country who would have calculated the mean result, the median result, the standard deviation of our results. And the worst year-on- year growth we have given was March 2023, 23.6% (actual is 23.4%) growth, and the mean is 33.8% (actual is 33.6%), don't hold me to second decimal or first decimal, median is 34% (actual is 34.2%). And standard deviation of our results, leaving the COVID ones, which had a base effect, so for fairness sake, I am leaving those. Last 8 results, standard deviation of our yearly growth is 4.8%.

That is how numerical we want to be with our shareholders. So I am not going to project a yield increase on variables, which are out of our control, then under commit over deliver will be very difficult to hold to.

Prayesh Jain: So if I just, while you really spoke about a long -term target or long -term view of the company, But from, say, if I look at it from an FY '25 -FY '26 perspective, now is it fair to assume that the costs you would be incurring would be in line with your revenue growth? And I would like to understand as to what elements of cost that are getting added? What are the segments you are investing in for you to kind of extrapolate the growth in expenses to be in line with the growth in revenues? That will be one bit. And second bit, is it in spite of the rising mix of structure products, we will still see a flattish yield. Is that what you're guiding for? That is a fair assumption, right?

Feroze Azeez: No, I am not guiding for. I know what is the word you're looking for, operating leverage. We didn't want to use this word because we like to have it unfold because we have given you a ANANDRATHI



guidance and we have told you that this is under commit over deliver. I don't want to promise an operating leverage because we are very possessive about on what we guide about. That's why I am not speaking of operating leverage. Do I deep down believe there is some operating leverage? Yes, it is. Now that you're putting me in a corner to answer that, which I was conveniently not wanting to comment because that's what keeps us up. If we overcommit, it disturbs us as professionals. That is why you don't want a new variable which you are going to be asked on. We have already given you our aspiration of trail to upfront 50-50. Now that is something, which runs in our mind and in our actions on a daily basis. That's where you see trail has come up from 35% to 37%. When I already have an extra variable, which I have spoken about, not guided, but we like to deliver what we speak. So that's why I don't want to comment on operational efficiency aspect . And for an external party, upfront income could be something, which is not predictable in inverted commas. For us internally, it's as predictable as trail or at least 80% as predictable as trail because money get reinvested after -tax money , because I know I have met clients. I am an RM myself. I know what maturities will come and will it get reinvested on the basis of the behaviour of clients. And I meet three clients a day. So I know that upfront revenue for me is predictable. Of course, some external party will take it as a pinch of salt sa

ying that it is not predictable, right? So we believe it's predictable, upfront revenues. And we believe and we don't expect you to do.

Prayesh Jain: And lastly, on your dividend payout, what are the thoughts in terms of overall future? How should we look at it? Should this level of payout be maintained? Or is there any scope to increase it further? How do we see this?

Feroze Azeez: Our dividend policy stays 30% to 50%. I think we will stay in that range.

Prayesh Jain: Got it. Thank you so much and wish you all the best.
Feroze Azeez: And I actually, sorry, by mistake dodged one of the questions. Rakesh sir beautifully answer's that and that's where he is given -- Rakesh sir.
Rakesh Rawal: Hello?
Feroze Azeez: Hello, sir. Sir, where are our areas of reinvestment you generally give us a lot of guidance there.
So actually, there was a question saying that -- which are the areas of reinvesting money and not
worrying about operational efficiency today.
Rakesh Rawal: Yes. you see like Feroze has mentioned that we are a strong growth company and with a 20%-25% compounding, the size of the company over the next few years, five years will become very large. And therefore, we have to make sure that we build strong pillars, which can hold this large
organization together. So therefore, for example, marketing. For example, the whole
introduction of the platinum segmentation, which is Rs. 50 crores plus kind of plan, yes? So,
several of these areas are there where we have to invest money. What we are trying to do is to
maintain that 40% margin and whatever operating leverage we get, we reinvest into the business
in some of these verticals. We will strengthen our HR far more than what it is today. Despite
having zero attrition, does our HR needs strengthening? Yes, it does. And we are in the process
of doing that. So internally, there are several areas that we need to strengthen, so that we can 

have sustainable growth. So that's why, to the market, we are saying, "Hey, don't hav e an
expectation, more than 40%".
Prayesh Jain: Got that. Thank you. That's helpful. Wish you all the best.
Feroze Azeez: Thank you, sir.
Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.
Sunil Shah: Thanks for the opportunity. Congratulations Feroze and the entire team at Anand Rathi for this
super performance. Yes, Feroze, this is about the 2029, five years down the line and you just
stated the simplest way to look at it is -- I am audible, I hope.
Feroze Azeez: Yes, Sunil sir.
Sunil Shah: Yes. Okay. So Feroze, you just stated the best way to look at it five years down the line would
be that we are having a growth of roughly 33% at a mean level. Am I getting that number correct
in terms of the AUM growt h?
Feroze Azeez: No, no. Yes, sir, last 10 years could be that. What I meant when I spoke those 33% in the context
of last nine (actual eight) results, our mean annual growth is 33% and the median annual growth is 34%. Because we like to have consistency for a shareholder as well, just like a client. That's
the context in which I said. It was not a forward -looking statement. It was actually a backward-
looking statements of the last -- we have been -- we got listed in December '21. So I think it's
our 11th result (actual 12
th).
Sunil Shah: Yes. Okay. So if I think our -- as you stated, you have been there in the organization for like 12
years and I believe a lot of people would also be amongst your RMs would be there for a good period of time. Now maybe all that you have invested in the organization to m ake it very -very
robust and evolve over time, so the next five -year journey could be even better in that sense. So
I am just trying to say that if the market is compounding like

say 15% and if you are increasing
your manpower strength by similar number then still sustaining the 30% growth rate will
probably not be a challenge given that the mean growth has been at that rate? That's number one.
Second is, if I extrapolate this Rs. 59,000 crores of AUM and look at in 2029, my AUM number
comes to something around Rs. 2, 50,000 crores. I am just looking at a directional thought
process, which I have. Is my thinking significantly in a wrong direction or if you could help me to understand where I can still improve on my thought process.
Feroze Azeez: No sir, I thin k you are very close to our thought process. Not numerically, but since we have this
principle of count that asset, which is yielding, okay? So it becomes very easy for our
shareholders. See, I worked for a previous company where anything and everything can be
counted as AUM. So how does a shareholder decide whether this will give me 1.3% yield. In
Anand Rathi, we are a gatekeeper. We bring those clients and those assets, which marry our
thought process. If somebody like, if my cousin said, I have sold my business. I am giving you
Rs. 800 crores of arbitrage fund. I would say, "I don't want this brother". So, we are a gatekeeper
of bringing long- term assets. So the thought process is “jo assets hain uspe aap yield kamayege.
Jaha aapka haq nahin banta waha nahin kamayege and jaha haq banta hain waha nahin chodege”. 

This is our mantra with our clients also, right? We don't give discount on a mutual fund to lure somebody to start. So, coming back, yes, you should project an AUM. I think you should project an AUM conservatively. So, the number, which you had in mind was larger than my number because it's always good because your good times don't need preparation, right? So you should always have a little conservative approach on that and then multiplying it with revenue, then with PAT -- PBT and PAT. I think that's all. And like you rightly said, I have finished 12 years, but I am the most junior most representative on this call. Rakesh sir has finished 17 years on 1st April. 2007 is when he joined. He's one of the longest standing CEOs and change in management was the reason why this is my third job, unfortunately. It could have been my first job. I left the company because the promoters changed, ABN AMRO was sold. So point I am trying to make is, I a m still the junior most. Jugalji has spent 30 years in this brand, and I have spent 12. Of course, Vishalji makes me look pretty by having only spent five years because he is a young man.

Sunil Shah: More importantly, I think the way in which the culture is getting built up in terms of the new RMs, which will then carry on the legacy for even a longer period of time. So that's really a great thing to do. I think coming back to the number bit, which I was talking about, so once the AUM number is arrived at five years down the line, the simplest way to do it is 1.2% of the AUM as my top line revenue estimates and arrive at a 30% bottom line estimate of your top line, which I arrive at, that could be the way to go about, right?

Feroze Azeez: You're almost cornering me. Similar, I would say.

Sunil Shah: Whatever the AUM number is, whether it's Rs. 2, 00,000 crores or Rs. 250,000 crores, for me to just have some number in my mind, the best way to look at it is 1.2% even if it's not 1.3% as the current number is, 1. 2% can -- will be my top line and 30% of that will be my bottom line. That's directionally the right way to think?

Feroze Azeez: Yes. You are in the right direction, sir. And that's what -- how I would look at it as well, if I were supposed to be looking at it. And when Rakesh sir has said and since he is the head of the pack, and we are foot soldiers. When he says 20%- 25% growth fo

r decades. Now you have to see, he would not say it if he doesn't mean it. And I think after 23 years in the industry after hav ing worked in FMCG, he understands the industry enough. And when he says 20%- 25% long-term guidance compounded, will there be years more than that? There will be years more than that. And that's how the last 2 years have panned out. And you are building a business which is market agnostic, unlike most people's belief. They think financial services will run on the momentum of the market. What all happened in the last 11 quarters? The war in Ukraine nifty went to 15,200, HDFC merger nifty went to 18,000, then there was an inflation scare in June and nifty went to 15,200. In all this, how did the quarterly results come out reasonably consistent? That's the point to ponder upon for analysts, which they will just paint everything in the same brush.

Financial services market is unpredictable. One guy said this to me. I said 2 years, please see market has touched 18,000 - 4 times and 15,000 4 times. But look at the quarterly result, last quarter was not the great market sentiment. After December, things changed, but my net mobilization was good. So we are trying to build a market agnostic logical finance company and sales is an outcome. This is what is our internal aspiration.



Sunil Shah: So market will do what it has to do, which is unfortunately or fortunately not in either one of us hands. The important thing would be to build a team of RMs, which will be completely in your hands and create that culture. So we are looking at growing our RM base by at least 10%. 10% kind of a thing on a sustainable basis year -on-year for the next 5 years. Because 15% is what market will give me, for my 25% growth. The 10% RM push has to be there. So that's a conservative thing to look at 10% growth in RM base year-on- year for the next 5 years?

Feroze Azeez: There's -- actually how we look at it is, there are 4 mutually exclusive variables of growth. We said this in the first result. Of course, there is now some degree of credibility. Rakesh sir, you want to speak of those 4 legs of growth

Rakesh Rawal: Well, so as Feroze mentioned that the first leg of growth is the portfolio is giving return, which is market dependent, but there are other factors as well as alpha and so on and so forth. So that we expect long term, 5 years, 12%-13%- 14% kind of growth coming from that variable. Then we have our existing clients who are not fully with us. There are several clients, where part of the book is with us and, therefore, by showing them performance and with building the relationship, we have been drawing their assets from other wherever they are kept, including real estate into financial assets as well as from other advisers through a series of processes of audit and so on and so forth. That will continue. That will add to my growth, which is existing client, money is outside. Then we have new clients coming in with their starting with whatever they are starting. That will be a third vertical of growth. And the fourth vertical of growth is adding new RMs to the kitty. So as you said in the beginning, there is market growth plus RMs bringing in money. But there are 2 additional factors which also bring in business and that will add to. So when you add all this, is it likely to be more than 20%-25%. Well, we think it is likely to be. Is it something which is an opportunity for 1 year or 2 years? No, I believe there's an opportunity for several multiple

years. And that's why we are saying that there is a very high
probability of this business growing at 20%- 25% for a very long period of time. That's the way at least we look at it.
Sunil Shah: Thank s, sir. Thanks for this wonderful explanation. Thanks, Feroze. Thanks th

e entire team.
Please continue the great work. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question of the question-and-ans wer session. I would now like to hand the conference over to the management for closing comments.
Feroze Azeez: I would like to thank everyone for being a part of this call. We hope we have tried to answer your questions. If you need more information, please feel free to contact Vishal Sanghavi, our Investor Relations Head, or Rajesh Bhutara ji, our CFO. Thank you so much for your time and patience. Thank you, Rakesh sir, Jugal ji, Rajesh sir. Thank you.
Rakesh Rawal: Thank you, everyone. Thank you, Feroze. Thank you, Jugal ji.
Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. ANANDRATHI
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# Call: Jul 2024

Ref No : 52/2024-25

Dated : July 18, 2024

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
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Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q1 FY2025 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q1 FY2025 earnings conference call dated 12th July, 2024. The transcript is also available on the Company's website at https://anandrathiwealth.in/Investor- relations.php
This is for your information and record.
Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Jaee Sarwankar
Company Secretary and Compliance Officer
M. No. ACS -38080
Enclosed: as above



"Anand Rathi Wealth Limited
Q1 FY '25 Earnings Conference Call"
July 12, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 12, 2024 will prevail

MANAGEMENT :
1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
2. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
3. MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Anand Rathi Wealth Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Feroze Azeez, Deputy CEO, Anand Rathi. Thank you, and over to you, sir.
Feroze Azeez : Good afternoon. I thank you for joining us for the Earnings Call for the first quarter of the Financial Year 2025. I am joined by our CFO, Mr. Rajesh Bhutara; and Head, Investor Relations, Mr. Vishal Sanghavi.
Our consolidated total revenues for Q1 FY '25 stood at about Rs 245 crores compared to Rs 178 crores Q1 FY '24, registered a growth of 38%. Trail revenues was Rs 89 crores and grew by about 70% year -on-year. Profit after tax was Rs 73 crores, registering a growth again of 38% compared to Rs 53 crores same quarter last year.
The PAT margin was 29.9% as compared to 29.8% for Q1 FY '24. The annualized return on equity for Q1 FY '25 stands at 42.8%. Total AUM grew by about 59% year -on-year to Rs 69,018 crores as on 30th June 2024, as compared to Rs 42,413 crores as on June 30, 2023.
The total net inflows during the Q1 FY25 grew by 173% year -on-year to Rs 3,364 crores for the quarter. Net inflows in equity mutual funds jumped 462% to Rs 2,091 crores, and all our assets are under regular plan, whereas the industry is witnessing increased share of direct plan. This is a testimony for the deep trust and confiden

ce our clients place in our value proposition.
Our systematic and data- driven approach, along with the realistic understanding of client needs and risks has been instrumental in achieving these numbers. Number of active client families increased by 19% year -on-year and crossed the milestone of the 5 digits, 10,000 client families.
We have crossed that number. Our client attrition rate in terms of AUM lost was 0.1% for Q1 FY '25 as compared to 0.2% last year, reflecting our client- centric approach and a strong research -backed solution.
On a net basis, we have added 52 relationship managers in the last 12 months, bringing our total count to 360. We have successfully maintained our zero attrition of relationship managers for the straight fourth quarter, which is significantly because of the culture created in the organization and the transparency between the company and its constituents.
And you would also note that in these 4 quarters, zero regret attrition signifies one of the first few times in the financial services industry , a company of this size of relationship managers who have reported zero regret attrition for 12 successive months.
I will hand this over to Vishalji now, who is our Investor Relationships Head so that I can break the monotony. And Vishalji, can you step in and take forward. 

Vishal Sanghavi: Thank you, Feroze bhai. Good afternoon, everyone. As a part of our endeavour to reward our shareholders, we successfully concluded the buyback program of Rs 164.65 crores, which is excluding any charges and taxes.
About Digital Wealth business, which is a B2B2C business, registered AUM growth of 48% year-on-year to Rs 1,727 crores and revenue of Rs 7 crores, a growth of 13% year -on-year.
OFA business, which is SaaS platform has 6,064 mutual fund distributors as subscribers at the end of the Q1 FY '25. OFA business reported revenue of Rs 1.84 crores, which is a growth of 18% year -on-year.
Indian economy is on a strong footprint with the GDP expected to grow at 7.2% for current year, making it the fastest -growing market globally. In this backdrop, Indian markets have witnessed new all- time highs supported by strong performance of Indian companies. With this, we anticipate a noticeable increase in the number of high -net-worth individuals in the country and thus creating a huge growth potential for wealth business. With multiple growth drivers in place, we are confident that our company has a potential to grow by 20% to 25% in the long term.
Now I request operator to start with the Q&A session.
Moderator: Thank you very much. We will now begin the question -and- answer session. The first question

is from the line of Bhavin Pande from Athena Investments. Please go ahead.
Bhavin Pande : Congratulations on a great set of numbers. It's such incredible 6 - 7 quarters of this amount of growth is amazing. Congrats on that. And first question is on account of AUM mix, we could see that the debt MF mix has come to 7% if compared to 11% last year. Could we shed some light on that?
Feroze Azeez : Sure. Thank you, Bhavin sir, for your positive comment on our results. And I will take the opportunity to highlight that this is our 11
th result. And you would see that all our results have been about 23% - 24% PAT growth year-on- year and the worst one was 24%. And the mean PAT growth has been 33%, and the median PAT growth of these 11 quarters has been 34%.
So thank you so much to trust us as shareholders. Now coming to your pointed question. Why is the debt proportion lower? There are two reasons for it. Because we only try and get that money in, which is intergenerational wealth. More often than not, HNIs have intergenerational wealth. We do a very strong gatekeeping in terms of what assets we onboard to manage. So you would see very small debt proportions because I

am looking at in 10, 15, 20, 30 years kind of money .
If there's somebody who has short- term moneys, we are rippled as a wealth manager from it.
Why you would see Anand Rathi Wealth having smaller proportions in debt because in 10-year money, debt has very low relevance. Second point is the proportions -- the differentials, the relative change between 11% and 7% is reasonably attributed towards the fact that there is mark-to-market mo re in equity and structured products. ANANDRATHI


And we have been reasonably positive on equity markets from August 2020, and we were the only few wealth managers would have been positive for long- term money, still sensitizing clients of 10 - 12% corrections twice a year, which is the norm of the equity market.
So mark-to-market differentials is one reason why structured products have come down to 24% and debt mutual funds has come down to 7% from 11%. I hope that answers. And we are not very bullish on debt. Even if interest rates going down, the long end of the yield curve is not elevated. So , we have the flat yield curve of Indian context is reasonably sustainable. And we don't see that debt will make too much capital appreciation, either, even if repo rates were to be brought down because the long end of the yield curve is still at 7%, spread between 10-year G - Sec and the repo rate is just about 0.5%.
So on the contrary to the Street's belief that there is a lot of capital gain to be made in debt, but we think that people have not lost money, is why they don't expect to make on the debt side even if they go long end of the yield curve. Does it answer, sir?
Bhavin Pande: Yes. Perfect. It was pretty much concise. Secondly, Feroze, we could see AUM and clients per RM increasing. We have added 28 RMs in this quarter, and I think 52 on a Y-o- Y basis. But in this wealth business, it is specifically known that turnaround time and sort of gestation period for RMs is high and your opex goes up initially. So what do you think lead to this sort of productivity gains from per RMs basis?
Feroze Azeez : Bhavin sir, there is a lot of factors. We think a little dramatically different when it comes to number of RM counts, productivity, all that we have had rights around, but a different thought process. So one is productivity increase is on account of we don't lose RMs, right? So the number of RMs who finished 5 years increases.
So the average tenure of my RM group or my colleagues goes up. You would not see – It is seldom found that 4 quarters, no RM attrition. RM is what everybody bids for. My competitors who bid for my RMs, would want to give them twice the salary, but they won't leave. So productivity increase only happens if you don't have a leaking bucket at a client side or an RM side. So that's one thing which is the snowball effect.
Of course, initially, you don't see that productivity increase. As with times, the lower attrition or nil attrition adds up significantly in a hockey stick kind of a recovery in terms of productivity, right? That's point one. Point two, what happens is when you're a listed company, the credibility in the client's mind itself is higher, right? So there is a flywheel effect. If you are listed, you get business. If you get business, your company does well. So the flywheel effect in a business of trust is the second. As now you ha ve been listed for 2.5 years as a company. For clients, a prospect you meet, it is relatively simpler because the brand building happens because of the listing status and vice versa. So that is second. So you are seeing that effect kick in.
Third is that we are using mathematics significantly more over the last three years to convince somebody. We are finding so many portfolios with different complex products, but the IRRs at 10%, 11% for the last 15 years. It is surprising the extent of complexity with

lower IRR. So if you mathematically establish that you are operating at significantly more complexity to get an ANANDRATHI


11% IRR, I n the industry, you will find hundreds of portfolios, if not thousands and lakhs, where you would see complex products.
But if you take the transaction-wise IRR on an Excel sheet, you would see them sub 10 or 11 or 12%. So people are expecting uncomplicated lot more when you use mathematics. So that is why our net flows have gone up because mathematics most people can't deny.
And on English, people can debate till the cows come home, but mathematics has more pointed solutions. So the mix and transmission using mathematics is something which we learned about 2.5 years back, and that is actually adding up.
Bhavin Pande: Sure. Wonderful, Feroze. And just one last question is you mentioned mathematics and all the metrics we have. I think a few con -calls back, we had mentioned that for the structured product to do well, you would require higher levels of interest rates and certain levels of vol atility. And my apologies if I am incorrect in the technical, so if you could just shed some light on that?
Feroze Azeez: Certainly I am so impressed that you remember this. I am so happy and thank you that you wanting to understand my business trait there, which is great. So structured product requires high interest rates, at least the structured products we are currently design. You would see that we don't innovate every quarter.
So you have got Rs 3,360 crores without launching any NFO, without selling anything new, same mundane conversation gets you Rs 3,300 crores, then you have a business at autopilot. So for structured products of the current design, which we have been doing for the last 10 - 12 years require higher interest rates. Higher interest rates by which I mean not those double-digit interest rates but sister company, Anand Rathi Global Finance, has one of the lowest borrowing rates, but you need 7 - 8% kind of interest rates, which I think is sustainable.
Like you rightly pointed out, you need a certain degree of volatility. So the implied volatility of NIFTY in fact, has shot up marginally, especially because of the election period. But I think realizing a volatility of 16, 17 on a daily standard deviation is another mandate.
So if both these ingredients are not there in the next 10 years, 5 years, then you design the structure product exactly the opposite. So designing of structured products is like we simulate on different economic variables. What will be the product I will launch is already pre-decided. If 10 years later, if interest rates are at 4% and the vol realized is 10%, I would be buying calls in the product rather than selling puts to express the bullishness.
So to answer your pointed question, these are the absolute two ingredients needed for the current design of the two products, which we primarily do for the last 10 years and done 1,500 times each, both of these. If things were to change and if I get exactly opposite economic variables, like lower vols on NIFTY and lower interest rates, then you can actually become a buyer of the call because your forward rates will be lower and your vol atility will be lower, so calls will become inexpensive. So the product will have a call spread as a design. Sorry, it gets a little technical. But yes, I am sure you have picked it up the last call's content as well, sir. ANANDRATHI


Bhavin Pande: Wonderful. Great, Feroze. Thank you so much for great concise answers and all the best for times ahead.
Feroze Azeez: Thanks for your time and your confidence in us.
Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: Yeah, hi. Good afternoon sir,

and congratulations on a good set of numbers. So sir, like firstly, just a data keeping question. Like during the quarter, like what was the primary structured product issuance and the secondary issuances also?
Feroze Azeez: Sure, I can give you those numbers, but I will have to rely on my colleagues, Rajesh sir and Vishal. Can you give the precise number, Vishal bhai?
Vishal Sanghavi: Yeah. Hi, Lalit. For the Q1 FY'25, primary gross issuances was Rs 1,735 crores.
Lalit Deo: And secondary issuances?
Vishal Sanghavi: Secondar y was near Rs 400 crores.
Lalit Deo: Okay. And like, sir, in the last quarter, we mentioned that we will be doing this portfolio allocation / reallocation of the clients where we would want to change the AUM mix from like 60% currently, let's say, to about 50 - 55%. But now again, with these strong markets currently, our overall AUM mix has been again tilting towards the mutual fund. So how are we looking ahead for the next full year, sir, in

terms of the AUM mix?
Feroze Azeez: Yes. as you rightly identifie d, and I am glad you again remember the fact that I told that we will reallocate assets. And every year, we generally bring our new model portfolio of mutual funds, which had some changes, which is called zero- based bottom up. I f I had cash in my bank amount so mutual fund allocations have some minor changes.
During the process of the minor change, we will also do the change between the asset allocation between structured products and equity mutual funds. So what can you expect? You can expect the movement of equity mutual funds to structured products over the next nine months. It is going to be one of the key areas of focus because it is always good to strategically reallocate between a plan A and a plan B, which is how we position both these products against each other because the standard deviation of a structured product is significantly lower than equity mutual funds.
So to answer your pointed question, you will see these proportions again attempt to change and there will be a reallocation done. So you could see 28- 30% by the end of the year again. And I am sure people would -- and a lot of you as analysts and several of the industry colleagues would have asked that we have very low maturities this year. And in spite of that, you will see a very consistent growth is what the claim was , and I think the first quarter is a reasonable barometer for that concern to be assuaged. ANANDRATHI


Lalit Deo: And sir, just lastly on this mutual fund AUM. So like this quarter, we have seen good growth on the equity mutual fund AUM. But in terms of the revenues, that is still not reflecting. So this would be based broadly on account of the period end changes, right? So could you give us more color on how the average AUM is shaping up in the mutual f und?
Feroze Azeez: I think there has been a 70% increase in the revenue, trail revenue.
Lalit Deo: Yes. But on sequential basis, I think the growth was lower, right, on that?
Feroze Azeez: See, don't ever judge. See, all I am saying is numbers are numbers. If you have to understand my business, you have to go beyond numbers. Point one, we are running a business which manages people's hard earned money. So quarter -on-quarter, seeing my numbers is not right according to me.
Of course, I can only submit to the group but the group will do what they have to do. But if I were you, I would never see this business on a quarter-on- quarter basis. If you are managing -- if I was selling iPhones or some phones, I am okay to be measured on a quarter-on- quarter basis. Here, it is hard earned money of people. So I don't see quarter-on- quarter, I request you not to do so. Point one.
Point two, what on a trail revenue basis, there are two indications I want to reiterate from my previous calls. We have told you that we

want to get to a 50- 50 kind of a mix between trail and upfront, and that is our endeavor. When we put a not a commitment, put an indication in the public domain, we do our best to meet that. Otherwise, we don't sleep easy. So point one, what you can expect on this is a 50- 50 ratio over a period of time, at least an honest full attempt of that. That's one thing which I would want to speak on the trail.
Now coming to equity mutual funds. Equity mutual funds, I think everybody should take note. Everybody always told me there is a risk of direct, regular, passive, active. You see a 460% growth in our equity net flows. And I don't give direct as an option to even one client if he offers us Rs 2,000 crores to manage. We said no, I will not do. I will not sell myself cheap. I will add value and earn my 1%.
In spite of that, you see 460% growth in equity mutual funds. How did that happen? And if you see the last full financial year equity mutual funds the net flow into equity mutual funds in the full year and it is a saddening number for me that the fact that if you remove the SIP purchase the net flow was negative in equity mutual funds last year. It is not that there is a huge inf lux of money from HNI into mutual funds.
Mutual funds are being directed towards more complex instruments. So to answer your pointed question, revenue will set in. The revenue is a trail revenue. Average assets, average per day asset is also something which is so volatile because markets keep moving up and down, but I am reiterating the fact that our aspiration because we have put it on the table, it is now our effort is behind getting it to 50- 50 sooner than later and I am also told that we will get to 3% - 4% of equity mutual fund market share in India. And that's the effort and we shall do our best with the grace of God to make it happen. ANANDRATHI

Lalit Deo: Thank you, sir.
Feroze Azeez: Thank you sir.
Moderator: Thank you very much. Next question is from the line of Vikram from Prodigy Investment Management. Please go ahead.
Vikram: Yes. So thank you for the opportunity. So I have a question regarding the AUM allocation. So you said that your goal is to increase the portfolio allocation of structured products. However, you also said that your long-term aspiration is to increase trail revenues to 50% of total revenues or get a 50- 50 split between trail and upfront. So from what I understand, this would entail increase in the allocation towards mutual funds.
So I was just curious how it is possible to increase the share of trail revenues while simultaneously increasing the allocation towards structured products?
Feroze Azeez: It is possible because the proportion of structured products and equity mutual fund is largely dependent on current assets which you own Rs 69,000 crores or which are assets under management. Trail revenue is also going to be driven by the net flows. Now , if Rs 3,300 crores - Rs 3,000 crores of net flows happened out of which Rs 2,100 crores has gone into equity. So the proportion is close to about 65% of the total net flow went into equity mutual fund. Are you with me, sir? So that's point one.
Point two, these proportions of 24% in Structured Product, 7 % in Debt and 54% in Equity Mutual fund on these three product classes are also subject to mark-to-market. If you have to understand our business, it is a very simple business because we don't bring assets which we don't earn 1% on. So if I collect Rs 1,000 crores per month give or take what will be my total assets is what you have to try and project and the revenue is going to be 1.2%, PAT is going to be 30% of that revenue. This is how a business we look at. So to change the proportion it is basically to make sure that the clients have reallocated and sold some mutual funds at market peaks, if at all. That's the science of se

lling high and buying low. So that's why this proportion could change, but the net flow is also another variable and mark-to-market is another variable. So it is certainly possible to get to 50- 50 over a period of time not surgically though like you rightly pointed.
Vikram: Okay. Thanks for that. And so my second question was I wanted some more clarity on what are all the factors that affect blended yield? So portfolio allocation is one, but what effects yield in mutual funds and structured products individually? I want to understand why yields have gone up over the last few years and what are the possible factors that can be an upward or downward force on yield going forward?
Feroze Azeez: Yields which you see as a proportion of the total AUM like Rs 69,000 crores is not the only barometer. Because if I have a yield divided by June 30th's AUM, that's only one day's assessment. So coming to what is the yield dependent on the primary products, equity mutual fund we earn about 1.1% post-GST . In structured products, i f you work backwards and calculate ANANDRATHI




the yield I made on all mature structured products you will see 1.16% - 1.17% is the yield we earned on matured products. So the yield of both these primary products are very close to each other. We make a bout 38 to 40 bps on debt funds and other assets we make little. That's raw material. So this is the yield composition of different asset classes or product classes which are there in the AUM. What does this yield depend on? The yield depends on the size of a fund in the mutual fund. In structured products, you are generally static at 1.15% to 1.2% yield. Yield is always calculated per annum on market value, average market value. So to answer your question yield pressures to my mind are very unlikely. 5 – 7 - 8 bps here or there can keep swinging, but that's our guess. Our yields have been retained for the last 5- 6 years.
Vikram: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Shivansh Sood from Desvelado Advisory Private Limited. Please go ahead.
Shivansh Sood: Hi, so congratulations on a great result. So I had a question and like the company's ROE has increased from 35.9% in the last quarter to 42.8%. So what are the specific factors that contributed to this significant improvement, and do you think this level is sustainable?
Feroze Azeez: Yes, so when you are making a PAT which is growing and if you are giving your dividends away, if you are doing a buyback and stuff. As a matter of practice our dividend policy permits us to give away the PAT we' have made of 30% to 50%. Since your reserves don't shoot up so much because it's a cash- generating business and you don't want to hold up money because we don't intend to splurge money on buying businesses or buying relationship managers at obscene prices from competition. You have given away the denominator is kept in check and that is one reason. The PAT growth and the denominator in check, the numerator increasing and the denominator not increasing is

why the ROE is higher to be mathematically correct. Second, are these levels sustainable? Yes, in our belief definitely they are sustainable because you don't need capital as much. It is not a plant and machinery kind of a business. ROEs are possible to sustain at these levels or higher.
Shivansh Sood: Okay. And are there any plans currently in the company to expand internationally beyond the Dubai office?
Feroze Azeez: Yes, we are looking at the opportunity in GIFT city which I think is a very transparent and a good opportunity . Also, two days back SEBI made some changes in the LRS limits to IFSC. So point one is, yes, not from a location standpoint the NRI business could be a very different ballgame over the next 5 years, 10 years and that's a huge opportunity for a wealth managem ent outfit like

ours for sure which is India -centric.
And the kind of India popularity globally when I go meet some fund managers which I do every June for the last 6 - 7 years the kind of decibel for India has gone up dramatically. So to answer
your pointed question we have not thought of it geographically. From an opportunity standpoint
NRI business we are going to be focusing on it because the landscape and the kind of scale this ANANDRATHI



can be built to is very different with the inclusion of GIFT city and the new very correct and liberal regulatory framework.
Shivansh Sood: Okay. And lastly I wanted to know like are there any initiatives being taken before to improve the revenue per client and AUM for RM metrics?
Feroze Azeez: Sorry, I couldn't hear you. If you could go again sorry.
Shivansh Sood: So are there any initiatives being taken to further improve the revenue per client and AUM per RM metrics?
Feroze Azeez: Revenue per client. So are there initiatives? everything we do is for both these. So if I wake up in the morning that's the initiative to do this precisely, but we don't see it as revenue per client.
We don't like to see it like that. We don't even like to state it like that. Because it is assets if I can manag e 70%, 80% or 90% of one's asset as time grows our clients give us more wallet
because they realize that this is not lip service. So clients' wallet is something we want to capture, not revenue. Revenue is an outcome. His money we take immense pride when a 10- year-old client becomes a sole advisory client in- spite of competition wanting to distract him with discounts on mutual funds with the most complex products. If our large client puts all his 100% of his money with us that's how we look at it, not revenue per client. Of course, there could be a larger wallet resulting in larger revenue, but it's a perspective difference glass half full and half empty, but yes both are causes and effect. Larger wallet implies larger revenue. So revenue is the cause. Asset is the effect which results in that cause. But we don't see the effect. We see the
cause that's one.
Productivity per RM, that is a natural progression. See, we try and manage 50 clients per person. I am also a relationship manager. So the most important thing, which I always try and highlight,
is all of us are relationship managers. So we are able to understand what is happening today. I was not a relationship manager 10 years and then I teach somebody today. It's not contemporary.
So coming to the point of whether RM productivity will go up, yes, because 50 clients is what an RM's capacity is to manage with one or two account managers who are apprentice attached to him. So a group of three people or two people manage 50 clients.
If the client becomes big and his RM wants to improve efficiency, he gives away his smaller clients to his apprentice, makes them relationship managers. So like when I promoted my account manager, I gave away some small clients to her. And then she starts her life as a relationship manager.
So it's a win, win, win. What are small clients for me become bread and butter for her. So clients get even better service. So the vicious cycle continues. Not a vicious cycle is a more negative connotation, but the cycle of help continues. So coming back to your question, can RM productivity go up with the same 50 clients? The answer is yes, because he gives away his deadweight. My dead weight is wings for her when she starts her life. So that's how RM productivity is. So there's no saturation. So if an RM gets to 50 clients with Rs 1,000 crores of assets, he can still go to Rs 2,000 crores of assets with different 50 clients. I don't know whether I answered your question, but I attempted to. ANANDRATHI

Shivansh Sood: Thank you so much.
Moderator: Thank y ou. Next question is from the Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: Hi good morning sir. So a few questions from my side. First if you can give some color on the flows that come into your business between existing clients versus new clients that we acquire.
And how has the trend been, let's say for the past 12 to 18 months compared to let's say, years prior to that or across different cycles where markets are good versus markets are, let's say, tepid.
So how does the old existing money to new existing money really change during market cycles?
Just wanted to get some color on that.
Second on your client acquisition strategy, if you can, shade some color on what will be an incremental client acquisition strategy in terms of, obviously, the competitive landscape tends to be shaping up quite aggressively. Most players are ramping up their engine, be it the foreign ones or even the domestic ones. Some of them plan to scale up.
So how do you really kind of want to position yourself? So I wanted to get some color on that.
Lastly, two data keeping questions. If you could give your total employee base for the quarter and maybe March 24. And I missed the data on MLD issuance. If you can kindly repeat that, that would be great. Thank you.
Feroze A zeez: That's a lot of questions. Try to remember them. So point one, what was your first question?
Sorry go again please. I remember the last one.
Dipanjan Ghosh: The first was on the old to new money?
Feroze Azeez: Got it. The old to new money, if Rs 3,300 odd crores came in, the clients who were not on the system on 1st of April, what proportions did those clients out of this Rs 3,300 crores of net flow, how much did they give? You have to take this number with tolerance unless Vishalji can give you a precise number.
About 20%- 25% is from new clients. Because we don't force a client to start big. If the client has Rs 10 crores, he is my prospect. If he has Rs 4 crores, I don't want to go to him because I will only earn Rs 4 lakhs a year and then I can't give him ethical advice. I have to sell him insurance policies or some obscene upfront AIFs. So coming back to the point, 20% to 25% comes from new clients who didn't exist in that quarter beginning.
That's the proportion, okay? And because we tell the client, if you have Rs 10 crores, you start with a crore, I don't have a problem. You start with a crore, if I live up to what I am talking, you will give me more assets anyway because it's going to be in your interest.
Because in the wealth management industry, you can pick up so many portfolios of triple digit crores and measure their Sharpe ratios, which wealth management industry doesn't measure. 0.3 - 0.2 - 0.1, some people have negative Sharpe ratios also and they have Rs 50 crores invested.
So you just have to calculate the Sharpe ratio and show for them for the last five years and then it melts it. 

So coming back, 20 - 25% comes from new clients and 70 - 75% of net flows or 80% of net flows comes from existing clients who were new for the last quarter. M ay be because we don't force people to start big. Like so many wealth management outfits have a rule saying that if you have Rs 5 crores to start with, then I onboard you.
Dipanjan Ghosh: So sorry, if I can just follow up. So does this, I mean, has this ratio changed in your experience? I mean, you have been in the industry for so long. Or does this ratio remain similar to 20%, 25% across market cycles or equity market cycles?
Feroze Azeez: For a wealth management outfit like ours, it has remained largely static. If I was a broker, it would be very different. Because I am not going to those new guys who got money and they want to start. I am going to a guy who has got invested with somebod

y else and he has a complex life. I Am simplifying his life, right? Do you understand the business?
So if you look at the median age, you should see this NSE data, which just was released. I should just tell you, this is very interesting data, I am sure. When you are looking at the ag e, the age bracket in the Demat accounts has come down. The median has come down significantly. Now you have close to about, one second. I'll just tell you this.
I am just bringing your attention to this data. If I was a broker, it would be very useful information. The ratio would change. Less than 30 years of age, the number of broking accounts has moved up in the last six years from 22.9% to 40.1%. So younger people are starting business. So my proportions of new client ratios have remained same. In brok ing that will change, I would like to assume, because the younger guys are coming in because it's a pull product.
Dipanjan Ghosh: So my second question was on the client acquisition strategy. Obviously, you have been ramping up your RM engine, as in apprentices getting promoted and so on. But in terms of new client acquisition, that is also going very strong. So what's the strategy out there? Because competitiveness will increase in this industry, is what I would expect over the next five years.
Feroze Azee z: Yes if you look at it see, because our total 360 RMs have 50 capacity, that means 18,000 clients.

That's my capacity with the current plant and machinery. Okay, and I have a capacity of 7,000 more with the same people, same colleagues of mine can handle 7,000 more families.
Forget that I have to acquire, I have to do branding, I have to do advertisements. I have to just
go to these 10,000 guys and say can I meet five people in your society? Can I do an event for 10 people? Those we call homogeneous groups, whom we address.
So that's how it's been our acquisition strategy, rather than picking up the phone and disturbing people at odd hours, selling ourselves is one way of doing it. We are trying to reduce that
proportion and go to a satisfied client. And now that there are so many clients above five years
and they know that risk adjusted return, mathematically is great with Anand Rathi Wealth, we
go and tell them, so if you go refer a restaurant or a movie to your friends, don't you think if something helped you in wealth management, should you not refer it to the five best friends? ANANDRATHI


And I think clients are being far more positive today with some credibility behind us now. So
that's the client acquisition strategy. And I think when you tell the clients that I don't want to
make cold calls to random people, can you just have support and give me five names or organize
a small little tea party or a high tea for your friends and I can come and talk, people are more welcoming than they used to about five years back.
Dipanjan Ghosh: So it would be fair to assume that basically the network referrals through your existing client
machinery is the biggest sort of lead generation tool for you?
Feroze Azeez: Yes absolutely. And I think every financial services firm would have this aspiration, word of
mouth. But if I told him that I made you 14% with 0.6 beta on NIFTY, now do I deserve a reference after 10 years of delivering you 2% alpha on NIFTY with 0.6 beta on NIFTY on your overall debt equity, then the client mathematically is forced to give me a reference. Not because
I want to go sell him an insurance policy.
Dipanjan Ghosh: So lastly, the two data keeping questions on the employee number for the quarter and March 24
and also the MLD data, which you mentioned earlier?
Feroze Azeez: Yes, Vishal
Vishal Sanghavi: So total employee count is 1,093 as on June 30, 2024. And total gross inflows for the non-principal protected structure product is Rs 1,735 crores.
Dipanjan Ghosh: Okay, can I get the em

ployee number for the last quarter, March 24?
Vishal Sanghavi: March 2024 - 1,016.
Dipanjan Ghosh: Thank you and all the best.
Feroze Azeez: Thank you sir, for your question.
Moderator: Thank you very much. Next question is from Chinmay Nema from Prescient Capital. Please go ahead.
Chinmay Nema: Good afternoon, sir. Thank you for taking my question. Some general questions around tech infrastructure. Could you talk about your strategy with respect to tech from a medium to long-term perspective? How are tech in terms of on boarding and client monitoring differs from the industry? And moreover some general sense what can be done with tech in this business in terms
of client productivity and to what extent this business is always going to be a high -touch
business. Some general sense around tech in this business.
Feroze Azeez: Sir, I missed your name. So sorry.
Chinmay Nema: My name is Chinmay.
Feroze Azeez: Chinmay. Thank you, Chinmay. Sorry, my mistake. Yes. So how we see tech is, tech in this business can only augment an RM not replace an RM. That's our thought process or whatever is ANANDRATHI


our understanding. It is not wishful thinking. Because this requires -- client requires handholding
during bad days.
In good days, he can click a button and buy. But he sells it on the worst days if there is no RM.
So we see technology as augmenting the RM making him more powerful rather than replacing
him. That's one very important thing, which we very passionately feel with the experience and client behavior, understanding client behavior that's point one. Point two, the technology in this
business - anybody who uses technology just for reporting and on-boarding, I would say it will
be ironical. B ut the most important technological benefit Anand Rathi is reaping because 60% -
65% of our meetings still date are now on technology platforms. Before COVID, all the 100%
of the meetings were physically done with clients. Now the clients I manage, I have not visited

their office for maybe 12 months but done very efficient meetings 12 times in the last 12 months.
So, RM productivity goes up significantly if you force the system to use technology to deliver
advice on Zooms and Teams and stuff but quite a few times clients push back and say I want a physical meeting. So, we have been very clear, we will at least have two -third of the meetings
on Zoom and Teams unlike most of the wealth management outlets have gone to physical in
HNI business.
If some system can retain it I think that will make it very powerful. And most of the numbers
you see now have a large impact of the use of technology or the forceful use of technology not
going back to the physical mode of delivering advice. So that is -- and of course, technology in
terms of generating advice, which is not used so much. We have been testing a lot of models
using several mathematical formulae which are there. There are 5 finance formulae which have won Nobel Prize, we are using technology to try and simulate those to get better risk-adjusted returns.
Moderator: Thank you. The next question is from the line of Sanidhya an individual investor. Please go ahead.
Sanidhya: First of all, great set of numbers. So I just wanted to understand how do we see the revenue potential going forward in terms of the AUM? So will it totally be dependent on how does the
market performs and how much we can grow the AUM? Or are we looking for other
opportunities in other sectors other than this ?
Feroze Azeez: Like I have told in the previous calls, we are trying to build our financial services business, which is reasonably market agnostic. For you to check this claim out of the 11 quarters where we have published results, you have to look at the worst 3 quarters from a market sentiment
standpoint and then see the corresponding result of our business.
You wo

uld see stupendous growth when markets touch 15,300 and 15,400 twice or thrice in the
last 2 years, which was the FY22 last quarter and FY23 second quarter or first quarter then Ukraine war had happened. So, the point I am trying to make is you would consistent revenue
growth during bad market sentiments. That's the aspiration. So far, the God has been kind, we
have been able to deliver that. Most people will take this with a pinch of salt but be it as it may, so that's point one.



Point two, our business model like I always explained, it is reasonably simple. If I have Rs
69,000 crores today there is a growth embedded in it. If I deliver good return as a company for
my client then 10% - 12% growth comes God's gift with virtue of time. These 3 other variables,
which is new RMs, new clients from existing RMs can manage 8,000 - 7,000 more clients. That's
my second lever of growth. The third lever of growth is existing clients giving me new money.
With these 3 levers of growth plus the 10 - 12%, which is the growth in assets with the virtue of
time and efforts. If these 4 engines are put together, 20 - 25% growth is part of course, for the
next 10 - 15 years consistently. We are one of the few companies which have given a median
growth of 33% for the 11 quarters (it is for last 9 quarters).
So, when we look at other revenue streams the answer is no. If my client needs more product in
his portfolio because of his risk- adjusted return, if he we want to improve the alpha, if I want to
improve the Sharpe ratio, if I need a PMS or AIF or whatever it be, if it helps my client meet a
better objective then is when new revenue line will be added not because shareholders want new revenue lines or the company wants new revenue.
Sanidhya: Fair. Yes. Okay. So just to add on question here. So , do we see runway for new client additions
within the range of Rs 5 crores to Rs 50 crores? Or do we see shifting it to different range, like
say, Rs 10 crores to Rs 100 crores now looking at how markets are performing in the pipeline,
how do we see the base shifting with years?
Feroze Azeez: Absolutely, sir. That's a very important and a good question, sir. Our segment has been Rs 5
crores to Rs 50 crores. When we on board a client, we check whether he has total wealth of Rs
5 crores to Rs 50 crores. That's first step. So if he start with Rs 1 crores but if you have Rs 20
crores, great you get him on board. That's the first step. Now with time, if you do well for the
client, most of our clients now we had 280 clients, who have finished 10 years. And they had
large monies then also. They automatically will go above Rs 50 crores. But if you don't -- if you
don't give me 1 penny and if the money compounds at 15% in 6 years a Rs 10 crores client
becomes more than Rs 50 crores.
So, we have been trying and we ha ve also launched something called the Anand Rathi Platinum
client base, which is growing rapidly because our existing clients are giving us more wallet. So,
to answer your pointed question will we still stick to the segment of Rs 5 crores to Rs 50 crores?
The answer is a big yes. For the last 17 years, it has been consistently the same on the Rs 5 crores
to Rs 50 crores. Okay, way back from 1
st April 2007, when Rakesh Rawal, who is the current

CEO and who was the CEO then has decided to keep that segment. So we will always have that as a segment. But we have to also being a wealth management outfit passionate about client returns. We have to learn the art of managing the adjacent higher segments. The adjacent higher segment is Rs 50 crores plus because if the Rs 20 crores guy gets to Rs 80 crores, I need to be able to do justice to that guy so that he can eternally stay with me and doesn't have to look outside. So does that answer, sir?
Sanidhya: Yes, that's what I had looking. So we ar

e doing efforts to maintain the level that the new clients or the existing clients will grow up to that level. We are maintaining that. Yes. ANANDRATHI


Feroze Azeez: Yes, absolutely. We have significantly larger clients than Rs 50 crores also. One client of mine who I manage has Rs 800 crores - Rs 1,000 crores also with us.
Sanidhya: That's great. Yes. Just a last question, it's a bookkeeping one. So you have Rs 8 crores as other income this quarter and Rs 13 crores in the last quarter. What is the source of income? And is it on a continuous basis we should see?
Feroze Azeez: Vishal ji, can you -- because I don't have these numbers on my screen. Rajesh ji, other income?
Vishal Sanghavi: Yes. Can you ask your question once again -- yes. Can you repeat the question, please?
Sanidhya: Yes. So we have Rs 8 crores in other income in this quarter and it was Rs 13 crores in the last quarter. What source of income is this? And do we see this as a continuous basis?
Vishal Sanghavi: Yes, I just give you that one, one second. So, the interest income is Rs 6.87 crores. And the small amount is the gain on sale of invest ments.
Moderator: Thank you. The next follow -up question is from the line of Bhavin Pande from Athena Investments.
Bhavin Pande: Just on account of corporate actions after the dividend in the bypass, could we expect some sort of split of bonus on cards?
Feroze Azeez: Bhavin, sir, yes, we will surely consider like our in our AGM also somebody asked our Chairman and he rightly said that we will consider corporate action because we like to reward our shareholders. I can't say more than this. But, yes, I think it is going to be considered by the Board.
Moderator: The next question is from the line of Bhuvan from Tiger Assets. Please go ahead.
Bhuvan: I would like to know how is the wealth distribution scenario in the country? How is the top...
Moderator: Sir, your voice is breaking.
Bhuvan: Yes. I would like to know about the wealth distribution scenario in the country? How the top of the pyramid is growing? And how would that be in the next 10 years?
Feroze Azeez: Yes. So in our opinion, the number of HNIs can very easily compound at 15 - 17% over the next 10 years, number of HNIs. And the wealth effect with the current HNIs, which is about 8 lakh - 9 lakh families, is also stupendously growing. So point one, I personally think that this number can quadruple in a decade, 8 lakh families can very easily become 32 lakh families, which are HNI, which is our segment, Rs 5 crores to Rs 50 crores or Rs 8 crores above.
So HNI is defined as that family which has more than $1 million other than the home they live in. So, that could easily quadruple in a decade in India. Second, the current 8 lakh families' wealth can also compound at 20 - 25%. Because if they are well placed to grow 12% - 13% of the current wealth at 12% - 13%, they are adding at least 7 - 8% to their wealth with their savings. ANANDRATHI


The savings rate of an HNI has gone up dramatically, in our opinion. So, that's our experience. When we captured the savings potential of our current HNIs in a group of about 350 - 400, which I saw the data of their savings potential grew at least 5 - 7% of their current net worth.
Bhuvan: And I would know like, how is the bottom of the pyramid growing and how their wealth would contribute to equity markets in coming years?
Feroze Azeez: See, there is a paradigm shift in the thought process of Indian favor today. So, to answer your pointed question, sorry, there was some little disturbance in the network. So, if you look at the wealth of Indian HNI s, there is a paradigm shift in how we are seeing assets. The receptiveness of equity has gone up dramatically, point one.
Point two,

there is the newer generation or the next generation, whenever there is an inheritance or a transmission of wealth from one generation to another, which you see in your client families,

the next generation's affinity towards physical assets is dramatically down. So I personally think
this Rs 21,000 crores SIP number, which I had predicted about 5 years back, but this can be by
March '25, it will be Rs 25,000 crores, that seems to be on the cards. That's point one.
Point two, the kind of influx the Indian capital market is going to see from domestic money, I
wouldn't be surprised if that grows significantly. Today, it's almost like a proportion of 50:50.
The FII ownership could come down dramatically with -- individuals' participation. Currently,
out of the Rs 800 lakh crores of savings, Rs 800 lakh crores of savings as per RBI data of Indian
households, 51 - 52% is in financial assets.
And only about 6.7% is in equity or direct equity and equity mutual funds, only 6.7% is there. That number should become 15%, which implies a great influx over months and years to come. So out of the Rs 800 lakh crores, today, only about Rs 52 lakh crores is there in equity, both
individual ownership of stocks and equity mutual fund ownership.
Moderator: The next follow -up question is from the line of Bhavin Pande from Athena Investments. Please
go ahead.
Bhavin Pande: So of course, the first question was on the bonus or any of the corporate actions that could be on cards. And secondly -- in this year's Annual Report, I think in the AGM, there is snippet on ring -
fencings of portfolio and intergenerational transfer of wealth, which, again, is an extension of wealth creation, which would come about the plan to make money and the call to be taken in terms of how the wealth is going, which again, is gone by taxes and government policies. So, if you could just shed some light on the, of course, economies of that business and the market that exists, it would be of great help.
Feroze Azeez: I couldn't understand that too much. Bhavin sir, you're speaking about transmission of wealth?
Bhavin Pande: Yes. First question, of course, on the bonus issue. I am sorry to sort of making you repeat that.
And secondly, the ring-fencing of portfolio and intergenerational wealth transfer as a service
that we offer to our clients, right? ANANDRATHI


Feroze Azeez: Yes, s o like I already told, that I think bonus or splits could be seriously considered by our Board.
That's the only thing I can say. We did a buyback efficiently, finished that. Bonus, that board
has to consider. But I think it will be considered on the merit basis. That's point one.
Point two, coming to your question of ring -fencing of portfolios. See most of HNIs have external
potential liability on their personal wealth for some unforeseen events. So ring-fencing is very
critical. And that, I think we have been propagating for the last 14 years - 15 years ever since
2009 - 2010.
So that business, we don't charge money for unlike most lawyers and wealth management outfits
charge, but we don't charge for that because we think that that's a collateral minimum service you will give a client because we want his interest to be protected and his liabilities to be protected. So that's one.
The estate planning, we have done about 6,000 wills for families. We have tried to comprehensively make the learnings we have had in the last decade and try and extrapolate those learnings. Because India is a very complex game in terms of transmission of wealth. Some places
probably it is needed, some places probably it is not needed. The laws as per religion are
different, as per geographies are different and as per asset is different.
So it's a 3 -dimensional matrix to solve. So, wealth management outfit like ours takes all the
learnings it has had and makes a checklist o

f 10 ,- 12 items, which each of us, in fact, all of us
on the call are mortal beings and we have a finite life. We try and do that for free as well because client's interest is paramount.
So, w e don't charge for these services because that itself becomes a deterrent for a person to do
it. We use to charge a decade back. And then we realized when you charge people for this
service, they think you are wanting to do it just because you want the fee rather than the -- so we
said we will not be charging.
So, this is that collateral service you give without being charged. So, will this keep happening? Yes, it happens. And we push it extensively in spite of it not impacting the revenues whatsoever directly. But the client's affection towards us expressed in the form of his wallet is very strong.
Bhavin Pande: Feroze, that's really helpful. And just I appreciate the exhaustive back and forth on the call and
for all the information that you have provided. Thank you and good luck again.
Feroze Azeez: Thank you for your questions, sir.
Moderator: Thank you very much. As there are no further questions, I will now hand the conference back to
Mr. Feroze Azeez for closing comments.
Feroze Azeez: So thank you so much everyone, to patiently sit through 1 hour and 6 minutes of the call. Point two, I think if you have any further questions, please feel free to get in touch with Mr. Vishal Sanghavi, who is our Head Investor Relations, and we would love to answer them. And thank
you. Have a wonderful week, the residual week, and thank you so much. ANANDRATHI

Moderator: Thank you very much. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. ANANDRATHI Private Wealth. uncomplicated

## Call: Oct 2024

Ref No : 73/2024- 25

Dated : 17th October , 2024

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238 Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q2 & H1 FY2025 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q2 & H1 FY2025 earnings conference call dated 11th October , 2024. The transcript is also available on the Company's website at https://www.anandrathiwealth.in/financial.php .
This is for your information and record.
Thanking You,

Yours faithfully,
For Anand Rathi Wealth Limited

Rajesh Bhutara
Chief Financial Officer

Enclosed: as above

ANANDRATHI
Private Wealth. uncomplicated
ANAND RATHI WEALTH LIMITED
(Formerly known as ·Anand Rathi Wealth Services Limited)
P,ivale Weallh. uncomplicated
AMFI-Registered Mutual Fund Distributor
GIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway.
Goregaon (E). Mumbai -400 063
Board Line No.: 022 6281 7000 I Website: anandrathiwealth.in
Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound , Senapati Bapat Marg, Lower Parel, Mumbai -400013 I Board Line No.: 022 69815400 /69815401 I Website: anandrathiwealth.in

"Anand Rathi Wealth Limited
Q2 & H1 FY 25 Earnings Conference Call "
October 11, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 11, 202 4 will prevail

MANAGEMENT :
1. MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
2. MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
3. MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER

4. MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Anand Rathi Wealth Company Limited
October 11, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Anand Rathi Wealth Limited Earnings Conference Call for Q2 and H1 FY 25. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Feroze Azeez, Deputy CEO of Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.
Feroze Azeez : Good afternoon. Thank you, S ejal, for giving me the opportunity to talk to the audience. Good afternoon, and thank you, everyone, for joining us for the Earnings Conference Call for the quarter and half year ended 30th September 2024. With me, I have our Group CFO, Mr. Jugal Mantri, our CFO; Mr. Rajesh Bhutara; and our Head of Investor Relations, Mr. Vishal Sanghavi.
In H1 FY 25, our consolidated total revenues grew by about 35% year -on-year, to about INR 495 crores and profit after tax grew 35% to INR 150 crores. We have revised our revenue guidance to INR 980 crores from INR 910 crores , and we have revised our PAT guidance from INR 280 crores to INR 295 crores . The mutual fund revenue registered a stronger growth of about 70% year-on-year to INR 195 crores of the INR 495 crores in H1 FY 25. Total AUM grew by about 57% year -on-year to reaching about INR 75,084 crores. And since our guidance was INR 72,000 crores for the full year, and we have crossed that number. So , we are giving a new guidance of about INR 80,000 crores with Go d's grace.
During H1 FY25 our total net flows registered a remarkable year -on-year growth of about 128%, reaching INR 5,700 crores for a 6 -month period. Equity mutual fund net inflows achieved a year-on-year growth of about 64% to INR 3,116 crores. Share of equity mutual funds in the AUM increased to 55% from 50% at the same time last year.
Return on equity on an annualized basis stood at about 44.4% for the first half year of FY 25. In alignment with our policy, rewarding share holders , we have declared an interim dividend of about INR 7 per equity share for FY 25.
Now in our flagship private wealth business in the first half of FY 25, we have added 1,066 new client families on net basis, bringing our total number of clients to of 10,977. Our client -centric approach has resulted in 0.28% client attrition rate for the first 6 months of this year. We have added 63 new relationship managers over the past 12 months from September last year, bringing the total count to 374. We have an immense pride in achieving zero regret RM attrition for the fifth consecutive quarter, which is about 15 months period, no regret RM attrition . Regret RM by which I mean any RM which has crossed INR40 crores of AUM has not le ft up in about a 15 month period.
Digital wealth businesses, which is a B2B2C business registered a growth of about 32% year -on-year in AUM and to reached INR 1,826 crores. The number of clients increased 22% to 5,454 .
The OFA business, which is an abbreviation to Omni Financial Advis or which is a SaaS platform has 6,188 subscribers with platform assets of about INR 1.55 lakh crores at the end of H1 FY 25.


The mean of the year -on-year growth - very distinguished the data, the little differentiated data, so I want your attention. For the last 10 quarters, our profits have grown on a year -on-year basis the mean growth has been 33.9%. The median growth is 34.2%. The standard deviation of these 10 quarters, quarterly growth year-on-year is 4.5%. Our performance has been consistent and also market agnostic is the belief we have. How do we check market agnostic . If you look

at the
worst NIFTY performance after we have got listed was in the quarter 1 of FY23, where the NIFTY fell about 9.6%, which was April to June 2022. Our profit in that quarter on a year -on-year basis grew almost to the mean, which is 33.6%.
Now I will hand over the call to Mr. Jugal Mantri to take us through the financial performance of the company in more detail. Jugal, sir, over to you.
Jugal Mantri : Thank you, Feroze bhai. Thanks , Sejal . First, let me speak about Q2 FY 25 consolidated financial performance. Our consolidated total revenue for the Q2 FY 25 stood at INR 250 crores compared to INR 189 crores in Q2 FY 24, registering a 32% year -on-year growth. Trail revenue was INR 106 crores registered a strong Y -o-Y growth of 69% from INR 62 crores in last year same quarter. Our profit after tax stood at INR 76 crores registering a 32% Y -o-Y growth compared to INR 58 crores in Q2 FY 24. Profit after tax margin for Q2 FY 25 was at 30.6% as compared to

30.5% for Q2 FY 24, which was slightly better.
Now I will take you all through first half of FY 25 financial re sult. The revenue for first half FY25 stood at INR 495 crores compared to INR 368 crores in H1 FY 24, registering a 35% healthy year -on-year growth. Trail revenue was at INR 195 crores, witnessing a strong growth of 70% year -on-year. Profit after tax also grew by 35% year -on-year to INR 150 crores for H1 FY25 compared to INR 111 crores for H1 FY 24, and profit after tax margin was 30.2% for H1 FY25.
So, this is all on the financial numbers. Over to you, Mr. Vishal or Sejal .
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Sanidhya from Unicorn Asset . Please go ahead.
Sanidhya : Hi, good afternoon. Good set of numbers. My first question is, can you explain the different what are the yields on different product segments, like equity MF, debt MF , NSP and others?
Feroze Azeez : Sorry, your voice was a little muffled. Go again. I am so sorry.
Sanidhya : Okay. So could you explain on the yields o f different products like equity MF, debt M F, NSP and others for us?
Feroze Azeez : Sure. The yields are on equity mutual funds about 1.08% or 1.09% post GST . On a yield basis, yields are always computed per annum. So if you look at the yields of all the mature structured products, which is greater than 1,500 over the last 12 years, the yield has been 1.17% calculated per annum on average assets, on structured products and then coming to debt MF, debt MF is about 0.43 post GST is the yield on the debt.


Sanidhya : Okay. And what's the part that others in clude ?
Feroze Azeez : Others is practically raw material because we believe in these three instruments, largely equity mutual funds and structures, which is what intergenerational wealth is all about, debt is also in a smaller portion. Others are in custody now, as raw material for its alignment over a period of six months or one year. So other s is something which we don't track the yield because that's not what we recommend, but those are broker code transfers of PMS and all products which are in pipeline to get aligned into the three products which I stated.
Moderator: The next question is from the line of Lalit Deo from Equirus Securities.
Lalit Deo : Congratulations on a good set of numbers. So sir, first question was broadly on the industry front. Like we have been hearing that a large AMC has tried to cut the distributor payouts on the back book of AUM . So have you received any such kind of intimation ? And just a follow up on this, like in such cases, like how should we see to it that our yields remain constant in this scenario?
Feroze Azeez : Yes, some AMCs might have tried to reduce the yields of the distributor where the TERs have come down because of mark -to-market. But since we are

the only wealth management outfit in the country, for sure , which uses only equity mutual funds or long -only position , we have not sold PMS. W e have not sold direct equity. We have not sold AIF long only. We stand apart in terms of only using mutual fund platform for long -only positions because we think that's far better Sharpe ratios than most other equity participation vehicles. So our bargaining power is significantly more because we have only one platform. And I think that's the reason why you would not see a dip, and that's why you see a 70% increase in trail in-spite of this pressure, which does not impact us as much or not at all.
Lalit Deo : And secondly, sir, just like -- so while the net flows in the equity mutual fund have remained steady, but it has declined on a sequential basis, whereas on the -- in the industry front, like if we look at the equity flows in the equity mutual fund, so they have remained elevated, they have increased also like on a sequential basis. So like anything to look into it, like why has been there a decline in the net flows on a Q -on-Q basis, I would say.
Feroze Azeez : Absolutely. V ery good question, Lalit sahib . But now that we've been listed for about 12 quarters , I'm trying to reiterate how you should look at our business, whoever wishes to keenly look at our business and seriously wants to understand this business, which I'm sure you do Lalit bhai. See , this business is about 1,977 portfolios. The clients' objective risk reward and whatever is the allocation is a culmination of an allocation, which is bottom up rather than topped down . What do I mean by that is if my total net sale is INR5,700 crores for the first half year, if markets run up, I am duty bound to realign on ce portfolio towards structured products or vice versa, depending on which asset has a larger mark -to-market . For example, if you have 1st April 2023, if you look at our results, the structure d product proportions were 29%, if I'm not wrong. Now it might be 23% or 24%. Vishal ji, give me the correct number , proportionate?
Feroze Azeez : 24.66 %, Lalit sahib . Now what happens is, why is this proportion come down because there is more mark -to-market in equity mutual funds because our model portfolios outperformed Nifty

by 16.8 8% last year . And it has outperformed as of yesterday by 66.09% on Nifty (though it was mista kenly spo ken as 66.09% but as mentioned later in the document alpha over Nifty in current financial year till dat e is 7.34%). So when I reallocate money from equity mutual funds to structured product for a client who had agreed to have 65 -35, it might have changes in the allocation from a sequential quarter -on-quarter basis. So having said this, to answer your pointed question, what does this imply? This implies that there is some degree of realignment happening because of higher mark -to-market. So if you look at my net sales, which is what we were aspiring to have INR1,000 crores per month, did we get there? The answer is no. We got somewhere close to that 5,700. Ideally, I would like to see this at INR 6,000 crores . Does it answer , Lalit bhai?
Lalit Deo : Yes. But that would be on the overall front. I was more talking about from the equity segment itself like equity mutual fund scheme itself .
Feroze Azeez : Let me further elaborate for 30 more seconds. Now if I am at 24.6 6% of structure d product, if the agreed allocation is 29% before the mark -to-market that implies that 4% to 5% needs to move back to structure d product, right , if I have to restore the allocation of 1st April 2023 with a specific client. So it might mean that I might sell some mutual funds and buy structure d products or vice versa depending on the mark -to-market is what I was trying to help you understand, and you should look at the overall asset perspective because it is bott

om -up rather than top -down. I don 't sell mutual fund s thinking we have to sell so many. I don't sell structure d products thinking we have to sell so many . You're creating the portfolio and allocations are an outcome rather than an input.
Lalit Deo : Right. And sir, just last one data keeping question. Like in this quarter, what has been our primary and secondary issue on the structured product side?
Feroze Azeez : Jugal sir, would you want to take that ? Jugal sir, are you there o r should I? This is for primary , right ? INR 3,283 crore is primary for six months full period and secondary INR 958 crore .
Lalit Deo : Sure, sir. And sorry, just last question , has there been any change like post the taxation rate change, what is the current tax rate which is there under MLDs?
Feroze Azeez : The tax rate change does not impact by structured product business because the Sharpe ratio of the structured product is 1.93 , okay. Out of the 16 products, which are there in wealth management . There are about 15,000 plus ISINs, which a client can cut a check too. If you look at arranging them in the descending order of sharpe ratios post tax o r pre-tax, you will see structure d products right on top, the ones which we made. So 1.93 is the sharpe ratio of structured products. The next best is mutual funds 0.78, PMS are at 0.3 or 0.4. So does it change our product allocation? The answer is no.
Second is that if you look at taxation , taxation is always at file level. And the great part of Section 50A is that it counts all the gains as short -term capital gains. And short -term capital gain give s you the provision to use Section 70 to Section 74 for any set offs which an equity loss can throw up. So having said which, the average taxation at a family level, which we believe is about 19% - 20% for the maturity, which have happened after the tax change .


Lalit Deo : Okay. But in general, like if you talk about only the structured product s, then I was just trying to refer …
Feroze Azeez : No problem. Okay. Now let me elaborate further. Unfortunately, I am trying to compress an answer, which is an hour discussion with the client to about 30 - 50 seconds. But yes, having said which, with that limitation, let me give you one more data point. In India's new tax regime , even if you earn INR50 lakhs, the tax rate is 24% on a graded fashion if we put it on an excel sheet .
So if there is a gain of INR 50 lakhs, as per the new tax slabs, if I don't take any provisions of those section 80Cs and those small provisions of Section 8 0DD . If you put on a weighted average basis, even if there is a INR 50 lakh gain, INR 49 lakh gain, the weighted average tax was up to 24% and not 35%. And in a family of 5, you would always have a fil e, which is a major file, which does not have a clubbing provision under the Section 65.
So it's a longer story, Lalit. So as a stand -alone also, it's not something which can be at a product level . It's at a file level, including all provisions and family. That's the point I'm trying to make .
I can take this one-on-one in a meeting or something like that and help you understand what the Section 6 5 say, what does Section 94 subsection 8 say, what does section 70 to 74 say, Section 112 say and 111 say.
Mod erator : Thank you. The next question is from the line of Krishna from ULK. Please go ahead.
Krishna: Great to see that the numbers are spiking year -on-year. My question is not so much around the numbers, but it is around people management, if I may say . I do see that for the last 5 to 6

quarters, there's been zero attrition in your organization. I don't think this is very intriguing for me to begin with. So because when my relationship manager calls me from my bank by the time I add him to my contacts, he has already switched shops. So I don't know whether this is business as usu

al in Anand Rathi, but this -- I find this to be a little fascinating. So I would appreciate if you could give me some insights there?
Feroze Azeez : Sure, Mr. Krish na. Point 1, yes, but I would want to clarify, it's not zero attrition at a company level, we have 1,157 total colleagues at current point in time. The regret RM attrition is zero for 15 consecutive months. That's point 1. Point 2, we basically believe that RM is the easiest to retain. Because it is unless you do something wrong, RM does not need to start his life back from zero in a new platform. And be about 10 - 12 years back, Rakesh sir, I and some of our colleagues had discussed why we quit the previous company. And then we realize there are about 5 - 6 reasons why a person needs to change the job. Now this is my third job, unfortunately. My first job was ABN AMRO , spent 7 years and there was a reason why I left ABN AMRO because they told me to sell insurance and I was not okay with it. So if you can make sure that those 5 - 6 items are not done in a company, then people don't lea ve is our belief and that's the hypothesis, which is proof point 1. Because an RM needs to convince 50 clients, 30 clients to come along, which is a tough task, especially if you look at our client portfolio, the Sharpe ratios for the last 10 years of my 297 largest client is greater than the best Sharpe ratio of another competitor .


Okay, mathematically provable. So Krishna sir what I am trying to say is this was RM regret attrition is zero, point 1. Point 2, RM find it very difficult to restart life. Unless the organization is being very unfair, there is no reason why Feroze as an RM should go to a new platform and re-build life from zero. And we just have identified those 5 things, which industry does wrongly. And that we don't do. That's about it. We don't do anything extra. We don't do contest. We don't give RMs more than what is said. We don't give them less than what is said. We give them exactly the same formula from 2007 when Rakesh sir set up the bonus formula or the remuneration formula that's remained constant for 18 years - 17 years, which has not happened in the industry . So that's one of the key reasons stability of remuneration is one of the 5 - 6 reasons. This is the way it is. And we want to be the Finland of the corporate world, which is the happiest country as they claim .
Mod erator : Thank you. The next question is from the line of Sam yak Shah from Sameeksha Capital. Please go ahead.
Samyak Shah: Congratulations on a good set of num bers. I just want to know about Alph a Generated on our model MF portfolio. So can you just throw some light on that?
Feroze Azeez : Yes. Alpha Generated on model portfolio. We like to compare ourselves to Nifty because that's the most familiar benchmark. If you look at N ifty, of course, some people might debate why not NSE 500, why not Nifty Smallcap 250 . But Nifty 50 is what the Tier 2 benchmark most fund managers in India have chosen, and that's our benchmark as well. Then given the choice, most fund managers is actually chose n Nifty 50 surprisingly, even Smallcap fund managers have chosen Nifty 50 as the Tier 2 benchmar k, Tier 1 is mandatory by SEBI.
Coming back to now the Alpha , first, I gave you some color on the benchmark because the benchmark has to be something which is familiar NSE 500, my clients don't even know the levels of it. Coming to Nifty last year, I think 16.88 % like I said, with the Alpha on Nifty of our model portfolio. We went Smallcap heavy. We were zero Smallcap schemes in December, in March 2020 to 2023. 1st first April 2023, we were suddenly 3 Smallcap funds . So we were zero Smallcap for 4 years with whatever God's grace and some degree of mathematics.
We have decided that we will be out of Smallcap just before or no, just after the ILFS crisis in September 20

18. So we stayed without any Smallcap for four years . Then we went straight to 3 Smallcap schemes. Now we have 2 Smallcap schemes, and that really resulted that whole broader market call with God 's grace went, right? And that gave us some serious Alpha last year. And then this year, of course, the liquidity in the Smallcap space continues .
And we track that on a daily basis and that's why there's a broader market badly continuing unlike most of these several institutions believing that it's broad -based rally is overdone till the liquidity tight turns , we believe that there is some more juice left. And so the Alpha this year, if I have to tell you the precise number, I tell you as of yesterday bear with me for a minute from here. I'll tell you precisely as of yes terday. It is 7.3%.
Samyak Shah: Okay , till date.

Feroze Azeez : Yes. It is 7.34 till date for this financial year.
Samyak Shah: Okay decent . And my other question is like we have seen increase in finance cost this quarter. So is it like a one -off, item on account of buyback or anything else?
Feroze Azeez : Yes. Jugal, s ir, best equipped to answer th is.
Jugal Mantri : So actually see, if you recall that we have done the buyback, and the treasury got deployed. So now whatever this finance cost is there, it is -- there is no borrowing we have. In fact, we have got the other income and the fixed deposits are placed. So as when ever there is a treasury requirement , there is an overdraft on the FD line. So it is FD /OD used. And the cost is largely on account of that. We don't have any borrowing in the company , it is a debt -free company.
Samyak Shah : Thank you
Moderator: The next question is from the line of Aman Singh from Profit Gate Capital Services .
Aman Singh: Thank you for the opportunity and c ongratulations on a good set of numbers. Sir, I wanted to understand, as you rightly highlighted, Y -o-Y decline on equity net inflows for the quarter 2 is due to the realignment of portfolio towards structured products. So, can you give us the gross inflow numbers in equity , for a better comparison of how the book is growing and also for the market share that we have in the industry?
Feroze Azeez : In the meantime, while my colleague pulls out precise numbers let me tell you. If you look at our equity mutual fund sourcing for the first half year, I think it's about INR 3,300 crores . I'll tell you some industry numbers. Now here, I have it in my hand, H1 FY25, the net flow in the category as per Category 3 of AMC , as it is mentioned in the website, which is the active managed funds. The total net flow is INR 203,994 crores . SIP purchases for the same period of H1 FY25 is INR 1,33,925 crores. Net inflows minus the SIP purchase is INR 70,069 crores and Anand Rathi's number, is INR 3,116 crores . And our SIP purchase is INR 310 crores which implies that our net inflow in equity mutual funds for the same period of the first half year of 2025, FY is INR 2,805 crores , which makes it a 4% market share in lump -sum purchase s and 1.5% market share, including SIP number s because we have not focused on SIP being an HNI platform. I think we have missed that opportunity so far. We have woken up to that opportunity, and we will see SIP numbers going up. But if you look at lump sum purchases, INR 2,800 crores is what has come from A RWL on a total base of 7 0,000 for the industry .
Aman Singh: And sir, what would be the gross equity inflow market share, including SIP lump -sum for H1?
Feroze Azeez : For the industry or for us?
Aman Singh: For us compared to industrial market share.
Feroze Azeez : Yes, the market share is 1.5. ARWL Equity Net flow INR 3,116 crore on the Industry Net -flow INR 2,03,994.
Aman Singh: So it would be net inflow market share, right? I'm asking about gross inflow market share.


Feroze Azeez : Gross inflow, we don't track it at all.
Jugal Mantri : Gross it is next to impossible to track because there are a lot of switches and the realignment even within the equity mutual portfolio. So it is next to impossible to track the gross numbers. Besides the equity, what is important is that even the net inflow in the first half, which we have is INR 5,700 crores in the products which are being distributed compared to that, we had net inflow of INR 2,500 crores. So in fact, the net inflow in our products, which are being advised, has gone up by 127% in the first half of this financial year.
Aman Singh: Right. Yes. So, as you explained in quarter 2, there was some realignment from the equity mutual fund to structured products. So , was it across the categories in equity mutual fund or you made redemptions from a particular category, like you did in small cap a few quarters back?
Feroze Azeez : See, we release a new model portfolio every 15 months , then start the realignment . The mode l portfolio is a lump sum now . The same 14 schemes I own , the same 14 schemes my largest client as an RM own. So it is never going to be so transactional.
Aman Singh: Thank you so much and all the best.
Moderator: The next question is from the line of Dipanjan Ghosh from Citi Group.
Dipanjan Ghosh : Just on the guidance part, when I look at it for the second half, you have built in almost a high single -digit sort of AUM growth . But when I look at the revenue numbers or even when I look at your PAT numbers, for the second half you are building in a lower than what you have achieved in H1. Now given the opex structure, when I subtract and get the opex number, this numbers seems to be broadly flattish what you're assuming between H1 and H2. Now just on the revenue part, why would you kind of assume a relatively lower revenue number for the second half compared to the first half, even when you are assuming AUM growth . That's my question number one.
The second question is now when I look at your flows that you're getting into your business, just if you could give some color between flows from, let's say, the new customers and from the

existing customers . What the breakup would be and if that has changed in the last year or quarter out there. And my last question is more from a structural perspective. I mean, in the segment that you're operating, do you see increased competition from some of the domestic boutiques. And if so, can that lead to some sort of maybe not immediate but maybe a near to medium -term pressure on the cost side?

Feroze Azeez : Thank you, Dipanjan, for your question. Firstly, I think if you would have heard us in the past, we always try to under -commit and over -deliver. That's our principle. And that's the principle any business which is supposed to be in the trust business. To clients also we try to under commit and try our best to overdeliver. We don't show Sensex 200,000 and then sell equity. We show Sensex can go down. every 8 months 10% and then sell equity. So 1 is the principal and the DNA, which Mr. Rakesh Rawal , who's the CEO of our company and incidentally also our professional guru has imbibed in us , is to under -commit over deliver. So any guidance numbers have to be seen with that color.



And we also believe in God, so there could be surprises. That's why you will always have some conservatism and not look at sequential growth. Half year to half year growth are not supposed to be seen in this business . For the time and I am mentioning th at in my calls that it is a business of managing money and revenue is an outcome. I can't decide this is the revenue I want, and that's how I will manage them on and we have to respect the fact that we have collected INR75,000 crores of hard earned money , which on an aver

age, takes 15 to 20 years for every family to accumulate. So revenue can't result in the allocations . Allocations have to result in drive. So that's on the guidance part right? Second, which was first question was existing v /s new client s. 65 old clients and 35 new clients, okay?

We believe that we are one of the wealth management outlets , we like to believe that we are more secure as a group of professionals saying that we don't push people to start big. We will start with whatever INR 1 crore s. But as long as you have INR 8 crores, INR 10 crores, INR15 crores as your investable surplus, I would allow somebody to start with INR 1 crore s earlier I used to allow them to start with INR 50 lakhs also.

And once I establish that my sharpe ratio is better than the best Sharpe ratio of somebody else. There is no reason why I will not be able to consolidate. That's why two-thirds comes from existing clients . And one-third comes from new clients.

Dipanjan Ghosh : Allocation of more on the competitive intensity, how the se things are shaping up?

Feroze Azeez : The competitive intensity -- our comp etition with anybody who has a sharpe ratio less than me, okay? There are two things -- how we see competition . Of-course, it might look too idealistic. There is a competitor to sales team. There is a competitor to research team . Now for example, if there is anybody better than us in terms of risk reward to a client, that is a competitor to my product team . Mr. Chethan Shenoy and 145 people - saying that why i s somebody delivering a better Sharpe ratio than me?

If som ebody is delivering worse off than me, then it's a competitor to my sales fraternity . Because if the money is not g rowing well, why are you not bringing it in? If it ’s going well, then Mr. Shenoy what is your research team doing? So that's how we see and we learned from our competitors. So to answer your question, competition will come , but there is enough and more money, which is not delivering the Sharpe ratios or even 0.5 . And people don't even measure risk-adjusted return of that portfolio. So if you measure and somebody is doing very well, better than us, we don't treat that as competition. We let that be. And so we have the courage to say no to some clients, which I don't think wealth management outfits at the client. Once I say no to those 5% people who are doing better than us and learn from them, I have the conviction to get the 95 % in, and that's been the principal sir. That's how we see competition. And there is so much underutilization on a risk -reward basis, you had be surprised, even INR 100 crore s clients have a Sharpe ratio of 0.3. So many of the m.

Dipanjan Ghosh : If I can come back on the first question , my question is not from a guidance perspective, more from the perspective that ba ring asset allocation . If I just look at your m utual fund distribution business, do you see any risk to the MF yield . I think one of the first questions was regarding to the that book re -pricing from one of the larger AMc . I mean, is that more of a trend that you



expect on the other incumbents to follow? Or it's just more of a one -off even t from one of the larger players. I mean, a question more from a yield perspective, how you see that shaping up? Or is there any risk to the MF yield ?

Feroze Azeez : We personally think that we generally like to manage risk. Risks will be there. I can give you a 100% that not just the risk which I have written on my notes in my phone . There will be some unknown risks and risks are practically the ones which you don't see coming, right? So I have total 17 - I call the green risks and higher likely risks are 10. So after having provision, that is why Rakesh Rawal gives the guidance of 20% -25% for the next 10 years. So to answer your third question, the yield compression, unlikely

. We were the only wealth management or one of the few wealth management outfits, which went all trail in 2016 when it was regulatorily mandated in 2018 . And we have not had to change our distribution and advisory model from 2013, 1st January when it has been released. Most of our industry participants had to be toying between advisory , distribution , PMS platform for the mutual fund business. I think if I am not wrong, at least three changes have happened in most wealth manag ement outfits from 2013 in their business model. When we look at regulation, we look at regulation, not from what is written but between the lines. And probably on a one -on-one discussion , I can tell you what we read as a regulatory change. The y ield compression is the least of our risk and even if there is 5 – 7 paise risk of having 1% only trail commission, we are very well poised to handle that.
Moderator: Thank you. T he next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.
Prayesh Jain : Congrats on at great set of numbers. Just a couple of questions. Firstly, when you were mentioning about your alpha generation, you mentioned your performance versus the NIFTY . But could you also give some colo ur as to how many of your portfolio schemes would have outperformed their respective benchmarks. And what would be the average data over their respective benchmarks ?
Feroze Azeez : Yes, I can tell you that, but that's something which I don't track as much, but of course I track, but that's not a commitment I g ive because everybody has a Tier 1, Tier 2 benchmark, if you want to know what is the outperformance on the respective benchmarks, which I think is itself flawed - it's 2. 91% for this year.
Prayesh Jain : 2.9% .Okay. Great. And the other thing is from a structural p roduct , how do you see the share of your structured products, say, over the next three , five years, how do you see that kind of changing?
Feroze Azeez : I don't think there could be too much change. When we started in 2012, November, our first structured product issuance at Anand Rathi. We had a 30% allocation a s the maximum . Allocation today is 35 % so we went in 12 years to 40 % came back to 30%. We are now at 35 % for most of the portfolios, we recommend this. So to answer your question, it's going to be a plan B in the portfolio. And that to my mind, would be one-third or close to that for the next 10 years. Unless the macroeconomics change it the way delta, vega, gamma, theta, rho which are the first order Greeks of long -term options changed dramatically which I think is unlikely vega and be ta which are the second owner Greeks which we track to make a product unless they change to


over its heads , there is no reason why w ith the allocation would change or the same product which we have done 1,500 times each will change .
We don't believe in innovation. We believe in optimal innovation because innovation for the heck of it is something which is detrimental to the sharpe ratios of the portfolio. That's what our study shows.
Prayesh Jain : Yes. That’s it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead. Sorry to interrupt you sir, may I request you to use your handset.
Rohan Mandora: This is better?
Moderator: Yes sir. Please go ahead Mr. Rohan.
Rohan Mandora: Hello.
Moderator: Sir we are not able to hear you very clearly.
Rohan Mandora: Sorry, I'll join back the queue.
Feroze Azeez : Now w e can hear you Rohan Bhai now. I could hear. Sejal I could hear Rohan .
Moderator: Sir he got disconnected.
Feroze Azeez: Okay.
Moderator: Due to no response from the current participant, we will take the next participant. The next question is from the line of Sunil Shah from SRE PMS. Pleas

e go ahead.
Sunil Shah: Thanks for the opportunity. Congratulations Feroze and the entire team at Anand Rathi , Jugalji and all. Sir I have been there in the company for like reasonable period of time and I'm really looking at being there for like another 5 years - 10 years . As you stated , Rawalji and all are targeting 20% to 25% growth over the next decade. That's the sense and we are clearly preparing our company in that direction , really appreciate the client ac quisition to employee retention, to

the pro ducts, processes, everything. Sir the only point is this and I don't want to sound negative, but are we working or preparing for as creating a proxy of Feroze in the organization because Feroze has been there for a long period of time. And has all the f irepower today . Also when I hear him speak, b ut my only that Six Sigma eve nt or the B lack Swan is Feroze kind of decides to move on or whatever, are we preparing any proxy? Just an outlier completely minus 3 sigma event, b ut are we working towards creatin g any such thing? This is just one thought because that's the only risk which I see in the company at this point of time. So just wanted to bounce this, just create some thoughts and just want to hear your thoughts as well Feroze?

Feroze Azeez : Thank you Sunil Shah for your question. Thank you to be our i nvestor for so long in your PM S. So Sunil Shah I speak a lot and I appear a lot, but I think I'm not -- I'm just the postman. To be



honest and I'm not being trying to sound modest. Rakesh sir who is a back bencher is the person who has actually put the strategy in place. Segment was chosen by Rakesh sir, the strategy mathematical approach was chosen by Rakesh sir and his experien ce is what I try and articulate. Today like you rightly said sir I joined in September 2012, s o finished about 12 years. Now I speak like Rakesh sir, but he doesn't speak so much in the public is why it is misconstrued that it's my language , point one. Now I will give you a little more tangible answers. This was just a disclaimer. And in 2015 July I was chosen by Rakesh sir to be the Deputy CEO, not from a purpos e of our transition because one of us can die to be honest Six Sigma event, not Six S igma it’s a certainty that one of us will die sooner unless we take the same flight a nd something happens. And so on a lighter note I had a very strong long chat. So Su nil bhai so what I'm saying is why I am a Deputy CEO from last 9 years. My media friends tell me that you are so bad that you don’t get a promotion on a lighter note. I say I don’t wa nt any promotion. So we are two of us point one and not one . I might be doing the talki ng in the public domain. H is brain is significantly more than mine in the business because of he joined in 2007. That's point one. Point two if you look at it our unit heads barring the last four - five hires have been there for more than 12 years - 14 years. My Hyd erabad unit head is taken care by Pro tima who is 17 years. Our Delhi unit head is taken care by Manish Srivastava who is 1 7 years. A dil came with us again co head Delhi . So if you just went the second in line the average period the unit heads have spent is anything more than 11 years , 12 years , 13 years ,14 years.

We've hired three people from Karvy who came in 2015, 2016, 2018 and 2019. So they would bring down the average because they spent some period. T hen coming to the product head who heads this division of 145 people which is the brain in the anatomy . If I have to draw up analogy , Chetan Shenoy who is the Product Head has worked as a colleague of mine fro m the first day I started in the corporate world in 2004 , when I joined ABN AMRO that was one of the first people I met. So we have worked together as a group for really long periods of time like Chetan Shenoy 20 years . My Product Dep

uty Head close to 14 years. So if you look at all the product

top 10 people , I actually have 6 people plus 14 people . 6 people have worked as a colleague to me for at least 14 years - 15 years from 2010 . And the next in line and the product 14 people have spent at least 8 years average. So the only way to pr epare for somebody's absence in unfortunate event is to have near zero attrition both at product level and the RM level. That's what we've tried to do, but you really set us thinking Sunil bhai. W e will try and see if there can be a more cogent plan and I will take this as a feedback.

Sunil Shah: No, r eally appreciate the detailed explanation that you shared with me and good to know the Tire 2 the people working. So thanks for all this. That really puts to rest all the doubts that I had in my mind. Thank you so much, Feroze a real long journey ahead in all aspects.

Moderator: Thank you. The next question is from the line of Viraj Mehta who is an Individual Investor. Please go ahead.

Viraj Mehta: Great set of numbers. Quality an up -up growth for the last 2 years, reaching almost 4,000 great achievement . I have only 1 question, which is any plan of corporate action going forward? There and split - bonus?



Feroze Azeez: Like we said the last time also, the AGM, I quote my Chairman saying that we will surely consider corporate action actually, what was said. And that stands to today as well in the same manner, which was told in the past. But one very interesting data, we made a predictive model to see which the companies which give a bonus are . Maybe if you get in touch with Vishal ji, he can share with you predictive analytics of which are the companies which end up giving bonuses on NSE 500 . We've done some interesting data and any company which has risen has a larger probability of giving bonuses in any company which has given larger bonuses have risen so vice

versa, which is at, I think we can give you.
So I'm giving you an abstract answer, but we have done some predictive analytics in terms of the NSE 500 companies in terms of bonus. Not specific to Anand Rathi, but whatever I heard Mr. Rathi hearing him in the AGM, I'm repeating the same thing, yes, we will consider, we believe in rewarding the shareholder.
Viraj Mehta: Well, thank you. And I get your details from the website, is it?
Feroze Azeez: Thank you, sir.
Moderator: Thank you. The next follow -up question is from the line of Sanidhya from Unicorn Asset. Please go ahead.
Sanidhya: Just to follow up that the number of clients in the H1 FY 25 or say, one full year if we compare from H 1FY24 . What kind of client base that is like in terms of the AUM that they're bringing? In which category do you place and what percentages would you sand INR 50 lakh to INR 5 crores and 5 crore to 50 crore or more than?
Feroze Azeez: Sir, your name I missed again, sorry.
Sanidhya: Sanidhya.
Feroze Azeez: Sanidhya, see how we look at it is the first filter is we try and see whether the client is from our segment. What is our segment is INR 5 crores to INR 50 crores of investable surplus other than the office / home occupies. That's the first step we do. Let's assume Sanidhya balance sheet, apart from the home, he lives in picking across. Then I know the first stigma, but he has the potential to be my client segment. Then I will tell Sanidhya, sir listen to my story and start with INR 1 crores. So you can start with INR 1 crores. This is the same thing, 6 -8 months ago we were starting with INR 50 lakhs, but I think they have come some distance unlike most private banks who say that you start with INR 5 crores, which we think is a little unfair.
So that most of the clients , would be most if not all will be investable surplus is greater than INR 5 crores - INR 7 crores. And below INR 50 crores. We don't like to go af

ter rich people who have got into money just now, unlike most of our friends in the industry do they sold the business for INR 200 crores. They would go to it. We would not want to go to him because I don't want to fight a cost war. And we like to get intergenerational wells and INR 5 crores to INR 50 crores in that segment, starting with INR 1 crores. Does it answer, sir?


Sanidhya: Yes, that definitely answers. And what do you hear from those people what are their aspiration in terms of returns what are they looking for really? Like INR 5 crores to INR 50 crores . I think the best segment in the entire industry , That's my view.
Feroze Azeez: Absolutely. That's a good segment provided I am building a business on the basis of MAT . So if you ask me, what do these clients have? They don't have clarity. Okay? That's why is tag line as uncomplicated. What is happening to INR 15 crores client, if I described. He is distributing a INR 5 crores, INR 7 crores in Real Estate. He's got INR 7 crores, INR 8 crores in financial assets distributed across 3 different financial advisers. One is surely going to be his bank. He is acting like a INR 2 crores client to 4 people.
And that is resulting in people selling him products, which may not suit this need. So what is their first requirement? They don't want it, but the need is clarity of objective. They want something fancy to start with. When we meet somebody, what's new with you? Is the first question. We say, we haven't come for entertainment, we don't have anything new. That same thing has been running for 12 years. Our aim is that your IRRs and your Beta is measured. Today, most of the advisers -- most of the clients at between INR 20 crores balance sheet will not even know th at Beat of their portfolio, right? So what do they want? They want new products, what do they need? They need clarity of objective. They need clarity of mathematics. They need services which are peripheral. We have done about 6,000 - 7,000 w ills, and most of the w ills which we audit are incorrect, even if they are a INR 500 crores will. So we have done 7,000 wills. We've listed down 11 most popular mistakes. They need it, but they don't want it. So we have to create the need before we address it.
So uncomplicated is only appealing to a person whose life is complicated and you open his eyes saying that is any complexity. As seen portfolios you'll be surprised, 100 ISIN s with a Sharpe ratio of 0.1. I've seen 92 ISIN with Sharpe ratio of minus , right? So what do they need? They need some mathematics. And since this segment is filled with professionals, professionals respect mathematics because they have to present to the board so they work with mathematics a little more than a promoter does, because promoter is lesser answerable than a professional. I as a professional and more answerable than my promote r. So that's why that segment is good, and we believe in mathematics. That's why our RMs being introverts, do a good job, because the straight come to the point to the mathematics and does not ask him what you wait last night or how was your golf game.
Sanidhya: Great. And do we do any insurance kind of product?

Feroze Azeez: Yes, sir.
Sanidhya: Do we sell any insurance kind of product?
Feroze Azeez: No.
Sanidhya: Great.


Feroze Azeez: And investment based insurance. Would we have sold some term plans with general insurance to protective house? Answer is yes. Anything which is investment and insurance mix trying to do one or two insurance is not in finance. It's in the context.
Sanidhya: Yes, exactly. Thank you.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Feroze Azeez for closing comments.
Feroze Azeez: I'd like

to thank everyone for being a part of this call. We hope we have tried our best to answer the questions to our ability. If you need any more information, please feel free to contact Mr. Vishal Sanghavi our Investor Relations Head, and Rajesh Bhuta ra, who is our CFO for decades. I would like to extend my good visions for the upcoming festive season and may you have a great decent in and thank you for your time and patience.
Moderator: On behalf of Anand Rathi Wealth Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Jan 2025

Ref No: 108/202 4-25

Dated : 18th January, 2025

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Scrip Code: 543415

Dear Sir/Madam,
Subject: Q3 & 9M FY2025 Earnings Conference Call Transcript

We are enclosing herewith copy of the transcript of the Company's Q 3 & 9M FY2025 earnings conference call dated 1 4th January , 2025 . The transcript is also available on the Company's website at https://www.anandrathiwealth.in/financial.php
This is for y our information and record.

Thanking You,

Yours f aithfully,
For Anand Rathi Wealth Limited

Rajesh Bhutara
Chief Financial Officer
Enclosed: As above




Anand Rathi Wealth Limited
Q3 and 9M FY25 Earnings Conference Call ”
January 14, 202 5

MANAGEMENT :
• MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
• MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
• MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER

• MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS



Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 M FY25 Earnings Conference Call, hosted by Anand Rathi Wealth Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance dur ing the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Feroze Azeez, Deputy CEO of Anand Rathi Wealth Limited. Thank you and over to you, sir.
Feroze Azeez: Thank you, Sejal . Good afternoon, everyone, for joining us in the Earnings Conference Call for the quarter and 9M ended 31st December 2024. We are all joined with our Group CFO, Jugal Mantri, Product and Research Head, Mr. Chethan Shenoy , CFO, Rajesh Bhut ara, Head Investor Relations, Mr. Vishal Sanghavi.
Let me give you a quick highlight of the company's performance. During the 9M FY25, our consolidated total revenues grew by about 33% year - on-year to INR 739 crores and our profit after tax increased by 34% year-on-year to INR 227 crores. We have achieved 75% of our revised revenue guidance as well of INR 980 crores on the revenue side and 77% of our revised PA T guidance of INR 295 crores in the first 9M FY25. Total AUM grew by about 39% year -on-year to INR76,402 crores.
In alignment with our policy of rewarding shareholders , the company has declared a bonus share in the ratio of 1 :1. We have recorded highest ever quarterly net flows during the last quarter in spite of sentiments not being the best. During 9M FY25, our total net flows registered a remarkable year -on-year growth of 69% reaching INR 9,145 crores. Equity Mutual Fund's n

et flows achieved year -on-year growth of about 51% to INR 5,831 crores. Share of Equity Mutual Funds in AUM increased to 55% as of December 2024 as compared to 52% last December 2023 .



We believe that our company's performance is consistent and market agnostic and numbers say so. If you look at the worst Nifty performance after we got listed was Q1 FY23 where Nifty fell 9.6% and last quarter Nifty fell 8.4%. However, for both the quarters, our profit grew by more than 33% on a year -on-year basis. The mean of the year -on-year growth of our last 11 quarters has been 33.8%. That's the mean quarterly year - on-year growth we have shown. The median is 34% , which implies that we have almost produ ced a normal distributed curve and the standard deviation of the growth number which I'm sure is something very unique. Most companies don't compute this. We are very possessive about trying to keep consistency as one of the attributes for our shareholders' benefit. The standard deviation is as little as 4.3%. Our quarterly results growth on a year -on-year basis mean is 33. 8%, median

is 34% and the standard deviation is 4.3%. I'm trying to emphasize this a little more because with the limited articulation s kills I possess, I wanted to make sure that it gets registered in the listener's mind.
In our flagship private wealth business, the first 9 M FY25, we added 1,515 new client families on net basis, bringing our total number of client families to 11,426. Client attrition rate in terms of AUM lost for the 9 M period was as little as 0.28%. Ideally, this client attrition number, we would like to see it as zero because every human being should be satisfied with our services. That's an aspiration which we try to always aim for. But nevertheless, 0.28% is a smaller number relative to what industry see s.
We have added 61 new relationship managers on net basis over the past 12 months, bringing our total RM count to 383. In the last quarter, we have achieved near zero regret RM attrition. We have lost one RM who had an AUM greater than INR 40 crores, which we call regret attrition. So over the last six quarters, this is the first attrition. So 5 previous quarters, we had zero regret RM attrition. And the last quarter, we had one RM who left -- who had greater than 40 crores of assets, which we think is the threshold to cross the bridge of wealth management. 

Digital wealth business, which is a B2B2C platform, registered an AUM growth of 23% year -on-year to Rs 1,827 crores. The number of clients increased 24% to 5,772. The OFA business, Omni Financial Advisor business, which is abbreviated as OFA, which is a SaaS platform, has 6,273 subscribers with platform assets of INR1.4 lakh crores at the end of 9M FY25.
Now I would love to hand over the call to Jugal Sir, who's our group CFO, to take us through the financial performance. Jugal Sir, it will be great if the audience could hear you.
Jugal Mantri: Thank you very much, Feroze Bhai. Good afternoon to everyone. And wish you all the first festival of the new calendar year. Happy Makar Sankranti . Happy Pongal. Happy Lohri to all of you.
First, I will speak about Q3 FY25 consolidated financial performance. Our consolidated total revenue for the Q3 FY25 stood at INR 244 crores compared to INR 187 crores in Q3 FY24, registering a healthy growth of 30% Y-o-Y. The trail revenue was INR 109 crores in Q3, registering a strong Y -o-Y growth of 52% from INR 72 crores in last year's same quarter. Our profit after tax stood at INR 77 crores, registering a 33% Y-o-Y growth compared to INR 58 crores in Q3 FY24. Profit after tax margin for Q3 FY25 was at 31.7% as compared to 31% for Q3 FY24.
Now I will take you a

ll through first 9M FY25 financial performance.
The revenue for 9M FY25 stood at INR 739 crores compared to INR 555 crores in 9M FY24, registering a 33% Y -o-Y growth. Mutual fund distribution revenue, which is the trail revenue, registered a strong growth of 63% Y -o-Y to INR303 crores in 9M FY25. Profit after tax also grew by 34% Y -o-Y to INR227 crores for 9M FY25 compared to INR169 crores for 9M FY24. Profit after tax margin was 30.7% for 9M FY25, improved from 30.5% for 9M FY24. Return on equity on an annualized basis stood at 44.8% for 9M FY25.
This is all on the financial performance front. Over to you Sejal for the next session of question and answer. 

Moderator: Thank you very much. The first question is from the line of Bhavin Pande from Athena Investments. Please go ahead.
Bhavin Pande: Congratulations, team, on a wonderful set of performance . Happy New Year and greetings of Makar Sankranti to our entire team at Anand Rathi . My first question was around operating margins. We can see that

at least for the past few quarters, our operating margins have been highest. So the term that we all were looking for a few quarters back, operating leverage, has it started kicking in somehow?

Feroze Azeez: Yes, Bhavin, good morning. Thank you for your question. See, of course, there's some degree of operating leverage which has kicked in. But we as a business believe that we have a target of 40 %-41% of PBT. If operating leverage kicks in, we are going to reinvest that to ensure that this kind of growth which we have shown for the last 13 quarters after getting listed, or for probably 14 years since we've started this business, continues for longe st periods of time. To answer your pointed questio n, as a shareholder, you expecting a larger operating leverage is not something I would like to create as an expectation for you, because we are still scratching the surface in this business, and we believe in a life cycle of a business.

In the initial part, you reinvest to make sure there's longevity to growth rather than efficiency in terms of operating margins. Does that answer, Bhavin. I'm very diplomatically trying to answer because I don't want you to create an expectation of our operating leverage, in spite of having seen it for the last 1 or 2 quarters.

Bhavin Pande: No, no, I was just trying to get a brief perspective. Second thing, Feroze , on the macro front, all the high -frequency indicators are sort of manifesting themselves into a delayed rate cut cycle, which brings me to our structured product, where one of the ideal scenarios is high interest rates, which, in my opinion, might prevail for a while. So how are we looking at that ?

Feroze Azeez: Okay, higher interest rates. Okay, perfect. So firstly, from a structured product standpoint, unfortunately, I have to get a little technical. See, ANANDRATHI



what happens is, in a structured product, firstly, the NBFC, which is our sister company, which is Anand Rathi Global Finance, does not borrow at aggressive rates at all. The implied costs of borrowing in those products are going to be very low because why am I calling it the implied cost? Because if there's optionality, a person can't just optically decipher what's the borrowing cost. The implied borrowing cost could be with a spread of not more than 1% with the G -Sec of the corresponding period. If that's the kind of low margins vis -a-vis G -Sec, NBFC borrows at, because the money has to be kept safe. So there's hardly any headroom for a reduction in interest rates. Having said which, when you actually embed a derivative, there is some degree of neutrality to interest rates. What happens is, the derivatives are priced as per the rho

of the
derivative, by which I mean the carry cost also comes down. So if interest rates come down in the structured product which we design, which are put spread sell, and that's how you express the long position in the derivative side, the cost of carry also comes down. In fact, if the repo rate comes down, the cost of carry, which is nothing but the roll cost of the futures or the synthetic futures market, reduces. So let's assume, if I have to try and make it a little more simpler, if there's an interest rate reduction of 1% on the NBFC side, if at all, which is hypothetical, then the r ho, which is nothing but the 1% reduction of the carry cost also comes down. So there is a rea sonable amount of neutrality between the row of the derivative and the interest rates of the NBFC, which are there in the product.

Bhavin Pande: Okay, I understood.

Feroze Azeez: Because your roll cost decreases just like the repo rate decreases . If repo is at 6.5% and it was 4.5% on 3rd April 2020, after COVID, it was brought down . From there on, roll cost would be higher because the repo is higher. So in fact, this is very good news if repos are brought down, 10-year G -Sec isn't going to move down. Because today, India has seen the flattest yield curve in the history of at least me being born. So the point I'm trying to get to is, a reduction in interest rate may not reduce the interest rate borrowing cost but can definitely reduce the roll cost. ANANDRATHI

Bhavin Pande: Okay, okay. And Feroze , so flows numbers, they have defied the odds to a larger extent. So how do we look at the contribution? Is it more of an increased wallet share from existing customers, or new families have also contributed equally?
Feroze Azeez: In fact, both, sir. If I have to answer your question, see, let me not answer it in the typical way an analyst is given an answer. I am just going to tell you, conceptually, what happens is bad markets make us look better. Because we run a model portfolio which has a beta of nothing greater than 0.6 - 0.65 with Nifty. Whereas people in good times also plant several aggressive strategies. When the tide turns, then the risk fructifies. So the point I'm trying to make is, bad quarters collection is generally given . When there is a headwind in the industry, I get a tailwind. Because somebody's win is somebody's loss. That's how you distinguish between a good and a bad advisor. And if you go to the first quarter of this financial year, nobody optically, if you showed him five statements, nobody would be able to decipher who was the best. But in a quarter like last quarter, risk adjusted return is apparent to naked eye. So bad qua rters help us similarly to what happened about 4 or 5 quarters back when the markets were bad.
Now coming to, is this penetration on new clients . In fact, we tried to increase our threshold of onboarding a client. We were first okay to accept INR 50 lakhs, now we accept only INR 1 crore, at least for new clients whom we add. In spite of that, we started seeing that people are ready to give us larger money than we were hesitant to ask them. So that has created some degree of fillip . And I think wallet share increase and the mathematical way we are trying to establish. Now, for example, if someone wer e to come and tell me, why do I do mutual funds with you? I take his 10 -year transactions and show him. If he just followed my model portfolio, which is audited by one of the Big Four's and also in the public domain, if he followed, how richer or how poor would he be? That's why in spite of giving no discounts, we've been able to collect INR 800 - INR 900 crores in equity mutual funds for the last quarter (monthly average) . And that should continue. I'm sure that's what you ANANDRATHI



want to know. And I think it'll get forced. Meaning , it will increase , the rate at which it increases. So the acceleration will be higher, not just the velocity.
Bhavin Pande: That's great, Feroze and pretty much encouraging. Good luck and congrats again.
Moderator: Thank you. The next question is from the line of Nemin Doshi from Geojit PMS . Please go ahead.
Nemin Doshi: Hi, team , and congratulations on a great set of numbe rs. Firstly, I just wanted to get some idea as to how are we seeing our SIP flows increasing from a quarter -on-quarter basis? How has this trend been shaping for the current quarter as to are we seeing any redemption pressure or there have been an increasing volatility, as you mentioned? So how are we seeing trends over there? And secondly, with respect to our digital wealth platform, what are the various initiatives which would be driving this business ahead?
Feroze Azeez: So when it comes to trends , in our business we try to make sure that we are not trend dependent . Firstly, because you're speaking to the same 11,467 families, we first spend a couple of years for them to think like us. So we keep designing their mind to long -term, to prepare them to fall. See, if I try and prepare a person for a fall when the fall is happening, It will look like a justification. So we prepare them, and we take the cheque . That stands us apart.

When I am taking a check of INR 10 crores, I will tell him, Sir, remember, the market gives a 10% -15% drop every year. If you don't have the preparation in your mind, then please keep this cheque in your drawer. This is how we try and prepare them before the fall. So coming back to the most important question which you asked, how do we see this trend? We see this trend; we are putting in effort for a 30% - 40% growth in net mobilization rate. So if we have collected INR 3,500 crores this quarter, I am just simply rounding it off. I would like to see INR 4,500 crores - INR 5,000 crores for the same quarter next year at least. When I model my business to get to INR 2 lakh crores, I will 

model only 10% to 12% increase in the net mob ilisation . But am I preparing for a 50% increase in net mob ilization every year for the next three years at least? The answer is yes. Will I achieve that? Only God knows. Will the effort be there? I am sure so.

Nemin Doshi: Perfect, perfect, perfect. Thanks.

Moderator: Thank you. The next question is from the line of Krishna Raghavan, who is an individual investor. Please go ahead.

Krishna Raghavan: Hi, thank you. Hi, Feroze . Feroze , we have a substantial investment in your stock, close to six digits. I don't mind holding it forever, but off late when I look at the valuations, it's significantly higher compared to an HDFC AMC, or a 36 0 One . So I am a little tempted to keep looking at it very often. So I am just trying to understand are these deep valuations justified?

Feroze Azeez: See, market gives you valuation. When it was at 13 P/E, some analysts told me that I am very expensive. Now, when I am 13 P/E, more than the next second best in terms of valuation, I am still expensive. Mr. Krishna, let me answer this question, not as a part of the company, but as a shareholder. See, I personally think markets always discount future and not present. So there are 4 - 5 things which stand us apart. In fact, there was one report which came last week, which was comparing 12, 13 bu sinesses across wealth management, asset management, in India and globally. One thing which I was happy to note on the two X and Y axis, Anand Rathi stood out. ROE was the highest out of those 12 - 14 businesses which were listed on that graph and PEG, PEG, which is P /E to the per unit of gr

owth, how much PE are you paying? It was 0.8 in that report. It was one of the reports. It is Ventura report if I am not wrong? So I don't know.

So what I am trying to get to is, Krishna, one is PE. If you look at PEG, I look at PEG as a shareholder. PEG is less than one, which I think is okay. But from a more business standpoint, there are 3 - 4 things which stand out. Attrition in a people's business being near zero is something so unique. So whatever P /E you want to attach, market wants to attach, 

it is okay. But people say I am a people's business. So in a people's business, if people don't leave you, if somebody is tempting you with them with 100% rise, there must be some reason why they won't leave. Because the client gets the best risk -adjusted return, right? If you measure the Sharpe ratio of my client for the last 10 years, take the top 100, I would be reasonably confident with the significan t levels of upwards of 90% that there would be very few Sharpe ratios on wealth management industry, whi ch would beat my average of the top 100, vis - a-vis any other wealth managers top 100 class. So that's why attrition is low. That stands out, I'm just trying to highlight.

No new product launch, okay? We have not launched a new product. Like we've done the same old product, 1 ,000 times, 1 ,500 times, the same structure product. So no newness and business continuity is something unique. Generally, even if somebody is manufacturing cars, he launches a new car and then the revenues go up. Maintain , same products, trying to put the business on autopilot stands unique. Does it deserve any incremental premium valuation? I don't know. Only market knows and you know.

The third is consistency. It's something which is so unique, I think, because I was looking at how results of other companies swing between plus 30 and minus 10 and plus 20. We have delivered mean, median of 33% and 34 % for 11 quarters, which if you did for the NSE 500 companies, which we are a part of, you'll be surprised. How many fingers would you need to count that kind of low volatility in growth numbers? That's one. Agnostic market results. Most people I speak to in the industry say, you are financia l services. The market has gone, you have gone. The market will sit, you will also sit. So last quarter, the market sat a little, but you didn't sit. So we're giving agnostic, market agnostic results unique for a financial services business. That's why our stock has delivered a 0.42 beta because it's a little more market agnostic. These are some of the reasons which make me feel happy about. Does it justify any premium? Maybe discount? I don't know. But I can just tell ANANDRATHI



you as a shareholder what I see unique in this business. If I have added a few lakhs shares after it has got listed, this is what I saw.

Krishna Raghavan: Great. That's comforting. T hank you, Feroze.

Moderator: Thank you. The next question is from the line of Man an Ashar from Growth Sphere Ventures . Please go ahead.

Man an Ashar: Hi, sir. Congrats for a great set of numbers. Sir, I just had two questions. The first one was from the passive fund industry perspective. So when we see the passive fund as an industry, how is the industry trend currently basically shaping up? Because we are seeing a kind of efficient market in terms where everything is getting priced in and there's a lot of effort which is basically pushed from analysts' side. So how do you think the active versus passive fund industry will compete and how th e industry will shape up in the future going forward from here? Basically in terms of competition against active mutual funds and active products that we provide to our H

NI families.

Feroze Azeez: So I personally think the trend from an industry standpoint is clear that the ratio of passive will go up. If you are speaking about smart beta strategies, some people will get wrapped on the knuckles for smart beta strategies. Because everybody has back -tested them. Nobody has used Monte Carlo simulation to front -test this. And I have tested some beta strategies, smart beta strategies using a simulator. So point is, will the industry gravitate towards passive? The answer is yes. Because most of my competitors believe in low -cost, low -value strategy. But let me now come to Anand Rathi Wealth Limited. We don't do anything which is trend -based. I have not sold an NFO. I have not sold any other product than mutual fund and structure product. That was not the trend. I have never touched an unlisted stock. You will not find one direct code client of mine. You will not find ETF more than 0.2% or 0.3%. It is different if someone has bought using my code. So Anand Rathi Wealth and industry may not match.

So as a shareholder, I am just giving you, my disclaimer. If you are trying to derive Anand Rathi Wealth - margin, business, strategy, ANANDRATHI



product offering, client benefit, from the market trend, history has proven that they may not be matching. So that's one thing. So industry will move towards passive because quite a few people don't want to spend energy in talking too much and taking what comes their way. I personally think last two years, if you look at passive, 80% of the AUM is between Nifty and Sensex. Let's as sume all the money in passive, which is about 200 odd funds, all of it belong to one human being. And all the money, which is th ere in 431 active funds, belong to one human being. Who did better? You'll be surprised. Active did better because AUMs of passives are not in NSE 500. NSE 500 is an academic index because the smallest stock will never be able to absorb all the INR 50 lakh crores of AUM, which will go into equity. So to answer your point of question, you will see more passive in the industry. You will see no passive in Anand Rat hi till data emerges that my client will be benefited either with a reduced risk or an increased return.

Mann Ashar: Sir, but from the industry standpoint, when we see US, basically bifurcation of active versus passive is approximately 60 %-40%. And in India, it's still 85 %-15%. So how do you see the numbers panning out going forward? Do you have any internal estimates? Or how do you see or how do you envisage the industry of active versus passive in terms of your products or in terms of industry as a whole?

Feroze Azeez: See, I personally think US has two things which are very unique. One is US throws up more standard deviation than India. I will tell you why in my opinion. But coming back, US has become a valuation agnostic market. Because if you go passive, passive respects momentum. That's how indices are created. The top five stocks of either NASDAQ, S&P or Dow Jones , you will see --because if there's index fund investing, there's more money coming in. If there's more money coming in, there's more valuatio n. If there's more valuation, there's more weightage. If there's more weightage, there's more money coming in. So it's like that doll with the key. You've tightened that. That's how it is. So valuation agnostic market is what US has turned out to become. So passive has this collateral damage to a capital market that valuation and business 

models will have lesser respect momentum and price will have more respect. That's one thing which stands apart.

Second, if you ask me the ratio, India will get there. But it will be ironical, and I will b

e saddened if India got to those ratios because a passive fund guy will buy whichever stock has the maximum weightage, irrespective of whether the price at a 100 P/E or 2 P/E, right? And I had be sad if we go to the US way in Indian equity markets.

Now coming to the point of why India is throwing up. People say India has more volatility. This is what I am crying about as a derivative person, that volatility in India is lower. If you go from 22nd March 2020, which is when NSE brought in a circular which limited shorting in India . I think because there are quite a few financial services professionals here. I am just trying to bring your attention to one of the most important circulars. After that, S&P 500 has thrown up 18.6 standard deviation on a daily basis and Nifty has thrown up 18% standard deviation. In spite of S&P 500 representing 50% of world's market cap, throwing up a more standard deviation than Nifty, which is 4% of world's market cap is because of that circular which ideally was one day before the lockdown. I am just trying to create curiosity for you to read that circular up. You can't short more than 500 crores in Indian market. So I am very positive about Indian markets because it's a more investor -friendly market than a speculator -friendly. When real estate you can't short, why should equity, which is another growth asset, have unlimited shorting capability? That's why if somebody today, any of us have INR 4 lakh s in our account and I want to buy a Thursday put option, the last one, which is INR 1, you will not be permitted to spend more than INR 2.5 lakhs of premium on buying that because you will beat the INR 500 crore s notional, Nifty being at 23,000.

So coming back to your pointed question, I see passive happening, but I think Indian markets are going to be very different. They're going to be different because of this circular becoming tightened from 1st of April.

And i f the circular was supposed to be withdrawn, I won't bore the group 

with that circular being highlighted, but on 1st of April, this will become an intraday circular from a day -end circular, which will make the markets more stable.

Man an Ashar: I got it. Sir, one of the discount -broking houses has recently entered into passive funds and are aggressively distributing as well. They have also basically got a significant AU M and are going towards AMC. How do you see the competition shaping up from that direction? Because those guys have already figured out the distribution side of the products.

Feroze Azeez: I am not too worried about competition because if it is good for my client, I will embrace it. And I know how to, as a business, add enough value in a business where the best and the worst equity fund has a performance difference . For last calendar, if I'm not wrong, 42%. If I want to earn 1% in such a dispersed universe, then I think even if I go passive, I will be able to charge that from the client. So it doesn't bother me, but competition definitely makes us become more mathematical and because if I have to say no to passive, I need to have a story of mathematics rather than English.

So if you see, why did INR 800 crore s get collected when passive is taking most of the share? Now if you see, sectoral funds took the maximum share last year. If you look at INR 15,000-INR 16,000 crores of sectoral inflows in the last month of December, AMFI number says. I am not doing sectoral, I didn't do NFOs, but I still sold something as mundane as the same 14 schemes to everybody and that to o rich people who don't like standardization because it makes them feel that they're not as big as they are.

Man an Ashar: Got it, sir. Okay. It means, you are not very worried about the competition coming from that trend?

Feroze Azeez: I am waiting

so that I can get a little more mathematical than where I am today.

Man an Ashar: Okay, got it. That's it, sir. Thank you so much. All the very best, sir. 

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities . Please go ahead.

Lalit Deo: Yes, good afternoon, sir. Congrats for a good set of numbe rs. So, sir, just two - three questions. So one is data keeping. So mostly in this quarter, what were the flows, both primary and secondary, in our structure product ? Second, given the market conditions, when the markets look weak, then how do we see mobilization on both fronts ? Like while the flows in equity are not so great, how do you see the flows in the structured products in the next one year or so?

Feroze Azeez: So firstly, Jugal sir will be the best person to answer.

Jugal Mantri: So as far as concerned with the mobilization in the primary issuances, this quarter, there was INR 1,347 crore s were mobilized in non -principal protected structure product, which was like last year comparable. It was INR 1,231 crore s. And as far as concerned with the secondary structure product, it was INR 589 crores in Q3 FY25 compared to INR 427 crore s Y-o-Y. And if we look at the 9M FY25 number, then it was INR4,630 crore s primary against about INR 4,000 crore s in 9M FY24 . And secondary was about INR 1,546 crore s against INR 960 crore s.

Lalit Deo: And the second question was on the flow side in the structure d products, like over the next 12 months, like how should we see given the markets, the behavior?

Feroze Azeez: Okay, shall I answer this Jugal sir or you want to take it?

Jugal Mantri: No, no, you can continue.

Feroze Azeez: So the flows will be good. Owing to the fact that quite a few analysts were worried last year saying that this year there is no maturity. How will they survive? How will there be growth? So next year again, since we had moved from 3 year to 5 year in the year August 2020, if I am not wrong. So this was a lull year of maturity. So next year again, those maturities start happening. 

So if you look at my gross mobilization, which is maturity plus my new clients - new business and some degree of realignment, all three buckets can fire. Last year means the year which we are sitting in, which we have 9 months gone by. So I think next financial year I am more positive because all the three cylinders can fire. This year, the main cylinder was not there, but still God was very kind. So we have got some growth numbers, which we had projected and realigned.

Now come to the second part is that we are adding more clients with a larger size. See, when you add a new client with INR 50 lakhs, because INR 1 crore was the minimum for structure -- is the minimum for structure d products, the new clients couldn't subscribe to structure d products, to their underlined portfolios. After we said that we want INR 1 crore, people have started giving us INR 2-INR 2.5 crores.

So new clients also now have the capability with our little push of minimum thresholds being higher, to begin with structure d products. So my three cylinders, new clients structure d product purchase, maturity and some degree of realignment, all have headroom. So I really pray to the Lord that whatever guidance we end up giving in the next quarter, we are able to again live up to that DNA, which we have under commit over them.

Jugal Mantri: And what, Feroze bhai, you said that we have been like, it is based on the advice, normally what happens that it is targeted that the client should hold between 25 % to 30% of their AUM into market link debentures. So as long as we are confident in the AUM growth,

this will
have the consequential, similar positive impact on the mobilization of MLD also.

Feroze Azeez: Absolutely. Thanks, Jugalji. This is the main point, actually. The sub point is what I spoke of.

Lalit Deo: Right. I just wanted to have some of that color on the equity and the flow. So like in this quarter, we have, like on a sequential basis, we have done very well. So just wanted to understand like, how should we look at this next flow in the equity mutual fund over the next 1 year as well. 

Feroze Azeez: Our net flows, so you would see some degree of staticness in our net flows. So in the sense, if we are collecting INR 800 crores, last quarter, how much did we collect equity flows?

Jugal Mantri : INR 2,700 crores.

Feroze Azeez: INR 2,700 crores. About INR 850 - INR 900 crores, right. So will that be the rate at which we will collect the money? Yes, because we have promised people, not promised, promised is a very strong word. We have indicated that our aspiration is to take our market share to 4% in the total AUM. For me to have a market share of 4%, there are two things which influence market share. I should collect at a rate greater than the industry's rate of collection. And my model portfolio should perform bette r than the average performance of equity mutual funds.

Correct? So if you see our model portfolio of 14 schemes has beaten Nifty by about 7.5% - 8% till day before yesterday in this financial year in absolute terms. So that gives me more market share in AUM. So to answer your pointed question, will the thrust continue? The answer is yes, because we have tried to have a desire to get to 4% market share in the next few years in Indian mutual fund category three as per AMFI .

Lalit Deo: Sure, thank you.
Moderator: Thank you. The next question is from the line of Srinath Sridhar from Infinite Financial Services . Please go ahead.
Srinath Sridhar: Hi, thanks for the opportunity. So when you mean by take your market share to 4%, so currently it's around INR 42,000 crores. So out of a 30-lakh crores equity mutual fund basket, so it's around 1.4%, right? So by when do you target to achieve a 4%?
Jugal Mantri: Mr. Sridhar, I think you have got the old number. Currently our mutual fund AUM is about INR 46,000 crores. To be precise, it is INR 45,875 crores. Out of this INR 41,738 crore is in equity mutual fund.
Srinath Sridhar: Right. So overall industry is around INR30 lakh crores, right? 

Feroze Azeez: Yes. Sir, we are speaking of the active. So category three, how many are there, Vishal? So irrespective, so whatever be the... Of course, it's a very uphill task because we are only 383 people and there are lakhs of people in the ARN, right? We just one ARN with 383 current representatives. We are the private banking business. But I think what is happening is, people are, at least in our industry, are moving their monies to AI Fs, long only. But we are speaking to mutual funds.
As of now, our market share is 3.37. 1.37, sorry, 1.37. Beginning of the year, how much was it? It was 1.29 right? So it will be a sticky number. A couple of years back, it was 1%, 1.01 %. So I don't know, it might take a decade. It might take a decade and a half. It might take 5 years. But yes, that kind of periods, I don't k now. But that's the aspiration.
So first, to get that, I at least need to have a - my market share in NetFlow is 4.8% without SIP. So before reaching the net share of AUM, I mean, in my net, if industry is collecting 100, should I at least start collecting 4-5? That's what we are...First step was that. So don't know, sir, 15 years, 10 year s, but that's our aspiration.
Srinath Sridhar: Right. So my o

ther question is, on the M F trail, so you made around 0.74% last year, in the 9 months in the last year, and it's around 0.88% this year. Can you just explain that increase in MF trail in the current year? Is it just due to the increase in the market gone up, so AUM has gone up? Have we moved our model portfolio to smaller AMCs where the trail is higher?
Feroze Azeez: No, sir, we don't do anything. No, smaller AMCs or smaller schemes because it is at scheme level still. There was a circular last December, but that didn't get implemented. So AU trails are or expenses are scheme dependent, not even AMC dependent that is point one. Point two , you might be dividing... My model portfolio, 14 schemes, I can tell you as transparently as it could get, 1.09% post -GST is my trail. If I brought in a crore, I earn INR 1,09,000 post -GST in a year. If there was no market movement up or down. 

Now what you're maybe calculating my yield is on the basis of the year end or the quarter end number. And trails are calculated on average assets per AMC. That's our 1.09 is what is our trail. That's the stated trail. Of course, markets could move up and down and some degree of -- pardon me for a tolerance of 2 paisa this way, that way.
Srinath Sridhar: All right, got it. Thank you.
Moderator: Thank you. The next question is from the line of Nihar Dave from IIFL Capital. Please go ahead.
Nihar Dave: Good afternoon, everyone. So my question and apologies if it's already been asked. My audio is a bit spotty, so I may have missed it. So what is the gross inflows into structured products for the 9 months and this quarter?
Jugal Mantri: The 9M we have shared with you, it was INR 4,630 crores in primary

compared to INR 3,994 crores last year. And for the quarter, it was INR 1,347 crores compared to INR 1,231 crores last year in primary.
Nihar Dave: All right. Thank you very much..
Moderator: Thank you. The next question is from the line of Arman from Blue Sky Capital. Please go ahead.
Arman: Good afternoon, everyone. Just a simple question to Feroze, sir . Something which you emphasize, I guess, never been answered or more color have never been put on , is that Standard Deviation part which you told which is quite exceptional. If I see just the 5-year standard deviation of Nifty itself is around 18 % to 19%.
And you said about their mean to standard deviation is just around 4.3%. So what does make us so exceptionally outperforming in this kind of that we can give consistent return with such a low standard deviation? What does make us that we consistently deliv er quarter after quarter for 13 quarters in spite market volatility, despite Nifty moving here and there, we consistently deliver this kind of standard deviation. 

Feroze Azeez: So let me clarify again. So I think, sir, I missed your name. Arman. Arman, so when you look at any number, any variable, you can calculate the standard deviation for. Correct? Yes. Like Nifty has a standard deviation, like you rightly said, it has thrown up a daily standard deviation of 18. And client's portfolio standard deviation is a separate topic. That's not what I alluded to. If at all, I was misunderstood. If at all, I'm just saying .
Now coming to the quarterly results, which we have given. So the first two quarters were a COVID based. So we ignored those COVID bas es and tried to see how much we have grown year on year for a quarter s. And there you would see that we sometimes do 31%, sometimes 32 %, 33%. The worst one I could see was. I'll just try and explain it to you. So bear with me. So when I say that 4.3 is the standard deviation, it is the standard deviation of these numbers, which I

am now going to read out to you.
Q4 FY23, we grew by the worst after we got listed, which was 23.4% year on year growth for that quarter. Okay, like that, if I look at all the quarters, like Q1 FY24, we grew by 34%. Q2 FY24, we grew by 34.3 %. So if I look at all these quarterly growth, 11 data points are very few in a listed company's life. As time progresses, this will become more meaningful data. So we have grown 33% average, 33.8 %, median is 34%. And this 4.3 is nothing but the standard deviation of these 11 data points. Yes, right. I'm just trying to make sure that nobody misunderstands me. So does it answer? Why are we able to do that? Now, let me come to the actual question.
Arman : Yes, that was very clear. That's why I'm telling, because in this 11 quarter or 12 quarters or 13 quarters, which is the data which you are telling about, this is, if we see just Nifty or maybe any other listed companies in the same business, that will be, I'm sure a few of the companies I have read, they are more than 15%. So that's what makes us exceptional. So what we are doing exceptionally well in spite of doing the same work which everyone else is doing. 

Feroze Azeez: Everybody has their uniqueness in their own right. Okay, right or wrong? Okay, I would so now , let me tell you why. There are two things. One is this business has a huge advantage , where I am speaking to the same 11,467 people quarter on quarter. If I was selling a commodity, which was hard, whether it was a physical commodity, phones, cars, I would be speaking to about 11,000 different customers every year, every quarter. So that's one huge benefit in this business. Now, do you

capitalize on that benefit is a separate story.
Second, if you adopt a portfolio approach, not a product approach, then like Jugal sir said, it's an allocation, right? I don't have to resell the same thing. If a person has decided to put 65% in equity mutual fund, 35% in structure, I don't have to again every month go and reinforce that, right?
A client I have whom I am a relationship manager myself. I manage about 19 clients as a relationship manager apart from whatever else I do in the company. I don't have to even have a conversation with them. There is a maturity, it gets reinvested.
So if I was going to build this business on new products, then I have to explain him an art fund sometime, I have to sell him a wine fund sometime, which I did in ABN AMRO unfortunately. So this business has been built on portfolio level management rather than product level innovation. So that is the key reason why same set of people, convince them on a portfolio allocation and then just manage it. You don't have to resell the same thing. So that's one of the key reasons or the only reason. And then you do n't have a leaking bucket, right?
You don't do RM attrition, then clients will not leave. Client attrition is 0.28, RM attrition in 1.5 years, 1 person that also is a cleansing. I will not get into that, but people have to fit into my culture. If they don't fit into my culture, then I would let them go irrespective as a company, not as Feroze . I may sound pompous; I would let them go. I mean ARWL whom I'm speaking for.
If there's no cultural fitment, commercial attractiveness doesn't lure us at all, right? So these are some of the reasons, no leaking bucket and 

portfolio level management to the same set of people, you don't have to re-market. If am launching one structure d product for the 2 ,000th time, do I have to again explain in the future? The collateral benefit of the marketing to the same person at the fourth maturity. Fourth maturity is 30 seconds. 30 seconds are spent on email. So I am try

ing to cascade the
marketing benefit by not being overly innovative at the product level.
Arman : Got it. Thank you.
Feroze Azeez: I tried to c apture the essence. I know longish kind of answer.
Arman : Yes. Thanks a lot.
Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.
Sunil Shah: Thanks for the opportunity. Congratulations, Feroze and the entire team at Anand Rat hi for such wonderful performance. Great, good to always hear you on a quarterly basis on the minimum side. Feroze, one data point that you shared, which was 4.3 standard deviation, which is about the profitability growth rate. That's really very, very impressive. And as my previous colleague also shared, so that's really very, very positive thing to know.
And we always want to ask for more. So perhaps we could also do a study on the net profit margin as well and the standard deviation around it. So that would also be one more important message to communicate that not only the growth rate is secured and positive , but also the margin is pretty intact. Lastly, from a shareholder's point of view, the ROE ratio as well. So if the return on equity is also having a very low volatility, that also would help. We can also do the calculation at our end. Perhaps an exercise from your side on a quarterly basis would help us immensely. So a soft request on that. That was one point.
Second is on the clients. We have almost close to 11,000 odd families or clients that we address to is what I understand. Is that correct?
Feroze Azeez: Yes, sir. 

Sunil Shah: So how about now tapping the global markets? India has arrived and we have done that. We have faced volatility, everything. The ticket size that we are now talking about INR 1 crore in the domestic market could be significantly higher in the global market. And we have a track record which is so phenomenal of generating wealth for clients. So any thoughts around that? Are we looking at that as a market for the next leg of growth? Anything that you could share with us?
Jugal Mantri: So Sunil bhai, we have got a very large presence in Dubai where we have got a full -fledged rep office. And in the board meeting concluded yesterday, it was proposed and decided that we are going to form a subsidiary in UK to kick start and explore the weal th manage ment opportunities in UK.
So, though it is going to take 6 to 9 months to have the subsidiary come up and it gets incorporated, but there is a plan that having successfully settled and come to a stage at Dubai, let us go out in other market and explore the same. So the plans are already approved for the same.
Sunil Shah: Sure. So Jugal sir and also Feroze , now that the Gift City window is also opened up to serve the global clients and where we can also save on the tax side. So anything there where we can have a PMS or an AIF, which can then indirectly invest also in the mutual fund industry, meaning PMS or AIF, my guess is PMS can certainly do that to invest on behalf of the clients in the mutual fund industry, which will still further up our share of 1.15%, 1.2% , to slightly higher and save on taxes as well. So just a food for thought, just something to think upon or work on that direction or have we evaluated such an opportunity? Can I understand that better?
Feroze Azeez: Yes. Firstly, let me promise you that Vishalji has taken note of the analysis you needed and we will try and produce that on a quarterly basis or at least Vishal sir, you know Sunil sir, right? So we will send that to you. Second, I think just a comment on the positive comment you gave. I think we deserve to give, we are duty bound to try and be as consistent and predictable to a shareholder. That has always been our aspiration. ANANDRATHI Private Wealth. uncomp

licated



So we're trying our best to keep this standard deviation low because I think equity investor should have a little bit of predictability. I agree that FD's return is 7% fixed, second decimal. Equity, we have tried really best and we promise, one thing which I want to assure you is with our effort to bring in consistency is going to always supersede super normal growth in a few years, right? You can grow 70% but it's okay, but you have to try and bring consistency. That is what Rakesh sir, who is our profess ional guru has always guided us saying that become a little predictable, that's where it comes from.
Coming to the ROE and margin bid. Margin, Rakesh sir says that he is not on the call. So let me articulate his mandate to me as one of his direct reports. He says, PBT should not be less than 40 % and PAT should not be less than 30%. There we are not too worried about the volatility, but we are very much worried about the benchmarks. It should not be less than this. Even if 44 becomes 42. But that's the key mandate which is given to me, and I try my best to not disappoint my boss, which is Rakesh sir. So that I thought I should highlight. Definitely this volatility numbers will be computed. Jugal sir has answered that about UK market .
Now coming to Gift City, we have this litmus test saying that, if someone else can do it for us, then do not do it. W ith that, so in the Gift City thing, I am talking to a couple of very - very good friends in the industry who run a couple of large asset management companies and if they have an AIF license already there, I will not try and be so possessive about hav ing an Anand Rathi AIF license.
We have an AIF license, the normal AIF license, which we have so far not used it, but that's a backup product testing platform yet. So yes, sir. We are thinking ahead. Especially what you mentioned, the tax benefits at a subsidiary level, those are also being explored. But since you have

asked, we will work a little harder. To be honest, I did not work so hard,
I just explored.


Sunil Shah: Sure, sure. Great to hear that. Just my two senses on what we can do as investors or you people running the company to be better. That was the only idea there. That's just food for thought.
Feroze Azeez: Very useful.
Sunil Shah: Sure. So thanks for the opportunity. And I am done. So operator can move to the next question.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.
Prayesh Jain: Just one question on if I divide your distribution of financial products revenue by the AUM of the non -PP SP AUM, right, the yield seems to be dropping consistently. OK, now, how do I look at this? And why has this decline d?
Feroze Azeez: Firstly, let's take the hypothesis whether my yield is declining consistently. That hypothesis might not be true if you divide it by the average assets. Not quarter end assets. Because market if it runs up, then AUM is a picture, means one click, right, at the end of the quarter. Profit is a movie, right? So movie will have to be compared to the movie. So my yield doesn't drop because we don't give discounts on yield. Even if the client gives INR 1000 crores, I don't give even one paise discou nt on mutual funds. You won't get a single application.
So yield of our structure products which have matured, if you calculate the yield, yield is always per annum. However, it's been recognized upfront, later, all that. If I look at the yield of structure products which have matured at market value, it is 1.16 -17 and our mutual funds is 1.09. Ok, sometimes what happens is you bring a lot of raw material that could definitely be the r

eason. Sorry, I didn't highlight that. Now what happens is a client tells you, these are my mutual funds, these are my stocks, take them all. So I will do a change of broker which will eat me nothing for the first 6 months. So my yields will drop on an overall AUM basis. Because I have brought in . If I do a good job of transferring assets and establishing that I am a better mutual fund distributor, that drops my


yield unless it gets realigned. Just because I want him in the 14-scheme basket, I will not book his taxes. I would want to wait till it gets into long term sometimes. I will never do surgical cut, right? If somebody says, this INR 5 crore s mutual fund and you do a change of broker code . So we will analyze it. If we its require change of Rs 1 crore then we will do only INR 1 Crore now. Because I will also have to look at his tax. and I will also have to see that the scheme is going well, s o why should I do it so soon?
So I will not earn anything on that asset. So better my business, sometimes yield will drop. I am just giving you an illustration. And that's the most practical illustration. Because quite a few clients of ours realize that we are one of the okay distributors in mutual funds and they transfer their broker codes, change of broker, as you call it. 6 months, you earn nothing. Does it answer, sir?
Prayesh Jain: I'll come back and probably discuss it with Vishal separately on this. Secondly, on the AUM bit of the structured products, how do you think about the growth there?
Feroze Azeez: It will be in the range of 25 % to 35% of my total AUM. If market drops, mutual fund drops, so it will show a larger number. Sometimes when market rise very sharply, it will show like a smaller number. Last year, means at the beginning of FY24, we had 29 %-30% in structured products. Now it is lesser because the extent of mark -to-market on the

long-only side is greater than in the structured product. So it will range between 25 % and 35 %, depending on how the market performs. But in a client's po rtfolio, it's generally in the range of 30 % to 35%.

Jugal Mantri: Feroze bhai, I will add to what you said on yield. Mr. Jain, as Feroze bhai has rightly said that as far as concerned with the yield on individual product, there is no change which has happened. So fact of the life is that the yield which I am earning, be it on equity mutual fund, or debt mutual fund, or on the market -linked debentures , the rates are -- in last 3 years, it has not moved more than say a few percentage points. But



what happens that when your proportion of one asset class in overall AUM changes, that impacts your overall average yield.

So if you'll see the equity mutual fund, the mutual fund proportion, which has gone up from say 52 % to 55%, okay, in the last 1 year, in my overall AUM, there you will find because of this, there is a slight drop.

And on top of it, the second point which Feroze bhai has already added, that you will have to consider the daily average balances of the mutual fund AUM. And if you calculate the yield, that will give a clear picture instead of taking only the period -ended number. So anyway, you are more than wel come to have a detailed discussion with Vishal , on the yield computation front.

Prayesh Jain: Awesome. Just again on that AUM bit of the structured product. So you mentioned about mix, right? But given the interest rate trajectory and scenario, would you say that this is a product which could give better returns in the case that the interest rates would decline? And resultantly, you would possibly want to grow this business at a pace which could be better? It is unrelated to the mutual fund business.

Ju

gal Mantri: Mr. Jain, that is not the objective. To this versus that, the overall solution which as Feroze bhai has explained, I think, Feroze bhai, you can repeat the same about the asset allocation which we have been doing instead of focusing on a single product.

Feroze Azeez: Yes. Mr. Jain, how we look at it, like Jugalji said, we don't do anything which is top -down. If my client's objective is my only reason why I exist . If he has to deliver 14% return with 0.6 beta, whatever helps me achieve that is where I will be married to. Macroeconomic, if interest rates have dropped in some product and my commission is going up , I won't do that. Even I am dying. Now coming to the point of how this works is, if a person has a certain objective, 14% with least risk, 13% with the least standard deviation possible, if there is an allocation of 65 %-35%, that will be the allocation.

We will not take a single product and say, this product is being sold, let's sell it. So, we have counseled in fact, Rakesh sir has sacked a person



who had more allocation in his book for structure d products. I am just telling you this. That's the cultural attribute. A few years back, he found an RM who was in the lure of upfront income, he was selling more proportions to his client of structure d products. So, mutual funds or structure d products not sold as a combination for a portfolio objective is frowned upon internally.

Prayesh Jain: Got that. That answer s. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint s, we will take this as the last question. I now hand the conference over to Mr. Feroze for closing comments.

Feroze Azeez: Thank you so much, everyone, to join us on this call and be patient with us. And we hope we tried to answer your questions. If you need more information, Vishal Sanghavi , sir, our Investor Relations, Hea d and Rajesh Bhutara, sir , our CFO are always there. And please reach out to

us. We are duty bound to answer them to our best ability.
Moderator: On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.
Jugal Mantri: Thank you, everyone. Wish you all a happy 2025. ANANDRATHI Private Wealth. uncomplicated

## Call: Apr 2025

Ref No : 16/2025-26
Dated : 19th April, 2025
To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI
Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415
Subject: Q4 & FY 2025 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q 4 & FY2025
earnings conference call dated 11th April , 2025 . The transcript is also available on the
Company's website at https://www.anandrathiwealth.in/financial.php .
This is for your information and record.
Thanking You,
Yours faithfully,
For Anand Rathi Wealth Limited
Jaee Sarwankar
Company Secretary & Compliance Officer
Enclosed: as above
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(Formerly known as ·Anand Rathi Wealth Services Limited)
Private Wealth. uncomplicated
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CIN No.: L67120MH1995PLC086696 Registered Office: Floor No. 10, A Wing, Express Zone, Western Express Highway,
Goregaon (E), Mumbai -400 063
Board Line No.: 022 6281 7000 I Website: anandrathiwealth.in
Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg,
Lower Parel, Mumbai -400013 I Board Line No.: 022 69815400/69815401 I Website: anandrathiwealth.in


Anand Rathi Wealth Limited
Q4 & FY25 Earnings Conference Call
April 11, 2025

MANAGEMENT :
• MR. FEROZE AZEEZ – DEPUTY CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
• MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
• MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
• MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Anand Rathi Wealth Limited Earnings Conference Call for Q4 and FY25. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Jugal Mantri, Group CFO of Anand Rathi Group. Thank you, and over to you, Mr. Jugal.

Jugal Mantri: Thanks, Sejal. Good afternoon, and thank you, everyone, for joining the Earnings Conference Call for the quarter and year ended 31st March 2025. With me, we have on this call, our Product and Research Head, Mr. Chethan Shenoy; CFO, Mr. Rajesh Bhutara; Investor Relationship Head, Mr. Vishal Sanghavi; and our Deputy CEO -- yes, before I forget, let me congratulate our Feroze Bhai for his elevation to Joint CEO from Deputy CEO in recognition of his outstanding leadership and transformative contribution. And we have Feroze Bhai with us.

And now I request Feroze Bhai to give business highlights for the quarter and year went by. After him, I will give highlights of financial performance. Over to you, Feroze Bhai.

Feroze Azeez: Thank you so much, Jugal sir, for your wishes. It is the guidance of seniors like you in the company, which has helped me also contribute in small way. Thank you so much for your wishes and all the guidance you have provided over the last 30 years to me as an elder brother.

Now getting to the call, during FY 24 -25 our consolidated revenue grew by 30% year- on-year to INR 981 crores. Profit after tax also grew by 33% year- on-year and ended a

t INR 301 crores.

We started the year saying we will do INR 285 crores (actual number is INR 280 Crores), we revised it to INR 295 crores and we finally, with God's grace, ended at INR 301 crores.

The total AUM grew by about 30% year -on-year to INR 77,103 crores as on 31st March 2025. Share of equity mutual funds in AUM rose to 53% as of March 2025 compared to 51% in March 2024. We have emphasized in several public interactions, as you would have noticed, that we are expecting a PAT growth between 20% to 25% for several years to come, as you would have heard our CEO, Rakesh Rawal, also mentioned. And that's the consistency, we pray that we are able to deliver to our shareholders who deserve to see consistency in a business like ours. With God's grace, we have been able to do that for 14 quarters in sequence. We have done always in this range and above. Now there was a small study conducted, which we are very curious because consistency is something, which we aspire to deliver to our shareholders. We did a small study to find out of the top 1,000 companies as per market cap, how many have been able to deliver greater than 20% every quarter for a year -on-year growth of the same quarter last year. And, the number to our surprise, with 6 companies have been able to deliver for the same 14 quarters we have been listed. Only 6 companies could have delivered 20% growth Y -o-Y every single quarter. And we are fortunately one of them with your support as a shareholder and God's grace.

It is generally believed -- the second point which I want everyone's attention, if I can humbly request for it, it is generally believed that wealth management businesses, which is linked with capital markets have earnings volatility in line with market volatility. However, during the short

period of 14 quarters, during the worst quarter of Nifty Performance and the best quarter of Nifty Performance in the 14 quarters, a small period of 14 quarters in the life of a company. If you look at the best quarters, 2 best quarters of Nifty and 2 worst quarters of Nifty, the growth of PAT was 30% - 33% (actually it is 33% - 34%) on all the 4 instances approximately.

So the second thing which we aspire for our shareholders is to give them market -agnostic results in our financial services business. These are our aspirations, not our commitments. We are very happy that in a short span of 14 quarters, we were able to deliver a result, which was agnostic to market sentiment. Like in June '22 quarter was one of the worst market sentiments. Unfortunately, the last quarter which went by, which we are discussing just now, was also not the best in terms of market sentiment given the kind of broader market falls we saw from January to March. So the next point which I want everyone's attention on is that the best quarter with respect to net mobilization despite a challenging environment, we recorded INR 3,472 crores of net flow which took us to 76% year -on-year growth for FY25 net flow s which is INR 12,617 crores.

In our flagship business of private wealth, for the full financial year, we added 1,821 new client families on a net basis, bringing our total number of client families to 11,732 clients. Client attrition rate in terms of AUM lost for FY25 is 0.52%. It is for anyone to judge whether it is a larger number or a smaller one. Regret RM attrition for the second consecutive year remained

below 1% and only 2 RMs left us the previous year FY25 in the regret RM category.
Digital Wealth business, which is a B2B2C business registered an AUM growth of 17%, which brought it to INR1,812 crores. And the number of clients increased by 25% to 6,087. The OFA business, which is an abbreviation to Omni Financial Advisers business, which is a SaaS platform has 6,447 subscribers with the platform assets of INR 143,000 crores at the end

of
FY25.
Now I would like to hand it back over to Jugal sir, to take us through the financial performance.
Thank you, sir. Jugal sir, ba ck to you, sir.
Jugal Mantri: Thank you very much, Feroze Bhai. As everyone is aware that during last financial year, we completed a buyback of INR 165 crores, excluding transaction cost and taxes and issued bonus share in 1:1 ratio . In line with our commitment to shareholders' value, the Board has declared a final dividend of INR 7 per share. So in effect, the dividend even post bonus will be the same INR 14 per share as compared to INR 14 for the financial year 2024, subject to approval from the shareholders for the final dividend.
Let me take you all through FY 25 consolidated financial performance. During FY 24-25, our consolidated total revenue grew by 30% Y- o-Y to INR 981 crores, marginally up to our revised guidance of INR 980 crores and profit after tax increased by 33% year -on-year to INR 301 crores surpassing our revised guidance of INR 295 crores. Mutual fund distribution revenue registered a very strong growth of 52% Y- o-Y to INR 406 crores in FY 25. Profit after tax margin was 30.7% for FY25, improved from 30% for financial year FY24. Return on equity for financial year FY25 is 44.6%.

Now I will take you all through Q4 FY25 financial results. Our consolidated total revenue for the Q4 FY25 stood at INR 241 crores compared to INR 197 crores in Q4 FY24, registering a 22% Y- o-Y growth. Trail revenue was INR 103 crores, registered a strong Y- o-Y growth of 28% from INR 80 crores during last year's same quarter. Our profit after tax stood at INR 74 crores, registering a 30% Y- o-Y growth compared to INR 57 crores in Q3 FY24. Profit after tax margin for Q4 FY25 was at 30.5%, which has improved from 28.8% for Q4 FY24. For FY 25- 26, we have given the revenue guidance of INR 1,175 crores and PAT guidance of INR 375 crores.
Now let me transfer the call to Ms. Sejal and open the floor for questions and answers. Over to you, Ms. Sejal.
Moderator: The first question comes from the line of Bhavin Pande from Athena Investments.
Bhavin Pande: Feroze, congratulations on a well -deserved recognition. First question would be around how are we placing a structured product given the market scenario? Also, how is our strategy around mutual fund distribution being tweaked because the scenario so far looks weak from a market
perspective, at least in the near term?
Second question was around incorporation of the U.K. subsidiary that happened in Feb 2025. So is it stepping stone towards expansion of the offshore business? And third would be a brief idea on RM team expansion? And also, we could see that metric in terms of AUM per RM and clients per RM are looking productively high. So how do we look at it on a sustainable basis?
Feroze Azeez: Thank you, Bhavin sir, and thank you for your wishes. Very kind of you. Now if you look at structured products, fortunately, in times like these, structured products become easier for a
client to accept because of recency bias. When markets do very well, clients just want to buy mutual funds, that's how human emotion is designed with recency bias.
So structured product and all of people on the call and Bhavin sir, you will also be happy to note that all the 147 products, which matured last year, all of them delivered the maximum coupon
because they look at a modest Nifty requirement to deliver a capped return of 13%- 15%.
So structured products relevance becomes easier for us to communicate to a client and keep them to 65, 35 and 20 allocations. So point is different market situations help both the products, Plan A and Plan B, which we count as mutual funds being the Plan A and structures being the Plan B, become easier to position to a client, point 1.
Point 2, we think that these kind of adverse times are best

times when people should buy. Of
course, there's uncertainty and that's the nature of the piece, which is market. We did a small study again for the last 24 years, if God were to tell us, which was the lowest level of Nifty, if one were to buy on that day for that specific financial year, what would be the return? One year
from then, just out of curiosity, we checked, it was 44% average, worst was 11% and highest was 92%. And the last financial year's lowest level was 21,885 on the election day, counting
date.
So we are very close to the lower levels of the last financial year. So buying at these times may not disappoint you, even with 2, 3- year timeframes is our belief. That's point 2. So we are trying that why you see our net

flows in equity last year have grown by about 65% (actual 67%), Vishal sir?. Y ou will see in a bad year, we try and make sure that equity is bought, not just on paper, but on actual bank account debits, which is a tougher thing to do, but that's the right thing to do. And maths helps us convince a person that he should not take decisions on emotions or past performance, but on future potential.
Third, we strongly believe that Indian market is far more investor -friendly than trader-friendly.
I am trying to bring the participants' attention to a very, very important circular, which I thanked the Lord for, which is called the net short circular, w hich was given on 22
nd March 2020, which
was 1 day before the lockdown, which restricts the amount of short a person can do to INR 500 crores of notional, which is a very small amount in derivative segment. So that's why you see no fine morning does a person wake up and sell. That's why during this Trump tariffs wars, India
has sustained lesser injury because of the net short circular.
So we believe that it's a more investor -friendly market, especially handling intergenerational wealth doesn't bother us at all. And that's why you see that our business has done okay. I don't want to say good given this last quarter's bad sentiment. And Bhavin sir, I missed your third question.
Jugal Mantri: I think Feroze Bhai, he was enquiring about the U.K. entity. So let m e just brief that. We have already incorporated the entity in U.K. Now in the process of applying for the license to commence the wealth management business, but actually seeking and having license is going to take typically 4 to 6 months' time minimum. And once we will have that license in place, then only operationally we will be active in U.K.
And just to brief all the investors on the floor that during current Board meeting, we have also decided to open a rep office and make an application in Bahrain. So as all of you are aware that,
we have one of the most active rep office in Dubai. And on the similar line, we would like to have an opening in Bahrain also. So these are the plans in the long run where we would like to spread our footprint on the global map. But, definitely the procedural time in every country, it is different. And once we have full-fledged license, then only the actual activity will start.
Bhavin Pande: But, Jugalji, these would be inbound investments, right, because most of our products are India centered?
Jugal Mantri: Of course, yes.
Bhavin Pande: Okay. And the last question was on the RM addition as well as productivity metric that we should look at.
Feroze Azeez: Yes. RM addition, we are looking at about 50- 60 RMs to be added this year. We have about 460 account managers. We have 460 account managers, which is our talent pool, which we are nurturing day in and out on a one-on-one basis. Like I, as a relationship manager, have 3 account
managers who act as apprentice to me, helping m e with the analytics to show mathematics to clients. Those guys have been trained. Now 2 of my account managers are slated to be promoted. So if I sum

it up, don't hold me to that number, about 60 is what transpires as the numbers.

Jugal Mantri: Feroze bhai, you also brief on the AUM per RM as well as the number of clients the progression which has happened in number of clients.
Feroze Azeez: Yes, sir. absolutely. AUM per RM has gone up to INR 198 crores. and that i 's because longevity makes it because this is a snowball effect. This is a business rolling stone gathers no m ass. The person who spent 5 years, 10 years gets a huge business. It's like a business after 4- 5 years of RM investing his time in one platform gets the hockey stick kind of a progression. So if you asked me, AUM per RM has gone INR 200 crores owing to the low attrition and the sensibility of an RM to not roll into different organizations and lose moss in the process.
The second is our active client families have gone up to 11,732, same time last year was 9,900. So we touched the 10,000 mark and have beaten it. The clients per RM, which tells us the kind
of capacity we still have with the existing RM. One is to increase the number of RMs from 382 (Everywhere in this document where number of RMs at the end of FY25 spoken as 382, the correct number is 380). The other is 382 itself can handle 6,000 more clients. That's the unutilized current capacity of the plant and machinery, which is going to see fruition very soon.
Second, in terms of technology, we are adding a lot of technology and I actually have been saying in some forums, I am trying to act like an acting CTO to try and make sure that we augment these RMs to be able to handle more clients, handle more assets, more effectively with lesser time. And there, I have spent a lot of time personally and I am very, very positive on the kind of scalability, not just in the existing unused capacity, which is 19 clients per RM is the Rakesh sir's limit – 50. We are already at 31. That implies 19 m ore clients can be handled by each RM multiplied by 382, tells you close to almost about 6,000- 7,000 clients can be managed without an RM addition, which is the kind of capacity which is unutilized. And if technology can take that to 60, then I have almost 10,000 clients I could add without one new RM. And then, of course, that doesn't imply that I will not add new RMs because there are 450 waiting in the queue to prove their merits.
So that's another mutually exclusive source of client management without having to dip into a

lateral pool from the industry, which is something which most industry participants are chasing .
When you would see the kind of attrition, people are outbid. So you train them internally. If you buy them from one person, then somebody else buys them from you. So we try and make sure that you train them and bring people who have a social fabric, which is identical to your DNA.
Bhavin, sir, sorry, that was a very longish answer because I used to open canvas to say whatever I wanted.
Bhavin Pande: No but I think it was very good Feroze and good luck for FY26.
Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: Sir, I have two to three questions. Sir firstly, in this particular quarter, we have seen that the other income has increased materially. So what were the reasons for the same? Second, with respect to the guidance, which we have given for FY26. Now if you just calculate it, then what we find is that the -- to achieve the PAT guidance of about INR 375 crores, the EBITDA margin



has to increase materially to 44% to 45%. So there has to be some operating leverage, which has to be taken. So can you explain those areas where we are looking to increase the operating leverage?
Feroze Azeez: Sure. Can I ask Jugal Ji to answer the first

part of the question? Jugal sir?
Jugal Mantri: Yes, Feroze Bhai. So Lalit, as you know that in case of other income, we have seen an increase, which is in commensurate with the growing amount of surplus, which is being deployed in the fixed deposit. The second thing is on account of change in fair value on the investments, which we are holding. So normally, the fair value change is being considered in the Q4 only because to give the effect instead of changing it in every quarter.
So even if you will compare the other income, which was INR19.4 crores in Q4FY 25, which was around INR 13 crores in Q4FY 24. So the broad breakup of the same is around INR 10.8 crores is on account of change in fair value of the investments, which are being held by the Anand Rathi Wealth Limited. And rest of the amount has accrued as an interest on the fixed deposits and other financial assets.
Lalit Deo: Sure sir. Just wanted to ask, sir, these investments are related to the investments in the equities as unlisted equity shares? Or is it more towards the derivatives that...
Jugal Mantri: No, no. These are like investments which we are holding as a long- term investment in our balance sheet. So these are like unlisted investments, which are being held in our balance sheet since a pretty long time.
Feroze Azeez: I will take the second part of the question. So Lalit sahab, your question was on operating leverage. We believe that we like to reinvest in this business. So however fancy an operating leverage word sounds to an analyst, I would not want you to expect too much operating leverage.
Of course, the guidance implies there is an operating leverage. Our benchmark is 40% of PBT and 30% of PAT.
Now there could be years where you have already reinvested on behalf of the subsequent year, so PBT moving from 41 - 42% to 43 - 44% in the order of magnitude. I would not call that huge operating leverage. But there are some efficiencies we have been working on, and that could add 1 - 2%, and that's why there is guidance of INR 1,175 crores for revenue and INR 375 crores for PAT, 20% growth on revenue and a 24% growth in PAT.
Now coming to where all there is scope, Rakesh sir has always told us that see if I am giving a guidance of 20% - 25% for 10 years , 15 years , 20 years, it can't happen, long- term consistency can't happen with short- term operating leverage. So we have to reinvest in areas where we believe that we can have larger scopes of improvement. Product team, we have invested for years. Technology, we have not invested as much and there is scope for improvement. In terms of operations, in terms of finance accounts, everything, HR practices, we would like to reinvest. So we don't expect a shareholder to believe that there will be operating leverage in the short term, what can't be achieved. And if there is scope for it, we will do it. Like for example, we are trying to redesign our offices just like a Starbucks has a very identical format.



If all my 17 offices can be operating in maximum efficiency, another 600 employees strength may not need another office. We are doing experiments there. So something like that. So we look at efficiency. We are a cost- sensitive company, but also significantly more value- sensitive company rather than just the cost- sensitive.
Does it answer Lalit Bhai? I know I am tapering down your expectation on operational leverage.
Lalit Deo: Got it. Sir, just last one data keeping question. So like what was the primary and secondary structured products issuances in this particular quarter? And how much of these structured products are likely to get matured in FY '26?
Feroze Azeez: Yes. Vishal Ji would read out that number.
Vishal Sanghavi: So for the quarter, the primary issuances were INR1,392 crores. And for the secondary, it is near about INR 800 crores.
Jugal

Mantri: INR 847 crores.
Vishal Sanghavi: Yes.
Lalit Deo: Maturity for FY 26, sir?
Feroze Azeez: Maturity, I think about INR 3,500 crores, I can get you that number before the call is over. Yes, the maturities are reasonably healthy. Of course, quite a few analysts were asking us for maturities being low last financial year. I think because we moved from 3 to 5 years in 2020 August, so last year was relatively lull year. I think this year is going to be a reasonable maturity. And I will just tell you the precise number in a couple of minutes when I speak to the structured product head . Is that fine, Lalit Bhai?
Lalit Deo: Yes, sir.
Moderator: The next question is from the line of Amansingh from Profit Gate Capital Services. Please go ahead.
Amansingh: I have two questions. First is in this quarter and full financial year as well, our structured product AUM has increased by 50%, but the revenue that comes from it has increased by 15 - 17%. So is there any moderation in the yields of structured product? This is one. And second, your thoughts on how Anand Rathi Wealth as a company would be seeing the SIF as an opportunity for distribution? And what do you think how the industry is taking it as of now?
Feroze Azeez: Yes. So the answer is no, sir. AUM is a picture and yield is a movie, generally when it comes to mutual funds, for example, and structured products, if you -- yield is generally calculated per annum, however, it's accounted. So our structure product yield at maturity, if you backwards calculate what is the mutual fund equivalent, it generally comes to 1.18% per annum on market value -- average market value and that remains, and that has remained f or really long periods of time, if not more than a decade. So does that answer, sir? So we don't see any compression there.
Amansingh: And on SIF?

Feroze Azeez: Sorry, sir.
Amansingh: Yes, sir. And the second question on SIF?
Feroze Azeez: Sorry, you're not very audible. So that's why my second question, I couldn't pick it up as exactly as the first one. Can you go again with the second question, sir.
Amansingh: So the second question is the Specialized Investment Fund product that SEBI has launched recentl y. Your thoughts on that?
Feroze Azeez: My thoughts on that. I don't think it will take off. Very candid thought on it. So special, whatever they call it. They called it an asset class. It's a product class. See, when you are trying to curb the derivative volume, that's where it all started when the SEBI Chairperson said that people are dabbling in derivatives, why don't we give them a little more aggressive product in the mutual fund category. But the leverage permitted, there is 0.25. So if you really wanted some movement from the derivative space to something, which is active managed a little more liberty to the fund manager, I think you would have -- you shouldn't have tied it down to such low leverage level.
Of course, there are three different categories: equity debt and hybrid, a long shot and all that. But I personally think that somebody for me to be motivated from a INR 500 instrument to an INR 10 lakh minimum ticket size needs the fund manager -- needs the fund manager to have more flexibility than what is currently desired for that motivation to happen. But definitely, if people exhibit performance over the long periods of time, and that agility is transpired on paper can attract mass affluent for sure -- affluent for sure, if not HNI.
Amansingh: So are you not currently looking to allocate those funds when they are launched by AMCs to our existing clients?
Feroze Azeez: Not at all. See, what happens is even a new fund offer, I have not approved for the last 13 years because there is no 3-year track record. And few category of a license, I would look for data because if my client's objectiv

e is 14% with 0.6 beta with Nifty, if I am able to achieve that for the last 11 years with a Jensen's alpha, which is what alpha implies in India, excess return is to be alpha. Alpha in the U.S. is always referred as Jensen's alpha, which is risk- adjusted alpha, delivered about 5% Jensen's alpha, which is a little over Berkshire Hathaway's Jensen's alpha Class A shares. Why would I look for something else unless m y Jensen's alpha is not being met?
So point is no, we will surely not look at a new platform being onboarded on the clients' portfolios just yet, because the client's objective is being met . Our promise to the client is we will always operate at least common multiple to get you that return at the risk desired, which is expressed in beta. Does it answer, sir?
Amansingh: Yes, this is helpful. Thank you so much.
Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Yes, thanks for the opportunity . Feroze and entire team, congratulations on the great, great numbers that you achieved. And Feroze, for the new responsibility and the new role as well. just Feroze, one point and the entire team there. Sir, as I understand, as a company, we have got processes for everything, from client acquisition to relationship management, to product selling,

to even the promotions in the organization and the compensation that is given to the team.
I just have one point here. We have those 12 -13 -14% kind of return expectations that are set for the client. And basis which we do allocation between mutual funds and structured products.
Am I audible? I think there is some disturbance?
Feroze Azeez: Yes, yes, very much. I am very intently listening to you and your questions.
Sunil Shah: Okay. So we have those categories of allocation between mutual funds and structured products. Again, for mutual fund selection, we have a research team, which is identifying the products, which the RMs need to put it across to the client, etc. Feroze, the structured product part of it, every time whenever we interact with analysts or anybody, there is a big lack of understanding amongst people? Can we request you to spend one hour, do a Zoom call along with the product guy to explain to all of us how this structured product really works? That's just a request, it's not a question or anything. But if I want to understand the entire organization inside out completely, that is the missing link. And all analysts also believe because there is an inflow, outflow, etc, which is doing well. Just the y are always being in the market for long, the Unit 64 kind of a situation always haunts me and my investment in this company. So that's just a suggestion request if we could understand the structured product piece completely from your side on a Zoom Call, that would really help?
Feroze Azeez: Absolutely Sunil sir, yes, so firstly, thank you so much for your wishes to both businesses and me, in particular. I am very grateful for your wishes. Second, like you mentioned, that we have a process for everything. And I am glad that you have understood our business so much in detail and not just by call. That is because we also have a person who is designated as a Process Head whom I have been working for the last 18 years, and Chirag Muni is the Process Head, who is supposed to make sure that everything has a process.
Then coming to the third part, which is a suggestion, saying that can we have structured products explained to analysts. To my mind, we have been very transparent for structured products. Taken the suggestion, I can do one-hour Zoom call for 15 days as succession because I might just find some clients. Okay?
Because if I have been able to send this to 10,000 families, and HNI does not invest for long periods of time without understanding som

ething. So we have -- and I think that's where Rakesh sir's intellect to uncomplicated things, even if they are optically complex, demystifying them, that's an art he possess. So will we be very inclined to do it for a person who genuinely wants to understand, I think it's a great suggestion, we will definitely do that.
And conceptually, let me answer it here. See it's a very, very simple thing. It's the Black- Scholes pricing model on which option is synthesized. So it's Black- Scholes has won a Noble prize and

that's public information and I have been saying this for so long. There are five finance theories which have won Noble prize. We use three of them and that's where the Jensen's alpha come for. So a structured product operates on a Black -Scholes pricing model. For example, there is a debt instrum ent, there is a derivative instrument in a calibrated fashion. The derivative needs to be hedged precisely without the discretion of the trader exactly as per Black- Scholes. And the same -- if the volatility is high, you realize better profits. If volatility is low, you realize worse of profits. So I will explain this, but a great suggestion, sir. But I think analysts are very much capable of interpreting this because this industry has been there from 2006. We have a Section 50AA, which is specifically for MLD, which now -- so Citi has issued structures. So many international companies have issued structures in India and globally . How are they hedged. W e also have -- we had Nuv ama as a structured product. So there is very - very good traders who have been doing this for long periods of time because it is difficult for a person who is long only to understand that how a derivative -automated Black- Scholes pricing model operating in future can generate a certain payoff, so that we will explain in second decimal. There's no issue at all. But Vishal Ji is taking a note of organizing this and inviting anybody who genuinely wants to understand this as an instrument. We will be very happy to know because there is no IP. It's Black- Scholes pricing model. It's not my IP at all.
Sunil Shah: Yes. Absolutely, yes. Just the comfort for the investors like me and many others to get this inside out and thoroughly understand it. That's the only suggestion that I have. Thanks everybody and all the best for the growth ahead.
Modera tor: Thank you. The next question is from the line of Siddhant Gupta from RV Investments. Please go ahead.
Siddhant Gupta: Good afternoon sir and congratulations on a good set of numbers. So my question was regarding -- I was searching for the TAM of the -- like the TAM we operate in and I could not like generally get the number. So could you just address that for me like what is the TAM of our products?
Feroze Azeez: What is TAM in the sense of -- can you tell me what it is?
Siddhant Gupta: That is on the structured products?
Feroze Azeez: Sir, if you can paraphrase your question again. You want me to explain structured products?
Siddhant Gupta: So what will be the addressable market size regarding

Feroze Azeez: Okay. I am sorry I am not familiar with this lingo. So -- but yes, the total addressable market, I
personally think here you don't take a market share, you create the market. So there is hardly
any structured products, unlisted structure -- non- principal protected structured product selling
is -- we would be as of now 70 - 80% of the market. We create the market. Anybody who has
wealth, 35% of that money is -- if I have INR1 lakh crores of aspiration for this year end, INR
35,000 crores is the market size. Are you with me, sir?
Siddhant Gupta: Okay, sir.

Feroze Azeez: Okay. That's how we have operated. 2013 is when the first issuance Anand Rathi Global Fi

nance
did. And whatever money I collect, approximately 25 to 35% depending on the portfolio one
chooses, needs to get into structured products. So if I collect INR10,000 crores -- like last year,
if I collect INR 12,000 crores, I would ideally have INR 4,000 crores of net flow into structured
products. That is if all clients agreed and all 382 were able to use mathematics to convince them to the right direction. Does that answer, sir?
Siddhant Gupta: Okay, sir. And my follow -up would be regarding the same. So what is the percentage share like
all the different products like the equity and then mutual funds?
Feroze Azeez: That depends on the client. We have 11,700 clients. We don't run 11,700 different portfolios.
Because we promised everybody, we do our best. So it is an oxymoron to have 11,713 best. So
coming back to your question, what proportions these four portfolios have? They have anywhere
between 45% long- only equity to 65% long- only equity and different proportions of structured
products depending on a person's life stage with us.
So it's not specific one product. So if you ask me one product, what I follow I can tell you. I
pursue a 14% product with 65% in equity mutual funds and 35% in structured. That's what you
will see in my NSDL statement other than Anand Rathi shares as well.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial
Services. Please go ahead.
Prayesh Jain: Yes, hi. Congratulations a good set of numbers. Sir, just one when you give your guidance, what
is the kind of mark- to-market and flow assumptions that would have got built into your forecast?
Feroze Azeez: When it comes to guidance of revenue and PAT, we do it very differently. AUM guidance is generally an aspirational number. Revenue and PAT is always bottom- up. So Rakesh sir and I
would have spent an hour with each RM over the last few days to understand their business plans. We go -- if there are 31 clients, the leader looks at some then he brings it to the unit head.
It's always bottom- up targeting.
So that 's how we arrive at a guidance because if we say we have an entrepreneurial culture, then
the target cannot be top- down. So we put some buffers as genuine management intellect and
then give the guidance. So it's not on the basis of market. It's on bottom- up as much as we have
clients sheets automated, which helps the person understand what is the maturity coming, what kind of new clients you will have, what kind of penetration you will have and that's how it
bottom- up 382 numbers get added minus some degree of conservatism, which is again told to
us by our elders we do that.
Prayesh Jain: Just trying to understand this, even when we are sitting with the RM to discuss his end of FY'26
aspiration of an AUM, he would have or he would want to see from you what is the kind of
market returns we should build for his AUM numbers. And he would give you a flow number
that he would be able to get from his existing customers or from the new customers.

So that is what I was looking for as to -- that could be -- because the M2M number could be
similar for all the 300- plus RMs that you have. So that should be similar, right?. Otherwise,
everybody would assume their own set of mark- to-market and with the aspirational targets.
Feroze Azeez: Yes, definitely, sir. You are absolutely right. When it comes to mark- to-market, we look at a
very conservative number of 8%.
Prayesh Jain: Okay. Got it. So that's what is built in. Thank you so much.
Feroze Azeez: That's what is built in, including the mutual fund alpha, ofcourse.
Prayesh Jain: Right. Got it. Thank you so much.
Moderator: Thank you. The next follow -up question is from the line of Bhavin Pande from Athena
Investments. Please go ahead.
Bhavin Pande: Hi. Thanks for the follow up.

So in terms of flows, what would be from the vintage customers
and what would be from a new family?
Feroze Azeez: Yes. 63% from existing clients and 37% from new clients.
Bhavin Pande: Okay. And secondly, Feroze, just expanding on the structured product, so we said when there's
a period of high volatility, we would look to sell options because of higher realization as
compared to buying options depending on our view. So in this kind of an environment where

VIX could move capriciously, how do we sort of navigate our way through this kind of environment?
Feroze Azeez: So the first part of the question which was a hypothesis that you buy and sell puts is not right. So let me clarify how it works it.
Bhavin Pande: No, no. I got an option when you are bullish, you buy calls or you sell puts and the other way around.
Feroze Azeez: See, now if you design a product. Now if we have a product, which we have been designing the same thing for 1,300 times - 1,500 times, there you sell put spread. You sell -- hypothetically, you sell put spread of different expiries, but all those are not liquid. So you synthesize it using futures. So if futures have a larger volatility for an issuer, generally in the products we currently construct, be it Nuvama or Anand Rathi Global Finance, higher volatility implies hig her futures buying and selling.
So coming back, once the product is issued, we have not chang ed the product for the last 10 years. We think we are in a high interest rate, high volatility environment for the last so many years, that's why put spread selling is what is embedded in a structured product. Does the first part -- am I clear in the first part, then I'll go to the second.
Bhavin Pande: Yes.

Feroze Azeez: Yes. So the product that we have made since last 10 put spread sold in. W hy do you sell put spread? Because, you high interest rate economy. You are a higher volatility. You are realizing greater Vols and you're realizing greater interest rates. If it was interest rates in Japan negligible, you buy call and not do spreads, because the calls are going to be so inexpensive because the forward rates of the same index is going to be very - very close to the spot rate.
Now that we have been designing a product in a certain way because of macroeconomic variables in India are designed that way. And it's 20 years from now, 5 years from now, 10 years from now, if that changes, then the construct of the product will change. Now that it has not changed for the decade plus. I have been doing structured products from 2006 when Merrill issued the first structured product. And ironically, it was in a PMS platform of an asset management company and the same asset management company 's analyst is asking me, explain to me structured products. Ironically, it happened. I told him , you have only taught me in 2006. Go and see. So from 2006 mostly India has been a put sell or a put spread sell market for anybody who wants to go long, not unlimited long.
Now how does one hedge it. The issuer knows that all these options, which are embedded in the product may not have the liquidity or most likely will not have the liquidity. So he will hedge the books, delta, gamma, theta, vega, rho. This is what he will hedge.
So delta will be positive, gamma will be positive, vega will be negative -- sorry, gamma positive, vega negative, lower the vega, lower the realization and rho will be positive. So this is the dynamics of most of the issuers today. Delta positive, long gamma, short vega and long rho -- sorry, short rho.
Okay. This is the -- so because it's a technical concept, I'm just telling you that he will hedge a book. He will not hedge individual options. If you have issued 100 products, an issuer will issue 100 products, which might have 500 different options. He will put it on an excel

sheet all the
500 options with different expiries, run a Black -Scholes pricing model, and he will hedge the ultimate delta of that 500 op tions embedded in 100 different products.
So when he is hedging it, if market becomes and Trump Hub becomes generous, and it gives us a little more volatility, then the issuer will be able to hedge it a little more easily than he would be able to. That's what I meant, that volatility Helps the issuer.
But as Sunil sir said, we will do a specific full -blown training session. We are not going to call it an explanation session. Any questions, no horns bar can be answered with excel sheets and mathematics.
Bhavin Pande: Yes, I think that will be really helpful Feroze, to do something like that.
Feroze Azeez: I promise you this will get done. Vishal Ji is a very - very sharp man, and he has written it down in his diary. And seldom things get dropped off his diary.
Bhavin Pande: That's it. Thank you a lot and good luck again.
Feroze Azeez: Thank you, sir. Lalit sir, in the meantime. Bhav in sir had asked that question ?

Feroze Azeez: Okay. No, no, I will just -- because Saumil give us that number. So the maturities are anywhere between 4,000 - 5,000 across internal and external issuers. Lalit sir had asked this question. I told -- I promised that I will circle back.
Moderator: Thank you. The next follow- up question is from the line of Sunil Shah from SRE PMS. Please go ahead.
Sunil Shah: Just one point. I have spoken about it earlier also in the last call. But out of this about 11,700 odd families that we have, how many of those would be NRIs or clients who are out of India?

Feroze Azeez: Sunil sir, I will just tell you. Sir, just give me a minute or two, I will tell you the precise number.
Sunil Shah: Yes. Sure. My point here is about GIFT City because the income that we earn from them would be tax-free for us. So if we can put up a subsidiary at GIFT City and serve those clients from that platform, the income earned in the subsidiary would be tax -free for us. Hence, we could generate some bit of more alpha, maybe it's a 10% number of our clients or 15% or whatever that number is, but that would help us. So we -- I think if we can evaluate that as an option to serve our NRI clients.
Feroze Azeez: Absolutely, sir. Sunil sir, it's a very, very good suggestion, and we have been examining that. But I don't want to commit today. And when it comes to NRIs, NRIs might in numbers could be a smaller proportion, values are larger than the numbers for sure. I will give you to precise numbers. But it's a great suggestion. Now that you are bringing it up, we will take this up a lot more seriously, and then we will move up the priority list. I will do that.
Sunil Shah: Sure, sir. I mean even if it is 10% or 15% of our AUM, it certainly helps us to save on those tax line. That's the only thing .
Feroze Azeez: Absolutely, and it also opens up a larger part of the balance sheet. And what I am very thrilled about is see, when we have a Dubai office, we did a survey to figure out how much of the total wallet do we have for an Indian client based in India and a Dubai client investing in India, the apprehensions of completely converting capital into rupee exists.
So this dollar denomination also brings in a certain larger penetration possibility depending on -- so yes, so taxation, larger penetration possibility. So we are working on it. But have we done adequate progress? I am sorry to say, no, but we will definitely move this up the priority list.
Sunil Shah: Thank you. All the best.
Feroze Azeez: Thank you, sir.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Feroze for closing comments.
Feroze Azeez: I like to thank everyone for being a part

of this call. We hope we have tried to answer your questions. If you need more information, please feel free to contact Mr. Vishal Sanghavi, our Investor Relations Head, and our CFO -- beloved CFO; Rajesh Sir. Thank you, everybody. And Sunil sir, I'll just tell you the number, it's about 10% to 12% is NRI clients' AUM. Thank you.

Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Jul 2025

Ref No: 47/2025- 26

Dated :17th July, 2025

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited, Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q1 & FY2026 Earnings Conference Call Transcript
We are enclosing herewith copy of th e transcript of the Company's Q 1 & FY202 6 earnings conference call dated 11th July, 202 5. The transcript is also available on the Company's website at https://www.anandrathiwealth.in/financial.php .
This is for your information and record.
Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Jaee Sarwankar
Company Secretary & Compliance Officer

Enclosed: as above



Anand Rathi Wealth Limited
Q1FY26 Earnings Conference Call
July 11 , 202 5

M
ANAGEMENT :
• MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
• MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
• MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
• MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS

Anand Rathi Wealth Limited
July 11, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Anand Rathi Wealth Limited Earnings Conference Call for Quarter One of Financial Year 2025-26.
As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note, that this call is being recorded.
I now hand the conference over to Mr. Feroze Azeez – Joint Chief Executive Officer from Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.
Feroze Azeez: Thank you so much, Z ico. Good afternoon, everyone for joining the quarter ended 30th June, 2025.
We today have with us the Group CFO – Mr. Jugal Mantri , the Product and Research Head – Mr. Chethan Shenoy, CFO – Mr. Rajesh Bhutara; and Head (Investor Relation) – Mr. Vishal Sanghavi.
Let me give you a quick highlight of the Company ' s performance :
During Q1 FY '26, our profits grew by 28% year- on-year, and they have reached about Rs. 93.9 crores. The total AUM grew by about 27%, which takes us to Rs. 87,797 crores as of 30th June and the equity mutual fund share has moved up to 54% as of June 2025 and we are about 14% away from the Rs. 1 lakh crores on total AUM number.
This will help us get to the subtle ambition which we have shared in our previous calls of getting to 50-50, 50 trail income, w e are inching closer to that with this quarter. And this, the next important highlight is that we have had a record net mobilization of Rs. 3,825 crores. Like we have also given a subtle expectation or a not a commitment indication that we will try and have our net mobilization agnostic to the market sentiment in a quarter where mutual fund net flows in equity, moved down from (Inaudible – peak of around Rs 42,000 crores in Oct 2024) to about Rs. 23,000 crores in June, we have , with God 's grace, achieved the highest ever net mobilization of Rs. 3,825 crores , as I just said .
In our flagship Private Wealth business for Q1 FY '26, we added around 600 new client families on a net basis, bringing our total number of client families which we serve a s 12,330 . The client attrition rate, which is additional number continues to be that way. A nd for Q uarter One FY26 is 0.11%, underscoring the strength of our client centric uncomplicated approach focusing on risk adjusted return not only either side of the table.
The Regret RM attrition was 2 for this quarter and in spite of that, we have had a client attrition number of 0.11 %. And when we are looking at RM attrition , we are also looking at some places where there is cultural misfits and these are mathematically regret attritions , but there are more considerations when we let go of a few of colleagues.



Digital Wealth business , which is a B2B2C business, registered an AUM growth of 19% year-on-year and reached Rs. 2,055 crores. The number of clients increased to 23% to Rs. 6,284. The OFA business which is a S aaS platform has 6 ,627 subscribers with platform assets about Rs. 1.58 lakh crores at the end of Q1 FY '26.
Now I hand over the call to Mr. Jugal Mantri , who will take us with some more updates. Jugal sir, o ver to you, s ir.
Jugal Mantri : Yes. Good afternoon, everyone. Thank you, Feroze bhai.
Friends, let me give you the financial highlights on consolidated numbers for the quarter went by:
During the June quarter of Financial Year 2025-26, our consolidated total revenue grew by 16% Y-o-Y to Rs. 284.3 crores and profit after tax increased by 28% Y -o-Y to Rs. 93.9 crores . We have achieved 25% of our PAT guidance of Rs. 375 crores and 24% of o

ur revenue guidance of
Rs. 1,175 crores in Q1 FY '26.
Mutual Fund distribution revenue registered strong growth of 27% Y -o-Y to Rs. 113.1 crores in Q1 F Y'26. Profit after tax margin was 33% for Q1 FY '26 as compared to 29.9% for Q1 FY ' 25.
Return on equity for Q1 FY '26 was 44.4% on annualized basis. So, these were the synopsis of the financial.
Now I would request Mr. Zico to invite our friends for a Q& A Session .
Moderator: Thank you, s ir. We will now begin the question-and-answer session. Thank you. Our first question comes from the line of Niranjan Kumar from Equirus . Please go ahead.
Niranjan Kumar : Sir, first of all, congratulations on good set of results. So, can you please provide data on inflows during the quarter and mutual funds and structured products as well?
Feroze Azeez: Sure, Jugal sir, can you throw some light on these breakups of the numbers? You are asking for the top line numbers, right?
Niranjan Kumar : I am asking about the inflows sir, net inflows .

Feroze Azeez: Net inflows , okay. So, the net inflows between these two were about Rs. 3,400 crores - Rs. 3,300 crores , Jugal sir, if you can give some precise numbers , it would be helpful.
Jugal Mantri: So, the net inflow was Rs. 3,825 crores , on equity mutual funds was Rs. 1,983 crores . Debt mutual fund it was Rs. 300 crores and on structure product it was Rs. 1063 crores and rest was in other item that was Rs. 480 crores .
Niranjan Kumar: Okay , sir. Thank you. That ’s from my side.

Moderator: Thank you. Our next question comes from the line of Aashaka Shah from Sameeksha Capital . Please go ahead.
Aashaka Shah : I had the same question. I am sorry, it is the same question as the previous one.
Moderator: Thank you, ma ’am. We will move to the next question here. The next question comes from the line of Muskan Agarwal from Swan Investments . Please go ahead.
Bhavesh: Hi, this is Bhavesh here. The question I have in mind was related to OPEX growth. Historically , OPEX growth has been largely in simple , revenue growth. But this time down the divergences is quite significant. So , besides the human related, human resources related that you mentioned, is there any change in incentive structure or other cost cutting we might have resorted to , which is leading to this divergence between revenue growth and OPEX growth?
Feroze Azeez: Superb, let me answer. Yes, go ahead Jugal .
Jugal Mantri: See, as far as concerned in case of OPEX , it is more or less in line with what we have been achieving and what we have been incurring over the period of time , the only thing is now we have really started getting the advantage of number of RMs who have been maturing. So, if you will see that over a period of time like we have added number of RMs and what happens that when RM start his journey , we have our , first of all , all the incentive formula since 2007 there has been no change.
The only advantage is the new RM, when he comes till the time he reaches to the threshold of up to say about 4x of his RSR, h e does not start earning incentive . So, the number of new RMs which have been added into the system in the last 1.5 year, 2 years they have started reaching to the threshold and started crossing 2 and 3 RSR level. So, the advantage is , they have started contributing on the revenue side and their fixed cost of salary is coming into the operating cost . But they have not yet reached to the incentive level , that is about the new RMs. A nd that is why you see the employee cost in percentage terms, it looks marginally lower, but it is in line with what we have been achieving historically.
Bhavesh: Okay. Related question sir was on the number of RMs added. So, practically for last three quarters the number is flat. What is the t

hought process here and if you plan to again resume expanding our RM base?
Feroze Azeez: So, firstly, I think it is last three quarters have been flat. We have added about 22 odd RMs in the last one year, point one. Point two, how we look at RM addition is unlike most of the wealth management outfits , who believe in lateral hiring, funding their 80% of their RM growth, we have 80% internal movements. So, what happens is , we have the threshold, which says that these are the number of RMs who can be in the non-mature d stage, below Rs. 40 crores . We try and keep a watch of what is the number. When that number drop is , when we promote more people. So, unlike another wealth management trait , when I do not add my RMs, it does not mean that I have not added . Some more training for the same RMs would be promoted in a subsequent

quarter. So, the question we have is the next 100 RMs are already being trained . So, at what point in time do we promote them , it depends on their skill set and also depends on what is my capacity of (Inaudible) . So, will you see this number change? The answer is, yes and what will be the variables which will change it is not how much money can we spend to hire from outside. How many RMs do we have below Rs. 40 crores that number if I am not wrong, dropped from 93 to 54 crores in the quarter, which creates huge capacity for promotions and subsequent RMs who would go in the marketplace . Does it answer?
Bhavesh: Okay, thank you, thank you very much.
Feroze Azeez: Thank you, sir.
Moderator: Our next question comes from the line of Rohan Mandora with Equirus Securities . Please go ahead.
Rohan Mandora: Hi, good afternoon, sir. Congrats on good set of numbers. Sir, just continuing on the previous participant ’s question on OPEX . Sir, the extension that was given that in the last two years, whatever RMs have been added, they are yet to reach that , they are just touching the ir breakeven level and so the operating efficiency is looking better. And if I look at employee expense as a

proportion of total revenues that was around 45% for most part of last year. And suddenly, in this quarter that has come down significantly.
So, is there a differential in the incentive that is paid out on the mutual fund versus Structured Product s (we have corrected the terminology to Structured Products where MLD word is used)? Because revenue growth in mutual fund has been almost 27% year-on-year and 10%, sequentially. And on Structure Products , it is 36% Q -on-Q growth. So, is there a factor of that leading to a lower growth in employee expense this quarter vis -à-vis the revenue ?
Feroze Azeez: No, no, Rohan, it is not so complex. We do not pay incentive. We pay bonuses only once a year.
Rohan Mandora: Okay.
Feroze Azeez: Okay. Last time, it was 17.1% for the first quarter, 17.1% for the full year. This time, it is 16.9%. Quarter-to -quarter comparisons may not be right because it depends on who brought the revenue. For example, if this revenue is distributed amongst 382 RMs, evenly, my cost is lower. If the RM who has already reached a slab of 32.5%, which is my maximum slab, if he or she does the maximum revenue, my shares could be larger than a linear -- So, it is not just about the revenue. It is also about which RM did and it was in which slab. So, if there is an RM who crosses a certain slab and that is the person who brought 80% hypothetically of the quarter's revenue, then they also look larger.
But it is not a quarterly number. If you look at it y early, you will see hardly any difference and other point which you asked, is there a payout differential between upfront hand pay, the answer is, no. Every rupee of revenue is treated equal for the last few years.


Rohan Mandora: Sure, sure. So, does that mean that most of the , that the share of incremental business, incremental revenue from RMs having lower AUM was higher this quarter. That is where the benefit of working.
Feroze Azeez: So, yes. So, what happens is we provision as per the slabs on their targets also. So, it is also a function of, one , what they have done so far, what is the target they have given , and then you have a provision on a certain slab. So, the answer is, yes, last time around, if there are big ticket revenues from large top 50 RMs would cost me more.
Rohan Mandora: Sure. Got it.
Jugal Mantri: Just to add to what Feroze bhai has said, Rohan, what happens that if you just do the breakup of what the employee expenses which we have incurred. In the Q1 FY ' 25, my fixed cost on account of personnel was Rs. 60 crores, okay, This year that has gone up to Rs. 70 crores, but the incentive provision, which was Rs. 48 crores in Q1 FY ' 25 that has come down to Rs. 44 crores , okay. So, there is an increasing trend in, on the fixed expenses side. But he has rightly explained that, who is bringing the revenue and what percentage of amount he is earning as incentive, that depends on person to person and on his vintage as well as on existing book. So, that is why there is a differential on incentive provision.
Rohan Mandora: Sure. Sir, second was on the Regret RMs, the two RMs who left this quarter and one I think was a regret RM last quarter. So, what was the reason for them leaving? Because typically, you had a very good incentive structure and you had a very low regret RM. So, any specific reasons that you could point out for people leaving?
Feroze Azeez: Yes. Of course, one of two of them were cultural misfits . So, we had to weed one or two of them and one of two were voluntary exits. And the reason could be whatever different for different people. But largely, I do not want to touch too much on a public forum, but yes, it could be a cultural misfit which triggers that, and it is for one location, all three .
Jugal Mantri: But it hardly matters Rohan, o ut of 380 plus RMs, if one or two RM is leaving, that is inevitable.
Rohan Mandora: Right. That I agree, sir. But just that Anand Rathi was having another good incentive structure , so.
Jugal Mantri: That still remains. If 99.9% people are still continuing, that shows that.
Rohan Mandora: Right.
Feroze Azeez: So, Rohan and we also realized some degree of inefficiencies will have to be weeded out.
Rohan Mandora: Sure. Sure.
Feroze Azeez: In the future as well. So, that is a strategy which we try and learn. So, we are not always fixing it. One of you analyst only had asked me saying that, how come zero attrition? Are you saying

everybody is as efficient commercially? So, there is no involuntary attrition where you are asking people to leave. So, we have been testing several hypotheses . Now point is that you had some attrition, some instigated internally or some not. But we are also trying to see if there are some inefficiencies. Will we look at it a little differently? The answer is yes, going forward. I will tell you how we discuss internally between Rakesh sir and I.

Rohan Mandora: Got it sir. Sir, third was on the net Debt MF AUM. It has increased by 9% Q -on-Q and it was declining for the past few quarters. So, is there any portfolio allocation strategy change is leading to that?
Feroze Azeez: I will tell you precisely the reason. There are a couple of clients who had , the large clients who were doing STPs.
Rohan Mandora: Okay.
Feroze Azeez: Those are not permanent liquid money. So, you are saying, if your question I heard right, was that deb

t allocation has become larger. Is that what the question was?
Rohan Mandora: Yes, yes, yes.
Feroze Azeez: Some large clients have started first, whoever come in money after March are choosing to do it as a staggered equity. So, it is, it is momentary debt.
Rohan Mandora: Got it. Got it. And then lastly, yes, sorry...
Feroze Azeez: Don't hold me to the second decimal, largely I am saying. 83-80% of that is staggered entry into equity . Due to some degree of uncertainty in the market , 12-15 weeks installment. .
Rohan Mandora: Got it. And sir lastly, on the issuances of Structure Product s, last couple of years, if you look at the trend Q 1 has been pretty high and then it has been sort of flattish to marginal decline. But if we look at it on a year -on-year basis, so Q-on-Q, it looks very good. But on a year-on -year basis, the revenues on Structure Products has grown by 8%. So, is there some constraints because of which the growth is falling here? Or like how should one look at the growth on the Structure Products for the full year and going ahead for the next one, two years?
Feroze Azeez: Rohan, again, like I have repeated in the past, every revenue item which you read out to me back again, is a resultant outcome of client allocations. We think it will start with the client, it will start with allocation , what are the highest chance of achieving those objectives. Now let us assume, if the market remains flat for one year. The structured product still because of its modest need of NIFTY growth will deliver a little positive return. So, sometimes what happens is if equity markets do not do too well, like they did, o nly 4%-5% NIFTY over the last 1 year in the last financial year, monies which mature from structured products would buy equity mutual funds.

Equities do very well. Let us assume I have a client. I also manage clients, right? So, one client is there, if there is a structured product maturity, if equity mutual funds have not delivered 14% for the last year and structures have delivered 15% for the last year, when the maturity happens, I am not going to reinvest full thing into structured product s. I will again divide the portfolio into 65% - 35%, which was the agreed allocation. So, if markets do badly, you will have some money moving to mutual funds. So, buy low, sell high is just in books otherwise. In books it is said buy in low, sell in high. Otherwise, most HNIs does the opposite. Like, you will see when the market is down, people are not putting in lump sum money. So, to remove that rece ncy bias is why Feroze is governed by a formula, agreed on 65 - 35 then he has to do just that. And if that is what he follows religiously, it will mean that he will buy more equity when the markets are down, when the markets are up, he will be buying more structured products.
Rohan Mandora: Got it , got it . And then lastly, one data keeping question. What is the breakup of structured product issuances between primary and secondary in Q1 ?
Feroze Azeez: Yes. Jugal sir, will be able to answer this. Jugal bhai?
Jugal Mantri: 1,700 crores for primary and 700 crores for secondary. 750 crores to be precise, okay?
Rohan Mandora: Sure, sir. Thank you.
Feroze Azeez: Thank you for your question.
Moderator: Thank you, sir. Our next question comes from the line of Jaiprakash from Korman Capital . Please go ahead.
Jaiprakash : My question on (Inaudible) Sir, my question was on the (Inaudible) which was 16% whereas AUM growth was 57% so just wanted to understand the….
Feroze Azeez: I did not get your question at all, sorry.
Moderator: Sir, may we request you to use your handset, please, Mr. Jaiprakash.
Jaiprakash : Am I audible?
Moderator: No, sir. We are unable to hear you clearly, sir.
Jaiprakash: Okay, I

will join back.
Jaiprakash: Yes, sir. Please, thank you. Our next question comes from the line of Sunil Shah from SRE PMS. Please go ahead.
Sunil Shah: Yes. Thanks Feroze and t he entire team for a wonderful achievement. Thanks for this actually. First of all, let me thank Vishal and Kalpesh for the sessions that we had for all of us to make us

understand the structured products. Thanks so much Feroze for organizing and Vishal for conducting along with Kalpesh, the entire sessions . Thank you so much.
So, my question is about this entire thing happening in the markets about the Jane Street episode and SEBI really trying to clamp down on the F&O volumes. So, given that the structured products for us which we act on, does this in any way impact us for the volumes that could get shrink going forward? That is my first question.
Feroze Azeez: Yes. Okay, you want me to first answer this? Perfect. Sunil sir, thank you for the feedback last time around. Very grateful for that feedback, because we always wanted to explain structured product as straight there. Of course, Kalpesh has done only three sessions. If the group of analysts want another 100 sessions, we are more than happy . Because if that produces more issuers, it is a great marketplace. So, thank you for that suggestion. And I think that was the best suggestion we got last quarter in the result.
Now coming to, of course, the Jane Street and the regulation in terms of option volumes. I think for the next Rs. 1.5 lakh - Rs. 2 lakh crores of our next AUM, we do not see any challenge with the current market. Of course, on one index what Jane Street hypothetically at least in the note did was made cash market losses to make, built put option positions or call option positions on expiry day and trigger stop losses to the rest of them . So, any large position on specific index could be something which som ebody can do exactly what Jane Street did.
So, will we look at more diversification in terms of NIFTY, Sensex? The answer is, Yes. So, will it impact our next Rs. 1 lakh - Rs. 1.5 lakh - Rs. 2 lakh crores of AUM? The answer is, N o, Sunil Ji. I do not want to give all the plans. There are about four step plan, Plan A, Plan B, Plan C and Plan D. I will probably, we can do another session where I will elaborate.
Sunil Shah: Okay.
Feroze Azeez: Sunil, sir, can I add one more thing? The one thing which I am amazed as a professional is the kind of intellect SEBI has used to move our options market from notional contract volumes to delta volumes. It is one of the most right thing to do, because the Re. 1 option had the same notional value and at -the money option almost have the same notional value, which was creating those Rs. 500 crores of short limits , I have spoken about in the previous earnings calls were getting breached with just 2 lakh options , put options, 2 lakh premium.
So, now they have moved from notional volumes to delta volumes, point one. Point two, I think also creating several pieces of what you call that, impediments for any trader have been done beautifully. And I think that is one change. There are very few markets who operate limits with delta against notional.
Sunil Shah: Okay. Fine. So, that helps us to understand, at least on the fear part that we need not worry at least for another Rs. 1.5 lakh crores of the AUM that we reach. Yes. Sir, one more point which I had, more of a question type of thing would we, currently, if I understand the net inflow for us


has been close to Rs. 3,825 crores and our RM base is 382. That exactly comes to about Rs. 10 crores of incremental AUM per RM per quarter kind of a numbe

r?
Feroze Azeez: Correct.
Sunil Shah: Sir, so for going forward, can we get that per capita because as a country, we might be the fourth in terms of GDP. What really matters is the per capita. Similarly, for us, the incremental contribution per RM per quarter would be perhaps one of the numbers to really keep a watch on given that market could grow 10% plus/minus and the AUM could change accordingly. But the real strength is in terms of the per capita contribution per RM per quarter. So, some such metrics
if it can be shared.
And one more point can be, if we can further get into the details of equity and structured product breakup as well. So, because that is going to be the base where we will get a higher percentage of income. So, if we can get one such number, if it is possible for you to share going forward, I think that will be more useful for all of us, if at all it is possible.
Feroze Azeez: Correct. Of course, sure, Sunil. It is a very - very valid suggestion. One thing which is a little different than the rest of the wealth management assets is because they do lateral hires largely and internal promotion is a smaller proportion. What ends up happening is there are very similar
kinds of private bankers. We have a mid-banker who is basically 26 and he has become a private banker after four years of training after his MBA. And I have somebody who has got almost 25 years of experience out of which 18 are in Anand Rathi. So, I am just telling you there is a lot of differentials between my youngest RM and the most mature RM. I can divide it, but I think dividing them would also be a little more sensible. I think w e will work on th ese numbers for sure. We will divide it into secured RMs, 5 years plus RMs, and stuff like that. So, we started

with, Yes, it's a good suggestion . 5 years plus, 3 years plus> we stratify our RMs into three categories, sir, less than 3, 3 to 5 and 5 plus. So, Sunil sir , looking forward, what is the per capita per RM net mobilization in these three strata , we can probably give that orders . Strategy for us and information for you.

Sunil Shah: Yes. Yes. And sir, it is competiti on sensitive , so I just leave it for you to take that call. That is just my suggestion.

Feroze Azeez: Okay. Superb. I think the piece of information we are reasonably transparent and I think we should be okay. We will just look at it internally and publish it to you and in the next call or before that.

Moderator: The next question comes from the line of Saiyam Sondhi with Desvelado Advisory. Please go ahead.

Saiyam Sondhi: Congratulations for your quality stats for FY'26. Sir, my question is what is the latest update on the GIFT City subsidiary and International expansion of U.K. and Bahrain office?

Feroze Azeez: Sorry, can you go again?





Saiyam Sondhi: Sir, the question is what is the latest update on the GIFT City subsidiary and international expansion of U.K. and Bahrain office?

Feroze Azeez: U.K. and Bahrain office , yes. So one is an update . But I will tell you what we look at international business that you look at Dubai currently, which we have for almost 10 years. We just finished 10 years of business in Dubai and we think the interest of NRIs in India will grow dramatically.

And I think the kind of flexibility GIFT City also has to offer, t he tax efficiency it has to offer.

I think one of them in the couple of calls back had (Inaudible) international office...

Moderator: Sir, sorry to interrupt you. Mr. Saiyam, sir, your audio is breaking. Maybe request you to use your handset in case you are using any Bluetooth device?

Saiyam Sondhi: Sir, actually I am not able to hear the voice of Feroze sir. Should I repeat my question or the question is clear?

Feroze Azeez: On the Bahrain and the U.K. office , right?

Saiyam Sondhi: Yes, yes.

Feroze Azeez: So, they are in the very nascent stage of getting licenses currently. Point two, I think as soon as you start a business, it is not going to be a huge contributor. But what is our vision for international NRIs or investing in India . We can see a large opportunity, given the interest levels of NRIs, which will, which happen in India, we want to make sure that we have our offices in place and the strategy in place.

Point three, SEBI has been creating several platforms, which make it very easy sort of a pooled investment, okay, especially from international . In the GIFT City and the AIFs and other businesses, which can channelize money into India are developing beautifully. So, we have just got licenses, or we are in the process of getting licenses. But I think the long-term vision is, we believe that there will be a lot of money from NRIs flowing into India for the next decade, and we want to capitalize on that and not just with one office. But once we finish 10 years in a specific business then that is when we try to build our business brick by brick. We just finished 10 years in Dubai.

After having seen an office and profitability and the pros and cons in the international products, now we were confident to have other locations. That is why you see Bahrain and U.K. We are a wealth manager, which tries to build it brick-by -brick. And so we are reasonably bullish on international money coming to India and getting the pie of it. Does this answer, sir?

Saiyam Sondhi: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Muskan Agarwal from Swan Investments . Please go ahead.





Muskan Agarwal : So, the guidance that you guys have released regarding the revenue, PAT, and AUM. So, when we see like you guys are pretty much there when it comes to AUM, but there is a lag in the revenue and PAT numbers. So, there are three questions. First, if you can help me understand the difference and if you guys are like expecting to revise the AUM guidance?

Feroze Azeez: Muskan, we have met our revenue numbers for a year unlike 25%, like you rightly pointed out, we have met 24.17%. And the PAT number is almost 25% that is point one. Point two, do I see any change in the guidance? The answer is a big no, because we will be able to achieve those numbers is how we have always under committed, overdelivered. And you will also be very happy to note Muskan that out of the NSE Small Cap 250 companies, which we are a part of, our primary analysis says that there is only one Company which has given PAT guidance and

also met it for 3 successive years, which is Anand Rathi Wealth Limited. Quite a few do not give a PAT guidance , very few give a PAT guidance. Out of those who gave a PAT guidance for three years and met it, it is only one Company . And with that, I am just giving you a little assurance and some hope that we will meet our guidance this time as well, with the Grace of God, of course.
Muskan Agarwal: So, means any explanation regarding why, like there is a gap like considerable gap between the AUM and the PAT revenue figures because it is just 24% and 25% but the AUM targets like you have achieved 88%.
Feroze Azeez: Yes. See AUM is like a photograph and revenue is like a movie. AUM depends on where markets ended on 30th June. Revenue is an outcome of every day's action and every day's revenue. 30th June, if the market fell 3% hypothetically, would my, there would my AUM be Rs. 88,000 crores, approximately? The answer is, no. It would have been Rs. 86,000 crores. So, when you look at AUM as an average then there will be sanctity with the revenue. So, what has happened is you have added Rs. 3,800 crores. And in the first quarter,

NIFTY has given about 7%, 8% return.
And our model portfolio of mutual funds has out beaten that by 2.47% as of day before yesterday.
So, AUM, that is why we are not revising the Rs. 1 lakh number because on 31st March what Nifty will happen, I do not know. So, what happens is there is something which is an internal controlled variable, which is how much I can bring from clients wallet to my assets. That is what we focus on then when we p ray to the lord . Because then market movement and intern clients return will , and it is not one day, it is 30 th June is the AUM number, right . So, if I give you the average numbers, then you would understand. Does it answer, madam?
Jugal Mantri: Yes, Feroze Bhai, I would like to add. Muskan, if you look at it, like last year, we were at a number of Rs. 79,000 crores, okay, I am just rounding off for the purpose of understanding. And we have given a guidance to have the AUM of Rs. 1 lakh crores by end of the Financial Year '25 - '26, correct? So, what I need to add is Rs. 21,000 crores in 12 months time.
Now in three months' time from Rs. 79,000 crores we have reached at about Rs. 88,000 crores.
So, how much have we crossed ? We have achieved almost Rs. 8,800 crores which is 40% of the AUM addition target in 3 months only. So, in fact, this is the only area we have, by and large

with a very wide margin, we have beaten the target number which we have given. So, I do not know why this question has come that we should revisit this number.
Feroze Azeez: No.
Muskan Agarwal: No, I meant like upward revision?
Feroze Azeez: Yes.
Jugal Mantri: Okay, okay. No, we are happy to be committed at the level which has been given.
Muskan Agarwal: Okay, sir. Thank you.
Moderator: Thank you. Our next question comes from the line of Kamlesh Gupta, who is an investor. Please go ahead.
Kamlesh Gupta : Thank you for giving me an opportunity, sir and c ongratulations to the team , the numbers are excellent. I have two questions. Various time has management has reiterated that the guidance of revenue will be 25% to 30% back. But last two quarters, it has come down to near about 25%.
And the second question is, please, throw light on the same. And the second question is from the last buyback, stock has given negative or negligible return . Could you be considering anything, any corporate action for this?
Feroze Azeez: Yes. One is, see when we say we have always given you 20 to 25% PAT guidance long term 10 years, 15 years. Our professional guru, Mr. Rakesh Rawal, who is also the CEO of the Company , has always said, 20 to 25% PAT growth for years to come. That might also imply 20 to 25% revenue that us not on a quarter basis that is on a year -on-year basis. That is our aspiration.
Because we are in the business of managing one 's money if there are some maturities, we will not do anything sooner or later and its client monies which we manage. So, when we give you a revenue guidance of Rs. 1,175 crores, that is the number you have to look at from Rs. 980 crores to Rs. 1,175 crores.
Jugal Mantri: And that is about 20%.
Feroze Azeez: Growth. Like Ar jun we look into the fish's eye , sir of course one or two quarters, we don't look at it.
Kamlesh Gupta: Okay. Okay. And the second one?
Feroze Azeez: Yes, the second one, sir, stock has delivered whatever it has to deliver. I do not think, in my opinion, corporate action , of course, I do not remember what was the price during buyback because I think stock price...
Kamlesh Gupta: Rs. 4,450, I think.

Feroze Azeez: Rs. 4,450, no, sir means yes, irrespective for buyback, you can just check. No, that was not the

Rs. 4,450, was that the price at which we buyback?
Kamlesh Gupta: Yes, before bonus .
Feroze Azeez: Yes.
Kamlesh Gupta: It was before '15 (to be ignored)
Feroze Azeez: So, sir, our corporate actions of buyback, I think we have not considered any buyback so far. And if there is any consideration we will come back to you and price is not a huge motivation for a buyback. Of course, earlier, there used to be immense amount of tax efficiency when we used to do buybacks. I think the tax laws have changed on that as well because the shareholder does not get it tax free now anymore.
Kamlesh Gupta: I think sir, for the open market buyback, it is still there, sir.
Feroze Azeez: Okay, sir. Thank you. Yes , we will check, because it is pardon my ignorance. Open market buyback if it is there . But we will come back to you. But as of now, in my mind, there is nothing on the cards, which we have discussed internally if I have to tell you as transparently as it could get.
Jugal Mantri: But for shareholders, it does not make any difference, Feroze Bhai . Whether the tender sales in buyback or whether we sell in the open market. So, there is no tax advantage to the shareholders. Is there any tax advantage Kamlesh to shareholder?
Kamlesh Gupta: Yes, sir.
Jugal Mantri: In share in buy back.
Kamlesh Gupta: For shareholder it is not there. It is not there.
Jugal Mantri: That is what I am asking.
Kamlesh Gupta: But for Company , it is beneficial. Still it is earlier rules apply, sir, I think, for the open market.
Feroze Azeez: Yes sir, look sir, what we have to say sir, Kamlesh sir, we need such investors who look after the business for 10 years . In the meantime, we are trying to do our best for a shareholder in terms of dividend, in spite of the bonus shares, doubling the number of shares we try to keep the bonus rupee share, rupee value of the bonus equal. So, that the final dividend doubles. So, we are doing that. And we are always trying to look at people who do not see us on a quarter, six months, one year, and that is how we like to have our shareholders who can make us understand that if a business with compounding of 20% to 25% can be done in 10 year s that i s how we look at it. Of course, your point is valid. I will also examine because I am not a CA, but I have tried to read


all the relevant ones, but this is enlightening for me. I will definitely do some homework, I assure you.
Kamlesh Gupta: Thank you, sir. Thank you.
Moderator: Thank you sir. As there are no further questions, I would now like to hand the conference over to Mr. Feroze for closing comments.
Feroze Azeez: Thank you, Z ico, and thank you, everyone, to join this call. It is a privilege to have our prospective and existing shareholders on this call. And it is, but if I have to go out of the script, I am so happy and enlightened each time you guys ask questions because it pushes us to think a little more and push us is in a brighter direction. So, we, as professionals, always assure you our best ability given to you as shareholders. So, I think thank you for those wonderful questions, which sets us thinking, sometimes improves us , and enlightens us. Grateful. Have a wonderful weekend.
Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

# Call: Oct 2025

Ref No: 70/2025- 26

Dated :18th October, 2025

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited, Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q2 & H1 FY2026 Earnings Conference Call Transcript
We are enclosing herewith copy of the transcript of the Company's Q 2 & H1 FY202 6 earnings conference call dated 14th October, 202 5. The transcript is also available on the Company's website at https://www.anandrathiwealth.in/financial.php .
This is for your information and record.
Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Rajesh Bhutara Chief Financial Officer

Enclosed: as above
ANANDRATHI
Private Wealth. uncomplicated
ANAND RATHI WEALTH LIMITED
(Former1y known as ·Anand Rathi Wealth Services Limited)
P,ivate Wealth. uncomplicated
AMFI-Registered Mutual Fund Distributor
CIN No.: L67120MH1995PLC086696 Registered Office; Floor No. 10, A Wing, Express Zone, Western Express Highway, Goregaon (E), Mumbai -400 063
Board Line No.: 022 6281 7000 I Website: anandrathiwealth.in
Corporate Office : Floor No. 2 & 3, Block B & C, E Wing, Trade Link, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai -400013 I Board line No.: 022 69815400 /69815401 I Website: anandrathiwealth.in


Anand Rathi Wealth Limited
Q2 & H1 - FY26 Earnings Conference Call
October 14, 202 5

MANAGEMENT :
• MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
• MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER

• MR. CHETHAN SHENOY – HEAD, PRODUCT AND RESEARCH
• MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
• MR. VISHAL SANGHAVI – HEAD, INVESTOR RELATIONS



Moderator: Ladies and gentlemen, good day, and welcome to Anand Rathi Wealth Limited Q2 and H1 FY 2025 -26 Earnings Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchstone phone.
I now hand the conference over to Mr. Feroze Azeez, Joint CEO of Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.
Feroze Azeez : Thank you so much, Swap nali. Good afternoon, everyone. Thank you, everyone, for joining the earnings conference call for the quarter and half year ended 30th September 2025. Today on the call, we have with us Group CFO - Mr. Jugal Mantri, Product and Research Head - Mr. Chethan Shenoy; our CFO - Mr. Rajesh Bhutara and Head of Investor Relations - Mr. Vishal Sanghavi.
I'm very pleased to share that we have delivered the 16th quarter of consistent and market agnostic performance despite the challenging environment with Nifty declining about 3% - 4% during both the quarter and the full year.
I want to take a moment to highlight the remarkable journey . When we launched our IPO around 4 years ago , our AUM was about INR 30,200 crores. And in just about 4 years, we have added more than double that amount reaching to a total AUM of INR 91,568 crores at the end of September 2025.
During the quarter Two of FY '26, equity mutual fund net flows increased by 101% year -on-year to INR 2,062 crores as compared to INR 1,025 crores last year same quarter, where the sentiment was significantly better last year than this year. So, it makes us believe that buying when the s

entiment is bad, creates a lot of value for our clients, and that numerically seems to be established in this quarter . For H1 FY '26, our market share in equity mutual funds net inflows stood at 2.33% in the category 3 of AMFI's publishing numbers. So of course, quite a few people were skeptical about penetration and market share when it comes to -- because of direct as a competitor during our IPO and subsequently over a 4 -year period. But if you see our market share has gone up from 0.16% in FY '20, to 2.33% of the net inflows in India has come in active funds to us.
During the quarter 2 of FY '26, total net flows increased by 28% to INR 3,302 crores as compared to INR 2,336 crores. So the overall net flow was also reasonably healthy. Hence, H1 FY '26 total net flow rose by 20% to INR 6,827 crores compared to INR 5,700 crores last year same period of half year.
In our flagship private wealth business. During the last 12 months, we have added about 1,800 plus families on a net basis, bringing our total number of clients to 12,781.
And client attrition numbers have been -- our client attrition numbers in terms of AUM loss remain low at a second decimal of 0.09% for the quarter 2 FY '26 and 0.18% for FY '26, the full half year, reconfirming -- reaffirming the trust our clients place in our uncomplicated client -centric approach. 

Digital wealth business, which is a B2B2C business registered an AUM growth of 21% Y -o-Y and reached to INR 2,211 crores and the number of clients increased by 20% to 6,570.
The OFA business, which is our SaaS platform, has 6,790 subscribers with platform assets of about INR 1.59 lakh crores as of 30th September 2025.
Now I request Jugalji to give business highlights for the quarter, which went by . Jugalji, over to you.
Jugal Mantri : Thank you so much, Feroze bhai. Good afternoon, friends. Let me take you all through Q2 FY '26 consolidated financial performance first. Our consolidated total revenue for the Q2 FY '26

stood at INR 307 crores compared to INR 250 crores in Q2 FY '25, registering a healthy 23% year-on-year growth. Our profit after tax stood at INR 99.89 crores registering a 31% year -on-year growth compared to INR76 crores in Q2 FY '25. Profit after tax margin for Q2 FY '26 was at 32.5%, which has improved from 30.6% for Q2 FY '25.
Now I will take you all through H1 of FY '26 financial results. During first half of financial year 2026, our consolidated total revenue grew by 19% year -on-year to INR 591 crores from INR 495 crores for H1 financial year '25. Profit after tax increased by 29% year -on-year to INR 194 crores from INR150 crores for H1 FY '25.
Profit after tax margin was 32.8% for H1 FY '26, improved from 30.2% for H1 FY '25. In the first half of FY '26, the company has already crossed 50% mark and achieved 50.3% of its full year revenue guidance of INR 1,175 crores and 52% of PAT guidance of INR 375 crores.
We have reported a strong Return on Equity or ROE of 45.5% on an annualized basis for H1 financial year '26. Continuing our policy of rewarding shareholders, the Board of Directors have declared 120% interim dividend resulting translating to INR 6 per equity share.
Now I request hereby Soknali, to open the floor for question and answer. Over to you, Swapnali .
Moderator: The first question is from the line of Aakash Jha from AJ Wealth. Please go ahead.
Aakash Jha : Just one question from my side, sir. Actually, our RM attrition has increased, but we have still managed to retain most of the AUM part. So -- but typically, what I have seen in this industry is when RMs moves out, they tend to take a larger portion of the ir client's AUM. So I want to understand what we are doing differently or what client retention control do we have in place that help us minimize the risk of AUM loss?
Feroze Az

eez : See, firstly, RM attrition in our company is reasonably low. Like I had told you last time around on the call, I don't know whether you were there, we had some cultural issues with a few people in some of the locations. So , we had to let go of two and the other two left themselves. So these four attrition pieces, which you see in this H1 are largely from one location. That's point one.
And point two, when an RM leaves, basically, what happens is there is a certain motivation of the RM to leave. But the client centricity, if I exhibit that the client is better off here because we try and deliver risk -adjusted return of 4% to 6% Jensen's a lpha. There are very few companies ANANDRATHI



in the country who have a Jensen's alpha published on the overall AUM. Now for example, if you want to calculate the Jensen's alpha of Anand Rathi Wealth, we are now listed, this is our 16th quarter, you can get to know the mark -to-market gain which I've had every quarter. You can calculate that Nifty mark -to-market and find out the risk, which is beta in the public domain.
You can find out what is the total profit we have made in public domain, our mark -to-market for the last 3 - 3.5 years. So if you look at Jensen's alpha, so what am I trying to get to is, if I told a client, if the RM is leaving and if you want to move with him , what is a Jensen's alpha of the other company, which he is joining and that Jensen's alpha is not there. So it becomes easier to retain a client.
Of course, RM has the strongest relationships, and it should always be like that. It should not be technology led. But yes, we've been able to retain about 79% of the 4 people so far of the assets they had. That's why you see an attrition number, client at trition number in 0.18 or 0.19.
Aakash Jha: Just one last question, sir. I mean our AUM guidance of INR One lakh crores. So is there still impact? Or are we trying -- I mean, can we increasing the guidance?
Feroze Azeez : We'll not increase the guidance because AUMs are on a specific date, if 31st March of FY '26 is not so good, then the AUM could be this way or that way. So we'll retain the guidance of INR One lakh crore s. It's an aspiration number. We are at INR 91,568. We'll keep that as INR 1 lakh.
We always like to under -commit , over-deliver in that same theme or the belief we would like to retain it like that, especially an AUM number, you would not want to update because it's very difficult for any of us to predict what 31st March of 2026 will be like. Does it answer, Aakash ?
Aakash Jha: And what assumptions are baked in for market performance versus organic inflow?
Feroze Azeez : It was INR One lakh crore s. It was an aspirational number. We started last year, we were at INR 75,000 crores (actual number was Rs 77,103 crores ). We are at INR 91,568 crores. We assume 10% market growth generally. But the net flows have been very good. And that's why it's been good. So we assume 9% to 10% market growth generally when we look at beginning of the year.
Moderator: The next question is from the line of Bhavin Pande from Emkay Investment Managers Limited.
Bhavin Pande : Congratulations on wonderful set of numbers and consistent performance . Feroze, what do you think once our AUM crosses INR One lakh crores, INR Two lakh crores, the base effect would come in when we look at growth. So how do we look at growth once the base effect comes in?
Secondly, perspective on flows from the existing families and new client additions. Have we seen the mix change where new clients are contributing more?

And third, what's the overall outlook on the market given the way we have seen a lot of consumption moves coming about?
Feroze Azeez : What was your first question, Bhavin bhai? Sorry, I missed the first part.
Bhavin Pande : Base effect coming in. Right

now, we are almost at INR One lakh crore s, maybe two years down the line, you'll be at INR Two lakh crores. So how do we look at the growth numbers that 25% ANANDRATHI


growth that we were kind of looking at, but is it coming about curren tly with 28% - 30% growth on a Y -o-Y basis. So the second leg of growth, would it be slightly lower or we still maintain the 25% kind of growth number?
Feroze Azeez : Thank you for the question, Bhavin bhai . Now I got the question. First is the base effect, you're absolutely right. We have been waiting for a critical mass. For whatever right or wrong, we had assessed that the critical mass in mutual fund AUM, for example, is INR 50,000 crores of regular AUM. So out of which INR 46,000 crores, INR 47,000 crores was mutual funds for us.
So critical mass at a total level, like you said, close to INR 90,000 crores – INR One lakh crore s is one. But in individual, there are very few wealth management outfits, which have been able to reach INR 50,000 crores of AUM in their distribution assets. So we always thought that was critical mass.
Once you get to critical mass, you're collecting a certain kind of client. See, what is different about Anand Rathi is we don't take everybody who has short -term mindset , long-term mindset, greedy mindset . We filter our clients very, very clearly that we'll be able to do 13% to 15% with a beta of 0.6 with Nifty. If you are very aspirational, you please go the full circle. You'll realize that it is 14% - 15% compounded over 10 - 15 years is very good.
So point is absolutely right. Critical -- this business is all about critical mass. Because HNIs love to go with larger outlets. That's why quite a few wealth management outlets inflate their AUM so that they can create a very good pull from a client stand point. So people count my assets in theirs by taking an advisory agreement of INR 4 lakh, they're accounting INR 200 crores. So point is, yes, critical mass is important. This business is all about mass and time.
So will we increase the rate of growth? I don't think so, because with the base being larger, the quantum of rupee value is higher, but percentages may not increase because INR One lakh comes to INR 25,000 crores, 25% of growth.
So will we be able to sustain that growth? The answer is a big yes. Will it be easier to sustain that growth? The answer is a bi g, yes, after reaching critical mass. Will you be able to attract more like -minded clients? The answer is yes. But will we up our guidance of growth numbers? No. We are only working day and night to increase the chance of growth rather than the growth itself.
If I've given -- or my boss, Mr. Raval, who's also my professional guru, has given a guidance that we will do 20% - 25% of growth in 10, 15, or 20 years, then we are only looking at how do we enhance the chance that this statement becomes more and more credible with 30 , 50, 100 results? It's just 16 so far. So no upping the percentage, upping the probability. That's what it will do.
Second, new families and fresh clients, both have seen some reasonable numbers. 65 % is from existing currently and 35 % is from new. Why is it 65 -35? It could also be 50 -50, but we are very relaxed when we attract the client. We don't tell them , you give us INR five crores, then we will do your wealth management. We say give us INR one crore s, if we do our bit, then there's no ANANDRATHI


reason why you will not give me a large portion. So only thing we filter is whether he's got One million dollar plus to give us if he so chose to. We let him start with INR 1 crore s.
So the ratio is 65 -35 because we don't put a gun on the head to start big. We think that if we deserve, we will get it . HN

I is a smart community is the hypothesis . That's the split, two third and one third . And yes, and I think getting references, people are now taking pride that's the critical mass. Our clients are taking pride to say that we deal with them, and they're referring their friends and their confidence has come up on us. So that's why first tim e we ever touched 200 client acquisitions in the si ngle month in September.

Bhavin Pande : And your outlook on the market, given the way we are seeing consumption boost and government initiatives and the same?

Feroze Azeez : Yes. Sorry, I unknowingly dodged that question. We personally think that when it comes to market, our -- we try and answer simpler questions whether in the next 3 years, will Nifty give more than median return ? Median return of Nifty is 11.1 2% median return, mean return is 13.5 – 14%. We expect in the next 3 years, Nifty will deliver the 90% chance of a greater than median return on Nifty, one. Second question we ask ourselves is, what are the odds that there could be a catastrophic fall ? The probability of a catastrophic fall is near zero because we believe that everybody is light on the market. Margin funding books are light, FII short positions are 92%. FII's net flow over the last 4.5 years after COVID is zero, DIIs are sitting on inflows, INR 29,513 crores has come into September SIP. So mutual fund people are saying if I sell it, what will I buy next . Of course, a lot of mutual fund analysts would be on this call. So the point I'm trying to make is DII is loaded with money. FII is already sold. FII in future market is negative. Margin funding books of top 5 brokers are not at the peak. So catastrophic falls are unlikely even if U.S. tried their best for our markets t o fall. That's why resilience is there.

So lowest negligible probability of a catastrophic fall, what do I mean by catastrophe fall is, more than 15% fall and the median return probability is upwards of 90. And with that kind of an assumption, can I deliver 13% to 15% for my client with 0.6 beta ? That's my proposition on the objective of numerical delivery.

Moderator: The next question is from the line of Arun Gopal an Individual Investor.

Arun Gopal : I really appreciate Anand Rathi's statistical approach to the market, which is so uncertain. So that statistical approach gives a lot of confidence as an investor and as well as a client of them. I've got 3 questions, basically. One is we wanted to know th e revenues stream and the product mix between the revenue stream between mutual funds and structured products.

And the second question is now a lot of emphasis has been based on structured products, vis -a- vis the market competitors, which sounds logical because the plan B is now right time to be activated because the markets are hovering around. So I wanted your vi ew on that. And the third one is where do you and your team see Anand Rathi in the next 5 years?

Feroze Azeez : Thank you, Arun sir, for your question. MF & S P revenue stream, we had guided that we will get to 50 -50 over a period of time and we are working extensively for a r evenue stream to be balanced, S P 50 and the other is 50. Have we gotten there? May not be. We might be at -- how ANANDRATHI



much? 43 - 44? Somewhere in the 43 - 44 kind of range we are. We are trying to get to 50 -50. So that's what long term it will be is the prayer and our effort.

And to do that, what gives credibility to the statement, you would see a 2.33% market share in net flow for the first half year. And we have lakhs and lakhs of IFAs in India. We have N Ds, national distributors, banks, all of them have brought in a net flow of 97.5%, for example, and Anand Rathi 382 RMs, 386 now have brought in 2.33% of net flow in active equity mutual that's called credibility. So that tells you whet

her we will get to 50 -50 or at least are we attempting to do 50 -50 and a hardest attempt is being made. That's point one.

Second, market should I put money in the market or S P, we generally don't tilt ourselves either way. Like my portfolio is 65% equity mutual fund, 35% structures. Wherever there's a gap, if I got a bonus, if Rathi ji felt generous and he gave me a bonus, I would split it 35 or whatever is the gap in my proportio ns of the strategic allocation.

If we do that mechanically without getting biased on the recent performance, quite a few of our clients sometimes get carried away when the markets do very well, they are averse to structure products, when the markets are bad, there averse to equity mutual funds.

But we try and guide them mathematically. That's why y ou see INR 2,000 crores – INR 2,065 crores has come in equity in the last quarter. So it makes me feel happy that when the market is down, we are able to explain to the clients that we have to buy now. I agree that you won't feel like buying. Your heart will say that you don't want to buy at all. Your mind should say that you should buy. So we try and not gravitate towards either. Do we -- plan B, do we very strongly recommend? The answer is yes. People say, why do you recommend? Quite a few a competitors say structured products, they are vested interest. Okay, you don't understand. But if you look at 1,059 structured products, which have matured from December 2020, have given the maximum possible return they could have given. So we use all Monte Carlo simulator, all our understanding of derivative to design a product, which is not th e most attractive to see, but more than probabilities the estimate.

So from -- for the last 5 years almost, all products, which have matured, which is 1,059, which is almost one every working day, the same kind of product, of course. All of them have given

the maximum possible return, because there's a lot of technical exp ertise, which the product team brings. So that's the market and SP -- Nifty -- mutual fund and SP split.
Where do we see ARWL in 5 years from now from an Anand Rathi shareholder standpoint, we plan for September 2030's revenue, like yesterday, we were discussing, September 2030 revenue, how much of that is done for me. If I have to grow my business in next 5 years at 20%, I need INR 236 crores revenue in September '30. If I grow my busi ness revenue at 25%, I need INR 289 crores.
How does that break up between trail and structured products, which will mature 5 years from now, you would see that there's an implied 18% - 19% growth, which we plan for 5 years from now. So that's from a shareholder standpoint, revenue of September 2030 , how will it be? 

Because structured products mature has doubled the money and there's a rollover option. So that's on the revenue side.
Now comes to from a client side, we have a target of making INR 125,000 crores of mark -to-market gain for our clients. If I have INR 91,000 crores, if I grow money at 14% - 15%, I can get a mark -to-market gai n for my clients of INR 90,00 0 crores on the current assets.
If I collect INR 1,300 crores, INR 1,400 crores every month, then I end up collecting almost INR 90,000 crores again over the next 5 years. That also can give me a mark -to-market at 14%, 15% or INR 40,000 crores. So our aspiration for the client is how we can make a profit of INR 1.25 lakh crores and keep the risk limit for the clients within the next 5 years. Arun sir, does that answer?
Arun Gopal: Yes. That does answer my first and the third question very clearly. But I just wanted you to throw some more light on structured product because a lot of this -- a lot of the new clients were coming in, on -boarding onto the structured products. They look with a lot of scepticism into th

e
product. It's probably they don't understand the way it works, or if they find it as a hidden agenda. So sometimes if it can explored a little more, structured products as a safer product plan B on your investment horizon, how it works out, that would be a little helpful for all the other people who are sitting on the fence and then trying to see which way they go?
Feroze Azeez : Structure product is nothing but a bond. A bond which does not fix your return, it gives you a variable return depending on the underlying, which in this case is Nifty, right? So what risk do you carry? Nifty risk, market risk is most explicit in this prod uct. If Nifty delivered this, this is what you will get. So 5 years later, you have to turn on TV and see, for example, what is Nifty, what is the liability of the product towards you?
The second risk is, how is the money kept? The promise is one thing. Promiser is the next. If the promiser is alive is when he will fulfil the promise. How is the money which Anand Rathi Global Finance has deployed? You will see 63% of that money is in inv estments, in Demat Account. So that I'm sure my colleagues will take you through if you have had that discussion.
Secondly, of course, people -- competitors have always been predicting our default for the last 13 years. So -- but if you look at how the money has been deployed. You will realize that an NBFC is managed and very, very carefully and without any greed on N IM can have a very, very good credit risk management, and that's what we are proud of. And if you look at the Z score of the NBFCs, which we filter. There are about 9,500 NBFCs. So we do bottom -up, try and have these three filters on all the NBFCs. And we have currently been able to approve only 2 of them. One is Anand Rathi Global Finance and another external. Gopal sir, sorry, my memory doesn't serve me right. Vishal ji, who is our Investor Relationship Head, prompted me that we did a 3 - part series for everyone to understand trade bear. And that you can always get it from Vishal ji and that's very exhaustive. We are planning to do more series if people want to understand, secondly.
Arun Gopal : Definitely. I'd love to get the series. Thank you very much.
Feroze Azeez : If you can -- yes, will get e-mail ID of yours. 

Vishal Sanghavi : Yes, we'll put it up on the website, once trademark addition.
Feroze Azeez : Yes, it will be put on our website, Arun sir.
Arun Gopal : Okay, thank you very much. I'll pick it up from the website. Thank you.
Moderator: The next question is from the line of Jyotheesh V from Qapita . Please go ahead.

Jyotheesh V: Congratulations, first of all, Feroze. I think my question was earlier asked. I think throughout the year, the biggest strength or one of the biggest has always been the attrition rate. And if my observation has been right, it is going down the line as wel l. How do you plan about working on this and working towards this?
Feroze Azeez : Mr. Jyoti, right?
Jyotheesh V: Jyotheesh .
Feroze Azeez : Jyotheesh , if you look at attrition, of course, there will be some attrition here or there. But when we look at our revenue, like I told you how we plan the revenue of 2030 September because all our structured p roducts have a rollover, right?
Now -- okay? It means that the revenue, if I've done x amount of structured product sale in September 2025. Give or take September 2030, the same thing will mature with a certain 14%, 15% return, which means let's assume 15% for the moment, for argument's sake. Then if I collect INR 100 crores this year, Septem ber, 5 years later, there's INR 200 crores to mature, right? It is very -- it's lesser effort for a person to roll that over for the next 5 years. And not exercise the put option. So my revenue streams, if at a company level are reasonably

stable because we have
a trail revenue, for an R M also, it isn't like we were doing, we were doing some math for one of the RMs whom we internally call Singham, okay?
So his tra il revenue is INR 19 lakhs. INR 19 lakhs in the next 5 years, if his AUM double, then he has INR 38 lakhs of revenue in September 2030, and structured produ ct sales for last month was INR 4 crores. So if that matures as INR 8 crores. He has INR 8 more crores to mature then .
So his total revenue for September 2030, 80% is done sitting today.
So will an RM has -- either -- the company has to ill -treat an RM or somebody who's got private equity money wants to throw 4x the salary and then later pressuri se him, he can leave, but most sensible people will automatically look at getting a trail income and putting their business on autopilot.
So these attrition numbers, which you see are not going to last. There are some differences we have on the cultural side. I don't want to spell out the specific reason of letting go of two people and their friends to more people letting gone . On the call, I highlighted last time as well. So you can expect some attrition where there are cultural misfits, but not an exodus is my belief, so far.
Jyotheesh V: Thank you so much. Once again, congrats to the entire team. ANANDRATHI


Moderator: Thank you. The next question is from the line of Priyam from Trinetra Asset Managers. Please go ahead.
Priyam Shah : Thank you for the opportunity. S ir, my question is that, if you look at our yield to assets, they are much, much better than everyone on the street. And frankly, that is because of our key strength being structured products. My question is that as our AUM increases to five years down the line or 10 years down to say, INR three lakh crores or INR four lakh crores. Obviously, I'm expecting that structured products would be INR one lakh crores, INR 1.5 lakh crores at that time.
My question, sir, is that in this product, we are essentially not taking a market risk. We're taking some credit risk and as this category grows, is there enough good credit available, a, and b, do you think that the yield on structured products will remai n the same? Or will it come down as we keep growing?
Feroze Azeez : Sorry I missed your name. I'm so sorry.
Priyam Shah : Priyam Shah.
Feroze Azeez : Priyam Shah, one is when you call yield, yield is always per annum, right? So if I look at yield, both mutual fund gives me 1.09% post -GST. For the 1,000 products which matured in structured products, if I calculate as per market value in the same method, how mutual fund gets calculated, my yield is somewhere between 1.15% and 1.17%. So yield -wise, both are identical.
Recognition wise, they could be different, one.
Second, if structured product becomes a INR one lakh crore, INR 1.5 lakh crores, is there enough good credit? Anand Rathi Global Finance, our confidence there is 99.99% because of the kind of management and their liquidity of the balance sheet. Do I have so many NBFCs who are ready to manage it in a liquid way, the way Anand Rathi Global Finance manages? The answer is no.
There are so many NBFCs who want to take money in structure product, but I don't feel like lending them . The person to whom I intend to lend money does not want to take it. The one who I don't want to lend says I'll give you structured product returns, why 14% of Anand Rathi, I'll give you 17%, 18% with the same product specs.
So -- but is this business scalable to INR1 lakh crores, INR1.5 lakh crores? You can believe it or not, my judgment, yes, very, very easily. Now why so is a separate story. Most of the things

which somebody will just see as an output would not have credibility. But yes, that's how it is. So -- but yes, INR1 lakh crores, INR1.5 lakh crores, INR2 crores, INR2.5 lakh crores, this

industry can grow very easily. So that's my judgment.

Priyam Shah : Sure. And sir, just a follow -up question. Do we -- are we -- we are focused on all of our areas. But going ahead, do you think that we'll be more focused on the equity part? Or will it just be as it is right now, or any new products in the angle?

Feroze Azeez : It will only be focused. Our focus is single -minded, obsession, I would call it, clients' objective. That's my obsession as a company. Everyone who is there says that let's assume if the client 



wants to deliver 14% return with 0.7 beta, which is the simplest way to achieve it. If equity mutual funds can't do it, I'll replace them with PMS. If PMS' s can't do it, I'll replace it with AI F. But the focus is clients' objective. That's about it.

And if you are able to deliver for the client, if our hypothesis of client is smart, he will give me a lot more penetration capability into his wallet and his client preference. So we keep checking on whether I'm missing out or not missing out. So what I can do is everything what wealth management companies, other companies do, I can do , because nobody stops me doing AI F. But can other wealth management outfit survive on only two product lines? Difficult. The converse is not true. I can do whatever, which helps my odds of achieving a certain object. So that's the focus. Might seem very idealistic, but yes. That's that objective.

Priyam Shah: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah : Yes. Hello, Feroze, everybody on the team, a big, big hi. So thanks once more for this stupendous performance. I really need to congratulate each one of you with Anand Rathi. Thank you so much. Sir, my thoughts is around this. I think Feroze, we have worke d out how we scale up employees in the organi sation. We have got a process in the organi sation. That is really commendable. Similar applies to even clients as well in terms of acquisition, etc etc.

One point I want to make to you is, in terms of our structured products, now there was a three part series Vishal and his team, they nicely explain everything. The AUM that we have in structured products, as I see from the presentation, is 27% of our AUM is in structured products, roughly, about INR 24,700 crores, so let's round it off to INR 25,000 crores.

So we are really diversified, whether in terms of dependency on one employee or one client. We are totally insulated from any vagaries on that front. But in terms of the structured products, our concentration risk is high in terms of the Anand Rathi Global Finance, just highlighting .

So if we can look at diversifying, as I made some three different options where the diversification can happen and in due course of time, all the senior management, including Chethan and all can take a call, but just wanted to share the names in terms of NBFCs, where are all these guys, Bajaj Finance, Tata Capital, Muthoot Finance, Shriram, HDB, they're all established. That's one category of NBFCs, which can be approached, explain this thing and eventually, this relationship can be developed. So that we diversified from Anand Rathi Global Finance . The second set is the global bankers like the Citi 's and HSBC or JPMorgan, etc etc. And the third is the broking community, which are now listed. So the likes of Motilal Oswal, Edelweiss, IIFL, Kotak and Nuvama.

I believe in the past, we have had such a structured product thing with Nuvama and Edelweiss. So just wanted to share how we can minimize the so -called risk in maybe my mind, investors' mind or the longevity point of view. That was the thought which I want ed to share with you, Feroze, so I would like to hear from you, please. 



Feroze Azeez : Thank you, Sunil sir, your suggestions are always very valuable. I think the three part series was also your suggestion, if I remember right. I'm very, very grateful to you. Absolutely, your concern is well noted. Is diversification on the cards? The answer is a big yes. Have we approved one more just now again? Nuvama, like you mentione d. Since you mentioned, I'm mentioning, they are again there on the platform, then coming to which direction of diversification, which you suggested.

The problem with one -- Kalpesh, are you there? Okay. He's hearing. So anyway, so Kalpesh, who did the three -part series, will tell you how we look at evaluating from the 9,000. Our first criteria is at least half the money should be invested rather than len t, because when you have derivative positions, you need to have extensive margin always at all points in time. If the margin is INR 10 - INR20, you should have INR 50 out of your total money collected. So that's one. Now of course, these big names, which you said, they are very, very good names. If they start issuing structure products, I would be the first one to actually approve them. The problem is structured product, any company which can borrow at 8%, 7% without doing too much would not want to do all th ese effort s, to borrow at the same rate, right? That's my only challenge. The one who I want to lend money to, does not want to take it. They say directly, I'll do a mutual fund placement, straight. Why will I take IN R500 crores from you or INR 300 crores every month for the next 20 months. So that's one challenge. So if -- Sunil sir, if you suggest, I'll do another one-part series or a two-part series, Kalpesh, which says how do you evaluate ? What are the three , four filters which we use, how do we use that score to evaluate? Actually, we had approved two of them both of them went through trouble much before we exited, right? Because that's because of Kalpesh Koradia, who heads this division, has been heading this division for 13 years now. And so his assessment of credit risk helped us get out of two other issuers well before they went into trouble. I'm not going to name them, but though one of them was called AAA, unfortunately, right? But we will do this one-part series. And we are looking at diversification, point noted, sir, you will hear some more news from us.

Sunil Shah : Sure. Thanks so much for all the efforts and please continue scaling higher. Thank you so much.

Moderator: Thank you. Th e next question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: Yes, hi. Thank you for the opportunity. M ost of my questions have been answered. Just two questions. So if I look at the net inflows, the equity MF inflows as a portion of the overall inflows constitutes around 70% roughly for Q2 FY '26 as compared to 52% for the earlier quarter, that is Q1 FY '26. So could you give any particular reason for that a nd secondly if I look at your finance expenses that have increased sequentially by around 21%. So what could be the reason for that? These are my two quest ions?

Feroze Azeez : Firstly, what number you said, great you've noticed that. I'm glad that you did. This just proves to -- or at least add credibilities to Sunil sir's statement saying that you are process driven when it comes to clients. You are process driven in terms of p eople growth. Now th at's the data which you have said .



When the markets are down, let's assume one of my client has INR100 with me. If he get INR 20 more. If I have to divide this 65 -35, INR13 needs to go into mutual funds and INR6 -- INR7 needs to go into structured products. When the market is down, the gap in mutual fund becomes larger because the other portion INR100, 65 -35, when the

market is down, this 65 has become
60, structure has not fallen.

So where is the gap more? The gap is in mutual funds. So when you allocate money as per a process rather than a top of mind recall, it's easier to sell a structured product last quarter, because mutual fund from last one year has not given a performance and client was saying what he is trying to purchase. But if you go as per the gap sheet of where the gap has emerged, when the markets are down, you will buy more mutual fund. And last year same quarter, markets were up, if you remember on 26th of September 2024, Nifty was at INR 26,217 which was the peak. Peak, it established in the last quarter same year. That time, I only had a larger -- only 52% going into mutual funds because the mark -to-market was higher. Does -- was I able to articulate what I'm trying to say?

Mahek: Yes, I got it.

Feroze Azeez : Instead of heart we allocate through the mind. According to heart you have to purchase the structure last quarter, but according to mind you have to purchase the mutual fund.

Mahek: Got it, sir. And secondly on...

Feroze Azeez : Yes sir. Go ahead.

Mahek: Yes, I was telling secondly on net finance expense relating?

Jugal Mantri : The finance, Mr. Mahek, what happens that wherever -- as and when the lease rentals get renewed. So like this year there were a larger number of lease rental got renewed. And as per IndAS under -- IndAS 116, part of the lease rental has to be booked under finance charges. And that is why the largely like whatever finance charges, which has been booked around INR 2.5 crores in the first half is on account of the renewal of the lease rentals. And I think we have taken some car loans of about INR 10 crores last year, INR 20 crore s. So there is an increase of the cost on that car loan also on account of that. So that is the reason finance charges have gone up.

Mahek: Got it, sir. Thank you so much for your goods and all the best.
Moderator: Thank you. The next question is fr om the line of Shrenik Mehta from Indoalps Wealth . Please go ahead.
Shrenik Mehta: Hi, F eroze, congratulations once again for fantastic results. My question was a little more on the longevity front. The way the company has performed in the last few years, do you see this performance without any new platforms to be created to continue in the n ext 2 to 3 years as well and primarily focusing on how you're delivering on the PAT growth and also very high ROE. Do you see this in the same manner going forward? 

Feroze Azeez : Yes, Shrenik sir. One is, of course, God only will -- time will unfold. But our attempt is to keep the ROE high, you've also seen that we ha ve given a INR 6 interim dividend on an increased number of shares. Second, from a predictability standpoint, we believe that the four engines, we believe, of course, so many externa lly may not be able to believe that there are four cylinders to this growth, Shrenik sir. One is if I deliver very good performance to the client, risk adjusted, of course, not just return, then my revenues go up automatically. That's called the implied growth. There is an implied growth, client deserve 10% so for next year revenue 10% has increased and in that client attrition has to be second decimal or at least one decimal, if not second decimal. Then you have the implied growth. Then you have your existing RMs who can manage 6,000 clients extra more than what we have today. So no new plant and machinery, we have more number of clients. So RMs also do well. They get more clients and they feel more satisfied when the other family cl ients refer. That's the second thing, capacity utilization. Third is penetration. Most of our clients, since we don't push them -- so these three cylinders plus the new RMs. We already know who are our next 100 RMs. O

f course, our AM attrition has been high . We're trying to address that, b ut since we don't do lateral hires, my cost of a new RM building his life is immense patience and very low cost. You would see that lateral hires are not even 8% - 10% of our total last 100 RMs, that means that I give plenty of money to someone and bring it and I put a pressure on him that why didn't the client come. So all these four legs of growth, new RMs, existing RMs, new clients, existing clients or monies which are outside and the client growth put together in our firm belief is for long periods of time, 20 to 25. But with the base going up, would I say that the last 16 quarters , our median growth is 33%. Mean is how much? Mean is also 33. This quarter is 31. Can these 30 normalize to in the 20 -25 range as the values become bigger as a base? The answer is yes.
Shrenik Mehta: Okay. So you don't think there is any need for new drivers like international markets or any other diversification that is really required to sustain this kind of growth?
Feroze Azeez : So one is, I think our RMs, we didn't -- don't give them targets. So they dream well. They dream well, they don't have a geographical restriction. So today, an RM is actually acquiring a client in Abu Dhabi, who's been referred sitting here in India? The answer is yes. So coming back to what all do we need to do to susta in this? There are several things. Does it mean that I have to start other businesses for that? May or may not be. Are we doing more on the Gift City side? We took an approval yesterday from the Board that would be there in a minute. Are we doing domestically for NRI investing in structured products? Are we doing something? The answer is yes. We are trying to solve the Tax issue with U.S. NRIs? The answers, yes. Have we applied for Bahrain license representative? Yes. U.K. license? Yes. Do I see these as ideas to protect growth? No. I see them as the right things to do. What we see as protection of growth is to reinvest in some four - five things. We are already investing in technology. You will see that we are doing a beta test of a app called Uncomplicated by ARWL, trying to make technology our strength, investing in HR, investing in operations. These things we will do. So will we sustain the margin of 46% PBT? That's not the intent. W e'll reinvest back to ensure that the probability of the 20% - 25% keeps in creasing with each passing day.
So that's the strategy. So do we need more things? Yes . But are we worried about the 20 - 25? No. Do we have to strengthen several verticals, Rakesh sir says, strengthen everything , right. 

Rather than just try and say let's do new stuff. Does it answer, sir? Right or wrong, that's what we discuss in our office.
Shrenik Mehta : Yes, absolutely.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain : Yes. Hi, sir. Congrats on a good set of numbers. Sir, just on this, the distribution of financial products part, which is largely the structured products, is there a seasonality? Because generally, we look at Q3 and Q4 run rate in terms of revenues is lower than Q2 and Q1, but we've seen it in FY '24 as well as FY '25. Now is there a seasonality in the way it kind of works in this segment?
Feroze Azeez : So you're saying Q1 and Q2 is higher, Q3 and Q4 is lower?
Prayesh Jain : Yes. And that we've seen in FY '24 as well as FY '25.
Feroze Azeez : No, there's no seasonality. What happens is there could be -- now, for example, an RM is given the freedom to plan his business, one, okay? So , it could be different energy levels in the first half and the second half, marginally. But second is, like quite a few analysts were worrying and making me worried, saying that your maturities won't come till 2 ye

ars, till August. So the
seasonality, if there was any, was when we moved after COVID in August 2020, we learned that we did one mistake that if you make a 3 -year product, and then at the end, if he doesn't get the return, he was provisioning a great return, but then he got back capital. I can say, sir, you got that capital during the peak of COVID, isn't that good enough? You could have bought NIFTY at 7,500, but that still doesn't suffice. So we moved from 3 year to 5 year in August '20, which implied that my maturities from August '23 to August '25 were dried up because we were doing -- we have moved to 5 years. So that was one of the seasonalities. That was because we took the right call of moving from 3 to 5 years, and that was actually very good. Otherwise, I would have had some maturities where there wouldn't be so much gain for the client as of now. So that's the only seasonality I can think of. Unfortunately, unlike most people's prediction that my mutual fund market share will go down because I don't do cheap , beautiful , durable . And my structured product will also be very difficult to do, but that August '25 bad period is over.
Prayesh Jain : Right , right. And sir, generally, you've been kind of delivering stellar returns on even this portfolio, right, structured portfolio, the structured products portfolio. And why is it that you kind of want to grow this business at a slower -- relatively slower pace versu s mutual funds?
Feroze Azeez : Not at a relatively slower pace, sir. If I look at 65 -35, which is the allocation, you will come to -- so that we have -- we're not growing at a slower pace. Now I think one of question , somebody has asked, they told that 27% -- Sunil sir told that, 27% i s in structured products.
So when I allocate money, if the client has chosen 25% in structured products, 10% in debt and 65% in equity, which is a 14% expected return with a beta of about 0.5% or 13% expected return with a beta of 0.5%, I will go with the proportions chosen. 

So, I'm not trying to doctom my product allocation as per the revenue I need or my belief in a product. I'm again marrying it back to my clients' objective. There are several clients we said we will not take your money. If he says take this INR 2 crore s in structure d product . We said, we are not interested in selling a product. If you don't tell me the full asset s, it becomes difficult for me to address even 10% of it.
So, coming back to the question, I'm not either trying to grow one leg or another leg. I'm putting in a lot of effort to bring more money in equity mutual funds when the market is down . Which implies the market will bounce back, so my client not withdra wing money. Now you see September number in the industry, ironical and I feel sad as an industry participant. The net flow in September is INR 30,000 crores, total. And SI P is INR 29,500 crores. It means total H NI altogether for India is INR 500 crores to be put in equity mutual. Isn’t that – that is the month where you would buy. The average of NIFTY is 24,700, right? People buy what -- people sell what is -- what people buy. That's exactly the opposite you have to do. Clients will always be attracted with their heart because it hurts them to see no return for 1 year and gold has become 55%. So you have to counsel them and say, sir, please don't have recency bias, that's the biggest pitfall of in vesting. So I'm not saying I will sell more mutual funds. I will sell more mutual funds at the right time because I am plugging in gaps rather than selling what sells. Trying to, let me correct myself. Trying my best. Am I succeeding everywhere? The answer is a big no. Am I 5 on 10? The answer is yes. Will we improve? God knows. But will we try? Yes.
Prayesh Jain : Right. Sir, this question -- another question is on gl

obal your Anand Rathi Global Finance
Limited, gross NPA books on FY '24 was 2.15% , while it kind of improved significantly to 0.61%. I don't know whether this is a platform to be asked that question, what drove that improvement. Any thoughts or any color that would be helpful.

Feroze Azeez : Anand Rathi Global Finance is one of the best credits I have seen in my professional career. I have been into a structured product from June 2006, where Reliance on their PMS platform issued a Merrill product . From there on, if there is any credit, which you -- of course, this is a microscopic question saying that how is your NPA done? It is the meticulous management. encompassed in an adjusted Z -Score, you can calculate how -- by Altman Z -Score, Altman 1964, Edward Altman made a score, I'm sure all of the learned people here would have known. And that's a very good predictor of default risk and they've improved every single time. That's how meticulously it's managed.

So, of course, there is a lot of lending also given to Anand Rathi Wealth Limited clients, which is against mutual funds. So INR 3,000 crore s to INR 4,000 crores, INR 5,000 crores is lent to our own clients against mutual funds, okay, which, to my mind, is like the most safest lending. So if you -- of course, Jugalji will be the best one to answer, sorry, why am I taking it away from. Jugal sir, would you want to take t his question?

Jugal Mantri : No, we have been maintaining the GNPA and net NPA under 1%. And the number 2.6%, I think what he is referring that pertains to post -COVID, it was 22 -23, not in '24 , it was 2.6%. It was about 1.26%, which has come down to 0.6% in financial year 2025. But anyway, if you need any clarification or exact number, you can get in touch with Vishal. He will share with you the data. 

The only good thing which we have been doing in NBFC is that philosophically, whatever balance sheet breakup, which is there, about 60% - 65%, which we have in government securities and AAA bond and the lending, which we have done, one of the major principles which we follow is we don't take any undue risk. And all our portfolio is secured portfolio. We are not doing any unsecured lending over there. And the business we are in is not the lending. It is the collection business. The whole focus is on that. And that is what ensures that our net NPA is one of the best in the industry at 0.4%.

Prayesh Jain : Got that. Last question from my side. Feroze, any guidance on how should we look about cost going ahead into FY '27 -- '26 full year and FY '27 in terms of employee cost and overhead. So basically looking at how the margins should kind of pan out.

Feroze Azeez : Yes, the margins -- see, the one expense we love is the employee cost, okay. Employee, it's like we call it the sweet expense because it's getting credited into individual bank accounts. So that is a very formula -driven thing, okay? And that formula has not changed for the last 18.5 years now. So that is a very static cost. When people who are not in the bonus category get into bonus category, there is some degree of operational efficiency possible there.

Second is, we have always kept a benchmark, Rakesh sir says, PBT should not be lower than 40 and PAT not below 30 (here it is in %) . This -- is this the number which we internally want to keep it sacrosanct? The answer is yes. So, till that time, we like to reinvest, but can you expect a margin of 30% - 32% - 33% on PAT for the next couple of years? Yes. But 30% is what is my mandate. Otherwise, Rakesh sir w ill show ey es.

Prayesh Jain : Got that . Thank you so much .

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Feroze Azeez for closing comments. Over to you, sir.

Feroze Azeez : Yes, thank

you so much, everyone. I'm sure you're tired hearing my voice. But yes, I'm again there to give you a conclusive remark. I'm so grateful to you to patiently listen to us, patiently trust us over the last 16 quarters. I pray that this Diwali season, Samv at 2082 is the best for you so far. And may you have a great week ahead.

And if you have any questions whatsoever, please feel free to reach Mr. Vishal Sanghavi, our Investor Relationship Head; Rajesh Bhutaraji, who's been our CFO for several years .

And happy Diwali in advance to all of you. Thank you, Jugal sir, who join in, and thank you, Chethan, Vishalji and Rajeshji, to be a part of this call. Thank you . What was the name of madam? Swapnil madam, thank you so much.

Moderator: Thank you very much. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. 

# Call: Jan 2026

Ref No: 93/2025- 26

Dated :19th January , 2026

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238
Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited, Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q3 & 9M FY2026 Earnings Conference Call Transcript
We are enclosing herewith copy of th e transcript of the Company's Q 3 & 9M FY202 6 earnings conference call dated 1 3th Janua ry, 2026 . The transcript is also available on the Company's website at https://www.anandrathiwealth.in/financial.php .
This is for your information and record.
Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Pravin Jogani
Company Secretary and Compliance Officer

Enclosed: as above



Anand Rathi Wealth Limited
Q3 and 9M - FY26 Earnings Conference Call

January 13, 2026

MANAGEMENT :

- MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
- MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – INVESTOR RELATIONSHIP HEAD

Moderator: Ladies and gentlemen, good day, and welcome to the earnings call of Anand Rathi Wealth Limited for Q3 and nine months ended 31st December 2025, hosted by Anand Rathi Wealth Limited. As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing start and then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Feroze Azeez, Joint CEO of Anand Rathi Wealth Limited. Thank you, and over to you, sir.

Feroze Azeez: Thank you, Swapnali. Good afternoon, everyone, and thank you for joining the Earnings Conference Call for the Quarter and nine months ending 31st December 2025. We are here joined by the Group CFO, Mr. Jugal Mantri; the CFO, Mr. Rajesh Bhutara; and the Head of Investor Relations, Mr. Vishal Sanghavi.

Of course, you might have heard or read about we having lost one of our core constituents. Both emotionally and professionally, it's a very, very damaging blow for us, Mr. Chethan Shenoy, who was the product Head. For me, personally, it's been a very big loss, because I've been his friend and colleague for 21 big years. He is one person who started the product team practically. He was the oldest product team member. The 160-member team was built brick -by-brick by him. So, we feel very sad that we don't have him since November with us. His legacy will always be an integral part of our culture.

In his memory, we've opened a Mangalore office, which has been his hometown to give Shradhanjali to him, and we will fulfil all his professional dreams he had for Anand Rathi Wealth Limited as a group of professionals.

Now coming to the company's performance. Our profit after tax for the Q3 grew by 30% year-on-year and crossed the INR 100 crore s mark for the first time. The total revenue grew by 25% year-on-year of the same quarter last year and reached a INR 306 crore s number.

As guided earlier, our company has had this aspiration of being consistent, and this becomes our 17th quarter where we have delivered a PAT growth Y-o-Y greater than 20%. And we also have indicated a certain expectation to our shareholders that we will try and deliver market -agnostic performances being a financial services company. We have tried our best to do that. And with God's grace succeeded this 17th time as well.

During the nine months period of FY '26, PAT grew by about 29% year-on-year to INR 294 crores, while the revenue increased 21% to INR 897 crores. During the first 9M of FY '26, we have achieved 76% of our full year revenue guidance, which is INR 1,175 crores, and we hold the same guidance. And 78% of our full year PAT guidance has been penetrated into, which was and which remains INR 375 crores.

Now I'll hand over the call to Mr. Jugal Mantri to give you all the business and financial performance of the company in detail. Jugal sir, over to you, sir.



Jugal Mantri : Thanks, Feroze bhai. Good afternoon, everyone, and wish you all a very happy 2026. First, I will give brief about the business performance. Total AUM grew by 30% year-on-year to INR 99,008 crores as on December 31, 2025. During 9M FY '26, our total net inflows registered a Y-o-Y growth of 10%, reaching INR 10,078 crores and equity mutual fund net inflow achieved Y-o-Y growth of 4% to INR 6,082 crores.

In our flagship Private Wealth business, in the last 12 months, we added 1,800 + new client families on a net basis, bringing our total number of client families to 13,262. Client attrition rate in terms of AUM lost for the 9M of FY '26 was just 0.31%.

Digital Wealth business, which is B2B2C business, registered AUM growth of 29% Y-o-Y to INR 2,359 crores and number of clients increased 19% to 6,858. OFA business, which is a SaaS platform has 6,850 subscribers with platform assets of INR 1.62 lakh crores at the end of 9 months ended 31st December 2025.

Now let me give you all brief about Q3FY '26 consolidated financial performance. Our consolidated total revenue for the Q3FY '26 stood at INR 306 crores compared to INR 244 crores in Q3FY '25, registering a 25% Y-o-Y growth. Our Profit After Tax stood at INR 100 crores, registering a 30% Y-o-Y growth compared to INR 77 crores in Q3FY '25. Profit After Tax margin for Q3FY '26 was at 32.7% as compared to 31.6% for Q3FY '25.

Now to move ahead, let me give you all the brief about 9M ended 31st December 2025 financial performance. The revenue for 9M FY '26 stood at INR 897 crores compared to INR 739 crores in 9M FY '25, registering a 21% year-on-year growth. Mutual fund distribution revenue also grew by 21% Y-o-Y to INR 366 crores in 9M FY '26.

Profit After Tax also grew by 29% Y-o-Y to INR 294 crores for 9M FY '26 compared to INR227 crores for 9M FY '25. Profit After Tax margin was 32.7% for 9M FY '26 which has improved from 30.7% for 9M FY '25. Return on equity on an annualized basis stood at 47.33% for 9M FY

'26 compared to 44.8% in the corresponding period last year.
Now, I would like to request all participants to - and request the moderator to open the floor for question and answer. Over to you, Swapnali.
Moderator: Thank you very much. We will now begin the question-and- answer session. The first question is from the line of Pranay Sethi from Alpha Capital.
Pranay Sethi: Hi, sir. This is Pranay from Alpha Capital. I have two questions for you. The first one being your competitors are doing a mix of both advisories and distribution model. So, why are you guys still sticking to the distribution model?
My second question being last time around INR 4,000 price is where you guys came out with a bonus, right? And currently, looking at the price, I think we're just heading towards the same price. So, do we expect another bonus at the INR 4,000 level?
Feroze Azeez: Pranay, thank you for your questions. The first one is a very interesting question, very frequently asked to me, why is Anand Rathi Wealth Limited one of the few, if not the only one, who has


chosen only a distribution, not an advisory? We strongly believe that a company ideally cannot de-mark it and do both at once.
Why is that so? Because if you look at other wealth players, some of them listed, some of them unlisted. Unlisted, I've had conversations across - with them. Not more than 8% - 10% or some people, 3% - 4% comes from advisory. The rest of it comes from distribution.
When a company does both, if you go to a client and say I'm doing advisory with you, but if 95% of commission is coming from the same company, the kind of biases which can spill over are unprecedented. That's point one.
Point two, the very reason why advisory is there is to remove bias. But actually, product category level bias has come. Money has moved out of mutual funds after Direct has been started and PMS and AIF form a large portion of HNI portfolio, which are lesser tax efficient. That's point two.
Point three, the day when somebody wants to do advisory, he should stop taking any commission whatsoever in the company. And today, we have INR 1,175 crores of revenue aspiration, all comes from distrib

ution. So, unless the day I'm confident that or I want to bring all the INR 1,000 crores - INR 2,000 crores of revenue from the client's bank account till that time, you shouldn't - I don't think you should smudge the very purpose of advisory, is to be transparent.
It cannot be used to create opaqueness. And that's why you see SEBI having brought in so many amendments from first - from 2013, because people - industry is not wanting to follow it in the spirit correctly. That's the first question.
Second, of course, corporate action is, of course, the Board's discretion. But again, it's a smart observation that if the decision of a bonus was to increase or decrease the share price for better retail participation, the price fortunately or unfortunately has come back to similar levels when it was being discussed. So, any - if the decision variable is same, I think there is a case for the Board to consider.
Moderator: Thank you. The next question is from the line of Bhavin Pande from Emkay Wealth. Please go ahead.
Bhavin Pande: [Inaudible 0:11:35]
Moderator: Sorry to interrupt in between. Bhavin, your voice is not audible.
Feroze Azeez: We will go to the next question and come back to Bhavin.
Moderator: Bhavin, I would request you to kindly rejoin the queue again. The next question is from the line of Mahek from Emkay Global. Please go ahead.
Mahek Shah: Thank you for the opportunity. So, I have two questions here. Firstly, which is on the income generated from the other financial products, which stands at around INR 158-odd crores for the


quarter. So, we see there has been a sequential decline of around 9%. So, could you help us just understand what would be the reason for the same?
And secondly on the regret RM attrition, which has been there. I see that has been - the number has been constant for the last three quarters, which is at 2 RM attritions per quarter. So, I just wanted to know your thoughts behind the same.
Feroze Azeez: Correct. So, I've not been able to comprehend your first question. Vishal ji, what is that other products, revenue from other products has declined 9%. So, we do very few products here in mutual funds and structures.
Jugal Mantri: So, there is a very marginal decline, because the primary issuances, which was in Q2, that was like about INR 1,979 crores. And that is - in the Q3, it was around INR 1,800 crores. So, the

fund raise out of the non-PP SP sale was slightly lower. That is why the income is down by 9%.
Mahek Shah: And on my - second question is on RM attrition.
Feroze Azeez: Yes. So, I'll bring you back, as a shareholder or a prospective shareholder, I think, yes, it's a good question to get into such minutiae details in terms of revenue changes. But I think what is the primary question I would expect my shareholder to look at is, whether my earnings will grow consistently? Will the ratios be different? If the market is down, I'll sell more mutual funds. If the market is up, marginally more structured products get sold and so on and so forth.
So, I'm going to design my business as a company only from a client's portfolio standpoint, not from what revenue I expect from each stream of business. That's what you should expect. I'm just - I know, I could have finished the question there. But to design or any shareholders' expectation from Anand Rathi Wealth over the next few years, if not decades, has to revolve around, what the client wants we will give. From this if the shareholder is happy with the revenue that comes, then that's good.
Right? Coming back to the attrition point. Last year, we lost about 3 RMs. This year, we have

had to let go - we have had some to let go, but some of them regret attrition is 6 to a quarter. Our thought is that we - if you remember a few quarters back, I had told that there will be some cultural misfit whom we will have to let go of. That was one. Second, of course, there are some RMs who leave for better opportunities. And we try to counsel them that in this business . It doesn't make any sense to start wealth management again from zero in a new platform. Like, Feroze, if he manages money, I will never want to restart my life from zero, because this business is proportionate to time. So, in spite of that, you'll have some people leaving and then this responsibility shifts to the client and the RMs who takes a handover of the relationship. So far, INR 1,115 crores are what the assets these 6 people were managing. A little early, but INR 978 crores of that asset still remain with us, which is an 88% retention.
And that's the current status. That might be a little exaggerated prettier number. You have to look at the number for the last year, three people left us, INR 446 crores were the AUM on the day of resignation, INR 346 is what remains. So, we have lost about INR 99 crores of assets to competition due to RM attrition. Does it answer?


Mahek Shah: Get it, sir. Thank you so much for the detailed answer.
Moderator: Thank you. The next question is from the line of Lalit Mohan Deo from Equirus Securities. Please go ahead.
Lalit Mohan Deo: Congratulations on a good set in the quarter. Sir, just coming back on this issuance numbers. So, I just wanted to understand like what were secondary issuances during this quarter?
Feroze Azeez: One second, Lalit. We'll figure that out.
Jugal Mantri: The secondary issuances for 31st December '25 quarter was INR 716 crores compared to INR 991 crores in Q2FY '26. And INR 589 crores in Q3FY '25. Does it answer your question, Mr. Lalit?
Lalit Mohan Deo: Yes, sir. Yes, sir. And just last - secondly, like last quarter that we have highlighted that for the distribution of structured products, we have started distributing product of another company also.
So just wanted to understand within these INR 1,800 crores, how much would be from the second party, like what will be the share?
Jugal Mantri: Yes, out of INR 1,815 crores, INR 213 crores were from the third -party compared to nil in the Q3FY '25.
Moderator: Thank you. The next question is from the line of Naman Shah, an Individual Investor. Please go ahead.
Naman Shah: Hello, am I audible?
Moderator: Yes. Please go ahead.
Naman Shah: So, my question was regarding employee cost. It was around 45% for FY '25 and of top line. In 9M FY '26, it is close to 42% of top line. So, is it expected to remain around 42%? And why has that come down from 45% to 42%?
Jugal Mantri: So, Naman, that is the advantage of operating leverage that once you have the capacity and now more and more RMs, they have been garnering and adding number of clients as well as higher pocket share - wallet shares of their client, you will find that the employee cost in percentage terms, gradually, it will come down bit by bit, but that improvement on account of operating leverage will definitely be visible, and it is purely on account of that. Feroze Bhai, you can add to this.
Feroze Azeez: No, no, correct. Yes, Naman, like Jugal ji rightly pointed out, some RMs are in build phase. If we currently have 393 relationship managers, initial part where the company, it takes a couple of years for a person to get into the bonus category. Once he gets into bonus category or he or she, they become a lot more efficient. Once

that happens, there is some degree of operating
leverage. So that's absolutely right, like Jugal ji said.


The second is, we also like to - of course, in my, in the previous calls, you would have heard me say that don't expect too much operating leverage. Having said which, the purpose is when we get some operating leverage, we want to reinvest that money in making our several departments more and more robust.

That's what Rakesh sir has guided us. That use the operating leverage so that growth can 10-20 years. So don't expect too much operating leverage to be delivered. But yes, some degree of operating leverage will move from one head of cost to another to make sure that we can sustain the guidance of 20% - 25% for not the previous 17, but the next 17.

Naman Shah: Okay, so no further questions from me.

Feroze Azeez: Thank you.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: It's not more of a question, but just about loss of Chethan Shenoy, that's really sad for the entire organization. Certain things just cannot - you cannot do anything about it. But can we have some learning from this?

My thoughts are that, if - do we have some kind of policy in the organization, an HR policy or something that any employee who is in the company for more than a decade has given a big tenure of his life working for the company. So, in case any such event happens, we have some kind of term insurance policy which the company is paying for the staff.

And then the family of the person is compensated. This is completely of a discussion just like a research guy, but more of a humanitarian and an investor, I'm talking here. So, have we thought anything on this ground?

We recently heard about Siddharth Bhaiya also, somebody else in the financial market. So just a thought, Feroze, just wanted to share this with you. 10 years plus of work ex, we do something for them. Any such thought if you could just let me know?

Feroze Azeez: It's not just part of it. We don't like to be vocal about the organization's generosity too much. We've lost two people in the past. In the last decade, we lost a person who had actually - both of them - Rohit, left us. Again, it's a good time to remember Rohit in 2015, in a superbike ride, we lost him. We lost another colleague of ours in Chennai.

So, coming back to your point, do we do something for the family? The answer is a big yes. And should there be term covers? So, we are planning to launch - we have almost finalized to make it more formal rather than ex-gratia applying mind. Of course, my boss comes from HUL, which is Mr. Rawal. And there are a lot of case studies there.

So, we follow the similar path of Unilever - Hindustan Unilever when it was, when he used to work there. So, be rest assured that, of course, I'm very close to the family as well because I know him for 21 years. They've taken care of monetarily for sure.


And trying to - we also realize that we can put a process that should not be dependent on the CEOs also. So, there is something called the Chethan's Peace of Mind scheme, which we are launching. Once it has launched, maybe we can have a one-on-one discussion, I'll describe what that implies. That will be named after Chethan.

Moderator: The next question is from the line of Rochan Charan from Global Consilient Research. Please go ahead.

Rochan Charan: Sir, congratulations on your Q3 results, sir. And my question is with regards to the AUM growth. Sir, my first one would be as to how much of the AUM growth is coming

from new customers
and how much from the existing customers? And I would like to know your outlook on the same for the upcoming few quarters?

Feroze Azeez: 60% - 40%. 40% from new clients and 60% from existing clients.

Rochan Charan: Right, sir. So - and how do you expect it to be in the next few quarters, sir?

Feroze Azeez: See, I'll tell you. Last - so, we track it on a daily basis, how much comes from new money, new clients, new money. I think 40-60 % is a fair ratio for a company which is very secure in its own skin. What do I mean by that? We are not very insecure. We never tell the client to start big. Because we think what we want to get is our right. I think, I'll stick to English. But yes, where are you based out of?

Rochan Charan: Bangalore, sir.

Feroze Azeez: Bangalore. So, I'm from Bangalore as well. I can probably do some Kannada with you. But yes, on a lighter note, sorry to digress. But coming back, so it will remain 40% - 60%. It could change marginally. That will be more incidental 35% - 65%, 45% - 55%. These are two microscopic

numbers, but this is the general number. It will look like 5 years from now, in my opinion, why would it not change?
Because we never force a client to start big. If the guy has got INR 10 crores, he's my potential client. Let them give me INR 1 crore, I don't mind. Because if I deserve INR 5 crores, I'll get INR 5 crores. So, we don't say start with INR 5 crores. We are now private banking. We've got INR 1 lakh crore. We don't touch a customer who doesn't give us INR 5 crores. So, what does that mean? That depicts the security of the company saying that if I don't do lip service to my client, there is no reason why a smart guy who's top 1% of this country, he's sharp as why he's there. So, if it's in interest to give me more money, you'll give me that more money. So, it will always remain 40% - 60%. And if there are any changes, those are incidental depending on large accounts being acquired in a specific month. But one thing which clearly stands out lately, people have started realizing that cost is not a great thing to pursue in investment.
So today, I have seen even clients who are walking into us through our websites with INR 50 crores, INR 80 crores as their balance sheet size, which would never happen in the past. Because quite a few of our competitors try and give that little lollypop saying that I'll give it at a cheaper price and then sell something and make significantly more than what you make in a mutual fund.


Rochan Charan: So that answers my question, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Hemant Abhyankar. Please go ahead. Hemant please proceeds with your question. Hemant Abhyankar. Due to no response, we'll take the next participant. The next question is from the line of Anand Parekar, an Individual Investor. Please go ahead.
Anand Parekar: Thank you for your time. So, I have one question here. So, it's almost now end of three quarters, and we are more than on target for what we had set out for our revenue, profit and AUM. So, do we really want to change the guidance raise it maybe upwards and what would be the guidance for, say, next year?
Feroze Azeez: I missed your name. I'm so sorry. I got little distracted. Sir, your name, I missed your name.
Anand Parekar: Mr. Anand Parekar.
Feroze Azeez: Yes. Anand sir, yes, we deliberated internally. We think that the - of course, like you rightly said, 78% of the PAT guidance is penetrated into 76% revenue. We always wanted to under commit over deliver. And so, we would stick to the guidance. Hopefully, we've got

it's kind, we
will marginally supersede that if things are good, that's one.
Of course, the AUM guidance is almost met for the year. But since AUM is one number of a specific date, you feel a little not so comfortable upping it. Because then, 31st March, if Mr. Trump has something to tell us will impact my commitments to my shareholders, which I think is something which will keep me up that night and I don't want to. That's one.
Second, coming to the next year guidance, I take my boss very seriously, who is Mr Rakesh Rawal. He has given you a guidance in the public domain, 20% to 25% growth. And I think I would - as a group of - as a representative of the other 1,300 people in the company, I think we should be able to guide the similar number between 20% to 25% for the next year as well on this year's base. Does it answer, Anand sir?
Anand Parekar: Yes. That’s pretty much helpful. Thank you so much.
Moderator: Thank you. The next question is from the line of Karan Gupta from Asit C Mehta Investment. Please go ahead.
Karan Gupta: Yes. Hi, my question on the commission part of whatever the extra return that you generate from your structured products and some other strategies, how is that in terms of cost?
Feroze Azeez: In terms of cost - I didn't get your question at all, sir.
Karan Gupta: So basically, on the commission basis, what will be the extra return that we generate over putting the strategies we use like the straddle and shallows kind of strategies. So what is the extra commission that we charge over trail commission?


Feroze Azeez: So what we do is – see structured products are not derivative strategies of the short term. We do the same structured product, same kind of structured product. We do two - three kinds of structured products, about 2,000 times it’s done matured. So, now in those structured products, let's assume they are 5-year structured products, I make an aim.
We have had 1,630 -odd, structured products mature so far. 1,630 maturities so far, highest ever maturity of any NBFC in a stipulated period of time. In those maturities, I backward calculate what is the yield I made. Mutual fund pays you per annum on the market value. In the same method of computation, the approximate yield I made on my matured structured product is

1.17% per annum on market value.
So, do I recognize this on a trail basis? No. Do I recognize this upfront? The answer is yes. How much extra do I make 8 paisa . 1.09% is my post-expense commission on mutual fund model portfolio, post GST commission. So, to answer your pointed question, 8 paisa more per annum is what I've made on the matured structured products on the same method of commission computation.
Karan Gupta: Okay. And trail is something - yes, yes. The trail is 0.5% to 1.5%?
Feroze Azeez: Sorry, you're in a noisy place , so I'm not able to hear your question really.
Karan Gupta: Yes. So the trail commission is 0.5 to 1.5% of the yield?
Feroze Azeez: Sir, I've told you the precise number, 1.09 as transparent as any human can get. 1.09% in my model portfolio. If you see something (not audible 32:43 to 32:56 ).
Karan Gupta: Thank you, thank you.
Moderator: Thank you. The next question is from the line of Jaiprakash from Korman Capital. Please go ahead.
Jaiprakash: Hello. Am I audible?
Feroze Azeez: Yes, sir. You are.
Jaiprakash: Hi. My question is regarding this subsidiary you have, Anand Rathi Global Finance. So you have an 8% stake there. So, I'm just looking at its financials and the debt is improving quite a bit and it's at leverage of 8x. So, I'm just wondering if there is any, any day this company needs financial suppo

rt. Will you be providing the financial support? And is there any intention to increase the stake in that company?
Feroze Azeez: No, not at all. Crystal clear, the answer is no. And it's not a subsidiary though, with 8%, surely not.
Jaiprakash: Okay.
Feroze Azeez: So, no, no, intention.


Jaiprakash: Okay. And is there any guarantee, sir, on the borrowings it does from the Anand Rathi Wealth, which is listed company, is there any guarantee on their borrowings?
Feroze Azeez: Sir, your voice is - no, it's muffled though. You are audible, but not clear.
Jaiprakash: Yes, is there any guarantee provided on those borrowings of Anand Rathi Global Finance by Anand Rathi Wealth?
Feroze Azeez: No, sir. We are just distributors of that product, and we don't provide any guarantee on Anand Rathi Global Finance's product, which is an NBFC, which is the 60th largest - approximately the 60th largest NBFC in the country currently out of the 9,450 approximately. So it's not a small NBFC. So, if you look at it up, you will get to know. For the last 13 years, it has done issuance, and it is within the top 100 now, 60th, if I'm not wrong, in the country in terms of the balance sheet size. Very, very stable professionals running that company, and it needs no other distributors guarantee, fortunately.
Jaiprakash: Okay. Thank you.
Feroze Azeez: Thank you, sir.
Moderator: Thank you. The next question is from the line of Hemant Abhyankar. Please go ahead. Hemanth, please proceed. Your voice is not audible. Hemanth, please proceed with your question. Due to no response, we will move to the next participant. The next question is from the line of Anand Parekar, an Individual Investor.
Anand Parekar: I have one more question. So, you know, I'm tracking the company for some time now, and we were at 380 RMs at the end of FY '25. And it's almost now three quarters, we have added, I think we have reached 393. So, we have added 13 RMs. And if I recall correctly, in some of the previous con calls, we had mentioned we might add around 50-60 RMs every year.
And we have that pool of secondary associates who eventually become RMs. So, do we intend to grow this number? I mean, currently, with the RMs that we have, we still are able to grow at a quite healthy pace. But do we think we need more RMs to grow further in future? Obviously, we have tech platform up dation that also were done recently. But what are your thoughts on the RM growth from here on?
Feroze Azeez: Yes, sir. the RM growth, we have a reasonable robust pipeline of people who can get promoted to be relationship managers. That's an activity which happens largely during March. So, of course, I would have guided 40-50. So, we may just get there as well. On 1st of April, then it will be counted next year. Somewhere thereabouts, yes.
So to answer your question, we have 450 account managers who are being trained to become relationship managers at a point in time, if they so chose to, they also get funnelled into the product team if they choose that path of a little more research or mid-office kind of job growth.
So, yes, so is 40-50 possible, if there is possible for any company, it is us. Because I don't have to hire people laterally outside. We have not engaged with any consultant to hire our people. So

efficient brick -by-brick building is possible. Are we? you might not see the number here, like you rightly said, 13 is my addition.
But the pipeline is not visible to naked eye. But there's a good strong pipeline. Do we need ? the more important question is, do we need more RMs to gr

ow? Not for the next 3-4 years, growth can be ensured by these 393 currently out there. That's my belief, right or wrong.
Anand Parekar: Okay, that answers my question. Thank you so much.
Moderator: Thank you. The next question is from the line of Bhavin Pande from Emkay Wealth. Please go ahead.
Bhavin Pande: Yes, hi. I think of the [inaudible 38:43]. So when we went for RMs…
Moderator: Sorry to interrupt in between. Your voice is breaking in between. I would request you to kindly rejoin the queue again. Thank you. The next question is from the line of Nayan Gaba from Nayan Securities. Please go ahead.
Nayan Gaba: Hello.
Moderator: Yes, please proceed.
Nayan Gaba: [inaudible 0:39:22] equity mutual fund for December '25 this year, it is about…
Moderator: Sorry to interrupt in between Nayan, your voice is not audible.
Nayan Gaba: Hello, am I audible now?
Moderator: Yes, please proceed.
Nayan Gaba: So, if we see for December '25, the equity mutual fund AUM mix is around 53%. And for the December '24, it was around 55%. And for structured products , we see 28% of AUM mix and December '24, we see 26% of AUM mix. Am I correct?
Feroze Azeez: It could be. If you're reading out the number, it must be correct.
Nayan Gaba: And what structure would be like?
Feroze Azeez: Swapnali, did you hear any bit of the question, clearly?
Moderator: No, sir. Nayan, your voice is not audible to us. I would request you to please rejoin the queue again.
Feroze Azeez: Okay. Let me just try and answer. I think he was trying to allude to what is the proportion in mutual funds, what is there in structure. The mutual fund structure proportion, which you currently seek can change up and down by 4% - 5% this way, that way, depending on the mark - to-market of each of these asset classes or product classes. But so far, at a client level, is there a change in recommendation of proportion? The answer is no.



Secondly, when it comes to mutual fund, it will be astonishing for people to note that our market share in the net mobilization of a country this large with just 385, now 393 people is about 2.7% (actually 2.38% for 9MFY26) for the year, which is going - which is currently happening. 2.7% of the net flow in category 3 (actually category II) of equity oriented mutual fund active as per AMFI categorization.
It used to be 0.18% a few years back. So in spite of not doing the advisory model of low-cost mutual fund advice, our market share, unlike most predictions of analysts has gone up substantively rather than going down. Swapnali, we can go to the next question if you have any.
Moderator: Thank you. The next question is from the line of Shayantan from Tata Capital.
Shayantan: Hello. Am I audible?
Feroze Azeez: Yes, sir.
Shayantan: So, I would like to start by expressing my deepest condolences to Mr. Chethan and his family. What happened is really unfortunate. And I hope something as unfortunate doesn't really repeat itself. And with that, I would like to - I have a question that is not really based on your P&L or your balance sheet. It is basically something in general. So, I wanted to ask whether in your company, has there been a restructuring due to the implementation of the new labour codes? And if so, what has been the impact in the operating margins and the EBIT margins, if you have some colour?
Feroze Azeez: Yes, yes, Shayantan. Yesterday, this point came up when the auditor was presenting the new labour code. We have had - one of the key changes was the 50% of the total comp should be basic, if I'm not wrong. So, we've hardly had any change, because most of the - most of us have g

reater than 50% as basic. So, minimal to no difference. I think this is what I could take from the presentation made in the Board by somebody. So, saying that it has minimal impact because we are in spirit already following it, largely.

Shayantan: Okay. So you're saying that no operating margins and your EBIT margin had any noticeable change in terms of BPS?
Feroze Azeez: No, no, no. And even if it was, I would be happy because my colleagues would get richer.
Shayantan: Okay. Thank you.
Moderator: The next question is from the line of Amit Prakash from Archeron Consultant. Please go ahead.
Amit Prakash: Hi, am I audible?
Moderator: Yes, sir. Please proceed.
Amit Prakash: I'm calling from Archeron.
Feroze Azeez: Yes, sir.


Amit Prakash: Yes. I just wanted to understand your future plans. You had mentioned about your plans of 2030. Do they remain the same or do we see a change in that?
Feroze Azeez: I think last quarter, we spoke of 2030's plan. Yes, we try and plan for 4-5 years, because that's practically possible because our structured products have 5-year periods, and there's a rollover option, which we introduced, which implies that 60%- 70% of my revenues of 5 years out and its growth is almost high probability, I would say. Yes, so, 2030 targets become a little more solid than they were last quarter, if that's what you're trying to understand.
Amit Prakash: Fair enough. Anything in particular numeric targets, anything of that sort that we can take back home?
Feroze Azeez: No. Mr. Rawal's 20% to 25% guidance is what I can just reiterate.
Amit Prakash: Thank you for that. Congratulations on the wonderful report.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Feroze for the closing comments. Thank you, and over to you, sir. Feroze, sir.
Feroze Azeez: Yes. I feel - I'd like to thank everyone to be a part of today's call. We hope that we have tried and answered your questions. If you need more information, please feel free to contact Mr. Vishal Sanghavi, our Investor Relations Head; and Rajesh Bhutara, who is our CFO for the last couple of decades.
Management: Thank you so much, everybody. Have a wonderful week ahead.
Moderator: Thank you very much. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

# Call: Apr 2026

Ref No :14/202 6-27

Dated :14th April , 2026

To,
The Manager,
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai - 400 051. Tel No.: 2659 8235
Fax No.: 26598237/ 26598238 Trading Symbol: ANANDRATHI

Dear Sir/Madam, The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street, Mumbai - 400 001.
Tel no.: 22721233
Fax No.: 22723719/ 22723121/ 22722037
Scrip Code: 543415

Subject: Q4 & FY26 Earnings Conference Call Transcript
We are enclosing herewith copy of th e transcript of the Company's Q 4 & FY26 earnings conference call dated 1 0th April , 202 6. The transcript is also available on the Company's website at https://www.anandrathiwealth.in/financial.php .
This is for your information and record.
Thanking You,

Yours faithfully,

For Anand Rathi Wealth Limited

Pravin Jogani
Company Secretary and Compliance Officer

Enclosed: as above



Anand Rathi Wealth Limited
Q4 and FY 26 Earnings Conference Call
April 10, 2026

MANAGEMENT :

- MR. FEROZE AZEEZ – JOINT CHIEF EXECUTIVE OFFICER
- MR. JUGAL MANTRI – GROUP CHIEF FINANCIAL OFFICER
- MR. RAJESH BHUTARA – CHIEF FINANCIAL OFFICER
- MR. VISHAL SANGHAVI – HEAD - INVESTOR RELATIONSHIP

Moderator : Ladies and gentlemen, good day, and welcome to Earnings Conference Call for Q4 and FY26 hosted by Anand Rathi Wealth Limited . As a reminder, all participant lines will be in the listen only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signa l an operator by pressing start and then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Feroze Azeez, Joint CEO of Anand Rathi Wealth Limited. Thank you, and over to you, Mr. Feroze.

Feroze Azeez: Thank you so much, R enju. Good afternoon, and thank you, everyone, for joining the earnings conference call for the fourth quarter of the year ending FY26. Today, we have with us the Group CFO - Mr. Jugal Mantri ; the CFO - Mr. Rajesh Ji Bhutara; and the Head Investor Relations - Mr. Vishal Ji Sanghavi. First, I would like to share some good news with all of you.

As of yesterday's date, we have crossed INR1 lakh crores of AUM post the recent positive movement in the equity markets. T his is a 5 -digit number. So we were very intrigued to see when we would reach there. 30th March, which was the year -end number, recorded Nifty at an unusual 22,331 . So we were intrigued to see whether -- when would we meet our INR1 lakh crore guidance, which we had given for the last year. Unfortunately, we didn't meet it on the 30th March number. So we checked it. Now we have reached the INR1 lakh crores number. So we've just given out the press release as well because this was one of our guidance.

As a part of our policy to reward shareholders, the Board has approved the bonus issuance of 1:1 and has declared a final dividend of INR 7 per equity share, both subject to shareholders' approval. We continued to deliver another quarter of consistent performance and one more indication which we had given to our shareholders that we will try and deliver market -agnostic performance, which seems difficult in a financial services firm, but actually, it's reasonably easy in our judgment. And this is our 18th q uarter where we've been able to declare PAT growth Y -o-Y greater than 20%, which is, again, a rarity in Nifty 500. We are one of the very few, which can be counted on a fingertip of how many companies have been able to achieve that feat. Of course, 18 quarters is too little to be able to see consistency. But yes, I'm sure and hopeful that over periods of time, we -- if God is kind and clients are kinder, we'll be able to do that. The mean of the year -on-year growth of our last 16 quarter profits has been -- the mean has been 32.2% , with a median of 33.2% and a standard deviation of our PAT growth is 4.5 %, which we -- in our judgment, is a very good barometer of consistency of PAT growth for the 16 quarters, , we have, of course, excluded the first 2 because it had the base effect of a lower COVID year. We might be one of the few companies in the world who measure the standard deviation of their PAT growth declared. Again, let me give you my disclaimer that 16 quarters is too little. Statistically, my teacher used to tell me that you need to have 30 data points to call it a large sample. So 14 more quarters to go.

Excluding the impact of fair value gains on the ESOP expense and the related tax effects for FY '26, our total revenue grew by 22%, and we ended the year at INR 1,198 crores with a PAT growth of 28% for the year, ending at INR 386 crores against the INR 375 crores guided.



We have given FY '27 revenue guidance of INR 1,415 crores and PAT guidance of INR 460 crores, again, going with the principles which Rakesh sir Rawal and Rathi ji has always taught and every elder in the company has taught

us that under commit, over deliver. Under the same principle, we are guiding you INR 1,415 crores and INR 460 crores for PAT and INR 1,20,000 crores of AUM for the year ending FY '27 is our guidance.

Then coming to the net flow of last year grew by 7% only, INR 13,457 crores is what we collected new, thanks to our clients who have been very generous to give us more money during bad times.

In our flagship Wealth Management business in the last 12 months, we have added 1,600 new client families on a net basis, bringing our total number to 13,395 individual families. Client attrition rate in terms of AUM lost for FY '26 is 0.54% for the full y ear. Of course, there should be hardly any attrition, and we always aspire to have not even a single client family to be upset with us to leave, but 0.54 is a number which we want to see at 0.

Digital wealth business, which is a B2B2C business, registered an AUM growth of 22% year -on-year to INR 2,218 crores and the number of clients increased by 17% to 7,106. The OFA business, Omni Financial Advisors business, which is a SaaS platform, has 6,906 subscribers with a platform assets of INR 1.47 lakh crores for the year ended 31 st March 2026.

Here, I stop my monologue and invite our Group CFO, sir, Mr. Jugal Mantri to take this conference forward.

Jugal Mantri: Yes. Thank you, and good afternoon, everyone. Let me give you all brief about Q4 FY '26 consolidated financial performance followed by full year FY '26 financial numbers. Excluding fair value gain on investments, ESOP expenses and related tax effects, our consolidated total revenue for the Q4 FY '26 stood at INR 302 crores compared to INR 241 crores for Q4 FY '25, registering a 25% Y -o-Y growth. Profit after tax stood at INR 92 crores depicting a 25% Y -o-Y growth compared to INR 74 crores in Q 4 FY '25. Profit after tax margin remained flat at 30.5% for Q4 FY '26, which was at the same level in Q4 FY '25 too.

The reported number that is including fair value gains on investments of INR 54.6 crores, ESOP expenses of INR 39.3 crores and the related combined net tax effect of INR 3.8 crores, total revenue for Q4 FY '26 was INR 356 crores, showing a growth of 47.6% and PAT was INR 103 crores, showing a growth of 40%.

Now let me give you all brief about full year FY '26 financial numbers. Excluding fair value gain on investment, ESOP expenses and related tax effects, total revenue for FY '26 stood at INR 1,198 crores compared to INR 980 crores in FY '25, registering a 22% year -on-year growth.

Mutual fund distribution revenue also grew by 22% Y -o-Y to INR 494 crores in FY '26. Profit after tax also grew by 28 % Y -o-Y to INR 386 crores for FY '26 compared to INR 301 crores for FY '25. Profit after tax margin improved from 30.7% in FY '25 to 32.2% for FY '26.

Return on equity on an annualized basis stood at best in industry at 46.74% for FY '26.



Reported number that includes fair value gains on investment of INR 54.6 crores, ESOP expenses of INR 39.3 crores and the related combined tax effect of INR 3.8 crores, total revenue for FY '26 was reported at INR 1,253 crores, showing a growth of 28% and PAT was shown at INR 397 crores, depicting a growth of 32%.

So that is the update on the financ ial numbers. Over to you, Mr. Re nju to open the floor for question s and answers.

Moderator: Thank you. T he first question comes from the line of Manas Agrawal from Bernstein. Please go ahead.

Manas Agrawal: So a couple of questions. One, I think in the statutory results, there is some discussion around subscription to ARGFL shares. I want to just understand what is the quantum and how much stake do we have now? What valuation this transaction is happening at? Because I understand this is a group company, which is unlisted.

Part B is, can you just explain what is the asset sale that

is leading to profit being recognized in other income? And third is ESOP at fair value (he was referring to face value instead of fair value in subsequent part of question also) . A lot of companies issue ESOPs at a discount to CMP, not at fair value, there is a big gap. So I want to understand, is this ESOP concentrated in KMPs? Is this spread across the company ? Those were the 3 questions.

Feroze Azeez: Super. So I'll take the first part and then give the valuation part to Jugal sir. So Manas, the INR 40 crore s rights issue subscription of ARGFL from AR Wealth Limited is a rights issue where Feroze as an individual has participated with INR 94 crores. Rakesh sir has participated with INR 56 crores and the holding company has participated with INR 270 crores and the rest of the other group entities might have participated to a sum total of INR 500 crores.

That's the total amount, which has been subscribed as equity capital in ARGFL. And since there was a rights issue, and I think we own close to about 8%, valuation was INR 500 a share. I think I'll leave the rest to Jugal sir to answer.

Jugal Mantri: So Manas, as correctly said by Feroze bhai that the company has come up with a rights issue, the NBFC Anand Rathi Global Finance Limited. And Anand Rathi Wealth Limited is holding about 8% in Anand Rathi Global Finance Limited, and it has only subscribed t o its entitlement. So the total issue size, which was INR 512 crores, about 8% of that, that was about INR 40 crores that has been subscribed by Anand Rathi Wealth Limited just to continue to hold its holding in the NBFC at a price of INR 500 (per share) . And since it is a closely held company, the whole issue got subscribed by the promoter and the KMPs in the group companies as named by Feroze bhai.

And now coming to the revaluation of the assets. So as the company continued to hold a stake in Anand Rathi Global Finance Limited. But every year, there is an accretion in the net worth of the company as well as the book value is also going up. But to be at conservatism, the stake value has gone up of whatever holding which Anand Rathi Wealth has in Anand Rathi Global Finance Limited and the value has gone up by INR 54.6 crores, and that is the amount which has been booked under fair value change.



Now coming to the ESOP. The company do not follow any practice of issuing ESOPs at the discount value -- discount to the market price. In fact, the ESOPs have been issued, the grant as well as the vesting will happen at the market price only. And -- but st ill, we will have to take the hit. And that is why on account of that, there is a -- in this Q4 FY '26, the company has taken a hit of INR 39.3 crores. So employee cost has gone up by that amount. So this is the explanation to all the 3 questions which ha ve been put by you, Mr. Manas. If you need any further details, you can get in touch with Rajesh or Vishal. They will give you the exact last digit number on these 3 things.

Feroze Azeez: Manas, someone little clarification. It gets issued at face value like we have in the previous couple of instances. So our policy of ESOP, we generally don't follow a policy of ESOP. There were some -- if you look at the 2018 ESOP policy, you will get a full judgment of how we -- what's our practice. That's consistent with what we had done in 2018.

Manas Agrawal: I understand that. So typically, unlisted companies do issue at face value. My question was a lot of listed companies issue closer to CMP. But that's -- okay. I'll look at it, and I'll discuss offline. On the profit...

Feroze Azeez: One second, Manas. One little clarification to each potential or a current shareholder, we don't do anything because it is popular to do as a matter of principle, okay? So we generally follow a de novo policy on all our HR practices. Like, for example, in our HR practi

ces, we have several of our RMs children joining us, okay, spouses joining us. There could be several listed companies who have a policy that one of you have to resign if you fall in love at work. So anything we do is not because these are popular practices. Whatever is compliantly right, we generally do as per our HR policies at best, you will find some inspiration from HUL because Rakesh sir used to work there.

Manas Agrawal: Understood. And just one more thing. The revaluation gain that we've booked, we've not sold ARGFL shares. This is just mark -to-market. Is that accurate?

Jugal Mantri: Yes, that is accurate.

Moderator: Next question comes from the line of Navin Mathur with Pioneer Capital. Please go ahead.

Navin Mathur : Congratulations, everyone, for a fantastic result. So my question is specifically for Feroze. I was just going through the investor presentation and the latest one. And I came across this slide which talks about credibility marathon. If you could just throw some light on that, I think wou ld help me understand it better?

Feroze Azeez: Yes, Navin. Yes, we have included one interesting slide emanating from a few questions which came when I was speaking to a few industry CEOs who want to potentially someday build a very strong wealth management franchise. So we said, why don't we make that public information of what has been our learning so far of why -- how should a wealth management business, what we learned from our mistakes.

So the slide will say, it is not a capital race. It's a credibility marathon. Quite a few wealth management outfits are wanting to be built and have been in the past every couple of years,



there's somebody who's wanting to build a wealth management business very quickly. So there are 6 learnings which I put on that slide. I'll just explain briefly.

Wealth management is not a capital business. A relationship manager cannot handle thousands of clients. The business is actually a linear business, not an exponential business. So it's not a capital business and quite a few think otherwise.

Second important learning we had in our journey is it's not a business of speed. You can't build this business so fast. It's about patience and time rather than speed.

Third, ideally, manufacturing mistakes are very, very, very, very scarring to a franchise. So quite a few people build a wealth management business starting manufacturing on the day zero. So we believe this is a backward integration business. You have to be very careful in terms of manufacturing after building ability. So the third point there is build wealth management is a business of backward integration. Distribution is first, manufacturing later.

Transparency with clients. This is some place where if your client doesn't know how much you earn, that's not a franchise which is very easy to protect. That's our judgment. Now there are quite a few wealth management outfits who tell clients that we do advisory. But then when you see their distribution incomes are substantively large, 10x more than advisory income. So you have to be able to tell them that I like, for example, we earn 1.09% approximately on mutual funds post GST on structured products, we e arn 1.17%, 1. 18% yield if we have to do the same accounting as mutual fund, and we account that upfront. So that's transparency.

Relationship managers do not scale like start -ups. People have this misconception that you hire people at obscene salaries and they will scale up. So if you see this year, 45 RM increase, 78% are people whom we trained from colleges and made them RMs. So l ateral hires cannot be a substantive portion of your strategy.

Every leader, this is the toughest part, which we -- I think we have -- Rakesh sir has taken 18 years or 19 years being in this company. Every leader in the company has to be an RM first. Very tough to

achieve, easy to speak.
So CEO is an RM, joint CEO is RM, unit head is RM, team leader is an RM. Even support functions, product team at least 15 - 20 people out of the 163 will be RMs. That's one. So that's what this slide is all about. If anybody wishes to build a wealth management business, these are our 6 learnings for them to see if they are relevant to them. That's why we added this slide. Than k you, Navin sir, does it answer.
Navin Mathur : Yes.
Moderator: Next question comes from the line of Prabhav Shah with Equirus.
Prabhav Shah: First of all, congratulations on a 5 -digit AUM number. I have a few questions. First is, like this quarter, we saw an ESOP cost of INR 39.3 crores. So can you help us understand how ESOP costs could trend over the next few years?


Feroze Azeez: How I would like to look at it is INR 460 crores projection is, that is incorporating all my projections. Under commit, overdeliver is the principle. Do we go too much in detailing, of course, you can write to Vishal Ji. I have always, on this call, said, if you wish to understand the total number, I can give you. INR 460 crores is the guidance, right?
That does not include ESOP, Vishal corrects me. Should we guide that as well? So how is the projection? I don't know about the projection. But yes, we can give you that specific projection one on one. Is it okay if you can be patient, Vishal ji, if you can have any projection, we can give. But yes, INR 460 crores is our PAT guidance before any of those adjustments.
Jugal Mantri: So as we have been reporting the number, excluding the exceptional item like ESOP as well as on fair value changes, the guidance has been given, excluding these provisions.
Prabhav Shah: Got it. I have another question on issuance. Can you help us what was the primary and the secondary issuances for this quarter in MLD?
Feroze Azeez: Jugal sir, you might have those numbers.
Jugal Mantri: See the gross issuances in this quarter was INR 1,895 crores compared to INR 1,815 crores in Q3 FY '26.
Prabhav Shah: Got it. And secondary one?
Jugal Mantri: And secondary was INR 1,101 crores in Q4 FY '26 compared to INR 716 crores in Q3 FY '26.
Prabhav Shah: Got it. And just last question. Like a few quarters back, you highlighted that we have been selling third -party products on our platform. So can you help us understand like how much for this quarter we got from third party?
Jugal Mantri: So in Q4, it was INR 168 crores. And for Q3, it was INR 213 crores.
Moderator: Next question comes from the line of Niranjan Kumar with Avendus Spark.
Niranjan Kumar: So I just wanted to ask 2 questions. On the first one, so we make around 1.09% yield on mutual funds, right. But with the new SEBI T ER structure, like new T ER structure by SEBI, which is effective from 1st April. So will the yields be impacted? That is the first question. And the second question maybe on similar lines, if you look at the mutual fund industry, maybe top 5 or top 10 AMCs. So how much do they account for in our mutual fund AUM portfolio? And have they come for any negotiations regarding the distributor payout. These are the broad 2 questions.
Feroze Azeez: Sir, I missed your name. Can I know your name again?
Niranjan Kumar: Niranjan.
Feroze Azeez: Niranjan sir. Do AMC's come for negotiation, the answer is yes. Do I see any material change in 1.09, not significant. Like we have guided, we are at the fag end of any cycle, like 2016, we went all trail before SEBI made it mandatory in 2018, okay? That's something which I take pride in till date because we were the first one who's voluntarily said , I don't want upfront income.


So that's one. So if you ask my personal opinion, where are we in the cycle of change because there is also a dir

ect, right? So, the squeeze, which was supposed to happen, has happened. Now, if there is a squeeze, it can be of 2,4 , 5 BPS . It can happen at any time. That much, Mr. Trump does for us. Great! By moving the market. Right? So, it's not going to be materially different is the point being made in terms of trail income.
Yes, to answer your question, do large AMCs come for a negotiation, that entwined twins is a permanent affair for Shweta madam Rajani, who's the Mutual Fund Head for long periods of time for Anand Rathi Wealth. Does it answer, Niranjan bhai?
Niranjan Kumar: Sir, got it. But just to confirm, so there will be yield impact of 2 to 4 basis points. Did I get it right or because of this T ER structure or you are telling it will be maybe on?
Feroze Azeez: For an AMC, it might be very important to see what percentage bps change. For a wealth management outfit, 2 -3-4%, I don't know the change in bps or will there be any, right? So will it be significant? No. Because if an AMC is making 25 bps, 3 bps is 12% of their revenue, right?

If this is one portion of my revenue, in that, if it is on a base of 1.09, it's even smaller , 3 bps on 1.09 is 3%, 3 bps on 30 bps is 10%.
And if this is a part, 40% of my revenue comes as trail, then it is 3% of that 40%. Do you understand the two level base effect is what I'm trying to say. It is not significant enough for me to be worried about my PAT growth for the next 4, 5 years. Does it answer, sir? Will it be 2 bps, 3 bps? I think Shweta Rajani is a very strong lady, and I've worked with her for 20 years.
Moderator: Next question comes from the line of Shubham Gautam with ZS Associates.
Shubham Gautam: My name is Shubham, and I want to start by congratulating the entire management team and Anand Rathi Wealth team on a truly consistent performance this year. I have two questions also.
Firstly, on the guidance. The company has consistently guided and delivered around 20% to 25% long- term PAT growth and you have beaten your own guidance every year.
But for the financial year '27, the PAT guidance of around INR 460 crores roughly is around 18 - 19%, which is a bit lower than the stated range, like 25%. Is there a specific reason management is being more conservative this year? Or is it more around the market conditions, global uncertainty or perhaps the base effect getting larger?
And second question is more around the net inflows. The INR 13,450 crores of net inflows, I think, grew in 7% year -on-year basis. So how does management think about the inflow growth in financial year '27? Is it will be in the similar lines? Or do you see any acceleration as the new client families ramp up?
Feroze Azeez: Great question, sir. INR 460 crores on a base of INR 386 crores is a number which is 18 - 19% of PAT growth. But if you also see it from my last year guidance, INR 375 crores, then it will come into that range of 22%. So Rakesh sir has guided for long periods of time, the 20% to 25% range, unless God has other plans. This seems intact. And we work on a plan of not 2026. We play -- we work on a plan of 2031, which is 5 -year hence, because most of our structured products have a rollover option now.


So 99% of our business comes with a rollover option that implies . If clients, no need money, it rollover. So coming back to your question, we will -- of course, we will always keep that principle in mind with the good understanding, which has been given to us that we will under commit, try our best to under commit and deliver. You're absolutely right, 18 - 19, that was a round figure to do INR 460 crores. On a INR 375 crores base, you will still be in that range of 20 - 25%. That's one.
The second question is net in flow. Any number which can become a negative integer has to be seen very differently. I repeat, net flow can be a negative one as well.

There are most numbers, most numbers which come like PAT numbers could be negative. Revenue numbers can never be negativ e, right? At worst, you don't make money. You don't lose money, revenues can't be.
So this number, net in flow, I'm happy that it is 7%. Of course, would I be happy if it is 10% growth? The answer is yes.
What I'm happy about as a professional is that in a year or a quarter like last year, last quarter, we got monies. People lose money also, right? Today, if you see industry's net flows ex the SIP number, today, AMFI has given the number just now, INR 32,000 crores is the SIP number. Last month, the number was -- if you remove the SIP number, the net purchase was negative in equity 3 category, active funds. So coming back, is 7% something to ride home about, answer is big no. But what we do at Anand Rat hi is we put our own self -governance.
Now for example, let me give you an example. We had a large inflow coming off a promoter equity, which promoter said that I might consider aligning it to your strategy. But that INR 1,000- plus crores is not counted in my net in flow. So do you understand how much of self - governance is needed to show INR 3,356 crores (actual INR 3,379 crores for Q4FY26) . Is that the number, Vishal, for net flow, right? When we also had some reasonable transfers, but we thought we should not count them till never hatch your c hicken before they hatch or something, never count the chicken.
So to answer your question, 7% is nothing the ride home about, but I'm very happy that we bought equity in the last quarter where everybody was so depressed, we had one of the best months, which is not given as a split, we had one of the best months in Mar ch. I will not throw a number because they're not published. Does it answer, sir?
Shubham Gautam: Yes. Yes. This is helpful.
Moderator: Next question comes from the line of Manas Agrawal with Bernstein.
Manas Agrawal: Thanks for the opportunity to ask again. I will again ask on the ESOP. One part of the question was not answered, maybe missed out, so I just want to check. Is the INR 40 crores ESOP spread out across the company? Is it concentrated in KMP? And I'll clarify why I'm asking. Stock options are a retention tool, and that is why they're given at CMP usually. There's nothing barring companies from issuing it at face value, but the gap between face value and CMP essentially is a free gift today. So you ideally want to give it at CMP so that future growth in the company is

shared with employees. So that's where my question.


Feroze Azeez: Yes. So this is with KMP, Rakesh sir and me to be more specific, if I'm not wrong. And it is in the public domain already.
Manas Agrawal: Understood. So all of it.
Jugal Mantri: ESOPs are going to be issued at the face value, okay? And that is why there need to be the hit, the P&L hit has to be taken where the differential amount of the market value as well as on the face value, that hit has to be incorporated. That is where you s ee the ESOP hit has been included in the employee cost, and it is as per the EGM and the resolution which is already passed in the past.
Manas Agrawal: I understand the accounting. I am still not convinced on the classification as one -off and the other thing is whether it should be at face value or not, but that is for the company to decide. So it's okay?
Feroze Azeez: Manas is very unhappy that I've got a gift. No worries, Manas I'll do justice to this gift, don't worry.
Moderator: Next question comes from the line of Akshay Jain, an Individual Investor. Mr. Jain, please go ahead with the question.
Akshay Jain : Just one question from my side. So in an increasingly competitive wealth management landscape with the banks and new age platforms scaling rapidly, what do you believe is your most defensible moat? And how are you strengthenin

g it over time.
Feroze Azeez: What is our moat, right? Is that the question, sir?
Akshay Jain : Yes, yes, correct.
Feroze Azeez: The moat -- there's -- everything is a moat, like 6 things which I read out to Navin are a moat. Is there any wealth management outfit wanting to create a culture by hiring people and designing their minds to not sell products which are not good and they don't buy it themselves, that's a moat.
Second, creating a process -driven company is a moat, right? Getting private bankers to do what is right for the client and follow a process is not an easy task. It has to be built brick by brick. When Rakesh sir hired the first Divya in 2008 and started building it, we built it brick by brick.
So culture is designed not soon.
Third, we don't sell all products. We are not a pharmacy. Pharmacies have medicines, generic medicines published by -- on the counter of any pharma company. We first decide what will we buy and only sell that, which is mathematically correct on the basis o f the chronological order of sharp ratio.
Our HR policies are entrepreneurial. So Feroze if he's no more, God forbid, then my son can become an RM if I qualify him enough that he is ready to -- he's ready to take the Anand Rathi brand, wealth brand to the marketplace without compromising the delivery of the brand created by them.


So everything which we do is de novo. We are not product sellers. AM to RMs, right? I have 450 people. I'm training. From 2016, '17, we are training people for 2026 promotions, 21 promotions, 4, 5 years of training, right? Is that a moat? That's a moat. Calculating Jensen's Alpha for clients, which is nothing but the extra return over risk- adjusted measures, Jensen's Alpha , no one measures , right? We did a survey. We did a survey with 6,000 client HNI families.
They said we want risk -adjusted return.
Let this sink in to everyone who is on the call. We did a 6,000 people survey, not 1 or 2 families.
They at least own INR 1 lakh crores or INR 2 lakh crores put together. And they say the first thing which we want from a wealth management industry is risk-adjusted return. Which wealth management outfit is measuring risk -adjusted return in any of these 4 measures, Jensen's Alpha, Treynor, Sortino and Sharpe.
These are the 4 I know as a finance student. Nobody is measuring it. Now if you ask my client, what is this Jensen's Alpha, he'll tell you 5%, 7%, 8%. I see a INR1,000 crore s portfolio with my competitor, which has negative Jensen's Alpha. And the clients have not measured it. The wealth manager has not measured it, right?
People are selling debt saying that interest rates will come down, you will make money, right?
Interest rates went down, repo went down from 6.25% to 5.25%. 10 -year GSEC went from 6.8% to 7%. People lost money in-spite of going wrong on repo. So finance is lacking marketing and sales is more. That's the moat, right? So there are every step, we are trying our best to do what is right for the client. So the chronological order in which we arrange the 3 stakeholders, our colleagues, then client and then comes shareholder.

If colleagues are not happy, they will leave or they will be so sad that they can't make a client happy. If the client is not happy, shareholder can't be happy. So we as professionals never would want to make our shareholders directly happy. If we have made our people happy, they can make client happy, if both of these guys are happy, the shareholder will be happy. So most people want to make the shareholder happy directly, right?

I'm not so bothered about what the shareholder has to say about how portfolio should be created.

Quite a few people said you have only two revenue streams. You are the riskiest business to buy.

But it's okay because the client doesn't need a PMS, he doesn't need an AIF in my judgment to produce a 4 - 5

% Jensen's Alpha, which is best -in-class. I don't have to sell the fourth or fifth product. So all these are moats.

Moderator: Next question comes from the line of Sunil Shah, SRE PMS.

Sunil Shah: Congratulations, Feroze, and the entire Anand Rathi family, thanks for a super FY '26. Wonderful thing. Sir, just the numbers, we are like 400 RMs, 13,000- plus clients and the AUM per RM about 226. So all the points you mentioned about the moat are clearly there. Now the thought which I have is the next level of growth.

Sir, what I want to share here is more of a suggestion, not more of a question, is that we have a track record of delivering this kind of Jensen Alpha. How about approaching global institutes, institutions for as our client prospect.



The thought which I have is because they are writing a $10 million check for our kind of a track record will not be something which would be very huge for them. But for us, if we can showcase this kind of a product and try to address the global institutes, that can be a huge leg of growth for us a s a company.

And if we can showcase ourselves in the world market as a wealth management firm, delivering this kind of returns, this kind of track record of low attrition of clients, low attrition of colleagues at work, all of those and approach them.

I'm not sure if we are doing, we have done it or we are working or thinking about it. But if you could share me something on these lines or look upon it in the future. Feroze, that was my thought to just reach out to you on this call today. I would like to hear you.

Feroze Azeez: Sunil sir, I'm always grateful for the suggestions you have given in the previous earnings calls, and they're invaluable to the rest of the shareholders as well. So of course, anything coming from you would be taken with utmost seriousness. But having said which, we have had a certain thought process of saying how do we want a client segment.

That's what Rakesh sir has said that don't go to the really rich ones. Go to those guys who actually will respect math. I'm sure the foreign institutions who can cut large checks can. So this has to be a great intense debate with Rakesh sir, but this is de finitely a growth opportunity which you are highlighting.

And very high growth also scares us. Let me confess because I want to consistently grow rather than grow 1 year, 40% and then I have a higher base to grow. I'm just telling you the internal debates of like every -- for the last 7 - 8 years, except the COVID year, we have not worked for the last 5, 7 days. Again, let me confess. We have done offsites. RMs are outside, like we were in Vietnam.

Last year, we were in Thailand. So one will be take your suggestion very seriously. Rakesh sir has been very, very clear and mathematical because he comes from an FMCG background. He says, if you have clearly segmented your clients very well, you will be able to bring predictability in your business. So point taken, sir, if I give any comment, which is contrary to Rakesh sir's belief on this one, I will not have a job and Manas can save that money.

Sunil Shah: Sure. I appreciate the thought. Just I was looking at the numbers, now we have almost 28%, 29% of our clients whose average ticket size is more than INR 50 crores and above. So INR 50 crores and above kind of a ticket size for a client is like an institution in itself, and that's almost 29% of our business.

So we have obviously migrated them for -- from being an HNI to an ultra HNI for sure. But we are currently doing similar kind of work. So that was the thought. That's the only piece which I wanted to share, Feroze...

Feroze Azeez: Brilliant suggestion. Having known Rakesh sir's possessiveness in the segment we operate is why I said that's beyond my -- even commenting capability. That's how well he has governed



that one topic. And of course, it's a brilliant suggestion. I'm sure Rakesh sir will consider that. I

was just saying that commenting there would be on record in line would be a bad thing.
But you're absolutely right. Now that you've alluded to the Platinum segment, and you also said that we have homegrown large clients. One thing which is changing dramatically is, I'm just telling a shareholder. Now quite a few large clients are going throu gh our website and saying we want to reach out to you.
It is surprising that people with INR400 crores are reaching out, INR 500 crores. I did one meeting in Gurgaon. We had never seen these green shoots of people who need a service of wealth management reaching out to us and uncomplicated appealing to a large guy. That's one thing which I should say.
And when we actually started this Platinum segment, there were 32 clients or 33 clients when we identified this whole ballooning. Now we have almost about 211 families. And because you have a Platinum segment, quite a few people who are on the borderline are wanting to give us a little more money and come into the Platinum segment, which has got a strong proposition of generating 1 %, 1.5%, 2% extra Jensen's Alpha by using more concentrated finance .
Because we -- like you said, Jensen's Alpha, we use 3, 4 very publicly available Nobel Prize winning formula, be it the Black-Scholes pricing model, inefficient market theory and capital asset pricing model. We use these. So that is what is producing Jensen's Alpha rather than that.
So, more people are joining the Platinum segment and those who are on the borderline, some are in INR 35 crores and their INR 20 crores are out, they are saying I am ready to become your Platinum . So, you will see my projection of the platinum number of clients in the next 2 years is about 450 to 500. You're so right, we're already in the segment from a size standpoint. From a behavior standpoint, people behave very differently as a corporate entit y.
We have -- I have gone to so many corporates and got them to redeem the liquid fund if the CXO was dealing with us and said that this is the corporate funds. So we will debate that, but this will not go by the wayside. I assure you, Sunil, sir.
Moderator: Next question comes from the line of Manav, an Individual Investor.
Manav: Congratulations on another great result. It's very evident that you are a people's company. Therefore, you've really contained the attrition. But it looks like last year, it's bumped up a little.
I'm just trying to understand if that has any kind of impact on the business?
Feroze Azeez: I missed your name, sir.
Manav: Manav.
Feroze Azeez: Manav sir, you've identified rightly. In FY '24-25, we had two people leave. they had INR 295 crores of assets under management on the date of resignation. One resigned on 17th March. Last working day was 17th March 2025, and one guy had 30
th December '24. These were the only 2



attritions in FY '25. And we retained INR 203 crores out of the INR295 crores, which is 69%.
Why am I going back to FY '24- 25 because that's how we see it as a department.
So now in FY '25, '26, we had six people leave. And on the date of the -- seven people, I'm sorry, Vishal sir corrects my eyesight, which is so wrong, I'm having a sheet on in front of me. So seven people left and the ir AUM on the date of resignation had INR 1,212 crores. Without the market movement, we have INR 987 crores with us of the same families whom these seven were managing. So that is INR 987 crores is with us, so 81% retention. So 69% retention went to 81% client retention.
Clients in a wealth management outfit in my experience, leave for two reasons. One is product failures. Like in ABN AMRO, I sold a cinema fund. I lost three clients. I sold an art fund. I

sold
a wine fund. So selling products, sometimes which bomb, people leave. The other is RM attrition. RM attrition could create. So we have seven , but that's not a trend. We have some of them, like I told in the previous quarter were cultural misfits we had to let go. Some of them are actual genuine regret attritions. And is it a one -off? I guess it's a one -off, but 81% of those clients' assets are with us -- RM assets are with us without the AUM movement of market.
Moderator: Next question comes from the line of Rajat Patel with Arihant Securities .
Rajat Patel: I just wanted to ask because Anand Rathi Wealth has subscribed to the rights issue of ARGFL.
Can you tell what is the ROE and capital adequacy ratio of this NBFC ?
Feroze Azeez: Jugal sir can answer that.
Jugal Mantri: I don't have the P&L of Anand Rathi Global Finance handy right now. So what I suggest is, Vishal, please note down his number and the e -mail ID and share the same with him.
Feroze Azeez: Okay. One thing I can tell you, ARGFL is now in terms of -- okay, let me -- because provisional balance sheet, done. So please feel free to write to Vishal Ji. Because still not finalized the March balance sheet, I'm sure if otherwise, Jugal sir would have had it on fingertips. So I don't want to shoot jump to that.
Moderator: Next question comes from the line of Vikas Arora, an Individual Investor.

Vikas Arora : Sir, I'm asking if are we looking to open new branches in any particular geography.
Feroze Azeez: So we are looking at opening branches, yes. In fact, again, let me tell you, Rathi Ji has very good aspiration of having a greater footprint. If that is our Guru's aspiration, should we have more footprint? Yes. Where will we open branches, we will not ope n branches on the basis of opportunity only. We will open branches in those places where we have somebody to send back.
And I've said this in the previous calls, I'm again saying, let's assume if I was not the joint CEO. I could have worked from Mysore because Mysore is where my parents live. So if there are people who can go back to their towns and start units there becaus e Feroze needs to understand Anand Rathi Wealth. Opening an office in Mysore, I can hire a few people from some banks, which operate there and start an office.



We are reluctant to do that. So in our 401 RMs, whoever has their age ing parents living in a city or comes from that city. So I can't tell you which locations. Of course, Rajesh Bhutara sir last time also corrected me saying that these are the other two units you opened. Rajesh ji, have we opened any other units in this quarter.
Rajesh Bhutara : No, sir. This quarter, no, we have not.
Feroze Azeez: So that's the principle, sir. Vikas, that's the principle on which we open. As of now, there is an office potential in most of the Tier 2, Tier 3 cities in India, getting 40, 50, 70 HNIs who are thinking like you, who are more mathematical about their money is not very difficult. But you need to have somebody who can de novo think like Anand Rathi Wealth of not selling multiple different innovative products, which are making my clients' money experimental.
Vikas Arora : Sir, do we look for a franchise partner or open on our own basis if we open a branch?
Feroze Azeez: Always own, sir. Managing culture on a franchise basis is, again, something which we very passionately feel about. No, it will always -- at least at this point in time, as a professional, I can say I don't see a franchise model for years, if not decades.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of the question -and-answer session. I would now like to hand the conference over to Mr. Feroze for closing comments. Mr. Feroze, please go ahead.
Feroze Azeez: Sorry, I was on mute unintentionally. Thank you, R enju. I'm very grateful t

o each one of you to join us consistently for the 18 quarters. And I'm very, very grateful for the suggestions and the questions which have some learnings for us in the process, extremely grateful to spend a Friday afternoon with us . Vishal Sanghavi is our Investor Relationship Head; and Rajesh Bhutara is our CFO. He is Rajesh Bhutara, again, whenever I mention Rajesh Bhutara, I like to highlight that he has finished 24 - 25 years in the group, and that's what the kind of understanding he has. So please write to them to get any questions answered. And thank you for all the wishes you gave for the good result. And please pray for us so that God is always with us and you. Thank you.
Moderator: Thank you. On behalf of Anand Rathi Wealth Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.